Marico Ltd. (MARICO)

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The Secretary,
Listing Department,
BSE Limited,
1st Floor, Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001
Scrip Code: 531642 The Manager,
Listing Department,
The National Stock Exchange of India Limited,
Exchange Plaza, C -1 Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400051
Scrip Symbol: MARICO

Sub.: Transcript of the earnings conference call

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, copy of transcript of the earnings conference call held on Friday , May 5 , 2023 on the audited financial results and operations of the Company for the quarter and financial year ended March 31, 2023 , is enclosed .

The said transcript is also available on the Company's website at https://marico.com/investorspdf/Q4FY23_Earnings_Call_Trans cript.pdf .

This is for your information and records.

Thank you.

Yours faithfully,
For Marico Limited

Vinay M A
Company Secretary & Compliance Officer

Encl .: As above

Marico Information classification: Official

Marico Limited
Q4FY23 Earnings Conference Call

May 05, 202 3

MANAGEMENT : MR. SAUGATA GUPTA – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER , MARICO LIMITED
MR. PAWAN AGRAWAL – CHIEF FINANCIAL OFFICER ,
MARICO LIMITED

Regd. Off: 7th F loor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098.
CIN: L15140MH1988PLC049208. Email: investor@marico.com

 Moderator : Ladies and gentlemen, good day, and welcome to Marico Limited Q4FY23 Earnings Conference Call.

We have with us the Senior Management of Marico represented by Mr. Saugata Gupta – MD and CEO; and Mr. Pawan Agrawal – CFO.

As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your tou chtone phone. Please note that this conference is being recorded.

Before we get started, I would like to remind you that the Q&A session is only for institutional investors and analysts. And therefore, if there is anybody else who is not an institutional investor or analyst, but would like to ask questions, please directly reach out to Marico's Investor Relations team.

I now hand the conference over to Mr. Saugata Gupta for his opening comments. Thank you, and over to you, sir.

Saugata Gupta : Hi everyone, and good evening to all those who have joined the call and hope all of you are doing fine. As FY23 has come to a close, I would like to reflect on the operating environment during the year and the quarter gone by, after which I shall touch up on our performance. FY23 started with escalating geopolitical tensions in Ukraine leading to steep inflation and interest rate hikes globally. In India, this led to climbing food and retail inflation, which adversely affected the overall consumption sentim ent. However, over the course of the last 6 to 9 months, there has been moderation in key commodity prices and retail inflation levels, which has , most likely , brought about a gradual recovery in FMCG consumption.

Looking at FMCG volume trends in this peri od, we believe the prospects of a sustained recovery have strengthened. After 5 quarters of volume decline, the sector has posted volume growth. Urban consumption has been steady, while rural is also showing some convincing signs of having bottomed out.

Foods continues to drive growth for the sector, while HPC has also entered positive territory after an extended slowdown. As we move forward into the next year, we believe that subject to a near -normal monsoon prediction, the certainty of a moderating retail inflation and less volatility in crude prices bodes well for a sustained reversal in the sector.

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Marico Information classification: Official Coming to how we fared in Q4, we are continuing to see a sequential uptick in domestic volume growth and robust growth in our international business. If you l ook at our performance from a medium -term lens, we have delivered a 6% domestic volume growth on a 4 -year CAGR basis, while sector volumes have grown between 2% and 3% correspondingly.

Similar ly, even in our international business, it has delivered 11% constant currency growth on a 4-year CAGR basis and in the last 9 -10 quarters, has been consistently delivering double -digit growth except one quarter which did a n 8%. In terms of profitability, our gross margins have

expanded both YoY as well as sequentially with moderation in input prices and a more favorable portfolio mix in the domestic business. While we have passed on the benefits of lower input cost to the consum er, we have maintained A&P spends, which has grown 8% on a 4 -year CAGR basis, which we believe drive s long-term growth and brand equity.
Delving deeper into the India business, we shall

touch upon the key trends in each of our
categories and our strategy and outlook for the period ahead.
Parachute had a strong quarter with a 4 -year volume CAGR at 6%, driven by a pickup in loose to branded conversion and penetration gains. As we envisaged in the last quarter, we have started to see healthier trends in the b randed coconut oil market after stability in copra and restoration in consumer prices beginning December '22. Parachute Rigids gained 70 bps in volume market share during the quarter. With copra prices likely to remain in a comfortable zone in the near term, we expect volume growth in F Y24 to track in line with medium -term aspirations. The branded coconut oil category in Q4 turned back into positive, which is also a very good sign.
Value -added hair oils delivered double -digit growth after subdued growth in the last 5 quarters. The category continues to be directionally in -line with mass personal care categories, and we expect a gradual uptick in growth over the course of the year ahead. In fact, towards mid -quarter, it starte d turning positive and even in March, we experienced positive category growth in value - added hair oils. Value growth in the VAHO portfolio was in mid -single digits on a 4 -year CAGR basis, lower than our medium -term aspiration owing to the extended slowd own in rural and also affected by some other issues in terms of commoditization. While mid and premium segments continue to fare better , with lower inflation and reduced proclivity of competition to commoditize the category, we expect the recovery in growt h to be more broad -based.
Saffola Edible Oils had a soft quarter, owing to a high-volume base of in -home consumption last year. However, we continue to witness healthy offtakes during the quarter. The brand delivered high-single -digit volume growth on a 4 -year CAGR basis, which is in line with our aspiration.

 With stability trends persisting in the global veg etable oil market, we expect the brand to be
steady in the coming year.
The Foods business has delivered a high -teen growth during the quarter and ended the year close to the Rs. 600 crore revenue mark. The Oats portfolio continues to anchor the growth and maintain its strong leadership position with a 43% share. While Honey and Soya Chunks have been scaling up well, some of our new categories, namely Mayonnaise, Peanut Butter and Munchies have been beginning to get traction. We expect to cross Rs. 850 crores in topline in Foods in FY 24. This would be underpinned by expected buoyancy in urban consumption while we maintain steadfast focus on market development, brand building, Foods GTM expansion and sustained innovation to extend our addressable market in the value -added packaged foods .
Premium Personal Care has recovered smartly from the COVID lows with 40% growth this year. The portfolio closed just shy of the Rs. 350 crore revenue milestone and going forward, we aim to deliver a 20% plus growth consistently across the portfolio , whic h is a high -margin portfolio.
The Digital -First portfolio has been scaling up well in line with our internal targets. The current portfolio is poised to reach exit ARR of Rs. 400 crores next year, and this does not include any future acquisitions.
Moving t o the International business , we have delivered another stellar quarter with each market playing its part despite the macroeconomic situation and currency headwinds in some of the markets, which is reflective of the robust business models of our internatio nal franchises.
Bangladesh has been resilient as ever amidst external challenges, which is testament to our portfolio strength, distribution power and consumer

belief in our brands in the market and of
course, our quality of leadership. The newer portfolio s of Shampoo and Baby Care are gaining heft along the core portfolios. The Vietnam business further strengthened with both HPC and Foods delivering healthy grow th. The integration of recently acquired brands in female personal care, Purité and Ôliv, has been completed. MENA delivered double -digit constant currency grow th and is a market that presents a siz eable opportunity in terms of the addressable market share and topline pool. South African and NCD business also continued on its strong gr owth journey.
Looking ahead, I would like to draw your attention to Slide 14 of our earnings presentation.

Firstly, domestic volume has stayed well ahead of the sector and is poised to maintain an improving trend in FY24 in line with the sector. Revenue growth will inch up as the year progresses as pricing comes into the base in the latter half of FY24.

 We expect steady growth in our core categories of Coconut Oil, Saffola Edible Oil and VAHO,
with inflation, volatility subsiding and price stability prevailing. Secondly, we have taken visible leaps in the diversification journey and the evolution of portfolio in the India business, which began a few years ago, resulting in a healthy pace of growth.

This is reflected in the share of revenues from newer portfolios comprising of Foods, Premium Personal Care and Digital First which have seen a shift from 11% in FY22 to about 15% in FY23 and is likely to move to 20% of our domestic business in FY24, which means we have added an incremental top lin e of about Rs. 750 crores through these portfolios in a couple of years.

With some of the Foods and Digital First business attain ing a certain scale, we'll continue to drive accelerated growth, as indicated earlier, and focus significantly on improving the profitability in tandem. Once the shift of profitability is achieved, we'll reallocate some of the resources to the core to drive market share while fortifying the long -term margin profile of the overall business. We have a track record of success in Oats as far as Foods is concerned . With the funding winter setting in and more sanity in the ecosystem, we'll be able to improve profitability and leverage far more synergies while moving our Digital First brands into their next leg of growth.

On M&A front, w e shall be constantly scouting for businesses which have a right -to-win in their respective categories and are synergistic to the overall Marico strategy. We will make sharp choices and refrain from venturing into fragmented and commoditized categories eve n if they give scale.

Thirdly, in the international business, we believe we are present in a relatively unique mix of markets and our portfolio diversification efforts further insulate us from any concentration risk and ensure consisten t performance. You a re aware that in FY20, we had a concentration risk of our business from Bangladesh and within Bangladesh, a concentration risk of PCNO and therefore, we have had significant diversification in our portfolio and reduced this concentration risk to a large extent. We have proven that despite black swan events, we have a robust and profitable business model, which enable us to avoid yo -yos and surprises in the international business.

Last but not the least, we have maintained an uptrend in gross margins over the las t 2 years and we expect an uptick of another 200 to 250 bps YoY in FY24, keeping all factors constant, given the cooling off in commodity inflation and portfolio mix normalizing favorably.

 As we have emphasized in the past, A&P investment will continue to be a key t hrust for our
growth as we believe that long -term brand building certainly is a much better choice over short - term profitability gains. Further, our focus on cost savings will continue and will be deployed to drive incremental growth. Owing to the above, we expect operating margins to move up by more than 100 bps year -on-year basis in FY24.

We believe that we are moving in the right direction along the 4 strategic areas of diversification, distribution, digital and diversity, and we are confident o f delivering improvement across all the 3 parameters of volume, revenue and earnings growth in FY24.

We continue to make visible progress in our ESG program in each of our focus areas . 'Creating shared value for all ' remains the ingrained purpose of our bu siness and will allow us to drive superior long -term performance. We are committed to achieving net zero emissions in our domestic operations by 2030 and global operations by 2040.

Our ESG and other initiatives continue to get recognized in the various awa rds we have won in

the last one year. With that, I will now close my comments. Thank you for your patient listening, and we'll now take your questions.
Moderator : We will now begin the question -and-answer session. The first question is from the line of Av i Mehta from Macquarie. Please go ahead.
Avi Mehta : Sir, I just wanted to kind of clarify on the margin expansion comment. With the input cost more or less stable now, would it be fair to see the gross margin expansion more front -ended and flow - through wil l probably be dependent over time? How do you see th e gross margin expansion panning out during the year ?
Pawan Agrawal : Yes. Avi, we believe that gross margin expansion should happen right from quarter 1 itself. Although , given the kind of environment that we're operating in, while currently the commodity table has been stable, we would rather say that you should take it more from a full year perspective that at least gross margin would expand by 20 0-250 basis points. Given the new product agenda that we have, we would want to invest it back into some of the products. And therefore, from an operating margin perspective, we are saying at least we should expand by 100 basis points.
Saugata Gupta : Just to add, I think other th an commodity gains, now that our Foods and Digital business ha ve gone to scale, there will be a significant focus on improving their profitability.
 Avi Mehta : Got it, sir. So, that should be an additional kicker, if at all, and that is wha t will kind of take time
to flow through as well, that could be the icing on the cake, if I may say.
Pawan Agrawal4 : Yes.
Avi Mehta : Sir, the second bit was on the sales growth front. Now I understand your comment on pricing headwinds, but with Parachute stabilizing and back on the growth path, Saffola offtakes improving, volume growth rate should normalize to our kind of steady stated targets in the first half itself since i ts just the pricing headwind. Is that understanding correct, sir?
Saugat a Gupta : I'm just saying that I am unwilling to give an idea of how it will it pan from quarter -to-quarter because there's a base effect and there could be volatility. But all I can say is that we expect the volume growth for next year, which is rathe r this year , to be better than what it was last year. And therefore, on a full year basis, both on volume growth, revenue and margins w e'

ll be
definitely better than what we delivered in FY23 .
Moderator : The next question is from the line of Vivek Maheshwari from Jefferies. Please go ahead.
Vivek Maheshwari : A few questions. First, on VAHO , if I look at the base for the next few quarters also remains low. So, does that mean that the base tailwind will help and the numbers for VAHO , at least in the foreseeable future for the next 3 quarters or so , will be in double digits?
Saugata Gupta : So, I think the way to look at it, as I said, let's not go from quarter to quarter because I think the best way to see is that it is an improvi ng trend driven by 2 factors. One, VAHO, as you know, has a significant rural contribution and there was a stress in the rural consumption led by significant food and retail inflation and commoditization by competition. I think now all the facto rs have become more favorable. So, all I can say is that the number which is there will improve. Number two, I believe that the other change that will happen in the value -added hair oil market is that the slightly premium brands, which are slightly higher say 1.3 to 2 RPI were not performing well. I think that segment will start performing well and there'll be a little more broad -based growth. As a result, I think not only we'll be witnessing value growth, but we'll also continue to gain value share.
As I said, just to reinforce that , while in Coconut Oil, we saw some category growth coming back given the fact that the pricing got right and the inflation was in control. In value -added hair oils also towards the second half of the quarter and if I go on a month -on-month basis , definitely by March, the category came back into growth.
 Vivek Maheshwari : Okay. And one follow -up. If I look at between the third and

fourth quarter last year or year
before that also, the base was reasonably the sa me with little to no big disparity, but there is a big uptick in growth. Would you attribute most of this to the industry trend or there were some self-help measures, which also help you to have this kind of growth?

Saugata Gupta : No. So, we have grown ahe ad of industry, obviously, as I said that and for a quarter basis, there was still a slight decline. I think it's minus 1.

Pawan Agrawal : 0.7.

Saugata Gupta : 0.7. So, it's a slight decline. I think what has happened is, as I said that 2 things have happened . Relative competitive commoditization and intensity in the commoditized part of the category has changed. Number two, obviously, some of our initiatives to gain val ue share has started kicking up. Also , we see the rural consumption situation bottoming out. So, it's a combination of external and internal, I would say.

Vivek Maheshwari : Okay. Got it. Second, Saugata, likewise, can you also comment on Saffola, I mean, y ou have mentioned in your opening remarks, but can you just talk about your outlook as we head into the next year? I mean this quarter, there have been multiple pressures. But how do you think this portfolio shapes up in F Y24?

Saugata Gupta : I'll tell you first for this quarter . Obviously, last year we had, first, an Omicron base in January where it was the peak of the Omicron and therefore, there was higher in-home consumption. Then when the Ukraine war happened , in anticipation of higher prices, I think i n March, there was far more retail pickup of stock. So, the growth which was there on the base was not necessarily offtake based but also people stocking more in anticipation of significant inflation expectations . Now again, on Saffola, I will give you a y early position that if the things are stable and not volatile, we should be able to give the

growth which is commensurate with our medium -
term aspiration of a mid to high -single -digit growth.

Vivek Maheshwari : And 2 industry -level questions, if I may. One is that your press release talks about the GT declined low -single digits, and of course, you have spoken about e -commerce and modern trade. But i f you take a medium -term view, do you think that is how the GT channel will shape up? Or do you think GT will be an imp ortant channel and will continue to grow if you take a 5 -7 years view?

Saugata Gupta : I think even over 5 -7 years, GT will be an important channel. So, the reason there is a compression in GT is a combination of two things. One is that, obviously, comp ared to 2 years

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 back, modern trade has made a smart recovery. In our case, as you see, a lot of innovation which
we have done is Digital and Foods and they are very, very urban -centric and with the SKU highly salient in modern trade and e -com, and GT has a significant portion of rural, which underwent some consumption stress. So, I think slowly, GT will start recovering for the sector. Now overall GT obviously has performed at the FMCG sector , however, because of the rural bias, a slightly lower performance compared to MT and e -com.

But all I can say that it is going through a transformation. And there is no substitute for direct rural distribution, which will continue to be a source of competitive advantage for FMCG players, and i t will have a significant, what I call, entry barrier for some of the players. For a lot of D2C players they have obviously an advantage and capability of digital marketing. But I think when they get scale and they move into GT, they have to face organized players. And that is where organized players have a significant competitive advantage.

So, in India, it will be an ‘and’ growth. Maybe the GT model will keep on changing , in terms of consolidation, the way we do business, and there's a transformation happ ening. But let me tell you, the neighborhood kirana is very, very critical. They are here to stay; they are smarter than a lot of other people and they're smarter than what we think. And therefore, I think even if I look at a 2030 kind of a scenario, GT wi ll still be the majority in India.

Vivek Maheshwari : Got it. And last question on the industry , on the Nielsen FMCG volume growth what you have put out there. So, HPC turning, let's say, flat to positive is a good thing. But at the same time, Foods is also accelerating. So, is it a simple case of lower penetration in case of Foods and therefore, structural story is far better or there is some cyclicality between the two because the per-cap and penetration of Foods has always been lower. But in the last decade also, there have been periods where HPC has done better than Foods and there have been periods where it has been vice versa . What do you think is happening be tween the 2 categories here?

Saugata Gupta : So, let me tell you something. So, there are two things. One is Foods has a far more urban skew and also a little bit of top -town modern trade , e-com SKU. There is a significant, what I call, conversion from unbr anded to branded growth in packaged foods because penetration is low. I think there are also some trends in terms of health, in terms of wellness and healthy snacking. And I think COVID aided us a lot in in-home consumption and gave a lot of fillip to the Foods category. HPC has different issues going for itself . One is the rural skew which is far more and HPC is far more secular across income classes. Therefore, whenever there is high food inflation and consumption stress, HPC gets more impacted than Foods. The seco

nd thing is in some of
the HPC categories, there is what I call higher penetration. As a result of this high penetration, significant growth happens. One is the absolute population increase and the second i s

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 premiumization. And therefore, whenever there is high inflation, the premiumization journey
undergoes a shift to down gradation . And that is what we have seen. Number 3, I think the input cost pressures, which has happened in HPC because of crude and other things, has led to a lot of people managing price points in HPC through shrinkflation.
Now what happens is that the rural consumer, especially on the bottom of pyramid , have fix outlays. Therefore, when you think that you have managed grammage and you will manage transaction, people actually adjust consumption. So, I think it's a combination of all this, and I believe that slowly HPC will come out of it. Having said that, perhaps the headroo m or the runway for Foods is slightly more than HPC.
Vivek Maheshwari : Got it. And I also want to thank you for incorporating some of the data points on Slide 14, very useful. A couple of data points are really useful from FY24 perspective. All the best.
Moderator : The next question is from the line of Percy Panthaki from IIFL Securities. Please go ahead.
Percy Panthaki : Just again, wanted to do a deeper dive into the VAHO segment here. So, I was looking at the 4 -year CAGRs here. Bajaj Consumer is close to flat. Dabur has a 1% 4 -year CAGR. You are at a 4% 4 -year CAGR in VAHO. So, is there any kind of , sort of pipeline or any kind of one -off that we need to be aware of? And if not, basically, what has driven this? I mean, within VAHO, w ere there 1 or 2 brands which were suppressed, which has come back to full strength? Or what exactly is the story behind these numbers?
Saugata Gupta : So, I think as I said that you have to look at 2 things. One is, we have been consistently gaining value share quarter after quarter. In the 4 years there has been COVID base also. Also, I think , till December or November, there has been a significant competitive intensity at the bottom of pyramid, where bottom of pyramid growth ha s happened. So, the reason this value growth has also happened is that we believe due to a combination of less intensity in the bottom of pyramid and lower inflation leading to , I think , some of the mid pyramid and the top of pyramid brands started growing in the categories . Our participation in these categories is far higher. Our focus has been higher because we have been focusing on value share. And that is the reason the value share has starte d growing. And as I said, and in Marico, there is no adjustment that happens between primary and secondary. Normally, we keep it broadly constant.
Percy Panthaki : Right. So, basically, just to summarize what you're saying is that out of this differential between, let's say, other players at 0% to 1%, and you at 4%, that 300 bps differential on 4 -year CAGR, that's like a 12% point -to-point kind of a di fferential , that is mainly mix only, it seems rather difficult to believe that, Saugata?

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 Saugata Gupta : No, it's not a mix. As I said, we have a broader participation strategy, okay . We also have had
innovations in this space because, as you know, there i s Aloe, we have just launched Onion Oil , we are now participating in mustard. So, it's a combination of core growing , some of the new things

growing and the fact that we participate across price points . We have had a broad -based growth. And if you look at it, in certain players, all the growth could have either happened in price point packs or the bottom of pyramid and a decline in packs, which are of either higher packs or higher RP I brands. So, it's a combination of all of that. I mean, as I said, the 4 -year primary will be equal to 4 -year secondary.

Percy Panthaki : That point I got, I'm not doubting you on that. I'm just trying to find out the underlying drivers, like is it Nihar, Shanti Amla, which has grown ahead or is it these new aloe vera variants, et c, which have driven the growth ?

Saugata Gupta : Percy , we have 5 big brands, okay . So, we have Shanti, we have Jasmine , we have Hair and Care, we have Nihar Perfumed Coconut Oil and we have Aloe, okay. And now if you look at it, these brands operate between 0.7 to 1.6 in RPI. Now it could be, as I said, I'm reinforcing so that you will get a better color to it. If I grow all across these brands from 0.7 to 1.6 RPI versus somebody only growing at a lower RPI and declining in higher RPI, this difference will happen .

Percy Panthaki : Right. So, I got the point that you're gaining market share and you're doing better at the premium end versus others. So, if you can just share as to what are the inputs you have put into the business and what you are doing differently versus competition that you are succeeding where others are not.

Saugata Gupta : I can't get into details. We have a plan and we have to execute it well. And I don't think we are still happy with what we are doing. We have to do better.

Percy Panthaki : Second question, Saugata, is on Foods. Just correct me if I heard you wrongly, but I think you said that this year, you are ending just shy of Rs. 600 crores, right?

Saugata Gupta : Around Rs. 600 crore, yes.

Percy Panthaki : Okay. And you're targeting Rs. 850 crore next year. So, that's like a 40% to 45% kind of value growth, which I think is higher than the kind of value growth we have done this year. And this year was a year of general price inflation. Next year, in fact, on a YoY basis, the price inflation might not be much, so y ou don't get the kicker from that and you have to deliver most of that 40%-45% through volume. So, just wanted to understand what makes you confident of accelerating the volume growth to such a high level.

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 Saugata Gupta : First of all, let's put a perspective. We ended FY20 at Rs. 170 crores. We have reached Rs. 600 crores in 3 years. I think it's a significant amount, and I think it is equal to size of some of the small companies and in fact, larger than some of the so -called companies which we have in Foods, okay. Now if I look at the new launches, all the launches happened in quarter 3 and quarter 4 and a lot of them have not got scaled up. Number two, we started the Foods GTM which is, again, from qua rter 3, where we are expanding into 10,000 to 12,000 outlets with a separate sales force. So, it's a combination of that. And I think , whether we reach Rs. 840 crores or Rs. 850 crores or Rs. 860 crores, I think the question will be that we would have added Rs. 700 crores. And you never know, there could be some inorganic also.

Moderator : The next question is from the line of Kunal Vora from BNP Paribas. Please go ahead.

Kunal Vora : I wanted to understand about MT and e -com, contribution is now almost up to 30%. You mentioned that GT will now recover. So, how do we see this mix going forward? Will MT and e-com continue to increase or there will be some reversal ? And how do you see the higher contribution of MT and e-com in the medium to longer term, considering that there is a higher level of concentration and bargaining power of the buyer?

Saugata Gupta : So, I think it has also happened because of the kind of new launches we have done. If you look at Foods , for example, we have a significant skew towards MT and e -com. It is only now where we are expanding into GT. We hadn't till now, because, as you know, our GT was not aligned to a lot of food outlets. Another factor is, if I look at it, especially the e -com growth was led by the tailwind. We believe because of our acquisition of some of the digital brands, our digital marketing and e -com capabilities are, perhaps , leading edge in the industry. This year, we saw MT also recover ing. Also, some of our brands like Saffola have a natural skew towards MT . So, I would say that we need to do a better job in GT. I believe GT obviously has opportunities and I think it has suffered last year also because of two factors . One is the rural consumption and number 2 is in urba n, because of the growth in e -com and modern trade, the GT distribution system is under stress and it is undergoing some transformation. So, that's why I said that I think we need to perhaps get GT back into growth, and I'm extremely confident that this year, we will be growing in GT.

Kunal Vora : And are you seeing a higher level of consolidation on the other side in MT and e -commerce? And any impact on margins from that?

Saugata Gupta : So, I think 1 thing, as I said, that we have to continuously innovate. And you have to be a #1 and #2 player. I think, obviously, the cost of sale in e -com and modern trade could be higher, and

 therefore, we have to continuously premiumize the portfolio. Also , I talked about a significant focus on improving the profitability in COGS terms , other things and in Food as well as Digital. And that will neutralize this increase in cost of sales, which we are talking about.

Kunal Vora : Second and last question, if you can talk about the macro situation in Bangladesh . A couple of quarters back, there were certain problems, currency was depreciating. A lso, along with that, how is the mix of business changing between coconut, non -coconut and how do you see the growth rate going forward?

Saugata Gupta : So, I think whenever there is disruption, history has shown the strong gets stronger and the weak gets weaker. In Bangladesh, our relative strength is significant. I believe we are the top 2 -3 FMCG players i n Bangladesh in a relative strength and we are far more stronger in Bangladesh than here. And I think not just in brands or distribution or equity, I think we have an extremely strong leadership. And one of the things we have done in the last 5-6 years in the international business is in a methodical way , where we have now a playbook, the Bangladesh play book, which we are now replicating across Vietnam and Middle East .

Now coming to Bangladesh macro situation, I think there is a combination of inflation, which has moderated a bit because, as you know, crude prices , overall vegetable prices , across the world have moderated compared to what it was during the peak when the Ukraine issue started. Secondly, the devaluation has happened. But we believe , we have learned to manage the devaluation.

And the third thing is that, obviously, we have continued our diversification journey. So, today, if you look at coconut oil dependen ce, which was 98% , 4-5 years ago , has moved now to 60% or even below 60%. So, we have done these things. And we have continued to invest even if there's the force of inflation. Obviously, it's a tough situation. But I think as far as the Bangladesh macros are co

ncerned, I think we have learned to live with it, and I don't think it's deteriorating.

I think w hatever shock had to happen , happen ed and there's a stable government. The way Bangladesh economy is run, I think it's pretty good. And therefore, we believe that the Bangladesh story and the Bangladesh growth opportunity is very much intact.

Moderator : The next question is from the line of Sheela Rathi from Morgan Stanley. Please go ahead.

Sheela Rathi : My question was partly answered but let me take it up again. With respect to the VAHO portfolio, Saugata, what I understand, based on your comments is that the growth has been much better , broad -based. We are kind of premiumizing the portfolio. Is it fair to believe that we are shifting away from rural towards more urban India? And second is, what kind of NPDs we have

 had in this portfolio on a percentage basis? And is the distribution for the NPDs as deep as our existing portfolio?

Saugata Gupta : Firstly, I don't think there is a shift from rural to urban. I think what I'm trying to say again is that if you look at the VAHO growth, at least till December , a significant portion of the VAHO growth was happening in price point packs of Rs. 10, Rs. 20 and some of the brands like Mustard and some of the other price warrior brands in the space, okay . In November, December, a lot of competi tion was not taking price increases in spite of a huge input cost. But I guess, because of other pressures, competition was forced to take price increases. And also what happened in this category is that a lot of players other than us , converted a lot of ATL to BTL, and they were spending on BTL. Now that has got reversed. We continue to spend more on ATL as we believe in the long -term ATL story. And that's why the growth in the other parts of the portfolio other than the price poin t packs has increased.

Now coming to innovation, I think our biggest launch , which we have launched in the last 4 -5 years is Aloe Vera which has crossed Rs. 100 crores. We are just about taking Onion Oil to GT. Onion Oil is a category which is now accepted, it is reasonably salient. Our right to win versus a D2C brand, in terms of pricing, distribution, ability to execute in GT is far higher than a D2C player. We will also see some more launches. We were earlier trying to compete in mustard or sarso n in a very 'me-too' product. We now have a differentiated product.

And you will see maybe 1 or 2 more innovation in value -added hair oil as we move down in this year. So, I would say it's a combination of that, and I don't think there is any urban bias. Having said that, I think we will also see a premiumized portfolio slowly, which will come into place . I think we have a disproportionate share in modern trade. In e-com, where obviously, there are players which have far higher AOVs and have premium offerings, we need not play through our core franchise, but through some of our digital brands, for example.

Sheela Rathi : Understood. And just a follow -up here, some broad number here, what would be the share of premium portfolio now for us versus, say 4 -5 years ago?

Saugata Gupta : No, I don't want to get into numbers, please.

Sheela Rathi : Okay. And my second and final question was with respect to the Foods business, what would be the distribution reach for us currently? And where do we aspire to take it say in the next 12 months or 24 months?

Saugata Gupta : Foods. You're talking of Foods?

 Sheela Rathi : Yes.

Saugata Gupta : Yes. I think our availability in e -com and modern trade is almost nearly there, okay . Not so much for some of the new things like snacks etc, which we are launching. As far as GT is concerned, if I look at Masala Oats, I think it reaches 2 lakh outlets which is our most distributed brand. Now what we are doing is we believe Honey and Soya are the ones which will first get mass distributed and then we will see snacks. Having said that, there will be a part of our portfolio which will not be an ATL -driven portfolio.

So, we now have around 10,000 Foods GTM outlets, a lot of them are open format stand -alone outlets which we will focus on, and that number we'll slowly try to increase. Now you must realize that Foods has a lower shelf life. Therefore, supply chain replenishment, the way you sell foods in terms of frequency of billing is comple tely different from our core portfolio. And that's the capability we are trying to capture. So, we are going about in a slightly more careful manner so that we don't want to scale up high and then fall flat in terms of not being able to manage shelf life a nd other things.

Sheela Rathi : Understood. And just one final point here is on the new product launches side, should we expect new product launches more on the Personal Care Side or on the Foods side going in to FY24?

Saugata Gupta : We would like to launc h both. I think in the last 3 years, obviously, there has been much more focus on Foods. But you will see some prototypes in the personal care side definitely because I think we have a premiumization agenda. Our premium portfolio is doing well. I think most of them have gone to higher than the pre -COVID levels. And therefore, you are going to see a much more balanced kind of picture as far as innovation agenda is concerned , compared to the last few years, where it has been far more food s.

Moderator : The next question is from Akshen Thakkar from Fidelity. Please go ahead.

Akshen Thakkar : Congratulations on a good set of numbers. Just a couple of questions. On VAHO, good to see value growth come back to double digits here. Just generally over the next 2 to 3 yea rs, not asking for a guidance, just generally how you're thinking about that business in terms of growth aspirations over there, if you could share for next year , great, but definitely over the next 2 to 3 years, what are your aspirations? What needs to ha ppen for you to say it's a good job. That's question one. I have another question, but I'll wait for this answer.

Saugata Gupta : So, I think if rural comes back, I think our aspiration is to get into double digits and hit double digits. And I think there w ill be a little more broad -based play. I believe that also there is now

Marico Information classification: Official far more sanity in the category in terms of people growing brand through ATL and equity. So,
therefore, I think our aspiration, and I think a significant focus area will be to hit a do uble-digit
growth in VAHO in the next 3 years.
Akshen Thakkar : Okay. Great. And then on edible oils.
Saugata Gupta : Just wanted to add, please don't hold us from every quarter. I mean you have to look at it on a
yearly basis.
Akshen Thakkar : No. That's why I said as a broad 3 -year guidance. Because it's too volatile, I completely
appreciate that. On the edible oil business then, and that's a little more tactical and near -term
question. The raw material pricing has been very volatile. How are you managing it right now?
There have been times where we focused on volume share. There have been times where we
focused on margins. Where are you on the pendulum right now? And if

I can peel the onion on
your comments around value growth, is it more coming from edible oil? Or is it more coming
from coconut oil where there is a pricing headwind?
Saugata Gupta : So, see, at the end of the day, I think the approach to Saffola is very clear that we will continue
to be competitive, pass on value to the consumer, s ubject to a threshold level of margin. I think
we will definitely not go for volume growth s which are not sustainable. Now we have had
situations in the past during COVID times, but that was because it was a tactical opportunity.
But I think going forward, we're absolutely clear that we will maintain a threshold level of
margin. As I said that in both the Saffola and the Food business, I think margin expansion , and
Saffola has protection of margin , and food margin expansion will be our primary focus area.
Akshen Thakkar : And a last housekeeping question. Just on the employee cost side, there seems to be a large bump
this quarter. Was there anything one -off that you'd like to call out? Or is this par for the course?
Pawan Agrawal : Akshen, I think for a fixed overhead line, I think it is better to look at full year number. And if
we look at a full year number, it's growing at about 11%, which is a tad higher. But there are 2
reasons for that. One is that some of the cost was not in the base for a couple of acquisitions that
we did, which is True Elements and Beauty X in Vietnam. And second, there were some one -
off reversals of management incentive in the base year due to some non -achievement of interest
target. If you exclude them, then the growth will be about 7% to 8%, which is largely in line
with industry averages.
Moderator : The next question is from the line of Tejas Shah from Spark Capital. Please go ahead.

Marico Information classification: Official Tejas Shah : Thanks for the opportunity and, Saugata, congrats on the extension. A couple of questions from
my side. First, on debtor days, if you see there is an expansion of debtor days and if I try to
correlate with the commentary that you spoke about that modern trade and e -commerce have
gained higher sha re. Is this an outcome of that mix change? And then if that's the case then how
should we see this trajectory going forward?
Pawan Agrawal : Well, you're right Tejas. Some part of the increase in debtor days is the function of our
contribution increasing f rom alternate channels. If you compare it with last year same quarter,
it's about 3% to 4% high. So, that's structural, I would say. But apart from that, as you know, in
our business, there was a deflation , right . So, the revenue growth was not very, very healthy, and
therefore, the distributor had also ROI pressure. So, even in GT, we have sort of given some
additional selective credit. So, that also has led to increase in debtor days. But that's more
temporary. And when the deflation gets into base and we start growing revenues in the second
half of the year, that credit extensions, of course, will come down. So, I believe that going
forward, you can expect there could be some reduction from quarter 2 onwards.
Tejas Shah : Sure. And in terms of private label strategy, we are seeing a lot of aggression from national
chains now in modern trade. So, what's your read on that? And then Saugata briefly touched
upon it that th e focus is to gain market share and be 1 of the top 3 in each category, but it won't
be possible across especially with pushing so many NPDs SKU across MT and e -com. How do
you strategize for private label aggression from modern trade ?
Saugata Gupta : So, I think, if you look at modern trade globally that where are we vulnerable to private label,
there are two things. One, depending o

n the category, for example, there are certain categories
which have a higher proclivity towards private label. I think, fortunately, we are #1 or #2 in more
than 90% of the portfolio. Usually, the #3, #4 guy g ets squeezed. And the second mantra for this

is that you shouldn't make super normal profits in a category. So, if you follow all this and you
continue to innovate , I think you are less vulnerable . I think if you follo w all this, obviously,
there is always a threat, but you can manage that threat so that it's not a significant impact.
Tejas Shah : Sure. And then last one, if I may. Saugata, for the last almost 4, 5 years for industry, we have
seen that overall growth has been volatile. There is some bump up and then again, we lose the
momentum as an industry. So, what's your read? Because if we step out of our sector, and we
see some of the other categories in consumption basket and otherwise, the rural distress is not as
high as we are kind of re gistering in our sector. So, do you think the wallet share changes
impacting us more than the cons umption slowdown or consumer slowdown that we have been
highlighting in the sector.

 Saugata Gupta : So, I think it's a combination of a lot of things. One, I would say that our usage or consumption
is equal across population and income strata for most of the categories, okay . Secondly, most of
the categories, especially HPC, are well penetrated. And thirdly, in a lot of categories, the
opportun ity exists for the consumer to downgrade, which would not be always in the case of
other things, Also, the fourth thing is in a lot of categories, discretionary, it's a question that
brings you either a tad of joy or sometimes what happens, it's a tad o f luxury you want. While
these are items of daily consumption, which you might say that I can easily downgrade. So, to
give you an example, I think as the world opened up post COVID, a lot of things like eating out
or traveling all that has significan tly increased and some with a vengeance . Now after some time,
that will settle down. And if I look at it in a case of certain categories, also, there is a lot of
unbranded play, people may move from branded to unbranded also. Those opportunities don't
exist when you buy a 2 -wheeler or buy a refrigerator or go for a QSR. I mean, you can
downgrade, but there is a basic threshold thing there.
Moderator: The next question is from th e line of Ajay Thakur from Anand Rathi. Please go ahead.
Ajay Thakur : Just wanted to understand in terms of the new competition coming in the Parachute space, the
coconut oil space. How do we see them shaping up given that they are kind of playing more of
the pricing game? And I believe in certain aspects, the category has some price -sensitivity in
that context.
Saugata Gupta : See, I think the best way to look at is how we are performing on market share. I think over the
last 3 -4 years, we haven't lost ma rket share. So, I think that's the best way to look at it. And we
also have flankers.
Ajay Thakur : But do you believe that given the size that they are right now and the kind of growth they are
witnessing, they can be kind of a threat going forward to us in terms of market share? Or we will
have to start spending more behind the brand?
Saugata Gupta : I will not be able to share what we want to do. But all I can say is that you have to see that we
will protect our market share. Whatever may happen, we will protect it, okay.
Ajay Thakur : Secondly, I was also trying to understand in terms of the edible oil, given the fact that right now
if I were to put across Saffola prices , they are kind of over -indexed versus some of the other
blends,

maybe something like a Sunflower Oil in the market? So, can that be kind of having
some implication in terms of the volume growth aspiration for the current year for us?

 Saugata Gupta : Again, I said that I think we have to look at a long -term aspiration for driving a mid -single -digit
kind of volume growth to a high -single -digit. We'll keep a threshold on the profitability, and we
will not grow at any cost. I think as prices come down, what I call , people willingness to upgrade
becomes hig her because they don't look at percentage or absolute rupees. And Saffola is a very,
very strong brand.
Moderator : The next question is from the line of Abhijeet Kundu from Antique Stock Broking. Please go
ahead.

Abhijeet Kundu : My question was primarily o n, you said from March you got into a positive territory in terms of rural growth. And you also said in one of the comments that you are seeing bottoming out of rural slowdown and improvement from there. Any instances or anything that makes you so confi dent that there is a bottoming out of rural slowdown, any instances of that? And secondly, in terms of geographies, your coconut oil portfolio is more skewed towards South, East, West and where the pain point anyway is not much. It s more in the North and HSM where to some extent your value -added hair oil has some amount of exposure. So, in terms of geographies, how have they panned out in the sense that how has HSM panned out for yo u? So, which geographies have done best, which geographies , now you think will improve? Some comment on that in terms of geographies in value -added hair oils.

Saugata Gupta : I don't know what gives you the idea that HSM is not doing well and South and West doing well. If you look at Nielsen, I don't th ink there is any such skew. Maybe some people have not done well there in HSM, but I don't know about that. All I can say is that what I mentioned about rural growth in VAHO is that if I look at the decline, they have started improving quarter -on-quarter, and in quarter 4, the drop was around only minus 0.7%. It was 3% - 4% decline in Q3 , so it's improved.

And even if you see Jan, Feb, March, it is improving. So, therefore, these numbers tell me that things have bottomed up. Now if these numbers change, I can't help it. It's very difficult to predict because ultimately, it also depends on how monsoon pans out. But as of now, that is the situation. And I don't think there is this thing about th at HSM or North is the problem and South and West doing well, I think the stress was reasonably everywhere.

Abhijeet Kundu : Understood. So, that's basically what the HSM numbers say .

Saugata Gupta : That's improved and it's a gradual improvement. I mean, as I said, that is a gradual improvement, and I think things should improve unless something happens on the monsoon. That's all.

 Abhijeet Kundu : And the aspiration is that you should grow during the year or the year or two in double digits in value -added hair oils.

Saugata Gupta : Always want to have aspir ations .

Moderator : Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Pawan Agrawal : To conclude, FY23 has bee n a year marked by a challenging operating environment. the improving trajectory of volume growth and profitability in the domestic business and the robust and rational business keep

s us fairly optimistic of a better FY 24 than FY 23 on both revenues and bottom line. The initial results of our diversification efforts in India and some of the overseas markets have been quite encouraging. We believe this sets us up for sustainable and profitable growth in the medium and long term and in turn create increme ntal value for all our stakeholders. If you have any further queries, please feel free to reach out to our IR team, and they'll be happy to address them. Thank you.

Moderator : Thank you. On behalf of Marico Limited, that concludes this conference. Thank yo u for joining us, and you may now disconnect your lines.

(This document ha s been edited to improve readability)

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Listing Department,
BSE Limited,
1st Floor, Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001
Scrip Code: 531642 The Manager,
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Exchange Plaza, C-1 Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400051
Scrip Symbol: MARICO

Sub.: Transcript of the earnings conference call

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, copy of transcript of the earnings conference call held on Friday, July 28, 2023 on the un-audited financial results and operations of the Company for the quarter ended June 30, 2023, is enclosed.

The said transcript is also available on the Company's website at https://marico.com/investorspdf/Marico_Limited_-_Q1FY24_Earnings_Call_Transcript.pdf .

This is for your information and records.

Thank you.

Yours faithfully,
For Marico Limited

Vinay M A
Company Secretary & Compliance Officer

Encl.: As above

Marico Limited
Q1FY24 Earnings Conference Call

July 28 , 2023

MANAGEMENT : MR. SAUGATA GUPTA – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER , MARICO LIMITED
MR. PAWAN AGRAWAL – CHIEF FINANCIAL OFFICER ,
MARICO LIMITED

 Moderator : Ladies and gentlemen , good day and welcome to Marico Limited Q1 FY24 Earnings Conference Call.

We have with us the Senior Management of Marico represented by Mr. Saugata Gupta - MD and CEO and Mr. Pa wan Agrawal - CFO. As a reminder, all participant lines will be in the listen - only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touch tone phone. Please note that this conference is being recorded.

Before we get started, I would like to remind you that the Q&A session is only for institutional investors and analysts and therefore if there is anybody else who is not an institutional investor or analyst but would like to ask question, please directly reach out to Mar ico's Investor Relations team.

I now hand the conference over to Mr. Saugata Gupta for his opening comments. Thank you and over to you, sir.

Saugata Gupta: Good evening to all those of you who have joined the call.

Let me start by giving a flavour of the operating environment during the quarter that has gone by, after which I shall touch upon ou r performance, followed by our strategy and outlook for the year ahead .

Volume growth for the FMCG sector was in the positive territory for the second consecutive quarter, led by steady growth in urban, however, evident green shoots in rural were not yet visible. Factors such as retail inflation dropping to sub -5% levels, late pickup in monsoons, hike in kharif crop MSPs and higher government spending continue to give hopes of a gradual recovery in rural sentiment, although, the extent of impact of spatial distribution of rainfall and erratic weather patterns on rural farm incomes may also have a bearing on sentiment in the near - term. However, so far at least South and West part of country, monsoons look good.

While companies are taking price cuts in reactio n to moderating commodity inflation, pricing growth has been tapering off sequentially, and therefore, growth in the coming quarters is likely to be led by volumes. Foods continue to lead the sector, while mass personal care categories continued to exhibit a strong linkage to rural growth.

Moving on to our performance in the quarter, domestic volumes grew 3%, which is lower than our expectations. However, it should be read in the context of a couple of one-off pertaining to

 channel inventory adjust ments Firstly, a sharp month on month fall in vegetable oil prices has led to trade significantly lowering inventory levels in Saffola Edible Oils, while we've taken multiple pricing cuts (amounting to ~30% YoY) to pass on the benefits to consumers. As a r esult, Saffola Edible Oils recovered partially on the low base of last year. Since offtakes have remained healthy and the worst of volatility is mostly likely over now, we expect growth in Saffola Edible Oils to be steady going ahead . Secondly, the final p hase of trade scheme rationalization, initiated in Q1FY22, to smoothen the skew that was historically prevailing in the first quarter revenues of the core domestic business. Now that we have evened out the trade schemes throughout the year, we believe this will hold us in good stead over the long term in terms of managing the

supply chain and BTL spends more efficiently. While volume growth in core categories of
Coconut Oil and Va

lue Added Hair Oils was subdued in Q1 by this one -off impact and muted
rural s entiment, we expect an uptick in both portfolios from Q2.
Now that one -offs are out of the way, we expect volume growth to resume an improving trajectory from Q2, as indicated by healthy offtakes and ~85% of our portfolio either gaining/sustaining market s hare and penetration, on MAT basis. Therefore, we do not expect any impact on the growth aspirations for the full -year as envisaged at the start of this fiscal and conveyed in the previous earnings call.
Coming to our newer categories, we have made a posi tive start in the course of achieving our diversification target for this year through Foods and Premium Personal Care portfolios cumulatively contributing ~20% to domestic revenues. In Foods, our scale -up continued with growth in the mid -twenties. Growth in the core Oats franchise has been supplemented by healthy traction in newer categories of Honey, Plant -based protein, Spreads and Munchiez. Consistent with the strategic approach of expanding our addressable market in value added foods and nutrition segm ents, we are excited by the addition of the clean, plant -based nutrition brand, 'Plix', in our portfolio. Plix is committed to the mission of 'Making Nutrition Fun' and fuelling the habit of incorporating clean, plant -based superfoods as a part of a health y and active lifestyle. Plix's portfolio consists of products which are non -GMO, vegan, gluten -free, cruelty -free, and uses reusable and recyclable packaging. The brand has built an impressive franchise by upholding evolving consumer needs and sound busine ss fundamentals and is now clocking ARR of ~Rs. 150 cr+ with very low cash burn. It is evident that we are a strategic investor of choice for founders who believe in growing sustainably with a watchful eye on profitability.
Alongside the Foods portfolio, the composite Premium Personal Care portfolio, comprising Livon Serums, Set Wet Male Grooming and Digital -First brands, has delivered a steady

 performance as well. We expect this portfolio to contribute to ~10% of domestic revenues in
FY24.
As specific Fo ods and Digital -first franchises attain scale, we are also charting a path towards making significant improvements in profitability and significantly reducing cash burn rates in our Digital business.
Moving on to the International business, which has been remarkably resilient despite varying degrees of uncertainty in the operating environment. Bangladesh extended its steady run with core portfolios performing healthily and newer portfolios scaling up w ell. Vietnam faced some consumption headwinds; however, the underlying business remains strong. MENA, South Africa and NCD business have been quite consistent over the last couple of years and we will continue to invest for growth in these businesses. The overall business is poised to deliver double digit constant currency growth in FY24.
For the consolidated business, revenue growth in Q1 was significantly weakened by pricing interventions in core domestic portfolios and currency headwinds in few overseas geographies. We believe pricing deflation in the domestic portfolio has bottomed out and will now start tapering off. Therefore, we expect revenue growth to move into positive territory in the second half of the year.
On the profitability front, gross margin and operating margins in Q1 expanded ahead of internal expectations, owing to incrementally softer input costs, while we maintained investments towards strategic brand building of core and new businesses. While we w ill continue to invest in A&P and maintain our share of voice ahead of share of market, we expe

ct operating margins
to expand to 20%+ levels in FY24, higher than envisaged earlier.
To sum up, despite a slower than expected start, we are confident of deliv ering an improving trajectory in topline and earnings growth through the course of this year.
Last but not least, we have always viewed our entire business operations through the lens of sustainability and our Sustainability 2.0 framework has been seeing e ncouraging progress across each of the eight broad themes. We have detailed the same in our FY23 Integrated Annual Report, which was released on our website two weeks ago, and hope it will make for a good reading. We firmly believe 'Creating shared value f or all' will aid us in driving sustainable, all -round and superior growth in the longer term.

Regd. Off: 7th F loor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098.
CIN: L15140MH1988PLC049208. Email: investor@marico.com

 With that, I will close my comments. Thank you for your patient listening and I'll be most happy
to take all your questions.
Moderator: Thank you very much. We wi ll now begin the question -and-answer session . First question is from the line of Abneesh Roy from N uvama Institutional Equities. Please go ahead.
Abneesh Roy: Thanks. M y first question is on yesterday's acquisition. So , in terms of the business 'Plix' , what is the right to win? I see a very sharp scale up from Rs. 40 crores in FY22 to broadly Rs. 106 crores in FY23 and now ARR of Rs. 1.5 billion and in this kind of format there are lot of other players. I f you could also talk about the distribution in terms of physical and online ? And is there any kind of synergy benefits you see from your other digital business or say other acquisitions you have done in the last 6-7 years ?
Saugata Gupta: First of all, Plix is largely online and therefore obviously one of the things that they need to do is expand . We firmly believe that any digital brand needs to get to a critical mass in the E -Com and their own D2C space of hitting at least Rs. 80 crores to Rs. 100 crores and a certain level of set of consumers and level of saliency awareness before it go es into omnichannel. I think while the current run rate of 150 crore is very encouraging and I think it is right scale for going to Omnichannel, I think there's still a tremendous potential to max out in online . I believe , Plix has the right to win and if you really consider one of the things we look at when we are doing acquisitions in the digital businesses is brands which are sharply differentiated. For example, if you know Beardo , Beardo is a Harley -Davidson of male grooming and even after three year s post our taking over, I think the brand continues to perform well. We look for founders who have a significant urge to build -to-last as opposed to just building -to-sell, and therefore we also look at commercial savviness of the founders. We look at good unit economics because if the unit economics is not good for any digital brand , it will never make profit , whatsoever category you scale up in. And so , the fundamental things are very important like whether you have a core set of SKUs , what is the repeat rate. So, we have now a set up what you call a digital qu otient of what we do to evaluate brands . And I think our success rate, our hit rate in meeting acquisition assumption is pretty high .
Now coming to synergies , I think the one with the synergy potential could be distribution. The second is as we now have a boutique of 4-5 digital brands, there are a lot of opportunities for cost synergies at the back end, which the process we have just about started. So, in a nutshell, I think quality of promoters, quality of the brand equity, how consumers love them are our core principles . For example, we look at the ratings in

Amazon and Flipkart for a brand, whether
there is significant repeat rates , has the brand started making money . To give you an example , in both say male grooming or you know Plix compared to some other brands, the burn rate is

Regd. Off: 7th F loor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098.
CIN: L15140MH1988PLC049208. Email: investor@marico.com

Marico Information classification: Official much lower. And therefore, I think these are the kind of things we look at and we are pretty
confident, I think Beardo is a perfect example. I see Plix as a huge mirror to what Beardo has done. And if we look at it, even in a so -called slightly tougher circumstances for e -commerce or digital brand s, this brand continues to grow. In fact, it ended at Rs. 104 crore and is a hit. I mean, a current run rate of 150 crore and the quality of the business is good. And it's not about short - term tactical sale .
Abneesh Roy: One follow up there. So, the scale up has been good and I don't think the number of years of this business has also been very long. So, wanted to underst and in terms of R&D or patent or those kinds of right to win , could you talk about that because this is this is a very exciting field, but I'm sure a lot of other people are also trying similar kind of stuff. So, what is the reason for the scale up and is there a n R&D angle to that ?
Saugata Gupta: Obviously the product delivers. While I'm not going to elaborate, I think any acquisition we do, we do a complete due diligence , look at strengths. And as I said, that ultimately in any business,

whether it's d igital, brick and mortar, the first thing you need is a product that delivers, you need a pricing , and in terms of classical marketing that is value seeking. You need a certain ability to innovate consumer understanding. I think they know how to operate th e marketing funnel. So, I think and as I said, it's not only about the efficacy of products, it is also about looking at the future pipeline, the ability to develop these products and I think also we look at the background of the founders , in terms of thei r perspective on technology, product development and the fact that we are pretty excited by the team which is there and I think in any category, I think there would be competition. I think Nutraceutical Wellness is an exciting category. The question is can you create a scale and a profitable path to market which creates a moat and there is always one number one and one fast follower in any category which survive over longer time period .

Abneesh Roy: One last follow up on this question. Last few years you have done multiple D2C acquisition and you have given lot of freedom at the local level which is I think obviously required given the extremely different kind of business and very different kind of scale also. So , wanted to understand on the earlier acquisition, how much of the Marico template has been put in place in terms of systems and processes or still those things haven't been done because still you want to keep that culture to remain intact.

Saugata Gupta: So, if you see one of the biggest things about Marico, which h as been perhaps , Marico has been successful by punching above its weight, and we believe that we want to be s caled insurgents and operate with owner ’s mindset and that is the empowerment which w e give, which is an inherent part of Marico culture which attracts a lot of founders to us because that has become a

 template for us becoming a strategic investor of choice where we partnered them into achieving
their dreams and aspi

rations and a scalable profitable growth model.

Now ther e are four things which are non -negotiable. First, obviously portfolio and then comes capital allocation, your entire compliance quality, and the manufacturing practice s. We are trying to build a process where we also do a lot of cross learning. I think what we have not yet done is, use 1-P data or first party data across all the four businesses and starting cross -selling. That is something which would lead to huge synergies, but I think we have started the process of cost management and we have created a nano facility in one of our plants to actually start insourcing, which will also give possible potential margin benefit. So , I think the process has started. It's a fine balanc e. But we don't want to completely run it like the core, because the right to win in a core and the right to win in digital businesses are completely different. Having said that, once they cross Rs. 150 crore and Beardo has already started the process , they ar e experimenting with Omnichannel and brick -and-mortar where having Marico ’s help is a definitive source of competitive advantage.

Abneesh Roy: Sir, that's useful. My second and last question is on your 20% Foods and Premium Personal Care , which has doubled in essentially 3 years. So, here my question is in terms of gross and EBITDA margin of this part of the 20%, how does it compare with gross and EBI TDA margin of the legacy India business? And between the two, if you could give us some color, I'm not asking for an exact number but a sense on which one is better and w hich one is still work in progress?

Saugata Gupta: So, I mean, Premium Personal Care obviously is a high margin business but it also needs high A&P as well . In the case of Foods there is slightly lower margin but also low A&P. We are cognizant of the fact that the blended margin of Premium Personal Care and Foods should be equal to the gross margin of the remaining core portfolio, which is a legacy portfolio and that process is being significantly focused on so that this happens within the next 12 to 18 months.

Pawan Agrawal: And if I may just add, Abneesh, curren tly at a weighted average level gross margins are definitely better than the overall portfolio. Now to talk about operating margins , currently many of these businesses will be in investment phase. Therefore , this may not be the right time. So, once some of the some of the businesses get a scale of Rs. 150 crores to Rs. 200 crores, it starts making money . So, as and when these businesses cross those scale, that will be the right time to look at the operating margin. But having said that, we are e xtremely focused in terms of driving the right gross margin for the portfolio. And weighted average gross margin portfolio of these businesses put together is definitely better than the existing portfolio.

Regd. Off: 7th F loor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098.
CIN: L15140MH1988PLC049208. Email: investor@marico.com

 Moderator: Thank you. The next question is from t he line of Percy Panthaki from I IFL. Please go ahead.

Percy Panthaki: My first question is on margin. So, you mentioned that this year you will do about a 20% kind of margin. If I look at your margins historically, this is probably the highest or close to the highest margin that you would be clocking as a company. So, what I wanted to ask is on a medium -term basis , on a two-to-four-year kind of a basis , do you see your margin s tabilizing at this 20% or do you still see over that time horizon expansion in the overall company level margin at a consolidated level?

Saugata Gupta: So, I think there are two things. One is, as I said, you are absolutely right, so we are pretty confiden t that we should be able to cross the

20% mark in margins this year. Now, unless there is significantly black swan inflation that hits in simultaneously on copra, crude and everything in one particular year, I think it will start improving because there ar e multiple parts to i t. One, I think in food s, for example, as we scale up, we'll be significantly starting the margin improvement program on Foods because we are very mindful that while we grow foods, we shouldn't get our eyes off the margins story. The second thing we are lookin g at is also I think we haven't done well in the premium ization till now to be very honest and we are finally getting our acts right and therefore we are going to improve on this . Number three, I think if you look at some part of the international business , obviously Bangladesh is doing well. I think secondly, in Vietnam also we have now replicated some of the Bangladesh journey and we are now replicat ing it in Middle East, North Africa . In MENA, since we didn't have scale till now, we didn't have margins, but there are players who make 20% + margins. In fact, some of the market leaders in that market make 30% margins, so that's another potential driver . So, I would say margins is likely to creep up. However, in a year where there is a black swan where you have a 30%-40% increase in copra and crude hits $100/bbl, there would be some pressures . But on a medium -term basis , we will see the margin creeping up . The other thing, which is there, this particularly happened in the last few quar ters is that we haven't got the operating margin leverage because of deflation leading to lower revenues .

Also, I hope that by second -half the anniversa rization of deflation of Bangladesh currency which is leading to translation hits in both our both top line and bottom line, that will also start neutralizing because as you know the Bangladesh contributes to a significant portion of top line and bottom line in our mix and had a significant depreciation starting from Q1, but now it's settling down. So, by Q3, that effect will start neutralizing. So, overall, I think subject to no black swan, to answer your question, yes , it will not. There will be a steady increase, but don't expect any hockey stick from here.

Regd. Off: 7th F loor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098.
CIN: L15140MH1988PLC049208. Email: investor@marico.com

Marico Information classification: Official Percy Panthaki: Yes, sure. Just a sub question on that. While you are going to make attempts to improve the food margins, I'm sure for the foreseeable future they will , at the EBITDA level , be below the company average. So, therefore, and this is a faster growing segment. So, even if the margi n improves hypothetically, let's say from a 3% to a 10%, but a 10% on a significantly higher base because it's a faster growing business , does that put a drag on your overall company margins ?

Saugata Gupta: No. So, that's why I talked about the PPC or the Premium Personal Care , which is serums plus male grooming plus skin care and digital. Now they have the potential for higher EBIT DA. Number two in Foods , at least in Oats we have proven that we can deliver a kind of a core margin in EBITDA terms in Oats. See in foods, I think the ask is to how do I start hitting Rs. 150 crores to Rs. 200 crore s in each category. So, the focus from now on in food s is instead of launching 10 thing s, and maybe we'll launch one or two things, is that how do I start doing two things . One is focusing on s cale. For example , soya, honey, munchies , can we get scale . Because foods the margin really g rows with scale. The second thing which we have started which we have not done is, right now you have individual set of advertising - Saffola o il advertises , Saffola oats advertises , Saffola Munchies advertises, Saffola honey adve

rtisers, very soon , in fact, in over
the next couple of week s, you will notice the first signs of what I call a Saffola master brand advertising which will also give you efficiencies in A&P rather than the fragmented A&P which you are currently seeing in Foods.

Percy Panthaki: My second question is on VAHO . So, when fourth quarter results came out, you were very confident that this business is now on track for , if not a double digit, at least a high single digit kind of a growth . However, this quarter VAHO is roughly flat. That so just wanted to understand the apart from the pipeline issues that you mentioned, I mean does that explain that entire differential between a zero and a high single digit or is there some other reason for this?

Saugata Gupta: There are two things and just not pipeline. Pipeline has contributed some part of it. And in the second part what has happened is that we continue to see high intensity at the bottom of pyramid and this is one interesting phenomenon we're observing. Obviously , while the food infla tion is slightly softening and overall inflation is softening , there is a tendency towards focus on consumers buying LUPs and price point packs and therefore competitive intensity at bottom of pyramid, which has again s ubtly increased . Having said that, ag ain, I believe that Q2 onward you will see reasonable improvement as far as the VAHO numbers is concerned and the second half will go back to what we had talked about.

Percy Panthaki: Right. Just wondering here , just thinking aloud , historically, we haven't seen consumer trends being so fickle that they change in one quarter and then suddenly revert back in the second

 quarter. So, what gives you confidence that whatever weakness you're seeing now will sort of
reverse very soon?

Saugat a Gupta: I think it's not the weakness in the sentiment s. If you look at the category growth levels, in fact it has improved. So , if you ask me, Q4 plus Q1 which is Jan-June and then compared with say July-December of last year , there is a sequential growt h. There is a n offtake growth, there is a market share gain and therefore if you look at Jan-Jun together on VAHO , I think the story is better and I don't think any consumer sentiment di p has happened drastically , so on offtake terms in terms of Jan -March versus April -June, there has been no significant difference.

Moderator: Thank you. The next question is from the line of Vivek M aheshwari from Jefferies. Please go ahead.

Vivek M aheshwari : A couple of questions. We know the primary growth , because of this channel issue and the measures that you have taken on the trade scheme rationalization, what would be the secondary roughly speaking?

Saugata Gupta: A couple of percent. I don't want to get into specific s and as I said that is not an excuse for why we have done three , okay, s o I thin k it will be a couple of percentage points there.

Vivek Maheshwari : And that will be primarily in case of parachute and VAHO?

Saugata Gupta: And it's only in parachute and VAHO , that's right.

Vivek M aheshwari : Okay , got it.

Saugata Gupta: See, I will tell you o ne thing , so that you have a perspective that if you look at historically long ago Q1 was 31 %, we have got it down to 27 %. We want to take it down to 25 %. So, that should explain the thing.

Vivek M aheshwari : So, that also means because there is a destocking in this quarter. So, this should unwind and as trade promotions get streamlined , automatically the revenues should also pick up in the next, let's say quarter ?

Saugata Gupta: No, but I thi nk it is also a good opportunity . Ultimately , it'

s about offtake. Number two, as I said
that we want to mirror offtake and then also offtakes to be smooth along with smoothing of all the secondary and primary. So , I don't want to get into primary , secondary and offtake , but all I can assure you is that I think given whatever trend s we see that this quarter onwards, it will start

 improving again. But you know, it's very difficult to get into that. Just because secon dary was higher than primary last quarter, I will want to do that much because see we have to look at something which ensures offtake and penetration and market share protection. So, I think primary is just a derived thing. So, I don't want to get into looking at primary and secondary. But all I can assure you is that the numbers that will come from both parachute and VAHO w ill be certainly better than what it is there in Q1 as the overall volume growth will keep on increasing as we go from Q2 to Q4.

Vivek Maheshwari : Got it. And just a follow up, Saugata. And again , these are dipstick surveys , so may not be exactly accurate . But my understanding is that Marico at least in the last few years that I have seen, your trade inventories are quite at an optimum level , which always can get better for sure . But unlike some of the other companies who actually play with inventory a bit here and there, in that context, you know, I would have imagined that, you know, there is no big opportunity to kind of strea mline the trade inventor y, correct me if that understanding is incorrect.

Saugata Gupta: So, I think we obviously go into what I call a pull-based system, which we do for our management. Having said that, you must be cognizant of one thing which is you know, especially urban distributors, when you have a lot of Saffola in ventory especially in this quarter where there was a 30% reduction in prices , obviously their revenue would have got impacted , okay. So, that leads to that and so therefore we have to be mindful of our partner 's profitability and other things.

Vivek M aheshwari : Got it. The next question is on both, you know specifically on Parachute and Saffola with whatever deflation that we have seen and are seeing, how do you see competition particularly from let's say regional lo ose in case of Parachute and somewhat similar to you know a bit organized in case of Saffola edible oils ?

Saugata Gupta: In the case of Parachute, what happened in Q1 is obviously there was a little bit of deflation. Fortunately, we believe that deflation is now settled in and there could be a sideways movement of copra into little more positive territory as we move i nto August, September, October. So, therefore , I think that the issue that was there in terms of slight volume that should be taken care of. The other thing which we are doing is, as I said that we want to invest money to ensure demand generation , so we ar e aggressively investing money behind demand generation. Going forward, y ou will see that even Q2 onwards , there will be A &P increases while we deliver our margins of 20% plus. We will not deliver margins by having to cut down Y-o-Y on A &P spends . So, I think that is what we are doing that we are putting things in place for demand generation and micro marketing so that Parachute is back on growth and whatever value we can give to the consumers will do it, may not be pricing but through other tactica l means as well .

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 Coming to Saffola , the offtakes are good. It was just that there has been a significant down stocking. We have to get into a position where there is a steadiness or less volatility in the pricing because people observe the trend and they d on't stock ultimately . Now coming to offtakes a nd market share, I think the current pricing of Saffola with the price premium is more or less right at present . So, I don't think there is that problem in Saffola in terms of competitive scenario. The problem is more of an STR thing and that we need a slightly more steady and less volatile raw material . And it normally doesn’t happen that suppose I'll lose STR I will again suddenly get back the STR until the volati lity completely seizes and people see steady things, and it's unlikely to happen currently because you know there are too many macro factors in the world - global political scene that impac ts oil sometimes , but we believe at least the deflation thing which kept on happening from the peak , 30% levels, that will now keep on slowing down as we enter consecutive quarter s.

Vivek M aheshwari : And last question if I may , Saugata, on the gross margin. So, there is a smart recovery in this quarter, you are still , at an overall level, below historic peaks. Where do you think the rest of the year gross margins will be , do we see stability in gross margins or there is still leg up over here on this line?

Pawan Agrawal : So, this quarter we have expanded the gross margins about 450 basis points, 450 to 5 00 basis points. So, going ahead , you know margins will not be as high as this one, but we still believe that at a full year level, it will be in the r ange of 300 to 400 basis points . And of course , a lot of it will also get ploughed back into investment behind b rand building. And therefore, at an operating margin level, what we are saying is that minimum we will deliver 20% plus.

Vivek M aheshwari : Right. But, Pa wan, just a follow -up, this quarter is 23% plus on EBITDA margin. So, even if I were to take the same flattish number and the revenue line is now more streamlined, does that mean what essentially, you're saying is the A&P spends can actually go quite a bit because you

know t here's a step up in staff cost in this quarter. So, even if I assume the same run rate at least in my model at least I get a number which is closer to 21% on EBITDA margins and not 20 %?
Pawa n Agrawal: Vivek, w e also have to appreciate that margin of 23.2% is also because of the denominator effect, right . Because the revenues have not grown, it is in fact degrown by 3% . And as we move ahead in quarter two, we expect that it should move to largely flattish trajectory and from H2 onwards it shou ld move into positive trajectory. So, that denominator effect will go away #1. #2, also, as I said, on overall gross margin expansion , we still expect that 300 to 400 basis points will be there. And yes, you are right, a large part of that expansion as I said, the A&P expenditure could be high in double digits and therefore operating margin I think 20 % plus. Now 20% is the bare minimum that we are saying. There is also a possibility we might deliver slightly more than that .

 Moderator: Thank you. The next question is from the line of Hasmu kh from SUD Life . Please go ahead.
Hasmukh: So, my question on margin has been answered. I have second question on your Foods and Premium Personal Care portfolio. So, that has come to now almost 20% of your domestic revenue. So , if I take, let's say three years sort of a view , what's our internal target for this as a percentage of overall domestic revenue here?
Sauga

ta Gupta: No, I think we don't have any further target. I think we should ensure that obv iously this part of the portfolio will be a growth portfolio. Having said that , we are looking at how do you grow this portfolio profitably . So, foods gross margin needs to increase and we'll also focus on the digital brand s. In fact, compared to , as I already said , that if you look at Plix with s ome other similar brand in that space , you look at Beardo versus some similar brand in this space , our burn rates are far lower, but at the end of the day, how do you get them into profitability space very quickly . So, it's a combination of A & B and therefore I would not just grow, I need to first get the profitability right and then grow.
Moderator: Thank you. The next question is from the line of Latika Chopra from JP Morgan. Please go ahead.
Latika Chopra: Hi Saugata and Pa wan. My first question is on pricing. Clearly on Saffola edible oi l, there is a fair bit of volatility and we recently saw firming up of palm oil prices. Do you see that pricing for Saffola needs to be taken up if this firmness sustains and how soon that can happen ? What is the implication of revenue growth in the second half? I heard Pa wan saying that Q2 could be flattish, but as you move into second half, does price inflation completely goes away in your own assessment?
Saugata Gupta: So, Latika, it is very difficult , there has been a very mild increase in our set of edible oils which we use , in the last week actually . Now it's very difficult to say. All I can say is that this quarter , we are a 30% deflation. The deflation numbers will keep on decreasing and in the second half there will be n o deflation. As we exit , we might move into slight inflation and therefore revenue growth will be volume growth or volume growth plus. We are also indicating that the volume growth , while we started with the three, it will be more as we move into the Q2 and second half , but it is very difficult to fathom whether Saffola inflation will happen or no and right now everything is modeled on the current pricing of Saffola .
Latika Chopra: So, with current pricing of the Saffola , you f eel the overall revenue growth should run positive in second half, will probably have flattish to marginal positive pricing, is that correct ?

 Saugata Gupta: Yes, that's right.
Latika Chopra: The second thing which was your comments on gross margins like you know, I heard Pa wan mention ing 300 to 400 basis point expansion for full year, I think last time you were talking about 250 to 300. And I think the question was same , you had a 500-basis point expansion in Q1 and for full year you are talking about 250 to 300 basis point s which should be now more like 300 to 400. And is it on account of the denominator catching up and probably some bit of mix effect as inflation comes back?

Pawan Agrawal: At a full year , you can consider that number about 3 00 to 350 basis points and not really for the rest of the year . Full year , you can consider 3 00 to 350 basis points. And more importantly I mean there will be multiple levels which will keep on playing o ut during there, right . There are forecast s. It's very difficult to have a right forecast, even the best of the international agencies has not been able to get the right forecast for edible oil . So, there are a lot of multiple things that will play out, but what we believe is that somewhere between 300 to 400 basis points could be gross margin expan sion. And if we get that expansion, we will continue to invest because we have a lot of new agenda that we have created and would definitely want

to fund them. However,
what is more important is that an operating margin level is 20% plus.
Latika Chopra: And the last question was on the modern trade contribution for VAHO and Parachute, if you could share that , any rough sense there . And are you seeing the salience of private labels in modern trade channel increasing in the coconut oil space? Any comments here?
Saugata Gupta: I think we will not be able to share channel wise contribution for brands, but all I c an say is that if you ask me whether the market share of Parachute is lower in modern trade, the answer is no.
Moderator: Thank you. The next question is from the line of Arnab Mitra from Goldman Sachs. Please go ahead.
Arnab Mitra: My first question was actually on the acquisition again. So, the difference I see with your past acquisitions in the recent past is that this seems to already be at a reasonably larger scale of Rs. 150 crore ARR . And on account of product segment, they are in the business of plant -based protein , at what growth rate can this gr ow from a base which is already Rs. 150 crores because it seems a pretty large number for these kinds of brands to achieve. And does it mean that being plant -based it's going to be a bit of a niche within the protein and nutraceutical market or it's not necessary that these products will be a niche and the pricing could be competitive even though it's plant -based positioning?
 Saugata Gupta: So, the way we see i t is that if you look at India, even plant protein is going to be a big driver of
growth and as opposed to the entry point in the Western markets where a lot of plant protein has started off with mock meat and other things , here it is a plant protein nutra ceutical or plant protein in the f orm of soya which we are already doing in Foods. Now coming to any nutraceutical , there are four or five drivers of growth. So, there is heart health, there is weight management, there is diabetes or sugar management, there is gut health and lastly bone health. So, these are the five platforms where a Wellness or a Nutraceutical brand works. Along with nutraceuticals, interestingly Plix also has a little bit of personal care and s kin foo d. So, what we looked at is that in all these platforms and that is how global nutraceutical brands operate, that can my proposition ultimately extend across all five. And we believe that will happen and at the end of the day there are some famous big startup brands that start with something and then you can always move to adjacencies, isn't it?
Like Beardo, beard oil is still 40%, but it's okay . I mean the end of the day we can move to adjacency. You start with something and then it stands for. For example, it stands for ‘nutrition with fun ’ and ‘cool nutrition ’ and maybe it can be extended.
Arnab Mitra: Understoo d. And a related question was , not asking exact number but approximately if you could share the range of gross margins that this category or this brand has and is the Rs. 150 crore turnover fragmented across a large number of SKUs or you see certain SKU becoming sizable within this Rs. 150 crore turnover that they currently have?
Saugata Gupta: I alluded to one of the things we look at for any good acquisition is scalab ility. Does the brand have a couple of hero SKUs with high repeat rate, a loyal set of consumers with a very high Amazon rating because it establishes the foundation of growth . A lot of startup brands launched 50 things and start to show growth. I think Plix is different in that respect . There are a coup le of SKUs which contribute to a significant portion of Plix. The gross margin s are high. I can also tell you t

hat not many food categories can have a digital model because digital model unit economics requires a certain set of ACOS . This brand can afford to have a digital model, which is profitable because the gross margin is high. In fact, if you look at food, very few food categories can have a standalone digital model, because food categories usually have lower gross margin.
Arnab Mitra: Understood. Thanks for that. And my second question was you've given this Rs. 400 crore

turnov er which is the combination of some of your older brands like Livon and Set Wet and new-age physical brand s. Now my understanding is that the older brands which came from the Paras portfolio were probably not growing very well leading into COVID in the previous 4-5 years while the digital brand of course grew very fast in the post COVID period. So, how do you

 look at the growth of this overall Rs. 400 core portfolios , especially in the environment that this year we hear tha t Internet ecommerce growth is slowing down in Personal Care ? And how do you think of the legacy and the older bran ds like Livon and Set Wet also contributing from here on?

Saugata Gupta: So, the way we look at it, I don't want to get into detail on this o ne, but the fact is that the newer part of the portfolio, which is Premium Personal Care , Foods, Digital brands, we would like it to grow by 15 % to 20% every year from a medium -term basis.

Pawan Agrawal: And just one clarification, Arnab. T his Rs. 400 crores portfolio does not include the Paras portfolio. It is basically the digital brand of Beardo plus Just Herbs plus our own in -house digital brand.

Arnab Mitra: So, you're saying it does not include L ivon and Set Wet ?

Pawan Agrawal : Yes. However, when we are saying that our contribution from the Premium Personal Care and Foods will become 20% by end of FY24, that definitely includes the Paras portfolio as well.

Moderator: Thank you. The next question is on the line of She ela Rathi from Morgan Stanley. Please go ahead.

Sheela Rathi: I just had one question and more on the medium term , I would say . Saugata, the question is, from your lens, what is the current positioning of the Saffola brand in the minds of the consumer . And I'll tell you why I asked this question is basically company has embarked on this diversification strategy in the last few years. So, is there a thought here that over a period of time we could be thinking about reducing our exposure to edible oil because it kind of adds to the volatility in the business. So, I just wanted to hear your thoughts on that.

Saugata Gupta: You're absolutely correct. I think my dream is that in another 3 -4 years from now, our Foods becom es higher than edible oil in the portfolio, because that way we will derisk this commodity and one of the things we internally track is how much over the next five years, we'll continue to do a commodity derisk ing on our portfolio. So, at the end of the da y, ultimately, sadly enough oil and water doesn't mix, and Personal Care is far less volatile to your commodity. RM percentage as a percentage of net realization needs to continue to decrease and that is something we track over the next five years.

Now com ing to Saffola specifically , suppose if you look at the history of S affola, it was completely anchored on heart health. If you look at the 1994 advertising, it was on fear. So, it

 was for the sufferer and so it was curative. It went into preventive and now I think Saffola stands for a 'way of healthy life ' and ultimately food gives us taste values as well. I think one of the things we are trying to do is besides expanding the total addressable market , ensure that how does Saffola brand goes from a sufferer to somebody wishes to adopt healthy way of life. You know, it's like taking anything which is better for you. So, Saffola will enter categories with an option which is better for you and that's how the br and will keep on growing. Having said that, obviously the core brand which is the Saffola oil where heart equity is too strong and we will not completely, obviously vacat e the heart equity. What we're saying is it is for a healthier heart and as opposed to somebody with already a heart problem.

Sheela Rathi: And so we will continue to have this brand, but the ende avor would be to continuously increase the exposure towards o ther food businesses .

Saugata Gupta: Yes. And therefore, the brand becomes from denial to happiness from having far more food values moving from individual sufferer to family , I don't think it still will encompass kids, but I think that's the next step. Bu t I think it is more of saying that you eat what you want to eat but

eat healthily and therefore Saffola gives you options whether it's breakfast , snacking , in between meals or meal substitute.
Sheela Rathi: And just one more bit on this , how is it position ed in the minds of the consumer? So, today, when a consumer buys Saffola Oats, is this because they know that Saffola edible oil is a healthy oil and that's why they are buying the Oats product since it comes from the same brand. Is ther e that salience which is still there in the minds of the consumer ?
Saugata Gupta: See, very interestingly the amount of number of households who buy Oats are higher than number of households who buy oil because Oats is at a price point of Rs. 17 . Now I think obviously the primary driver for the consumer to buy a Saffola continues to be health. It is no longer just heart health; it's health and the taste is the discovery. And therefore, if you look at the ragi chips for example, and as we are investi ng in millet in a big way and going forward, you will see some of the things which we are doing on millets. One of the learnings in 2010 or 2011 when we prototyped a snack and it bombed. And one of the learning is that Indian consumers will never at all co mpromise taste for health and therefore all the products which we design for Saffola, first we ensure that it beats its parity on the taste benchmark . Health anyway is presold as far as Saffola is concerned, so taste is actually a discover y and a surprise benefit which we want to drive.
Moderator: Thank you. The next question is from the line of Suresh Pardeshi from Centrum Broking. Please go ahead.

Regd. Off: 7th F loor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098.
CIN: L15140MH1988PLC049208. Email: investor@marico.com

 Suresh Pardeshi: I'm on Slide #7 and I'm just reading the numbers where you have given PCN O number, which is (2%) volume and (5%) value growth . And VAHO is flat in terms of value. Just more curious if I track the journey of last eight quarters, about eight quarters before there was down trading and VAHO was doing significantly well, you alluded that now the entry point VAHO has seen a lot of competition . In terms of consumer behavior , I just wanted to understand, I'm not looking at the primary number, but on ground. Is the consumer shift primarily affected in the mass end of the product because of food inflation or there is something more to it and that's w hy even VAHO is not showing. And the latter question on that, how the category has evolved or declined ov

er value v olume over last say 4 -5 quarte rs?
Saugata Gupta: So, let me just address it in two parts. So, if you look at the last and I'm alluding to the last 5 -6 quarters. What has happened is in the case of value -added hair oil, it somewhere mirrors some of the mass personal categories where there is significant amount of rural consumption and agnostic consumption in terms of quantity across different LSM classes. So, whenever there is inflation, so compared to your premium skin care and other parts of the Personal C are portfolio VAHO or soaps and other s, these kinds of categories will get impacted far more . Or what we have seen actually if you look at the start, there has been downgra dation . In addition to that what happened is that there has been significant intensi ty in the bottom of pyramid. Now, even if the organized players which are not participating intensively, I mean in the sense that one change that happened, which we noticed from Q4 as some of the organized players in VAHO started raising prices. The trade intensity earlier was below the line and the pricing got transferred into below the line spends. Secondly, some of the smaller players are also therefore aggressive. So , what has essentially happened is the consumption, while it has grown in volume t erm, there has been a kind of a slight value degradation that has happened. Having said that, I think that's why I said that our task is to , and we are already seeing that in terms of the fact that in the last eight quarters, every quarter we have got value growth and we are now focusing on value market share. We have started getting value growth and as I said, still there's a journey in terms of doing a better job in the premi um part of the portfolio. Now the premium part of the portfolio is now started just about growing. We believe in the last one or two months we 've seen that growth.
Suresh Pardeshi: Second question on the related PCN O? Have we dropped or taken any pricing a ction in this quarter or and now you're forced to take some action?
Saugata Gupta: No, I don't think so. Having said that, as I said that we saw a slight deflation that happened in Q1. But we didn't take pricing action. That is perhaps one of the reasons, but the reason we don't want to take pricing action, we expected the thing to reverse which has reverse d because taking frequent pricing action upset s the rhythm of the sale , so we actually weathered it out this quarter

Regd. Off: 7th F loor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098.
CIN: L15140MH1988PLC049208. Email: investor@marico.com

 and we expect now things to be okay a nd now pricing to be okay . Because what we didn't want
is take a pricing action, as I told you last time in the call that given that PCN O has high STRs
and a very widely distrib ution, it takes around 6 to 8 weeks for the pricing to realize. And then
we shouldn't be underpriced in the market losing out on the margin and volume s in the first
quarter . So, I think we have taken that kind of a stance where we wanted to wait because th is
frequent price up and price down actually is not good for the brand and for our rhythm of sales.
Moderator: Thank you. Ladies and gentlemen, we'll take the last question from the line of Latika Chopra
from JP Morgan. Please go ahead.
Latika Chopra: My q uestion was on overseas margin s, the margins are 29% + this quarter. What drove this? And
do you think these will be sustainable?
Pawan Agrawal : This is largely driven by again copra gains in Bangladesh and going ahead should be at the levels
of 25-26%.
Moderator: Thank you. Ladies and gentlemen, that would be our last question for today. I now hand the
conference back to the management for their closing remarks. Thank you and over to you.
Pawan Agrawal: T

o conclude, we had a slow start to FY24 on the top line front due to one-offs in the domestic
business, but we draw confidence from underlying indicators of a pickup in domestic volume
growth followed by tapering off in pricing deflation from here on. The international business
has been resilient and we e xpect to sustain its healthy growth momentum. Given the commodity
input cost environment, we will continue to aggressively invest to drive an improving trajectory
of growth in the core and newer portfolio. That being said, we should be able to deliver heal thy
margin on a year-on-year basis through the year. To sum up , the full year earnings growth
prospects as envisaged at the start of the year remain firmly intact. If you have any further
queries, please feel free to reach out to our IR team and they'll be happy to address. Thank you
and have a great evening.
Moderator: Thank you very much. Ladies and gentlemen, on behalf of Mari co Limited that concludes this
conference. Thank you all for joining us and you may now disconnect your lines.

(This document has been edited to improve readability)

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The Secretary,
Listing Department,
BSE Limited,
1st Floor, Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001
Scrip Code: 531642 The Manager,
Listing Department,
The National Stock Exchange of India Limited,
Exchange Plaza, C-1 Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400051
Scrip Symbol: MARICO

Sub.: Transcript of the earnings conference call

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, copy of transcript of the earnings conference call held on Monday, October 30, 2023 on the un-audited financial results and operations of the Company for the quarter and half year ended September 30, 2023, is enclosed.

The said transcript is also available on the Company's website at https://marico.com/investorspdf/Marico_Limited_-_Q2FY24_Earnings_Call_Transcript.pdf .

This is for your information and records.

Thank you.

Yours faithfully,
For Marico Limited

Vinay M A
Company Secretary & Compliance Officer

Encl.: As above

Marico Limited
Q2FY24 Earnings Conference Call

October 30, 2023

MANAGEMENT : MR. SAUGATA GUPTA – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER , MARICO LIMITED
MR. PAWAN AGRAWAL – CHIEF FINANCIAL OFFICER ,
MARICO LIMITED

 Moderator : Ladies and gentlemen, good day and welcome to Marico Limited Q 2 FY24 Earnings Conference Call.

We have with us the Senior Management of Marico represented by Mr. Saugata Gupta - MD and CEO and Mr. Pawan Agrawal - CFO.

As a reminder, all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference i s being recorded.

Before we get started, I would like to remind you that the Q&A session is only for institutional investors and analysts , and therefore , if there is anybody else who is not an institutional investor or analyst but would like to ask question s, please directly reach out to Marico's Investor Relations team.

I now hand the conference over to Mr. Saugata Gupta for his opening comments. Thank you and over to you, sir.

Saugata Gupta: Hi, everyone . Good evening to all those who have joined the call , and please accept my greetings for the festive season ahead .

I would like to begin by reflecting on the operating environment for the quarter , post which I will give you a flavor of the performance so far , followed by our strategy and outlook for the year ahead .

During the quarter , demand trends remained largely in line with the preceding quarter . Q2 started on a positive note with reasonably encouraging demand trends in rural and urban in the month of July . This gave us hope for a better quarter when I spoke to you during the last call . However , there was a noticeable drop in overall sentiment , especially in rural during August and early September , which seemed to have been triggered by significantly deficient rainfall in August , followed by a spike in food prices across . We have seen some recovery since the second half of September and we are optimistic about the gradual pickup in consumption with the onset of festive season , range bound retail and food inflation , and government spending between now and the elections . Amidst the current cost scenario , the sector also witnessed much more active participation from smaller local players in select mass categories . However , pricing cuts taken by frontline FMCG companies to pass on value to consumers should a id recovery and volume growth over the next few quarters .

 Moving on to our performance in the quarter , in the India business , we registered a low single - digit growth across all our core categories while we witness reasonably healthy trends in offtakes, market share and penetration across our key franchises . We believe the divergence between the reported volume and offtake growth appeared to be largely on account of the spira ling effect of lower realizations impacting distributor ROIs resulting in reduced credit availability to the retailers , which in turn led to a drop in retail inventory level s or STR. This was also evident in channel -wise growth trends where GT declined with a low single digit on a Y-o-Y basis while MT and E-com witnessed 20% plus growth . Over the next few quarters , we will systematically address this GT issue and the deflation tapering off in the second half will also help .

Delving further , Parachute had a muted quarter in the given environment

, while the four -year volume CAGR was at 4% , just short of the medium target range . The franchise gained 35 bps in market share on MAT basis . As copra price is likely to inch up as we enter the off season , we expect a gradual pick up in loose to branded conversions in view of our cost advantage , which will aid volume growth in the near term . With the anniversari zation of price cuts in this quarter , we expect value growth to largely mirror volume growth in H2 .

The Value-Added Hair Oils portfolio reflected the muted trends and in mass personal care categories amid the subdued rural sentiment and higher competitive intensity from local players . While bottom of pyramid segments of the category hinge on the awaited pickup in rural , we continue to focus on driving market share gains in the mid segment and growing our presence in premium segments through innovation .

In Saffola Edible Oils, we registered low single -digit volume growth st eadying on a high base. Volume growth on a four -year C AGR basis was in the high single digits , in line with our medium -term growth aspirations . While there is some degree of volatility in edible oil prices , trade inventory continues to remain low . However , offtakes have remained healthy , and we will continue to balance growth and profitability objectives in the near term .

During the quarter , Saffola presented ‘40 Under 40 ’, an initiative by Times of India along with Saffola , which sought to inspire young Indians to hit a pause on living a supposedly productive life and recognize the repercussions of their unhealthy and sedentary lifestyles . As a part of the 8-week health movement , 40 young achievers took daily healthy steps to improve their lifestyle scores . The campaign resonated with the purpose of the brand Saffola, which is dedicated to spear heading the cause of a healthy India .

Marico Limited
October 30, 2023

 Foods continue with st eady trajectory , and we are largely on track to meet our FY24 revenue aspirations . The Oats portfolio grew in double digits , while Honey and Soya scaled up well . Both these categories are nearing Rs. 100 cror es at an annual run rate. Our new launches of Peanut Butter, Mayonnaise , and Munchiez are tracking well . We are not chasing growth indiscriminately , but we are focusing on driving sustainable , profitable growth by strengthening the cost structure and refining the supply chain and GTM capabilities . Once we optimize these , we will endeavor to accelerate our Foods growth next year to beyond 30%.

Premium Personal Care delivered healthy double -digit growth and is on track to contribute 10% of FY 24 domestic revenue . The Digital -First brand , led by Beardo and Just Herbs , clocked Rs. 350 crores ARR in Q2 . There is a significant reduction in cash burn , and we believe that we are best-in-class in this aspect compared to other digital brands which are standalone . As these businesses scale up , we are simultaneously exploring various synergies between the brands to structurally lift the margin profile and drive further profitability .

We are on course to achieve our FY24 revenue aspirations with Foods and Premium Personal Care contributing 20% of the domestic business . In Q2 it self, contribution from these categories has touched 20%.

Our international business continues its strong momentum and deliver ed double digit constant currency growth despite macroeconomic head winds in some of the geographies . Bangladesh visibly moderated but was resilient amidst the current macro challenges which weigh ed on aggregate demand . We expect the economic situation to improve early next

calendar year , although the currency depreciation issue will remain for some time . Vietnam also registered a steady performance in both the HPC and Food categories . In the M ENA region , we have been clocking strong growth quite consistently over the last few years on the back of our expanding presence in hair oil s, especially in Egypt . Our South Africa region and NCD business have also been scaling up ahead of expectations . In each of the overseas geographies we operate in , we have the fundamentals of portfolio , GTM , cost structure , and leadership well in place , and we are confident of maintaining the strong growth momentum ahead .

On a consolidated basis , revenue growth was subdued by pricing cuts in the domestic business and currency headwind s in some of our overseas businesses . About two-thirds of the impact was from pricing cut and rest due to currency translation . We expect revenue growth to move into the positive territory in the second half of the year as pricing deflation in the domestic business slightly tapers off . We recorded robust gross margin expansion in the quarter and the first half going to soft input prices and expect 350 to 400 bps of gross margin expansion on a full -year basis . We also significantly ramp ed up A&P spend in Q2 in -line with our commitment to invest

 behind our brands for long-term sustainable growth , which will have an impact significantly over the next couple of quarters . A&P as a percentage of sales is likely to be 9.5% + this year . In light of the H1 performance , we expect operating margin to expand by 200 bps in FY24 , and we are on course to deliver our highest -ever operating margin on a full year basis this year .

At the beginning of FY24, we had set a clear objective of driving improvement across key parameters of growth , portfolio diversification , and margin expansion . With the first half of the fiscal behind us , we have made fairly promising progress along each of the paramet ers, although we hope to get a higher volume growth , and will continue to drive improvement along these lines through H2 on a full year basis as envisaged earlier .

Last but not least, we have always viewed our entire business operations through the lens of sustainability , and our Sustainability 2.0 framework has been progressing well in each of the eight broad themes . We firmly believe the value of creating shared value for all will aid us in driving sustainable growth in the longer term. I am pleased to announce that we have launched a dedicated microsite , which encompasses all ESG related information , and I hope it will allow all our stakeholders to be informed of the progress we are making towards the sustainability goals .

With that, I will now close my comments . Thank you for your patient listening and happy to take all your questions . Thank you.

Moderator: Thank you very much . We will now begin the question -and-answer session . We have a first question from the line of Abneesh Roy from Nuvama Institutional Equities . Please go ahead.

Abneesh Roy: My first question is on VAHO . So, you have been taking lot of interventions in VAHO to ramp up the premiumization . So, two questions there . One is in terms of the blended oil and shampoo usage by customer . If you could tell within the alternate channel now how much is the propensity of customer to consume both shampoo and oil together ?

And second is , what would be your long -term 3-5-year target within alternate channel to have in the premium part of VAHO ? VAHO itself is premium , but I am sure you must be benchmarking that

30% of VAHO should come from premium in alternate . So, if you could share some numbers on what is the target and what is the current number ?

Saugata Gupta: So, VAHO , if you ask me whether it’s a little under -indexed in the alternate channels , the answer is yes . Having said that , I think the premiumization journey has started . Obviously , the bottom

 of pyramid doesn't exist in alternate channels , similar to the case in shampoo where the entire market is in rigids .

Now coming to the two vectors of premiumization , one is sensorial , and other is problem solving . So, problem solving caters to broadly hair fall. As far as premiumization is concerned on the sensorial , there are certain ingredients . We see certain premium brands like Mama earth, WOW in e -commerce, not so much in modern trade. So, we don't participate in Rs. 300 plus kind of a price point . Having said that , below the Rs. 300 plus price point we have a fair share similar to what we have in GT . The only thing we don't participate in is hair fall which is a big category in both modern trade and e-com. Now , obviously , we have to disproportionately increase that. Having said that , our market share in modern trade and e -com, if you take out the

premium part of it , is fairly in line with what the value market share is in GT . In fact, actually , in certain cases and in certain markets , it is higher .
Abneesh Roy: One quick question on 300 plus price . So, currently , you are not there . Is it because you want it to become a threshold level , and then enter ? Is that the reason ?
Saugata Gupta: No, I am just giving you a broad number of 300 . It could be 300 or 350…., this is occupied by very premium hair oils which are entirely D2C brands . We are present there through Just Herbs but not with the core . I mean , Onion oil from a competitor is at 300 plus but from us, it is not at 300. But all I am trying to say is that this is a market we are increasingly wanting to participate in. I think as far as digital business is concerned ; we now have a working model which operates well. Having said that, I think the only market where we are not present in a significant way is hair fall and that is a big market not only in GT but a significant bigger market in the premium channels .
Abneesh Roy: My second and last question is on what you alluded to in the initial remarks , local players . So, other companies are also talking about detergent bars , tea, and biscuits also . So, if you could discuss in coconut oil and VAHO , what has been the performance of local pla yers in your key markets ? Because in these two also , there is a deflation . Especially coconut oil , there is a big deflation , and there is downtrading , downgrading also . So, how long has been the impact ? And do you see that continuing for two , three more quarters ? And what has been your response ? So, I understand the market share numbers of Nielsen , but normally , local players are generally taking share in the last two, three quarters . So, wanted to understand real on -ground situation in both coconut oil and VAHO ?
Saugata Gupta: So, if you look at coconut oil , I think we believe that some of the conversions from unbranded to branded has slowed down . I will give you an overall perspective of the last 12 to 18 months .
 If you look at it, there was significant f

ood inflation , and especially , in copra, there was deflation .
Now what happens is that where we have to take price drops and it takes a certain amount of time for the price drops to get reflected in the market , and therefore we get impacted .
Having said that , for the first time in the last quarter , we are now seeing offtakes ahead of secondaries . So, we expect that volume s in Parachute will now start improving because in most of the SKU s, our pricing is right .
In fact, going forward , as we enter the off season , we believe that there will be a slight inching up that happens on c opra. Also , our procurement and supply chain provide us with a cost advantage, a system advantage when this inching up happens . Therefore , now having seen the offtakes in the last one or two months , the Parachute secondaries or the vol umes are expected to start inching up .
The other thing which I pointed out which has also contributed to it, and I don't think there will be an immediate solution for this is that in addition to the smaller brands , there is negative revenue growth in GT distribution system. The costs have gone up. Now one of the areas which is creating an impact is the credit quantum in the market . And if credit is squeezed in the market , obviously , retailers will stock less . And therefore , we have seen STR or inventory levels drop by around three to four days , if not more , in certain cases .
Now , will I get back that STR? I don't know , but certainly , that has also contributed to that so - called gap between offtake and secondary and primary . But I think , if I look at the trend in Parachute , the turnaround in terms of of ftake, which is the first lead indicator , that has happened in the last one or two months . So, I believe that now the volumes will start coming back , especially as we enter the offseason , where we will be at a relative pricing advantage because of our system stock we hold in terms of raw materials .
Abneesh Roy: And similar thing would be for VAHO also in terms of destocking?
Saugata Gupta: VAHO is a different issue . What has happened is that in VAHO, there has been a downgrading happening because of significant activity by some players at the bottom of pyramid . Our belief is that there are not only local players playing but some of the larger players also wanting to play in that commod itized part of the category . There is a 1.1 to 1.3 RPI where a brand like Parachute Advansed Jasmine and those brands operate , I think they are okay . The problem is , in the 1.3 to 1.6 RPI where A lmond operates , and where hair fall operates which is 1.6 and beyond . So, those categories have actually shrunk in the last one or two years , and that is where the issue is perhaps .
But again , I believe we are seeing some signs of improvement in the last quarter . I think the

 wors t is over out there , and we will start getting value growth . The other reason VAHO has
suffered as a category , although , we are reporting value growth , that there has been shrinkflation ,
and now the anniversa rization of the shrinkflation is broadly over.
Moderator: Thank you. We have our next question from the line of Tejash Shah from Spark Capital . Please
go ahead.
Tejash Shah: Saugata, on the success that we have seen in Saffola Oats and congrats for that, just wanted to
know reflecting on the journey , is there any playbook which is emerging which we can kind of
replicate in our future launches in terms of category selection , channel selection , or a price point
selection ?
Saugata Gupta: I think there are three to four learnings . Fir

st, Saffola is pre-sold on health . Therefore , we don't
have to push health on Saffola, and therefore , you have to make the product deliver on taste as
a green . So, all product test s we do , it has to deliver green on taste because no Indian consumer
is willing to compromise on taste for health . That has been the first learning .
Second , it doesn't matter if your price point is 15 to drive penetration because , for at least six ,
seven years , we were at a 50% premium to our nearest competitor in masala oats.
The third learning i n the playbook is that even on health , you have to Indianize the Western
concept . Today, t he biggest play is in in-between meal snacking because in India , there are two
meal occasions, for some there is a 11 o'clock occasion . For some , there is a 6 o'clock occasion.
Six o'clock is the biggest occasion . And there can we substitute anything ? It can be a soup . It
can be a biscuit . It can be a cookie . It can be a noodles .
So, to me , these are the learning s, and therefore , ideally , the next category which is ripe for this
is plant protein , plain soya right now is a commodity . Can we replicate this masala oats story on
plain soya tomorrow ?
Tejash Shah: But is this learning or is this playbook duplicable or is it scalable across categories or this remains
only for Foods as of now ?
Saugata Gupta: No, I think it is a pplicable in Foods where you drive penetration and distribution , and get
scalability . And I think the other learning is that it's very important to get into a 200 crore plus
revenue because then you start making money in Foods. I think scale is very , very important .

 Tejash Shah: Second , Saugata, we are picking up many conflicting signals and commentary on rural economy
and rural pickup from the FMCG perspective . So, what's your read and if you can share your
thoughts from near-term perspective also for this year?
Saugata Gupta: I think the situation will gradually improve . As I said that last time when I spoke to you in July ,
things were improving , and suddenly , there was this deficient rainfall which led to a sentiment
issue sometime in August , and therefore , we had a very bad August , a very bad early September ,
but things are improving now. So, I think gradually it will improve . I don't see a reason why it
shouldn't improve between now and in the next two -three quarters .
I believe there are three factors . One is consumption . Then t here is a factor o f smaller players
becom ing active . And the third is , because of the ROI situation in urban GT , there is STR loss.
So, therefore , all three have contributed to the situation . I don't think it's just rural consumption
according to me, as whenever we have seen the drop , all the three have contributed to the fact
that we have not been able to improve the volume trajectory .
Tejash Shah: And any regional flavor you can give within the rural pickup or slowdown ? Is there any
particular region which is doing relatively better, or somebody is doing worse ?
Saugata Gupta: No. So, I won't be able to share in as much specifi city, but what we have seen in the past is that
the concentration of the spread of rainfall and other factors is not uniform . So, history has told
us that whenever there has been water deficiency in whichever states , there the impact is slightly
higher .
Moderator: Thank you. We have a question from Akshen from Fidelity . Please go ahead.
Akshen Thakkar : Just a question on the diversification agenda . So, you have highlighted that premium personal

care will get to 10% run rate by the end of the

year . Foods obviously scaled up . Together this is
now as you have called out 20% by the end of the year . The last two , three years obviously you scaled the top line very well . Just wanted to get the management's view on how are we thinking about profitability of foods, premium personal portfolio, D2C, as in aggregate, how should we be thinking about margins three to four years from now? So, you have obviously done very well on top line. I am guessing today this portfolio is merchant dilutive to your overall India margins despite being at 15 %, 20% of sales . For t he next three to four years , how are we thinking about margins in this portfolio ?
Saugata Gupta: First, let me just give you a perspective on that, if you look at this year , and I started off by saying that while we continue the journey from moving from 15 % to 20% , two things we will
 look at. One is, how do you move the Foods gross margin . Second thing is , how do you reduce
the cash burn of digital . I think we have taken significant steps towards that.
Now one of the things we have actually restricted is our Foods growth this year simply because we believe we didn't have a working model in terms of scaling it at a certain gross margin , which is basically our supply chain in terms of lower shelf life and our ability to forecast . So, therefore , if you ask me in the next six months , our endeavor is to get all these things right . And if today we are at say 6 on 10, can we move that to 8 on 10 . I mean , we may have started the year at 4 on 10. We have moved to 6. Can we move to 7 or 8. Once we do that , I think there is no reason why we should n't accelerate the Foods journey to , say, 30-35% growth.
As far as digital is concerned , again , I think our cash burn has been reduced . We believe at least in one or two of the brands , we will break even , and if I look at , say, the performance of Beardo versus a similar standalone brand in the same segment , our profitability or our cash burn will be far lower . And in fact, we will make profits .
So, if I look at the next three years , definitely the digital business will deliver EBITDA levels of what the India business is doing . Because as far as we are concerned , we might not be the best in the world in creating 0 to 50 crore businesses in digital , but once we have acquired it , the journey of scaling the business profitably , we believe we will be one of the best -in-class as far as FMCG companies are concerned in digital business .
Now , Foods will always be a question of when do you want to put the brak es on growth . So, if Foods continues on this growth journey , yes, it will not deliver the company EBITDA in three years . Having said that, anything that crosses a scalable threshold , like Masala Oat s and overall Oats franchise , those businesses will be able to deliver positive EBITDA. So, in food you will always have 50% of the businesses which are matured to a Rs. 200 crore s+ delivering profits and maybe the rest are still on the journey to deliver . But I think , if it's a growth business , that same strategic funding I have to do even in a personal care . So, I think we are okay . I don't see any reason that we should stop the Foods growth because if we correct the Foods business and get into a threshold level of profitability in gross margin terms which is significantly higher than Saffola edible oil s, we are fine . And today , we are already there, F oods make significant ly more gross margin than Saffola edible oil s.
Pawan Agrawal: And also, if I can add that in digital business , there could be two models of gro

wth . One could
be like growing disproportionately at 70 -75% with a significant bleed . And second model could be to grow at 20 -25% with a keen eye on profitability . So, we prefer the la tter model where we are happy with the growth of 20 -25%, but we do not bleed significantly . That's one.
 And number two , also at this point in time , many of these digital businesses are disparate
business es. There would be a time when we will bring all these business under one umbrella ,

and we can drive lot of synergy benefits in terms of supply chain , CRM , common digital tech stack . And therefore , at that point in time , it can structurally lift the margins , and that will also improve the overall margin profile of the business . So, that's the overall take on digital business es. So, once we have all of these, definitely it can be a sizable business with a decent operating margin .

Akshen Thakkar : Another follow -up was on the international business . Growth obviously in Bangladesh is being impacted this year with volatile macro over there , but that doesn't seem to be having a bearing on your margins . Could you just comment on the margin performance on the international business on a Y-o-Y basis ? Is this more to do with Bangladesh margins having done better or it's more to do with other geographies sort of starting to throw their weight on the margin front ?

Saugata Gupta: So, the profitability dependence on Bangladesh has reduced . Vietnam is doing extremely well on the margin front . We have also had significant turnaround as far as the MENA and the South Africa business are concerned . So, our dependence on Bangladesh , although still high , has significantly reduced .

Number two, in Bangladesh , we operate at a reasonable scale. Now what happens is , whenever there is this kind of a slight economic downturn , the overall spends , SOV s, can be managed with lower spend s. So, overall system spends have gone down . And number two , given that we were foreseeing this as this was the election year with a combination of other things that are happening , we have taken very aggressive cost management initiatives in the Bangladesh business so that we ensure that we don't , at least in constant currency terms , dilute our profitability there .

Akshen Thakkar : One last question , if you would indulge me , was around capital allocation . So, last year , obviously , we pulled back a little bit on dividends because we were looking to make a couple of acquisitions . We acquired something in Vietnam . We acquired Plix this year . Clearly , diversification is a key agenda for the management . Any broad guard rails on how are we thinking about capital return policy ? And how much would you want to , retain in terms of cash reserve s for any future acquisitions ?

Saugata Gupta: I think we should revert back to our old policy . I think last year was an aberration, but we should return back to our old policy .

 Pawan Agrawal: So, we have been maintaining a ratio of 80 -90%. And unless there is a big-ticket acquisition , we would hope to maintain that ratio for the year.

Moderator: Thank you. We have our next question from the line of Amit Rustagi from U BS. Please go ahead.

Amit Rustagi: Thanks for taking my question . Could you explain to us like how much is the difference between the secondary and the primary growth ? And like when we are talking about the second half of the year , how much should we think that we can catch up in the second half of this year itself?

Saugata Gupta: No, I don't think I alluded to secondary or primary growth . what I alluded to is an STR correction which means offtakes are ahead of secondary . Secondary and primary are always broadly in -line. I think what we alluded to is if you look at the Nielsen numbers versus what is the volume growth reported by most of the companies , you will see a difference . And we believe a lot of it has got to do with a combination of two things .

One, maybe smaller players are gaining share , Nielsen is not picking that up, right , and the other is STR reduction . So, I don't think it's primary or secondary . In fact, offtake s have started growing well in the last one or two months especially what we are seeing in Parachute , volumes will follow . Therefore , secondary volume s will follow . But the STR correction doesn't happen every month . It is a one time that has happened already .

Pawan Agrawal: So, just to clarify , when we say STR, it is about the retailer STR.

Saugata Gupta: Retailer STR and not distribut or.

Saugata Gupta: And that has happened because , as I said , people are not willing to give more credit in the market for which there is a demand . But at the end of the day , we have the distributors who have to manage their ROIs also.

Moderator: Thank you . We have a next question from the line of Sheela Rathi from Morgan Stanley . Please go ahead.

Sheela Rathi: So, my first question was with respect to your comment on the GT decline of low single digit. I just wanted to understand here , is it any specific category or specific market where we are seeing this decline ? And what is our expectation in terms of the trend going ahead , especially in this quarter ?

 Saugata Gupta: So, if you look at it, the reason is that the entire rural obviously goes to GT , and therefore rural
is one place where there is obviously an issue . The second is that in the top urban towns , if
modern trade and e-com continues to do well, there is a steady erosion of the GT contribution
which has happened in the last two to three years . During CO VID, obviously GT had an
advantage because modern trade was not functioning , and therefore , there was a movement from
modern trade to GT which has got reversed . So, these are the two reasons.
I think what I am allud ing to is ultimately that we have to invest , and this is what we have been
talking about is, have we done a great job yet ? We haven't in GT. If you look at all the new
categories we have launched , we have a disproportionately high market share in modern trade
and e-com where we have done a great job . Having said that , I think there is a scope to do a
better job in chemist s, cosmetic s, and food outlets to drive our diversification . At the same time ,
we believe, rural is a source of competitive advantage because direct rural distribution is an entry
barrier for others . So, therefore , that is something we have to keep on doing because our rural
portfolio also makes good gross margins .
The second thing is , I think we believe that wholesale as a channel is going to reduce its s aliency .
Also in India , there is no viable alternative , scalable , profitable , cash and carry model which has
emerged , and therefore , there is no reason why we should not push ourselves to continue the
journey as far as rural is concerned . In fact , in some of the rural markets , we are under -index ed,
like, say, if you look at some in the nort

h region .
Therefore , that is how the GT growth has to be rekindle d because I think it's important that GT
grows . And even if I look at a 20 -30 years' outlook , GT will continue to be important in India
and it will be an 'and' growth and not an 'or' growth .
Sheela Rathi: So, will it be fair to say that the GT growth is worse off in rural India versus the last quarter ?
Saugata Gupta: No, not really . I don't think there is any movement , I would say . It's a similar kind of a level . If
you look at our volumes , they are broadly similar . Channel -wise growths are also broadly
similar .
Sheela Rathi: Just m y last question is, we have called out in FY24, we are targeting 20 plus percent margins .
What I noticed is from a medium -term perspective , we are talking about 19% margins . So,
Saugata, any particular reason why we feel that the margins would be slightly lower ?
Saugata Gupta: No, no, I think we give overall guidance that we will envisage to do a 19 % to 20% margin as
sometimes we have experienced volatility . Having said that , once we have hit 20 %, we try to

 ensure that we are in those levels , but there could be years of volatility . Also, you must realize
this year , there is also some kind of a denominator effect because of the fact that because of
deflation , the revenues have been depressed . So, in a inflationary year , that reverses . So, I think
that is a band that we should operate within 19 to 20 . There have been years of 20 %, and in the
long term it has been creeping up . That is something which we have delivered .
Sheela Rathi: One final question with respect to c opra prices . How do we see that panning out i n the course of
the next six months ? That's it from me.
Saugata Gupta: So, in the offseason , it marginally moves up . So, it could move up a little .
Moderator: Thank you . We have a next question from the line of Amit Purohit from Elara. Please go ahead.
Amit Purohit: I just wanted to get some insights into the go-to-market strategy on the Foods that we initiated .
Any feedback on that ? And can that be leveraged ? Or is this helping us to increase our overall
distribution reach ?
Saugata Gupta: No, so I think the food outlets what we are doing are only urban specialty food outlets . They are
essentially a mixture of open format outlets . In South India , it could be bakeries . So, these are
basically outlets which have a food skew . It was not that we were not present in some of the

outlets . We are already present . The reason we have put a separate Foods GTM in these outlets is, if you look at the rest of the portfolio versus Foods, the products which we have , the selling norms , the merchandising , the replenishment model is completely different . We wanted to give it more focus . Secondly , we want to create a demand generation model for non-advertised food brand . So, in Saffola, we will ultimately move to mass advertising maybe , in things like honey , oats, and soya . But there are a lot of other categories th at could be present without mass advertising . And if you look at a lot of food startup brands , they don't advertise . You have not seen some of the food startup brands advertising . So, that is the model .
I think we still need to get our act right in terms of maintaining stock freshness and replenishment , because a lot of us are used to selling in cases . We have to now sell in pieces . It is a work in progress , and once we achieve that , our ability to launch new products through that system will be better .
Secondly , even a brand like True Element s and tomorrow Plix can come

into that GT and
actually leverage the Marico association and scale up , because , essentially , those brands are primarily digital now.
 But I believe as far as Foods is concerned , the root for digital or new age brands to scale up is
brick -and-mortar because opportunities are far higher because Food AOVs are low . Personal care has a far better scalability opportunity in digital compared to Foods.
Amit Purohit: And just to check , this does not include the chemist channel at all , right ?
Saugata Gupta: As I said that food we have done reasonably well. I think in chemist s and cosmetics , something has been our bugbear , and we need to do a better job there , and that is something which we will now take up because we now know how to do Foods. So, therefore , we have some experience in opening up a new channel . So, this is the second one we have to do . It's not that , again , we are not present on the Chemist channel , but are we correctly indexed ? I will say we are slightly under -indexed in both chemist and cosmetic . And that will help in a premium personal care journey growth in GT .
Amit Purohit: So, actually , sorry , I wanted to check whether the team which sells the food , does that also cater the chemist channel?
Saugata Gupta: No, no. That will be a different channel. Again , as I said , the skill -set in selling beauty and selling food is completely different .
Amit Purohit: No, I am saying why because some of the chemist channels do keep these foods portfolio as well, right?
Saugata Gupta: No, that's fair . So, as I said that it's not that our existing distributor salesman is not reaching those outlets . So, for example , oats and honey is available in chemist outlets , but if I have to really disproportionately do demand generation like selling hair fall or serums in some market , you have to get a specialist to d rive that. Now in that process , if they can sell honey and oats, so be it.
Amit Purohit: And lastly on the VAHO piece , we have targets to have a double -digit growth , but when I look at from a channel perspective , we would right now be more salience on the GT side , right ? And less on the alternate channels.
Saugata Gupta: Absolutely .
Amit Purohit: So, if that's the case then double -digit growth would be driven by what? Because when you launch new products , you would expect that…
 Saugata Gupta: It has to be far broader participation . As I said that we are not present in a lot of segments . It has
to be driven through b roader participation because currently , if I look at VAHO, it is reflective of all the H PC growths and in addition to that , given the high inflation that happened in V AHO last year , it became a victim of significant shrinkflation. So, the journey to the double -digit value

growth will happen through far better participation in the premiumization and gaining value share , which we have been gaining . But we have not been gaining it at a rate which we would have liked to , because our volume -value share gap still remains .

Amit Purohit: And these new launches are largely on the digital side , right ?

Saugata Gupta: No, not just digital . It has to be mass . It has to be scalable . So, for example , in hair fall, if you have to successfully look at hair fall brands , they are significantly present in GT also. But they might have

a bias towards chemist channels .

Moderator: Thank you. We have a next question from the line of Latika from JP Morgan . Please go ahead.

Latika Chopra: My question was around some of the brands that you have acquired or launched over the recent years . So, True Elements was something that was acquired about a year ago , and then , of course , you recently got Plix in your portfolio . What's been your reading of , these brands have, particularly True Elements , and has that been able to meet your action standards ? And at what level do you think these brands will be ready for a more wider roll out in the general trade ? And similarly on your Digital First portfolio , your experience with Just Herbs and Pure Sense and Coco Soul , how are these faring? And how should we think about organic growth rate for these portfolio s going ahead ?

Saugata Gupta: I think as far as organic growth rate is concerned, let me answer that. I think Pawan alluded to it sometime earlier that we have chosen a model where it grows perhaps by 20 -25% organically , but we will also focus on profitability . Now , if I had to give you an overall perspective on digital business , has it m et aspirations ? It has met aspirations . Beardo has performed extremely well . We are also extremely gung -ho on the business model of Plix. Just H erbs is meeting aspirations . Again , Just H erbs will be the third brand to perhaps cross an exit run rate of nearly 100 crore and get into profitability next year . Beardo should get into profitability this year . And as you know, Beardo is 150 crore plus. Plix also is 150 crore plus. So, they are sizable .

I think as far as True Elements is concerned , while it is close to acquisition assumption , we believe that , for a food startup brand , in order to be scalable , we have to bring it significantly into brick -and-mortar. So, therefore , that is the job we are doing . The second thing on True Elements is, perhaps we have to Indianize some of the offerings because currently most of the

 products are extremely Western , and Western is niche . So, that's the journey we have to do . We are also working with True Elements to improve the gross margin because gross margin is extremely important in food s. So, once we do all that , True Elements will be the one which will also cross 100 crores. I mean , we believe that it is in line to cross 100 crores exit again this year . And also, maybe True Element s will need one more year to break even compared to the others , that's where we see it.

As far as Coco Soul and Pure Sense is concerned , I think they have still not reached critical mass , and we have a job to do . Having said that , have they improved on the burn rate and all ? They have improved , but are they on a 100-crore journey right now ? We have to wait a couple of years for that 100 crore to be earned.

Moderator: Thank you. Ladies and gentlemen , that was the last question for today . I would now like to hand the conference over to the management for closing comments . Over to you , sir.

Pawan Agrawal: Thanks for listening on the call . To conclude , we have been fairly resilient in the first half of this year amidst challenging demand conditions in India and macro head winds in select overseas market . In the quarters ahead , we will be focused on driving competitive domestic volume growth and maintaining the strong momentum in the international business . We are likely to have a good year in terms of profitability , even though we have been uncompromising towards investing behind brand building of our franchises .

We have also fa

red reasonably well on the strategic imperatives that we had called out at the start of the year , and we remain committed to exhibit an improving trend across each of the key performance parameters in FY24. As seemingly transitory head winds in the operating environment subsi de, we look forward to keep growing from strength to strength and driving our strategic endeavors that will enable sustainable and profitable growth over the medium term.

That's it from our side . If you have any further queries , please feel free to reach out to our I R team . They will be happy to address . Thank you and have a great festive season ahead .

Moderator: Thank you. On behalf of Mar ico Limited , that concludes this conference . Thank you for joining us, and you may now disconnect your lines.

(This document has been edited to improve readability)

Call: Feb 2024

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The Secretary,
Listing Department,
BSE Limited,
1st Floor, Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001
Scrip Code: 531642 The Manager,
Listing Department,
The National Stock Exchange of India Limited,
Exchange Plaza, C-1 Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400051
Scrip Symbol: MARICO

Sub.: Transcript of the earnings conference call

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, copy of transcript of the earnings conference call held on Monday, January 29, 2024 on the un-audited financial results and operations of the Company for the quarter and nine months ended December 31, 2023, is enclosed.

The said transcript is also available on the Company's website at https://marico.com/investorspdf/Marico_Limited_-_Q3FY24_Earnings_Call_Transcript.pdf .

This is for your information and records.

Thank you.

Yours faithfully,
For Marico Limited

Vinay M A
Company Secretary & Compliance Officer

Encl.: As above

Marico Limited
Q3 FY24 Earnings Conference Call

January 29, 2024

MANAGEMENT : MR. SAUGATA GUPTA – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER , MARICO LIMITED
MR. PAWAN AGRAWAL – CHIEF FINANCIAL OFFICER ,
MARICO LIMITED

 Moderator : Ladies and gentlemen good morning and welcome to Marico Limited Q3 FY24 Earnings
Conference Call .
We have with us the Senior Management of Marico, represented by Mr. S augata Gupta – MD and CEO and Mr. Pawan Agrawal – CFO.
As a reminder all participant lines will be in the liste n-only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.
Please note that this conference is being recorded.
Before we get started, I would like to remind you that the Q &A session is only for institutional investors and analysts and therefore if there is anybody else who is not an institutional investor or analyst but would like to ask questions, please directly reach out to Marico's Investor Relations team .
I now hand the conference over to Mr. Sa ugata Gupta for his opening comments. Thank you and over to you, sir.
Saugata Gupta : Good evening to all those who have joined the call and my best wishes to all of you for a very happy and a prosperous year ahead.
I would like to begin by reflecting on the operating environment during the quarter post which I will give you a flavor of our performance followed by the strategy and outlook going forward.
During the quarter, the operating environment was largely in line with that of the preceding quarter with no discernible uptick in consumption. FMCG volume growth on a 4 -year CAGR basis remained in low single digits, with rural, mass and HPC categories tracking lower than urban, premium and food categories. So far while the pace of recovery in consumption has not been on anticipated lines, we remain optimistic of a gradual uptick in consumption trends over the course of the next calendar year in light of improving macroeconomic indicators, continued government spending, lower inflation and substantial cuts in consumer pricing implemented by large, organized players in response to an accommodative and stable input cost environment.
The prevailing consumption growth pattern, which appears to be more K -shaped, has also led to a continued divergence between how General Trade and organised retail has fared, with the former contending with low business growth and rising costs resulting in profitability and liquidity challenges in the trade. Given the heft of traditional retail and its structural significance

 in a market like India which employ a lot of people, we have taken concerted steps to alleviate
the strain faced by our partners and revitalize the channel which is very important to rejuvenate the growth , especially in the core. We expect these initiatives to have a gradual and positive impact on sentiment in the channel and in the quarters ahead while the pressure on our pricing, which impacts realization, also subsides over the next couple of quarters.
Coming to our performance, organic domestic volume growth stood at 2%, which was about 200 bps lower due to a voluntary reduction in primaries to bring down inventory levels at the distributors' end and enhance their ROIs. Despite the impact of this move, the performance on

a 4Y CAGR basis in the core portfolios , conveyed signs of some improvement. As far as the core portfolio is concerned more than three -fourth of our business continued to gain market share and penetration levels.

Delving further, volume growth in Parachute improved sequentially as loose to branded conversion appeared to regain some pace with the brand running consumer -advantaged pricing and copra prices exhibiting some upward bias. As a result, Parachute further st rengthened its leadership position with a ~40bps gain in market share on MAT basis. We expect the gradual upward trend in volumes to sustain in the quarters ahead as we move into next year.
Saffola Edible Oils had an optically weak quarter with a mid -single digit volume decline on a high base of teens growth. During the quarter, trade remained watchful and continued to operate at lower inventory levels of at least 4 days. The brand also exerc ised discretion in billing across channels as it did not want to operate below a margin threshold. Looking ahead, given that offtakes remained healthy during the quarter, we expect the brand to revert to growth in the quarter ahead.
Value -Added Hair Oils also improved sequentially with mid and premium segments growing in mid to high single digits and driving mix improvement in the portfolio. Growth continued to be impacted by extended weakness in rural demand and sustained competitive pressures in the bottom -of-the-pyramid segment.
Moving to the performance of our new businesses, Foods maintained its steady growth trajectory and should close the year at atleast ~INR 750 crores, which would be about 4x of its scale four years ago. Saffola Oats anchored the growth and maintained its po sition as the #1 brand in Oats category. Honey and Soya Chunks continue to scale up well and should reach a scale of INR 100 crore each in the coming year. Both our acquisitions, True Elements and Plix, continue to meet our expectations. Premium Personal C are sustained its double -digit growth momentum with the Digital -First portfolio surpassing Rs. 400 crores in exit run -rate in Q3. The healthy scale

 up of Foods and Premium Personal Care keeps us on course to clock ~20% of our domestic
revenues from these portfolios in aggregate this year. We are also actively working on steering brands that are gaining scale towards profitability. For instance, Beardo will be EBITDA positive this year, and similarly Just Herbs and True Elements should be close to breaking even in the coming year.
Our International business was resilient amidst transient macroeconomic challenges. Bangladesh exhibited some momentary weakness with persistent inflation and uncertain business conditions leading into the recently held general elections. While the core po rtfolios had a soft quarter, the new portfolios of shampoo and baby care fared better. Now , since the elections have been concluded, we expect business performance to revert to delivering healthy growth in the next quarter itself. South -East Asia also ha d a modest quarter marked by sluggishness in the HPC category in Vietnam. We expect to hold strong given the strength of our portfolio. The MENA business continued to grow impressively as both Middle East and Egypt business flourished. South Africa and our Exports business also registered solid growth. We had embarked on a journey to strengthen and diversify our International business. While the journey is still underway, we have developed fundamentally strong businesses in each of the regions through our f ocus on getting portfolio, GTM, cost structure and leadership right.
The year has been characterized by a persistently challenging operating environment, but we draw positivity from the improving growth trajectory in our core portfolios, although the growth has been slight, as well as the degree of success achieved in our d iversification journey, bo

th in
the domestic and international businesses. We have also initiated corrective measures to reignite growth in the GT channel which will be the most critical aspect to not only get better growth but also diversification of ou r portfolio in chemist, cosmetic channels and foods and rural expansion. We are determined to get GT back on track which we believe will be instrumental in restoring the pace of volume growth in the core mass consumption categories. Healthier offtakes and market share gains in our key portfolios also keep us in good stead. We believe that the improving trajectory in offtake growth across categories will be followed by a similar trend in secondary and primary growth in the quarters ahead and we have already started seeing Parachute exhibiting this trend. Top line growth continued to be dragged by erstwhile pricing interventions and domestic portfolio and devaluation headwinds in certain international

geographies, but we expect this to taper off further as rev enue growth is expected to turn positive
in Q4. On the profitability front, we will be delivering record high operating margin this year,
led by gross margins which are set to expand by 450 -500 bps and even after ramping up brand
building investments behin d both, the core and new businesses. While we will aim to maintain

 a resilient margin profile in the quarters ahead, our focus will be on delivering sustainable
volume -led growth by reinforcing our strategic priorities.
Last but not least, we have always viewed our entire business operations through the lens of
sustainability and our Sustainability 2.0 framework has been progressing well along each of the
defined focus areas. We firmly believe the value of 'Creating shared value for all' will aid us in
driving sustainable growth in the longer term. Our dedicated microsite captures all ESG related
information and successful projects and hope it will aid all stakeholders in gathering all the
relevant updates on the progres s we are making towards our sustainability goals.
With that, I will now close my comments. Thank you for your patient listening and we will now
take all your questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. We'll take a first
question from the line of Abne esh Roy from N uvama Institutional Equities.
Abneesh Roy: My first question is on True Elements . So here you said that next year you are targeting
breakeven . If I see , the category is very attractive and we are seeing many large companies also
quite interested her e, plus, there are a few D2C brands. So , my specific question is what is the
distribution scale up here done till now and where do you see distribution in the next 3 years?
Because another listed company in similar space took distribution 10x post-acquisition . Also, in
terms of the differentiation in strategy pre- and post-acquisition once you have taken over , are
you changing the strategy in terms of the positioning or in terms of pricing etc . anything
meaningful versus pre acquisition ?
Saugata Gupta: I think Packaged Foods has significant opportunities and especially with True Elements which
operates in healthy space in breakfast , seeds and snack ing, opportunities are endless. Normally
what happens is, and this has been seen even in Beardo , is that once Ma rico takes over 100% ,
the trajectory of growth improves because we also continue to leverage our existing GT
distribution which we haven't done as far as True Elements is concerned. But we have plans to
do that. And I think True Elements and S affola have this unique ability to have a two-brand play
where True Elements plays in breakfast

and snacking at a premium end while Saf fola continues
to play at the ma sstige -end. And therefore , I believe that the potential of True E lements is
significant. Now , one of the other things we must keep in mind is that we have been extremely
mindful of the fact that while our digital businesses make good gross margin , our digital
businesses which are right now Rs 400-500 crores, in the next 2 to 3 years , hit double digit plus
EBITDA , because that is very important . So, we are mindful of the growth and the profitability

 together and I believe that there is enough GT potential. We have started in a small way with
Beardo and we expect to do that with all the brands in the future.
Abneesh Roy: Two more small follow -ups on Foods business. So , one Plix looks very attractive and very
differentiated opportunity , very attractive packaging. What are the initial learnings , what are the
initial findings? And second is on masala oats , another listed company entered a few quarters
back. They are trying a slightly different position which is millets plus oats. Millets has become
in fact quite normal by most FMCG companies. I wanted to understand in masala oats how is
the competitive inte nsity a nd you have enjoyed an extremely good run there. Do you see some
risk of market share loss next 2-3 years ?
Saugata Gupta: So, what was your first question? Sorry .
Abneesh Roy: Plix.

Saugata Gupta: Plix operates in the overall wellness space and compared to some of the other brands it's a very young , vibrant brand. Now in wellness , there are different opportunities. If you see at wellness there are multiple vectors of wellness which is cardiovascular , diabetes , weight management , bone health , and gut health. So , therefore , Plix offers huge opportunities to operate as a full spectrum wellness brand. The good thing about Plix is the innovation velocity , strong consumer insights and their quality of digital marketing which is extremely best -in-class. If you look at Plix, I see a 200 + crores opportunity even next year , and also compared to the other brands including this space , the bleed is extremely low. I believe it's a very holistic business and it can obviously grow along multiple vectors and set itself as the wellness brand. If you really look at it, we'll have then a three -brand play where Plix plays on wellness , True Elements plays on both snacking and breakfast but a little bit premium and Sa ffola plays on masstige and then Saf fola also can get into some other categories which is plant protein , immunity wh ere we are already present in. So therefore , it will be a comprehensive Foods play. Now coming to masala oats question. I think the penetration of the category is very low. So , it's good that multiple players are investing to grow this category. Yes , you might lose share but at the end of the day I think what is most important is that Indians now have a choice of having far better healthier in -between meal snacking. We also have millets in some of our variants already and we are very focused on ensuring that mille t is a success and therefore , even in oats , there is a variant which has millets . And therefore , I think it's not about the positioning , it's okay to have multiple players expanding this category because there is no reason why this category shouldn't have double digit penetration in the next couple of years.

 Abneesh Roy: My last question will be on the traditional Kirana channel. Growth has been very challenging across most companies and you did speak of the stress here. You also spoke that you are taking lot of proactive steps to get a gradual recovery. My specific question is India's largest consumer company is moving towards a n alternate structure w ith more of a variable component and less of fixed component. So , what are your thoughts on that? And if you could give some more color as to what exactly you're doing because the shelf space issue , regional players issue remains. So , how do the intrinsic issues change because the competition with the online , the quick commerce also remains ? So, are the problems changing or will it be more of the market share gains which will help you?

Saugata Gupta: I will give you a n overall holistic view about this. I don't want to comment about anybody's margin profile and all the plans. If you look at it , which is slightly unique to Marico is that we have a far more skew on Saffola and Foods in our organized trade and urban , while coconut oil and hair oil dominate our urban mass and rural. We also don't sell sachets. So therefore , our gross margin and our profitability of the mix which we sell in GT , mass and rural is far higher. Number two is what has happened is that the entry barriers to organized trade has reduced. Therefore , you can buy perhaps volume share by spending. However, t here continues to be a significant entry barrier for creating distribution infrastructure and therefore a rural distribution or a strong urban d istribution is a source of competitive advantage. Having said that , obviously when you are a challenger brand , it's easier to get market share in say OT compared to GT because in GT you have to make that systemic effort. Like , for example , if you look at honey as a category , we have far more share in e-comm or modern trade compared to GT. But having said that, I think one of the things we have realized is that there needs to be some kind of a systemic effort to drive two things which is a far better quality of distribution in food s, chemist and cosmetics that drives our diversification because that diversification is driven at a higher gross margin. And the second thing is a rural distribution. Now , for that to happen the re are costs involved . Now , the other issue that has happened is that , especially in urban , till last year because of Saffola inflation obviously there was revenue growth . Also, during COVID there was revenue growth because modern trade was not working at full potential and also the smaller players were not there. And therefore , large, organized players including us had a significant growth in GT, which is now absent. So , this problem got accentuated from Q 3 last year. Now there are a few levers , one is stock , the other one is credit because ultimately, we want them to give more credit in the market. We want higher STRs because we have lost STRs. Now , margin s is something we have to take a call , as to how we give the best possible margin for ROI. I think we are looking at all the lever s. The easiest one to do is a stock reduction because that we can make up by better nimble -footed supply chain. So , we are doing a host full of initiatives which we'll do one by one. We are doing it in a resource neutral way so that there are no wastages in the system and there

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 are investments to be done. So , we'll do it in a phased manner such that the ROI of the partners
improves. We can invest behind growth in direct distribution , not only in rural but also in urban
in these channels. We will get back the STRs gradually because we

have lost STRs. We ensure
that we facilitate higher credit to retail which they can at the same time improve the ROIs. Now ,
this is going to be done in a phased manner over the next couple of quarters. But we believe that
will lead to core growth and that will also lead to better diversification of our portfolio in GT
because a lot of diversifications of portfolio today has happened much more OT led.

Moderator: We have a next question from the line of Avi Mehta from Macquar ie.

Avi Mehta: I just wanted to follow up on the GT comment. Are you looking at these changes in supply chain margin , changing the level of inventory , is that the thought or is it more towards a nimble supply chain which you ta lked? So, would love to understand what do you mean by these and could you just clarify or give us some examples of what are the changes that are being done to drive growth?

Saugata Gupta: Again , I am just illustrating in a structural way and not getting into specifics . But if you look at it, ultimately, I give my distributors a certain margin. They have certain costs , I give them a certain credit , they give certain credit in the market and they hold some inventory . Without causing a permanent hit to the P &L what are the things we can do in terms of our efficiency to drive ROI of the distributors . I think that's the philosophy which we are following so that they make ROI. We en sure we have resourced our distribution expansion and we also ensure they can pass on better credit to trade so that the trade STRs go up. The margin is a one-way street. So that's the last resort we will resort to . And even in margins , we can look at things like high margin brands but there is no need presently . Similarly , if you look at wholesale distributors there is no need. I think margin is something which we'll tackle later but there are enough other ways to manage it. For example , I am prepared to keep on reducing inventory such that because inventory is a cost of carrying and inventory doesn't drive offtake. We have to ensure all our investments are focused towards driving offtake.

Avi Mehta: Just a follow up. Could you kind of help us understand how this inventory has changed 4 years back and what is it now? And probably 5 years ahead how should we look at that? Just to get a sense because it seems you're targeting more channel inventory and trying to modify that.

Saugata Gupta: I think channel inventory is only one step. The reason I shared about channel inventory is because we have done it . As we do some more initiatives over the next two quarters , I will share with you what are the initiatives over the quarterly call or in the quarterly note . Right now , we are not in a position to share the initiatives . Now coming to inventory , see what happens is if GT

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Marico Information classification: Official was say at 100, the revenue , and as you know there's a deflation plus there's a volume decline.
If that has become 90 , obviously for that revenue and the fact that STR has also gone down in trade , the holding has gone up. So therefore , we have to start ensuring those holding keeps on coming down. I think that's the framework which we are looking that. Now, as I said that , this is the first initiative. There are other initiatives which we intend to do , for example , we may be running certain trade schemes which are inefficient in the market. We can be running certain promotions or program retailer programs which are inefficient in the market. So , we are looking at the entire gamut of trade spend s and looking at the resource allocation so that all the resource allocation is done towards viability of our distributors and profitability of the margins i

n the
trade , so that they d eliver better service. They are in a position to expand distribution because distribution means more feet on street . There can be more credit and that all leads to more offtake and better range selling and better assortment.

Avi Mehta: My second question was on the comment on resilient EBITDA margin , especially if we look at FY25 . With our portfolio composition now changing , would you see this move to 21% levels odd that we are talking about by 2024 as a new normalized level? How should we look at that?
Saugata Gupta: A couple of things and I will also ask the n Pawan to elaborate on this. The thing is that one of the good thing s is that the diversified part of the business has now a blended gross margin which is almost higher than the current portfolio. So , that is the first thing. So , between foods and digital our gross margin is higher than our core portfolio which we have achieved this year. The second thing which we are doing is that with far better efficiencies of spends and as you know , now, we are a house of brands of four - five digital businesses , driving efficiencies of scale. We are in a position to get to double digit EBITDA over the next 2 years in this business and we are also going to target Foods in the next 2 to 3 years. So that part of the business I think , is in good hands. Now obviously , it is also a factor of inflation -deflation. But having said that , I think this is something which will be our effort next year to deliver double digit profit growth. In the case of international obviously , there have been some issues in terms of currency deflation. Now we hope , given that the Bangladesh elections are over , sometime during the second half of the year we anniversarize th e currency depreciation and also , we are doin g fairly well in the Middle East , North Africa and some of the other markets which has potential for improvement of operating margin expansion. So given all that , I think our endeavor will be to actually continue to deliver double -digit bottom -line growth next year. Pawan , would you like to add?
Pawan Agrawal: I think Sa ugata you've covered comprehensively. It's very difficult to give margin guidance at this stage because we do not know as to how inflation or deflation will play out for our key commodities like copra and vegetable oils. But having said that , what we are committed for is

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Marico Information classification: Official to deliver at least low teen profit growth next year. And the drivers Sa ugata spoke about , drivers
would be first of all , we definitely expect the revenue growth to be in double digits if there's inflation in the portfolio. Number two , we spoke about significant improvement in operating margin of the digital and foods business. Number three , there are a couple of international markets where there is definitely a possibility of improvement of operating margin and number four, I think there will also be some benefits of A &P amortization. So far , we have not driven Saffola master -band strategy and so far, we've been spending in different buckets under Sa ffola. We believe next year we should start that journey . So, with all these levers and lastly maybe also if our premi umiz ation also plays out well that also improves our gross margin. So , with the mix of all this , we believe that at least we would be targeting low teen profit growth if not more .
Avi Mehta: This is very helpful. Thanks a lot for this and this is exactly what I was trying to better understand.
Moderator: We have a next question from the line of Arnab Mitra from Goldman Sachs.
Arnab Mitra: My first question was on as we look into next year , when do we see the pric

e decline in S affola
and Par achute anniversar ize and do we see any pockets of price increase that we can see because we are seeing certain categories in Personal Care where price hikes have started happening though there is no commodity pressure ? So, could you just help us understand these two aspects on pricing?
Saugata Gupta : I'll give you based on whatever our current outlook is , in terms of the revenue , you will see a slight revenue uptick in Q4 itself. We had earlier committed in Q 3, but we had to take some tactical pricing interventions to get volumes back on track in Parachute . And in fact , if I look at optic al and secondary volumes , Parachute growth have been robust in this quarter . Now coming to next year , if you look at history of Marico the sweet spot for us , especially in Parachute , is a scenario as foll ows; low food inflation , copra inflation , we have position gains and we deliver high volume growth and profitability is protected. We see that scenario likely to happen in the second half of next year. As far as Sa ffola is concerned , obviously I think if you look at the price around , pre-Ukraine , the price of Sa ffola Gold, which is a bellwether brand , was around 150 a liter, it went to 230 , it is currently around 160. So , most of the reductions are done.
Arnab Mitra: And any profits o r price increase in VAHO and other segments that you see?
Saugata Gupta: If there is commodity inflation next year , we will take price increases.

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 Arnab Mitra: My second question was on the Foods business. You've got 18% growth in this quarter. This includes, I presume, inorganic components that got added to the business. So, could you help us understand what could be the organic growth? Has it slowed down for some reason? What could be the reason s why we think it could accelerate next year?

Saugata Gupta: I alluded last time that one of the things we are doing right in our Foods is getting our supply chain and getting our gross margin right. So, there has been a slight slowdown. But if I look at trends, we should be in a position to get back into 20% + growth from this quarter onwards.

Arnab Mitra: And my last question, Saugata , was basically, if you look at Pawan's comment that next year, because commodity prices are difficult to fall out, you will still look to deliver a double -digit earnings growth. Given that margins, it's unlikely that you'll see margins further go up from where they are , so the burden of growth essentially comes on top. Given the current environment, does it not look very difficult that we could see a double -digit revenue growth next year? Because as you rightly men tioned, pricing, we would probably anniversarize at some stage, but we would have to literally deliver very high single digit volume growth to get to double digit kind of earnings growth. So, is there any difference in how I'm thinking versus what could be the template for next year?

Pawan Agrawal : If you look at copra cycle, typically it follows 18 -to-24-month cycle. So logically, we should have inflation in copra. So, we expect once the seasonal months are over, it should definitely have an upward bias. So therefore, there will be a time when we have to take a certain price increase. So, if we're able to deliver around 5%-7% volume growth , I believe that the balance will be made up through pricing as well as some part of the portfolio which will have better premiums . For example, let' s say if hair oil does better, or the digital business contribution increases so that delta will be sort of filled up from that part of the portfolio. And also edible, as I said earlier, that it has bottomed ou

t. We have gone back to almost pre -COVID level prices, so we do not expect any further deflation in edible oil . As and when if we face any inflation, of course there could be some price increase. So, as we move into Q4, we definitely expect Parachute to move into positive revenue growth. Come Q1, the entire anniversar ization of edible oil will be over. And then depending on if there's an inflation in edible oil that will also sort of move into positive trajectory. As far as value -added hair oil is concerned, we might take certain price increase depending on how the crude oil prices move. And typically, we see that we can always take 2% to 3% price increase in the portfolio without much of an impact on the volume. So, with all this, we believe that if we are able to deliver a certain level of volume growth, it can defini tely move into double -digit revenue growth.

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 Moderator: We have our next question from the line of Vivek M aheshwari from Jeff eries.

Vivek M aheshwari : A follow up to the earlier question on Foods, Saugata. If we do the math, it looks like that adjusting for Plix, the base portfolio actually didn't grow. Is that a correct calculation?

Saugata Gupta: The core has seen a mid -single digit growth . True E lements has anyway anniversarize d. So basically, it is just the food part of Plix added to it. I believe that from this quarter onwards we'll be back into 20% + because of the fact that what we did was we slowed down some of the growth because of our ability to manage freshness and also our ability to get the gross margin right. Also, there has been no innovation. If you look at the other thing that has happened is that this year winter has set in late. Honey has not given significant growth , also because last year was a big honey season. So, if you look at all that, I think it has grown in mid-singl e digits. But as per trends in Q 4 is concerned and whatever steps we have taken, I think we should go back into 20%+. And even next year into 20% + kind of a growth .

Vivek M aheshwari : March quarter. Sa ugata, when you say 20%, that is 20% plus Plix or including Plix, you're talking about 20% ?

Saugata Gupta: Including .

Vivek M aheshwari : That would still be very underwhelming. Because let's say Plix does about 35 -40 crores per quarter and let's say last year's base on food business was about 600 crores. So even if you don't

do anything, the Plix business itself is like giving you, based on our calculation, about 18 %-20%
kind of growth. Unless we are getting the seasonality bit wrong.
Pawan Agrawal : Vivek, what Saugata is mentioning is the base case , that we should definitely grow at 20% + in
Quarter 4 and we will be targeting more than 20% in FY25. Having said that, our efforts will be
to…
Vivek M aheshwari : FY25 will be organic, Pawan, right?
Pawan Agrawal : Yes, l argely because for the first three, four months, if you exclude, we acquired Plix somewhere
in the month of July .
Saugata Gupta: June-July. So, Plix anniversarization will happen from July.
Pawan Agrawal : Having said that, even Quarter 4, what we are planning is high single digit to low double digit
in terms of organic foods as well.

 Vivek M aheshwari : And the other thing is, Saugata , you had mentioned in the past about, and I understand businesses
are dynamic and there are a lot of things which go right and wrong. But let's say 850 crores when
you are

looking at for F24 and 1000 crores for F25, it looks like it's going to be more like 750
crores F24. What would you say that what did not go right? Is it the macro that you would say
did not go as per the plan? Or is it your base case built in maybe one more acquisition , when
you're ending with, let's say 100 crores shorter, where is the gap in your view?
Saugata Gupta: I think firstly, we must appreciate that our diversification journey has been reasonably good. If
you look at what was there in 2020 versus current, Foods has grown 4x. Now, if I had to see one,
two things where perhaps that contributed to the 100 crores gap is, one is that we didn't want to
grow at any profitability. We were clearly conscious that we must not grow at any cost. We must
get the fundamentals right on supply chain , stock freshness and other things. The second thing
is obviously, which you can see is that urban growth rate which was very strong during COVID
time has been now tapering off. And you can see it in also some of the food categories and the
food co mpany FMCG s that the growth was not at that level that was there, say, one or two years
ago. It's a combination of that. Having said that, at the end of today, it's always good to have an
aspiration or a dream. We are not way off, I think, from something completely n ew. 750 by 850
is not a very big miss. It is a miss. Would have loved to do 850, but 750 is not bad at all.
Pawan Agrawal : And if I have to add, Vivek over here, as Saugata said, it was an aspirational target that we had
taken in FY20 without sight in terms of which categories we'll get in, et c. So largely, if we have
made the business more than 4x, I think it's a good achievement. Now, standing here, what we
are looking at is that in the next three years, we should be trying to achieve 2x of the scale where
we are at this point in time. So, we are at 750. We should be targeting about 14 00-1500 crores ,
let's say we talk about FY27. So, again w e are taking aspirational targets. But yes, it's not a
significant miss because we have more than 4x as to where were in FY20.
Saugata Gupta: The other thing I want to add is what we have finally been able to achieve in FY24 exit is a gross
margin which is significantly better than Saffola edible oil. So therefore, overall Saffola brand,
we have actually been able to significantly up the overall blended margin.
Vivek M aheshwari : The reason why I asked you this was you don't think it's because of rising competition. We are
seeing, let's say, Tata Consumer, Nestle, ITC, all of these companies also now getting into some
of your zones. So , you don't think it's because of competition ?
Saugata Gupta: As I said that in low penetrated categories I think more people investing actually grow the
category. And as you know that there is a significant movement into healthy snacking and
healthy in -between meals. And you are aware of the strength of the Sa ffola brand. As I said, that

 is not the issue and we could have grown. The only category where we participate, where there
has been no growth in the category and actually the category has not been doing well post -Covid
is Honey. Otherwise, all the other categories, in fact, if you look at Honey Chyawanprash , of

course, Chyawanprash we don't have a presence , those are the categories which are not doing well. And especially there has been delayed winter and all that. But as far as Oats is concerned, we are getting growth. And I think we have just entered snacking. Once we get the GTM and our overall supply chain and capability right, we've taken a pause this year in terms of getting all this right , I think we will get back in

to 20% + growth. Now that is the baseline case I am giving. We may be aspiring more, but I think a 20% + baseline growth is something underwritten next year.

Vivek M aheshwari : One more on PPC. When we look at PPC this quarter, Sa ugata and Pawan, the presentation mentions about 300 crore Quarter 3 run rate. And last year when I look at the same slide it says 300 crores YTD ARR. If I assume that exit was higher than YTD average, it doesn't look like that PPC has also grown. What am I missing?

Saugata Gupta: There are two parts of the portfolio which hasn't grown. Serums has been growing as a category and it's been doing well . In male grooming , the Rs. 10 gel pack as you know , anyway, there is a stress in rural , so that has got impacted. The other part of the PPC is body lotion. Now this time there has been a very late winter and a short winter and some of th at sale has reduced, and some have flown into Q4.

Vivek M aheshwari : And lastly on VAHO . This BOP, Saugata, how much of this you consider th e sluggishness because of macro factors versus competition. Because your opening remarks did mention competition as well, b ecause as and when the cycle turns, things get better. Do you think this portfolio comes back or you think you would still be worried about competition over there?

Saugata Gupta: I think there are two ways of looking at it. If we look at it, there is obviously a sluggishness in demand. As you know, whenever there is significant inflation and there is stress in demand, smaller players get into it. And also, there is competitive inte nsity when organized players are focusing on that. Now , either I put all my resources and defend that versus a smarter way which we are trying to do is growing the mid and the premium where I have much lower market share. That makes far high er gross margin and that is what I intend to do. Because if Player A throws money, me throwing more money and selling at a low gross margin to get some market share is not something which is sustainable and not a smart thing to do over the long term.

 Moderator: We have a next question from the line of Akshen Thakkar from Fidelity.

Akshen Thakkar : Just wanted to understand two things from the team. One was around the edible oil business. We've seen quite a lot of volatility in the last two to three years, given the kind of channel corrections that you would have taken, competitive pricing, et c. When you look at this business, I'm not saying in the immediate term, but. next four, six, eight quarters out, how are you thinking about growth trajectory in that business? That's question one. Question two is you seem to be confident that the changes that you made in the distribution end will help growth. If you could just help us understand what the difference was between primary , secondary, so that we can at least better gauge if there is a gap that can be caught up in the coming quarters. Those two questions, and I had a follow up, but I'll wait for answers for this one.

Saugata Gupta: If I look at Saf fola, and let me tell you, Sa ffola works the best when there is stability. And in the last three years, there has been extreme volatility, very high inflation, followed by high deflation. Now, in a high inflation scenario , what happens is , the absolute price of Saffola becomes unmanageable and therefore, people don't upgrade, or rather they downgrade. When there's high deflation, which we have seen in the last couple of quarters, what happens is that the trade wants to destock because they don't want higher price stocks and they get stuck. We also want to be very careful and not push those packs, because if I sell and

create higher STR, I'm stuck with those and make low margins , because I may have to pass on below the line spends to basically flush out those stocks. So therefore, the way I look at Sa ffola long term is this, in the next three, four years, in the Sa ffola overall portfolio, if edible oil is 50% and Foods is 50%, with Foods delivering at least 10% higher gross margi n, if not more than Sa ffola edible oils , I think that's an ideal thing, which we want to do. So therefore, even if it means mid -single digit growth, that's a very satisfactory growth for me as far as Saffola edible oils is concerned. Having said that, it is very critical for Food to grow at 20% +. And one of the other things you must realize that Plix is wellness and Plix makes far more higher margin than normal food because wellness brands get to make higher margins. So having a far more higher growth trajectory in Foods and as Pa wan

alluded to the 20% is the base case , if I can do more, the better. But having a 50 -50 split over the next three years is something which we must do now.
Now, c oming to your next question on GT, as I said, it will be a gradual process because I don't want to drive this expansion with higher cost, but with smarter resource reallocation. It will happen in phases, so one has to be patient about it. What we are doing is a far more longer term reset to ensure the viability of GT . Under indexation in GT and over indexation in OT is not the right thing for long -term profitability and we want to ensure that there is balanced growth between the two channels. And as I said, unlike other organizations, given that we don't sell

 sachet and we don't sell Foods and Saf fola in rural, our rural GM is actually far better and
therefore it makes all the more sense to continue to invest behind rural distribution. As you know, our rural market share is actually lower, especially in Parachute . Also, in some of the markets which are strong markets , our value -added hair oil presence is not that great. We can always diversify. Bangladesh is a classic example where we had PCNO contribution of 90% , today , it is sub -60% and we have been able to do an amazing journey in growth. There is no reason why in some of our Parachute strong markets we can 't replicate that.
Akshen Thakkar : Last question from my side, Saugata . How are we thinking about capital allocation? Last two to three years we've made a bunch of tuck -in acquisitions. Do we wait to assimilate these at this stage, or should we be thinking of M &A as a continuing strategy hereon ?
Saugata Gupta: Firstly, I think we believe that the digital acquisitions have been immensely successful. We might not be the best in the world in creating digital brands, but Marico aims to be top quartile in scaling up brands profitably. And let me tell you, we have not even done the synergies. We are just about starting the process of synergies , synergies within the digital brands and taking some of the digital brands to GT. So, if there are opportunities, we will do it. Obviously , we have a certain appetite. But I think we will look at it. Having said that, we always believe that M&A is not a substitute for organic growth. Our focus continues to remain that we must deliver organic growth and M &A is a multipli er, and not an escape button for not able to do organic growth.
Moderator: We'll take the next question from the line of Harit Kapoor from Investec.
Harit Kapoor: Two questions. One was on the ad spend side . On the standalone there was an 11%-12% decline. Just wanted to understand, how do we read this? Is it a higher BTL in the core? Obviously, I understand that the adver

tising on the digital side is in the subs idiaries because it's a stake entity.
But I just wanted to get your sense on this decline in ad spend when we had so much of gross margin.
Pawan Agrawal : You're right. If you look at Quarter 3, of course, ad spends i n India business which is reflecting in the standalone has gone down. And there are three, four reasons for that. Number one, we have under indexed spends in Saf fola this quarter given the volatility in underlying commodity and cautious trade sentiment. And also, we ran a visible campaign in the last quarter where we had spent quite a lot and therefore, we had cut down the spends in Sa ffola in this quarter.
Secondly, in B OP, in VAHO , we rationalized some of the ATL spends and plo ughed back towards consumer beneficial pricing. So that also sort of reduced the A&P spends. Lastly, through the NRM project that we have done, we have rationalized some of the channel spend s

 in alternate channels of M T and E -com, which was getting , sort of , accounted for in A &P. While
this quarter fee we have declined by about 8 -9%, but if you look at YTD levels, the spend is about 6% -7% in terms of A &P.
Harit Kapoor: Pawan is it more of a one quarter kind of a phenomenon. Is that the way to think about it?
Pawan Agrawal : If you talk about Quarter 4, it should definitely go back to growth of at least mid to high single digit.

Harit Kapoor: The second question was on the GT changes. I just wanted to add one question . Over the next two, three quarters as we implement this, will there be a material difference between primaries and secondaries, or will it be marginal?
Saugata Gupta: Right now, a s I said, this month was 2%. We might do something more over the next one, two quarters. But ultimately the growth will also start coming because what we are doing is we are ensuring the system is geared towards driving growth, driving distribution expansi on. So, I don't think it will be beyond one or two quarters . It will start delivering growth rather than doing further corrections or reductions.
Moderator: We have a next question from the line of Latika Chopra from JP Morgan.
Latika Chopra: What I could sense was relatively more confidence in low -teens earnings growth for FY25 coming from you. If you look at different permutation combinations on top line growth, of course you've talked about a gradual volume growth recovery over the next four or five quarters. We talked about this GT re set that you're kind of playing out. Do you have any kind of margin levers which probably could take up margins even beyond FY24 levels of 21%, which is giving you confidence in low teens earnings for FY25?
Pawan Agrawal : As I explained, it's difficult to give a margin percentage guidance and that's the reason why I took the conversation more in terms of double -digit to low teens profit growth. And for that I've talked about the levers that I can see, which are the couple of markets in international , the digital business, the premiumization , plus, also we have an internal cost management cell that keeps on optimizing every year and we typically c ull out about 100 -150 crores every year. So, with a mix of all this, we believe that that kind of profit aspiration we should be able to meet. And as I said, we definitely expect anniversarization of Parachute in Quarter 4, Saffola in Quarter 1. If we were to look at the copra inflation cycle, we expect inflation to kick in once the seasonal months are over. So that will lead to some price increase. So, if we're able to deliver medium -term growth levels in our core business, I think it can lead to double digit revenue gro

wth .

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 Latika Chopra: The second question was the comment that you made on the Foods business, 20% + growth,
assuming Plix obviously is going to get into the pace, are we talking about next year , you mentioned a number for FY27, if I heard correctly, of Rs. 1400 crore . That's the aspiration I understand, but when you were setting that aspiration, is it organic le d or you would assume there is going to be some inorganic addition to this particular food business when you're talking about that aspiration of 20%+ growt h.
Saugata Gupta: The w ay we look at it is, we have said the what , we will now start doing the how. Obviously, any long -term strategic business plan has to be a combination of 90% logic , the last 10% ambition and magic. We can look at both inorganic opportunities as well as organic entry into new categories. And the biggest one we have to set right is how can we succeed in snacking . Because snacking is the biggest market and healthy snacking is a significant consumer trend. Plix also, I believe , given the huge trend in wellness, has the ability to really become a large brand and therefore it's a combination of that. Do I have complete numbers for it , no? But I think as long as we are 80% there, 90% there, we'll be happy. Because nobody realized in 2020 that in 2027 that we will have a 2 ,500 crore Foods plus digital business. We never realized we will have it, but we just dreamt of it. We did it. We may have not done 100%, we have done 80%, but we are there. Broadly, I think we should be able to do it. I think what is most important is that do you have an operating model to drive repeatable growth? I think we are broadly getting it. In digital we have got it mostly right. We have to get it right in Foods .
Moderator: We have our next question from the line of M ihir Shah from Nom ura.
Mihir Shah: Since most of the long -term questions are already answered, I have a few near -term questions. One clarification actually on the primary stock correction in GT. It seems that there are more steps you are implementing. Can this continue to impact sales growth for the next few quarters as well? Or given the stock correction has really happened, it can lead to an improvement in volumes optically at least in the near term , in the fourth and the first quarter.
Pawan Agrawal : We have done the stock red uction we started in this quarter. Maybe at best there could be an impact in one more quarter and we do not see really beyond that.
Saugata Gupta: And to answer t he second part is that from Quarter 3 onwards we will get the impact , a positive impact of that. Because if we are doing it in Quarter 3, Quarter 4, from next year that is FY25 in Quarter 3, Quarter 4, we will get the positive impact.

 Mihir Shah: I wanted to really talk on how should one think about the Parachute and VAHO volumes in the near term given that they have a high base? Do you see enough strength in demand improving from B OP that can help VAHO to remain in the positive zone given the high base?

Saugata Gupta: I think if I look at it , for large brands one of the interesting things you will notice is in both upside and downside , first offtake gets impacted followed by secondaries followed by primaries. That cycle we are almost seeing a complete turn as far as Parachute is concerned. Where we have seen offtake improvements, we are seeing secondary improvements happen and no

w we are expecting primary . And as I said that next year hopefully there'll be a sweet spot of Parachute which is low food inflat ion, some copra inflation , and therefore Parachute gains in that kind of a scenario. As far as VAHO is concerned, however, there are two parts to the story. One is that in mid and premium we have to still do a better job. But we are now getting growth. In the BOP part we are not getting growth and the BOP part is not getting growth is a combination, as I said, of stress consumption with smaller players participating and some of the intense competition that is happening . Now, that part we are not clear about what will happen, but at least we are extremely focused on improving or accelerating our growth in the mid and the premium part of it.

Mihir Shah: And a quick one on Saf fola oils. Given the sharp price cuts that we have seen , the GT correction , can one expect volumes growth to come back to double digit growth in the near term or there is still headwind from the lower price players that can continue to impact volumes for them?

Saugata Gupta: I don't think we are aspiring , because the double -digit growth of Sa ffola will happen only at the cost of margins. We don't want to do that. We are far more focused on putting the resources behind Foods growth and therefore even if there is a mid -single digit growth, we are okay with it.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Pawan Agrawal : To conclude, we have delivered a competitive performance in a rather challenging operating environment. If we go by offtake growth, market share and penetration trends, we believe we should see gradually improving growth trends in the quarters ahead. The i nternational business has been quite resilient despite transitory challenges in some of our key markets. With some of these subsiding, we expect to revert to a familiar growth trajectory from the next quarter itself. Overall, while our top l ine is subdued due to deflationary impact i n India business and currency depreciation in international business, we would deliver record high operating margins and fairly healthy earnings growth this year. We've also made visible progress towards the strategic

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Marico Information classification: Official imperatives set out at the start of the year, especially in terms of portfolio diversification and we would continue to invest behind the same. Th is is it from our side. If you have any further queries, please feel free to reach out to our IR team and they'll be happy to address. Thank you and have a good evening.

Moderator: Thank you, sir. On behalf of Marico Limited, that concludes this conference. Thank you for joining us and you may not disconnect your line s.

(This document has been edited to improve readability)

Call: May 2024

Marico Information classification: Official May 13, 2024

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Listing Department,
BSE Limited,
1st Floor, Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001 .
Scrip Code: 531642 The Manager,
Listing Department,
The National Stock Exchange of India Limited,
Exchange Plaza, C -1 Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400051 .
Scrip Symbol: MARICO

Sub: Transcript of the earnings conference call

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, copy of transcript of the earnings conference call held on Monday , May 6 , 2024 on the audited financial results and operations of the Company for the quarter and fin ancial year ended March 31, 2024 , is enclosed .

The said transcript is also available on the Company's website at https://marico.com/investorspdf/Marico_Limited_ -_Q4FY24_Earnings_Call_Transcript.pdf .

This is for your information and records.

Thank you.

Yours faithfully,
For Marico Limited

Vinay M A
Company Secretary & Compliance Officer

Encl .: As above

Marico Limited
Q4 FY24 Earnings Conference Call

May 06, 2024

MANAGEMENT : MR. SAUGATA GUPTA – MD & CEO , MARICO LIMITED
MR. PAWAN AGRAWAL – CFO , MARICO LIMITED

 Moderator : Ladies and gentlemen , good day and welcome to Marico Limited Q4 FY24 Earnings Conference Call .

We have with us the Senior Management of Marico represented by Mr. Saugata Gupta – MD and CEO and Mr. Pawan Ag rawal – CFO.

As a reminder all participant lines will be in the liste n-only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

Before we get started , I would like to remind you that the Q &A session is only for institutional Investors and Analysts and therefore if there is anybody else who is not an institutional investor or analyst but would like to ask questions , please directly reach out to Marico 's Investor Relations team.

I now hand the conference over to Mr. Saugata Gupta for his "Opening Comments ." Thank you and over to you sir.

Saugata Gupta : Good evening to all those who have joined the call and hope all of you are doing well.

With FY24 having come to a close , I would like to reflect on the operating environment during the year and the quarter gone by , after which I shall touch upon our performance and our strategic objectives going forward over the next 3 years .

The FMCG sector has been fairly resilient amidst challenging circumstances during the year . Volume growth for the sector , on a normalized basis , has remained stable , even while grappling with volatile input prices , erratic climate events , subdued environment in the general trade channel and slower than anticipated recovery in rural demand. Similarly , in Q4 the operating environment remained largely consistent with preceding quarters . While urban growth slightly moderated , rural growth witnessed a visible uptick towards the end of the quarter. Premium segments maintained their lead over mass segments across FMCG categories . With improved macroeconomic indicators , enhanced government spending , a favorable monsoon forecast , moderate retail inflation and reduced volatility in commodity prices , the upcoming year holds promise for a gradual uptick in consumption sentiment across both urban and rural.

 Moving to our performance in Q4 , the domestic volume growth inched up sequentially , with steadying trends across a majority of our portfolio. Domestic volume growth was flattish after three quarters of decline , owing to incremental anniversarization of pricing drops taken in key portfolios last year. We expect domestic volume growth to trend up consistently from Q 1 FY25 . We have continued to witness healthy offtakes with 75% of the business either gaining or maintaining market share and 100% sustaining or enhancing penetration.

Delving further into the domestic business , we shall now touch upon the key trends in each of our categories . Parachute has seen steady recovery over the last three quarters amidst the resumption of loose to branded conversion s as copra prices have inched up on the expected lines. This shift also reflect ed in the 50 -bps gain in market share. We expect an improving trajectory in volumes driven by the favorable trend in copra prices. Gradual escalation in copra prices is a positive for the brand as it affords us the opportunity to strategically leverage the brand 's pricing power and the tremendous procurement syst

em advantages we have versus
other brands and thereby gain volume traction and market share. In response to the rise in copper prices so far , we have already implemented price hikes in select packs in April amounting to ~6% increase at a brand level. We could take another round of price hikes in case of any further rise in copra prices during the course of this year .
Saffola oils also exhibited stability a s trade sentiment s eased, and both input and consumer pricing stabilized. With pricing decline abating early this year , revenue growth is expected to trend in the positive direction in this year . Offtakes for the brand have remained healthy and we expect the portfolio to gradually resume a steady growth trajectory . During the quarter , we initiated range advertising under the master brand “Saffola” by launching a powerful campaign on the importance of taking ‘Roz Ka Healthy Ste p’ through Sa ffola’s entire range of offerings comprising Edible Oils and Foods which emphasize the fact that healthy living is a lifelong journey and not just a temporary fad. We believe this is a first step towards leveraging the equity of the master brand which will enable far more efficient brand building investments going forward across the entire portfolio .
Value added oils had an optically weak quarter on a high base while there has been sluggish demand and higher competitive intensity at the bottom of the pyramid segment . The performance largely reflected the subdued sentiment in mass BPC segments. Notably , our mid and premium segments of value -added hair oil have continued to fare better . While we had a challenging year in the bottom of the pyramid segment , we expect a more rational competitive environment going ahead given the significant bearing it has on profitability. We anticipate a gradual pickup in the franchise 's performance next year , driven by a strategic focus on

 premiumization of the sales mix and augmented investment in brand building , which may be
supplemented by an improving consumption sentiment in mass BPC categories and more innovation from our side .
Foods had a healthy quarter with Organic Foods portfolio comprising Oats, Honey and Soya Chunks growing in double digits . We have closed the year at about 4x the scale of FY20. This is short of the revenue aspirations set earlier as we took a step back this year to reset a few fundamentals in order to be able to drive a consistent 20%+ CAGR in Foods over the medium term. This involve d refinement s in our supply chain and GTM strateg y and strengthening the cost structure. We now believe we have the building blocks in place to double the scale of Food business by FY27 and drive consistent improvement in profitability as each of these organic components get critical mass. We have expanded gross margin of foods by about 800 bps in FY24 through some of the aforesaid initiatives and expect this to further improve as we scale up . Within the Food’s portfolio , the Oats franchise maintains its category leadership with healthy growth in offtake s. Saffola Soya Chunks continues to scale well while Saffo la Honey emerged as the fastest growing brand in terms of penetration within the category and continued to gain market share. True Elements and Plix have also sustained their accelerated growth momentum.
Premium Personal Care has maintained its healthy growth trajectory , led by digital first portfolio clocking an exit ARR of around 450 crores. B eardo has scaled to about 3x since FY21 and achieved positive EBIT DA t his year . We will aim to move Beardo to double digit EBITDA margin in FY25 . Just Herbs surpassed the 100 crore s ARR milestone in FY24.

While
the traction in Plix 's personal care portfolio has been encouraging , both Plix and Just Herbs have been scaling with minimum cash burn. We now have a playbook and considerable in-house capabilities to scale Digital -First brands profitably and aim not only to double the ARR of Digital -First brands by FY27 but to also achieve double -digit EBITDA margin in the portfolio. Taking the growth trajectory and business drivers into account , we believe both Beardo and Plix have the potential to reach 500 crore s each in terms of turnover in the next 4 to 5 years ' time.
With the new businesses contributing to over 20% of the domestic revenues , our portfolio diversification objective has led to a marked shift in the revenue construction and reduction in commodity linkages of margin and revenue growth. We will sustain the aggression to drive

20%+ CAGR in these portfolios and expect the composite share of Foods and Premium Personal Care including Digital -First to reach 25% by FY27 accompanied by a visible improvement in their profitability .

 During the quarter and the year alternate channels continue to gain salience while general trade has been subdued by profitability pressures as a consequence of muted growth and pricing corrections in mass categories. We have observed , that over the last few years while disproportionate focus and investment on premiumization and innovation by the sector coupled with the emergence of D 2C has led to a quantum leap for alternate channels , the GT channel has been under pressure. However , we believe that the GT channel will remain a source of long-term competitive advantage for large, organized players and the primary channel of our mass or core categor ies to thrive in . While the price cycle turns positive, we have been taking initiatives to enhance the profitability of our general trade channel through stock reduction and selective credit extensions.

Over the last couple of years, we have also implemented a sales framework that enables us to continue winning in the marketplace by strengthening our micro market focus and execution , bringing enhanced agility, and leveraging technology and analytics. We have successfully streamlined processes and ironed out teething issues faced during the restructuring of the operating model over the last 6 months and expect much more positive outcomes going ahead.

Lastly , we also observed that the pace of expansion in our distribution reach ha d slowed down post the pandemic. Therefore , in this direction we have also rolled out a definitive plan to transform our direct reach over the next 3 years through the rollout of Project SETU . Project SETU lays a phased 3-year roadmap to expand our direct reach from 1 million outlets currently to 1.5 million outlets in FY27 , taking the total to direct reach multiplier from 5.8 x to 4x, which would be one of the best in the sector. We have committed investments of INR 80 to 100 crores by FY27 towards coverage and infrastructure enhancement and demand generation initiatives which will not come at an incremental cost to the company but will be funded by reallocation of resources through optimizing - spend s in the wholesale channel and organized trade savings from improving process efficiencies and reducing wast ages in the supply chain and large -scale use of technology and analytics.

Over the next 3 years we will deploy analytical capabilities to concurrently weigh the return on the investment and ensure Project SETU is cost neutral. In addition to improve d direct reach and weighted distribution , especially in challenger brands other than the core , we expect Project SETU to drive market s

hare gains across categories in urban and rural as well as to enhance assortment levels in urban stores , thereby enabling diversification and premiumization in the domestic business.

We will continue to drive differential growth in our urban centric and premium portfolios and large packs through organized retail and e -commerce channels. Therefore , our focus will

 deliver consistent and competitive growth through a much sharper and targeted portfolio -SKU strategy in each channel . Amidst the backdrop of improving macro indicators , we expect a gradual uptick in the growth of our core categories through these concerted efforts of reviving growth in the GT channel. Further with pricing headwinds behind , we expect domestic revenue growth to outpace volume growth from Q1FY25 .

Moving to International Business , we have rebounded to double digit constant currency growth in this quarter and expect to retain the momentum in FY25 and beyond. The Bangladesh business has recovered strongly on a sequential basis amidst the challenging environment on the back of its broad -based portfolio and robust fundamentals of the business. We expect the business to grow in double digits going ahead .

In Vietnam we are seeing a slowdown in HPC demand , although the expanded portfolio which now comprises three distinct female personal care brands should enable us to hold strong in the meanwhile . Over the last couple of years , we are seeing a strong ramp up in our MENA through the expansion of hair oils portfolio in Egypt and the Gulf region as well as healthy traction in the hair care and healthcare portfolios in South Africa. This has accelerated the broad basing of our business reflecting in a reduced dependence on the leading market , Bangladesh. We expect the revenue share of Bangladesh , which was more than 50% in FY22 , to reduc e to about 40% by FY27. In addition to strengthening the growth prospects of the business , the ramp up of M ENA and South Africa adds margin upside potential through scale benefits in the medium term.

To sum up, Consolidated revenue growth has moved into positive territory in Q4, and we expect it to trend upwards during the course of FY25. We believe we have put in place building blocks to deliver double digit revenue growth through consistent outperformance vis-à-vis category and market share gains in the domestic c ore portfolios , accelerated growth in foods and Premium Personal Care and double -digit constant currency growth in international business . We have delivered our highest ever operating margin in FY24 led by robust gross margin expansion , even while investment towards brand building , which was at 10% of sales remained a key thrust area. While key commodities are exhibiting upward bias, we are confident that we will be able to maneuver margins through pricing , driving more favorable mix, cost management and procurement gains to hold steady in the coming year.

In the medium term , we expect operating margin to structurally inch up over the next few years with leverage benefits as well as premiumization of portfolios and diversification across both the India and international business.

 With that I will now close my comments. Thank you for your patient listening and we will now take all your questions. Thank you.

Moderator : Thank you very much . We will now begin the question -and-answer session. The first question is from the lin e of Abneesh Roy from Nuvama .

Abneesh Roy: My first question is on food ’s vision , doubling in 3 years that would mean 25% CAGR and related question is taking direct reach from 1 million to 1.5 million through Project Setu , for both these do you need to do more M&A or is it based on the current portfolio largely ?

Saugata Gupta: As far as Project Setu is concerned , actually in certain states we are under indexed in distribution. We believe that post COVID , we haven ’t had a significant increase in distribution and therefore , in a lot of places we want to move our reach from indirect to direct. The current core is good enough but you could see far more aggressive participations in some of our core categories , especially in value -added hair oils. Project Setu is specifically focused at certain states where we are under indexed and most of it is by two things - a lot of expansion in direct distribution including quality of direct distribution , especially in rural and a far more segmented approach in foods and premium personal care in urban . And we expect an outlay of 80-100 crores over the next 3 years for Project SETU which will be funded internally from some of the savings and the reallocation of resources within the overall sales system as well as cost management across the organization. This is a big bet for us where we have put a dedicated team , including senior leadership, to drive this over the next few years.

Abneesh Roy: One related question is on the India demand. Some companies have started talking about high single digit to double digit volume growth in some quarters of FY25 and some companies are also s aying that going ahead rural will grow faster than urban. I think it will differ company to company. Wanted to understand for Marico on these two aspects , in terms of volume growth for the full year for the India business and in terms of rural versus urban , what will be your take for Marico?

Saugata Gupta: We are definitely seeing some rural upt ick especially during the end of the quarter while urban has moderated . The way we see it obviously as far as the core is concerned , definitely there will be far better rural growth. Also , the benefits of Project Setu will start kicking in the second half. Also we have a significant digital business that is growing which is essentially a little bit of urban. But as far as the core business is concerned , rural demand will be significantly showing improvement at least as we gradually move towards the second half of the year. As regards , we are , at this stage , in a position to perhaps say that we look forward to double -digit

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 revenue growth , although not the composition of volume and inflation as we will see how it
pans out during the year.

Abneesh Roy: My second and last question is on Bangladesh. So , you have come back to decent sales growth, and you are aiming for a double digit growth going ahead. So , wanted to understand how because we keep hearing that there is a currency issue there. There is overall some level of anti-India sentiments also. I don 't know if that does impact you . And overall economy also facing a lot of challenging times. So , in that context wanted to understand this acceleration in growth , is it coming because Parachute ? has it taken price hike ? and you do have a sizable Parachute business but in terms of volumes and market share if you could comment how are things shaping up there?

Saugata Gupta: I think volatility in a post COVID world is here to stay and black swan events have to be integrated into any company 's risk management framework. In times of volatility , we always believe th

e strong get stronger and the weak get weaker , and it has been seen during COVID in India where organized players have gained share. In Bangladesh , we have a relatively strong position and we are extremely robust. The last quarter's sales have been on the back of volume growth and market share gains. We have significantly reduced dependence on Parachute in that market through portfolios such a s value -added hair oil , shampoo and baby care driving incremental growth. We have a much more broad -based business out there and therefore , given our distribution strength and brand strength , in spite of some of the issues in the country , we are seeing significant improvement in the on ground situation as far as our brands and our position is concerned. But having said that the Bangladesh situation is far better in terms of economic growth, and we believe the currency and economic situation will get better as things progress .

Moderator: The next question is from the line of Avi Mehta from Macquarie .

Avi Mehta: I just wanted to understand Project Setu a little better and clarify a point. Now in addition to this benefit that could come in terms of reach and hence to segment level growth rates , do you see it fair to see such a reduction in inventory lowering the impact of channels , down stocking or up stocking that is witnessed during periods of copra and vegetable oil price hikes ?

Saugata Gupta: The two things it does is , it radically improves the quality of distribution. Now what happens if you look at it a s a core brand like Shanti Amla in the north and Parachute in the south and west, obviously , we will have a huge indirect reach based on pull effect . What happens is the moment you move from indirect reach and wholesale dependent reach , which also is a factor of a significant pull and only focus es on a limited amount of SKU s having significantly high

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 velocity , to drive direct reach , it increases your range , it increases your assortment , your
control and it also leads to better rates because sometimes wholesale discounting and dumping leads to some kind of a rate instability. So , it gets far more controlled. Now direct reach also ensures that perhaps the cost of doing sales for entire rural will go down with our technology driven live visibility of what is happening in the system . Also , as you know we don 't do sachets and therefore our portfolio mix is reasonably good in rural . Given the mar gin profile of the brands we sell, our breakeven as you drive rural distribution is fairly attractive. Now what had happened in reality was that post COVID in our focus on driving diversification , perhaps this had taken a backseat and therefore we didn 't make significant improvement in our direct distribution. We strongly believe that for mass consumption in the core categories , direct distribution especially rural will be a source of long-term competitive advantage as opposed to indirect distribution. In urban , especially in OT, you can buy distribution in some way . However, rural requires significant investment , infrastructure , even scale , operational efficiency, and huge investments in technology and this is what we intend to do. As you know that we also compete with a lot of small players who will never be able to do that kind of

investment. And this is something we are now determined to do, and this will actually drive three or four things. It will drive range selling ; it will drive far more weighted distribution. Now you know if you want to compete or challenge our ability to take on certain brands or when we are the challengers , it will be far better , especially in

some parts of the country like
north where we are slightly under index ed compared to south and the west. It will also lead to, far mor e of smoothening and lowering of sales dependency . We don 't have to depend on the indirect channel for some of our growth.
Avi Mehta: But as I clear ly understand, there is a lot more benefits in sales perspective and reach retrospective in terms of quality , that is what you are targeting. The second bit I just was your comments on pricing growth coming back in Parachute , vegetable oils , decline coming in the base, foods sector doing well , I just wanted to reconfirm that our expectations for FY25 are a t double digit profit revenue and low teens profit growth remains or is there any update on it?
Saugata Gupta: No, I think directionally it remains that way.
Moderator: The next question is from the line of Percy from IIFL .
Percy: Questions on a couple of the core categories. So , in VAHO there is still a sales decline. Just wanted to understand when will the pricing anniversaries a nd secondly even apart from the price reductions , I would guess that the volume is probably either marginally negative or just marginally positive , so what do we need for the volume growth in VAHO a lso to accelerate ? And the same next question is for Saf fola also, Saffola volume growth is not bad at I think
 around 5% but there is a significant price cut which is going on. So , when will that sort of
anniversaries on a YOY basis , it's something that will help in the modeling exercise ?
Saugata Gupta: As far as S affola is concerned , it will anniversari ze in Q2 because the last price drop happened sometime at the end of Q 1, it was initiated sometime in June -July. And our current estimate indicates low volatility in the immediate term as far as Saf fola is concerned . As far as VAHO is concerned , there are two things . Yes , sometime during the next 2-3 months , the shrink flation anniversarization will happen. Well , it's not just pricing but it is a shrink flation anniversarization because some of it was in our 10 and 20 packs because post inflation , we took down the ML-age. We are focusing on value growth and on ce that anniversari zation happen s, we get back into positive value growth territory. Secondly, there is competitive pressure at the bottom of pyramid. Without getting into exact details or breakup , one good thing is that since the last quarter , we are beginning to see volume growth and therefore better mix growth , driven by our performance in the non-bottom of pyramid segments, where we are also gaining some share , which should lead to the value growth happening. We also expect some rationality in competitive intensity at the bottom of pyramid because consistently pricing down doesn 't make money for anyone you know.
Percy: Also wanted to understand on the digital brands , like in foods you have said that in 3 years you want to double the turnover. Any such targets for the digital brands ?
Saugata Gupta: Yes, it is 2x in 3 years for digital brands as well . Our endeavor will be that the diversification portfolio, which consists of Foods and P remium Personal Care grow s at 20 +% every year. So, that's the aspiration. I n digital we are very excited about the way Plix and Beardo are scaling up. I have reinforced this that we now have a reasonable playbook to ensure that we profitably scale up th ese business es.
Percy: And lastly on your overall consolidated margins , we are already sitting at very decent kind of margins versus history. So , over a 2-to-3-year period what kind of headroom do you see in the margins if at all?
Pawan Agrawa

l: There are some structural levers in place which we will deploy as we go ahead and there could be some possibility of improvement of margins over the next 3 to 4 years. Some of the things that we can talk about is for example Foods, you would have seen that we have expanded the gross margin this year by 800 basis points. That itself has given a significant ramp up. And some of the initiatives that we had taken , was during the year and therefore full year benefit will flow through the year next year. Similarly , we are making big strides in margin improvement in digital business next year , also on the back of a significant enhancement this

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 year. Beardo has broken even, and we aim to move to double digit E BITDA next year. You
would have also noticed that we have started the master brand campaign in S affola which will
help us optimize the A&P spends. And similarly , some rapid scale up in some of the
international territories will build operating leverage and that will aid margins. Apart from that
Saugata also spoke about premiumization. So , we will also try to drive a better mix. We do
expect that the share of portfolio with higher margin profile will also increase, having a
positive rub off on overall margins. So , with all of these levers in place , I believe that there is
still an opportunity of margin improvement over the next 2 to 3 years. However , given the fact
that we have inflationary pressures , we do not see any margin improvement happening next
year. But of course , we will definitely strive for healthy profit delivery.
Moderator: The next question is from Manoj Menon from ICICI Securities .
Manoj Menon: Before the questions I just want to have a clarification. So , did I hear correctly did you mention
that the relative competitive intensity in VAHO is likely to get better ?
Pawan Agrawal: Hopefully , at the bottom of pyramid , as Saugata mentioned, because there is some irrationality
with respect to the way it is happening at this point in time.
Saugata Gupta: Yes, ust to clarify , that in any case , we will continue to focus in ramping up the slightly higher
RPI end of the business.
Pawan Agrawal: And also , just to add Manoj, in fact ex of BOP segment we have grown well. And in fact , we
have also gained share in ex of BOP segment. So definitely we are doing a good job in the mid
to premium segment . Because of hyper competition at the bottom of pyramid , is where we are
facing stress.
Manoj Menon: Pawan , BOP would mean only Shanti, or would you include other brands?
Pawan Agrawal: Basically , it is Shanti Amla and Sarson .
Manoj Menon: Secondly on the D2C I just want to double click on a couple of things actually. One , D2C
brands are about 5% of the overall India revenue today. There is an opportunity to go online to
offline etc. and even companies which ha ve been predominantly online ha ve created which
means that company like Marico conceptually for the success proportion ratio in offline should
be far higher. But could you just talk a little more in detail in each of these four brands , which
and by when you actually see the higher opportunity from online to offline and is that one of
the key considerations in the guidance of doubling of revenue in D 2C? And another one just

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Marico Information classification: Official the one last thing on the D2C part is , if you also talk about organizational changes if any , we
did find one exchange announcement few mon

ths back of an EVP digital appointment as well.
So those would be helpful.
Saugata Gupta: I will just give you a more high level view on the movement to GT. As far as startup branch is
concerned , food is far more easier to first get into GT . Because I believe that anything which is
low AOV and moderate to low margin categories like food obviously needs to go to general
trade or premium general trade quickly instead of being present only in digital model ,
nutraceuticals being an exception because nutr aceuti cals are high margin and high AOV .
Accordingly, as far as brands like Beardo and Just Herbs are concerned , the focus should be to
take some of the SKU s to GT. Just because I have money to throw, and I take big display units
in the outlet doesn ’t necessarily mean I will generating an offtake in GT. That might give you
one-time sales, but it doesn ’t necessarily give you long term repeat offtake. So , our approach
has been methodical, and the first step would be to get into maybe premium cosmetic . which
we have already done with Beardo and we have some contribution s coming from GT , for Just
Herbs its minimal. With Beardo we are already experimenting a little bit. And yes , there are
two sources of competitive advantage. One is obviously the existing access to GT. But more
importantly the fact that we now have scale in digital brands to enable sharing of resources
costs best practices and the first party data , which we have not yet harvested. So it’s a
composite thing and not just G T.

Manoj Menon: And is it fair to say that you 've already done the groundwork in terms of for example when I think about you have put ink on paper actually giving a guidance . Is it fair to say that you have actually identified which brands , geographies outlets SKU s, so you do have fair amount of clarity on the execution ? Now obviously you have to just execute. So , is it fair to assume that way on D 2C?
Saugata Gupta: Again, as I said that we will do a lot of test and learn. Unlike Project Setu which is a very proven concept , to expand outlets ; to expand distribution and it gives reach , as far as GT in D2C is concerned , it's going to be a series of tests and learns. For example , sometimes it surprises you like a certain category, or a subcategory starts flying. I 'll give you an example of it. One of the D 2C brands without naming ; we are seeing huge traction on quick commerce now. We didn 't realize that we will have some , later we realized , it's an emergency top up or an impulse and it can work. In Beardo we are checking out the salon channel. That 's an alternate channel and, hypothetically , we should also be open for looking at any inorganic opportunities in alternate channels tomorrow . So, we are doing a series of tests and learns. And therefore, to say that we have an extremely cookie cutter approach that this is going to happen

 would be incorrect . Ie. One of our stated intents is that while we will continue to grow the core , over the next 3 to 5 years we will ensure that the diversification or decommodi tization of the business keeps on happening rapidly . And in those areas , we will do some experiments . Now how much will be the percentage of GT , is very difficult to say but all I can say is that in food it will be far more accelerated than personal care. Because in personal care we believe that by just mere presence in OT and bringing it to modern trade itself is a huge opportunity. And as you know the other interesting thing is that even 2000 top cosmetic stores contribute a significant portion of beauty in this country.
Manoj Menon: And one last thing if I may , I am not sure it 's relevant for a quarterly call, but you know it 's a platform to engage. I still get portfolio manager s questions on if hair oil is a sunset category. I understand that this has been discussed many times in the past, particularly during down cycles in general for FMCG. And historically you have helped us with some quantitative information in terms of recruitment rates , lapse rates , performance of different segments of hair oil versus some other personal care segments particularly in the B OP etc. Could you just help us with some statistics to kind of continue to assume that it 's not a sunset category as it is perceived to be?
Saugata Gupta: Manoj , it's a 45 minute s presentation. I am happy to do it. All I can assure you is that trend of VAHO growth has largely trended BPC. In fact , its now been 20 years since I joined the organization and since then t here was a note that the category is dying , even in 2004.
Manoj Menon: I will probably connect with Pawan 's team separately.
Saugata Gupta: Absolutely. Let me tell you another interesting thing , we are seeing good traction in international markets and some of the western markets too . I believe the more people damage their hair , the more people do a lot of treatment this practice will be relevant and come back. I look at the practice of this category just like yoga and having a turmeric latte. If you look at the today 's youngsters , they are far more proud of Indian music , Indian traditions than perhaps the earlier generations who were just looking up to west for everything.
Pawan Agrawal: Also , if I may add Manoj, the three important consumer metrics that we keep track on which is the penetration , the frequency of usage and the consumption per usage. On all these three parameters we draw a lot of confidence looking at the numbers . There could be a little bit of lapses in the top SEC A section of the society but that 's not something which is a matter of concern. In fact , they are only moving to some better formats where also we are present. So purely on consumer metrics , we have a huge amount of comfort. And as Saugata mentioned , we can always have a much longer discussion in terms of to take you through as to what are

 the broader trends in hair oiling. But purely from a consumer metric standpoint , we are
absolutely comfortable.
Saugata Gupta: The other thing I want to add , is that sometimes when the category growths are presented , when you add up the category growth of the organized players , in some of our categories what gets missed perhaps is the growth at the top end and the growth of the small brands or unbranded and especially during inflation. So , you have to add that as well. For example last year, we believe that people have moved to smaller brands because of inflation pressure , because of a lot of categories . Similarly at the top end people have moved to digital brands . Now they don 't get captured when you add all the volume growth of the large players and then you get a feeling that the category is slowing down.
Moderator: The next question is from the line of Tejas h Shah from Aven dus Spark.
Tejash Shah: Saugata, j ust wanted to understand the genesis of the project of distribution expansion because in recent past whoever has f gone down this path , has not resulted in numeric expansion at least in terms of sales expansion sales growth. So just wanted to know how should we think about that , this as a growth driver or this is a quality of distribution driver, or this is a margin driver going forward?
Saugata Gupta: It's both growth and quality of distribution driver . I perhaps would beg

to disagree with your
point because there are at least two or three players , peers in our sector who have significantly added distribution which has resulted in distribution led growth and contributed to some of the outperformance . If you see in volume growth or top line growth in the sector in the last 5 to 7 years , two or three players that stand out will have all been through direct distribution increase.
Tejash Shah: So today when we analyze our own data , numerically 16% of our distribution is total reach is actually direct. So , should we assume that a large part of our revenue is actually coming from direct or how should we think about over indexation of that number versus our current revenue base?
Saugata Gupta: Usually your leader brands are dominant brands like a Parachute in the south and west and Shanti Amla or a Nihar in east. They can reach through indirect distribution channel because the indirect distribution channel likes to have a minimum amount of SKU s with tremendous high velocity. However, for challenger brands , newer categories in value added hair oil or some of the other categories which we want to develop for diversification of the portfolio , direct reach and retailing is far more important. Another thing is that ultimately general trade and the profitable sustenance of general trade is going to happen when you expand far more in

 rural because there is a significant competition with OT in urban . For large scale manufacturers like us , we have categories with significant penetration in rural ., Parachute for example still has a 12% to 13% gap between rural market share and urban market share. We have data to prove for brands like Parachute, Nihar , etc., if I don't start driving distribution and direct reach the vulnerability to counterfeiting is extremely high as I have brand awareness but not brand availability . So, the combination of all that with the belie f that our direct to indirect ratio of 5.5 is extremely high is why we are doing it . The average of indirect to direct ratio , of our peers is slightly lower because in the last 3 years we didn 't do that much in expanding distribution. we have taken tremendous strides in the last 2-3 years, in our cost management initiatives , driving analytics based spend models and therefore today we are very confident in terms of people effort , in terms of resources is available to proceed in a very focused sort of way. In fact , as we speak there is a dedicated team of senior s this one actually driving this initiative.
Moderator: The next question is from the line of Aksh en Thakkar from Fidelity .
Akshen Thakkar: Just a couple of questions from my side. One was , just double clicking on your commentary around profit growth for next year. I think till last quarter we were calling out low te en growth. And while you 've not called it out it did sound like you 're talking about low double -digit growth here. So just wanted to understand if the interpretation is correct and if so , is Project Setu or investments that you 're making there or elsewhere in the business causing this sort of lower and we 're all for good investments to be made. No problem over there. Just wanted to be clear on where the difference is coming from versus the previous commentary.
Pawan Agrawal: So, there 's no difference Akshen. W e definitely will strive for low teen profit growth but there are multiple moving parts at this point in time. For example , if you look at, we don 't know as to how inflation will pay out in key commodities or how will geopolitical scenario pan out

which will have impact on crude prices and its derivatives and the correspondi

ng impact on the
pricing on portfolio. So , first of all for margin percentage , we are still saying that we will try and hold . Now depending on what is the kind of revenue growth , we definitely will deliver healthy profit growth. So low double digit is something definitely which we believe will definitely happen but will definitely strive for low t een growth as well. So , there is no change per se in terms of what we have said earlier.
Akshen Thakkar: So, we should take it as a bound that you try to keep it within that range, and we should read it only as volatility in raw material and not that incremental investments in Project Setu or something else which is about ….

 Pawan Agrawal: Project SETU as Saugata has clarif ied is self-funded . So, there are multiple sources , we spend
about 300 to 400 crores in various channel spends. And while S augata said that we will spend about 80-100 crores , in the first year this investment could be about 20 -25 crores. And taking out that 20 -25 crores out of a spend of 300 to 400 crores is not something which is a very difficult task. There are a lot of inefficiencies which we can weed out and therefore we will reallocate the resources. So , this Project Setu will not have any impact on the profitability purpose.
Saugata Gupta: Just to clarify that 80-100 Cr is over a 3-year period , it's not 1 year.
Akshen Thakkar: Secondly just wanted to leave you with a comment on really welcome the disclosures on gross margins for food and whatever the EBITDA margin targets for digital first brands etc . are. I think that just helps us understand margin drivers on your business a lot better from these levels. Otherwise , we come to think of 21% as historical peaks. But as I think you called out well that some of these drivers continue to help margins. Look forward to more disclosures around some of these businesses which are becoming less a part of your business. One very last housekeeping question from my side. On other income , there is a sharp dip this quarter. Is there anything one time that we should be thinking about in this quarter?
Pawan Agrawal: Akshen I think it 's better to look at a full year number rather than Quarter 4 because of some one-time sitting in the base. So , at a consol full year level if we have to look at like -to-like, it has increased by about 10% . Specifically for the quarter of course , it has one off if you remember . base had a one-time gain on sale of land in one of our units which is approximately 3 crores . And apart from that , also this quarter we have a lower investment income due to higher dividend payout. And additionally, there is a forex revaluation hit due to currency depreciation in Egypt and MENA . So, these are some of the one-off items in Quarter 4 which is distorting the picture. And therefore, it is better to look at the full year which is about like to like about 10%.
Moderator: Next question is from Mihir Shah from Nomura .
Mihir Shah: A quick question on VAHO . If you can again try and help us understand whether the 7% decline was largely because of high basic volumes or is there a price correction that was taken? I am s orry if I am asking again, I missed out on that part. Is it a price cut in VAHO that we have implemented or its largely volumes have contracted meaningfully ?
Saugata Gupta: I will just give you a construct. We have done relatively better in the mid and the premium segments . There has been a little bit impact in the bottom of pyramid which is a combination

 of not price but shrinkflation and some volume impact. But the good thing is that since last
quarter we have started doing much better and our focus will also be in that . If I had to do a cut between low RPI and high RPI , as the RPI moves our market share progressively reduces. Therefore , there is a huge market share pool which is sitting there. You will see during the year

some more concerted action on our part to get that market share.
Mihir Shah: Thank you for that clarification because I was just wondering if it 's pricing led then it'll direct you for the remaining part of the FY25 .
Saugata Gupta: The shrinkflation anniversarization is also happening as we speak.
Mihir Shah: One more question on margins actually . I am just trying to understand the waterfall on the margin because Saf fola which was a low margin segment for you , Saffola edible oils was kind of in a very massive decline phase which is coming back to growth phase and hence it can ideally add on to the pressure. VAHO p robably yes , there is some anniversarizing that is happening. But again , contribution will be lower. The positive swings will come from your new portfolio or the growth portfolio but add on to the project. So, if you have to hold on to the margin will it be at the cost of ad spends or there is sufficient room for that to get investments behind the growth brands can be run with the kind of margin swings that we are expected to see?
Pawan Agrawal: So, as I explained earlier , margin swings will basically come from three -four things , one is as I said Foods. There has been a margin expansion in the current year and in the current year also these initiatives were identified during the year . So, there will be benefit for next year also. Plus, in digital business , we have moved significantly this year and there 's a plan to move to positive EBITDA in the next year. So that will all aid the overall margins. And similarly , if you look at VAHO performance , it has not been the best and if you are able to drive better VAHO and a better mix , it will also help improve the margin. Again , at the cost of repetition, I just want to clarify that SETU is not going to impact the profitability. It will be self-funded and as I mentioned that there are multiple resources. We will do a reallocation of resources. So that will not have any impact on profitability . Margin percentage guidance as I said , it is more about we will try to hold the margins, but we will be str iving for healthy profit growth.
Moderator: The next question is from the line of Karthik Ch ellappa from Indus Capital Advisors .
Karthik Chellappa: I have two questions. First is on your direct distribution expansion of the additional 0.5 million outlets. Can you talk about predominantly which states will see this expansion?
 Saugata Gupta: No, w e don 't want to get into details but as I said that in certain parts of the country, we have traditionally been weak , where our competition is perhaps relatively stronger. And which means that other than our top brand , the second or the third brand weighted distribution is weak because we don 't do direct distribution. So , obviously it 's not an all-India thing , we have selected certain things , we will go in a phased manner and it 's a 3-year effort. So , we will take couple of states. Then next 6 months we will take a couple of states. Right now we have started the test and learn. In fact within a state also sub -region and sub -cluster focused. And as a result we have also done our sales structure revamp just the way we have for the cluster kind of an approach , which is there in our sales system now , some of the other peer companies have also done it . So, it's similar to winning in many India s if you may .
Karthik Chellappa: The second question is , as far as the gross margin expansion in foods is concerned of 800 basis points , what portion of this will be cyclical simply because of moderate inflation? And what portion do you think will actually be structural?
Pawan Agrawal: Most of the expansion is actually more structural in nature . Let me give you a bit of a color on that. So , first of all we have improved the relative price index for some of our products in relation to the competition. That 's quite prominent. We have also moved to in-house manufacturing from 3P operations for one of our key product portfolios, which has helped improve the gross margin. Thirdly we have also reconfigured our supply chain footprint to move closer to the marketplace. That will optimize the supply chain and logistic cost. And also, now with honey and soya gaining scale , we are getting scale advantages in procurement. Yes, some part of it is also driven by gains in commodity but a large part of it were due to all the structural reasons that I spoke about.
Karthik Chellappa: Just one housekeeping question. If I look at the others , under other expenses of 321 crore s, I think this is the first time where in a particular quarter it has crossed 300 odd crore s. What would be the key expense items which saw this rise? Anything specific to call out there?
Pawan Agrawal: There will be some of the inorganic element of the acquisition that we have done , which is Plix. So, if you exclude that then your growth will be in line with the volume and revenue growth.
Moderator: Thank you very much. We will take that as the last question. I would now like to hand the

conference back to the management team for closing comments.
Pawan Agrawal: Thanks for listening in on the call. To conclude , the year has ended on a positive note with both the domestic and international business headed in the right direction. We expect an

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 improving trend in domestic volumes through the substantial initiatives being taken to bolster growth in the core categories and sustained focus on diversification. We also expect to continue strong momentum in the international business while expanding the growth levers of the business. With pricing and currency headwinds largely in the base and commodities exhibiting an upward bias , the pricing cycle has turned positive. Owing to the above , we believe we have set the stage to deliver double digit revenue growth in FY25 and we aim to deliver healthy earnings growth in the coming year. If you have any further queries , please feel free to reach out to our IR team and they 'll be happy to address. Thank you and have a great evening.
Moderator: Thank you very much . On behalf of Marico Limited , that concludes this conference. Thank you for joining us . Ladies and gentlemen , you may now disconnect your lines.

(This document has been edited to improve readability)

Call: Aug 2024

Marico Information classification: Official August 12, 202 4

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Sub.: Transcript of the earnings conference call

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, copy of transcript of the earnings conference call held on Monday , August 5 , 202 4 on the un-audited financial results and operations of the Company for the quarter ended June 30 , 202 4, is enclosed .

The said transcript is also available on the Company's website at
https://marico.com/investorspdf/Marico_Limited_ -_Q1FY25_Earnings_Call_Transcript.pdf .

This is for your information and records.

Thank you.

Yours faithfully,
For Marico Limited

Vinay M A
Company Secretary & Compliance Officer

Encl .: As above

Marico Limited
Q1 FY25 Earnings Conference Call

August 05, 202 4

MANAGEMENT : MR. SAUGATA GUPTA – MD & CEO, MARICO LIMITED
MR. PAWAN AGRAWAL – CFO, MARICO LIMITED

 Moderator : Ladies and gentlemen, good day, and welcome to the Marico Limited Q1 FY25 Earnings Conference Call.

We have with us the Senior Management of Marico, represented by Mr. Saugata Gupta – MD and CEO; and Mr. Pawan Agrawal – CFO.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*"and then "0" on your touch - tone phone. Please not e that this conference is being recorded.

Before we get started, I would like to remind you that the Q&A session is only for institutional investors and analysts, and therefore if anybody else who is not an individual investor or analyst but would like to ask questions, please directly reach out t o Marico's Investor Relations team.

I now hand the conference over to Mr. Saugata Gupta for his "Opening Comments" . Thank you, and over to you, sir.

Saugata Gupta : Good evening to all those who have joined the Call, and hope everyone is doing well. I would like to start with a narrative on the operating environment during the quarter gone by, after which I will touch upon our performance and strategic objectives going forward.

During the quarter, the sector continued to witness gradual improvement in demand trends with rural growth ahead of urban. Pricing growth, however, turned flattish on a Y -o-Y basis while both HPC and Foods witnessed an uptick; the pick -up in HPC has been m ore pronounced over the last six months. Premium segments continued to outpace mass segments and alternate channels continued to gain salience vis -a-vis general trade. We expect volume trends to sustain the improving trajectory, aided by stable retail infl ation, a healthily progressing monsoon season, and the government's budgetary allocation towards boosting the rural economy. That being said, elevated food inflation and spatial distribution of rainfall will be key factors to be monitored.

Moving on to our performance , the sequential uptick in domestic volume growth was led by a steadying trend across a majority of our portfolios, and partially reflected by the healthy trends in offtake growth across key portfolios. More than 90% of the business either gained or sustained market share and penetration on a MAT basis. However, the improving trajectory in the core portfolios would have been more discernible if not for the impact of ongoing stock adjustments

 implemented to support GT distributor ROIs and conscious holdback of inputs in

wholesale and
B2B channels in particular markets to prioritize direct -reach expansion through Project SETU. The latter initiative ensured ease of direct selling -in of a range th rough the outlets instead of those retailers where we are expanding distribution, picking up stocks from wholesalers or B2B. Domestic revenue growth moved up in high single -digits along expected lines given the price hike in the coconut oil portfolio, whic h absorbed the residual base impact of price drops in Saffola oil. Pricing growth is likely to pick up through the year with Saffola oil price drops moving into the base completely from Q2 and mild inflation expected in some commodities in Q2, particularly copra, which will further aid domestic revenue growth through the course of the year. We launched Phase -1 of Project S

ETU in 6 states comprising a mix of stronghold and
opportunity markets. The initial results have been very promising with direct coverage expansion in urban and rural markets. These new outlets have responded well to the core and new portfolios. During the course of this year, we will scale up Phase -1 markets as well as expand into some more states. In addition, to enhance direct reach and weighted distribution, we expect Projec t SETU to drive market share gains across categories in urban and rural markets as well as enhance assortment levels in urban stores, thereby enabling diversification and premiumization in the domestic business.
Delving into domestic business, which I will touch upon the key trends in each of our categories, Parachute which has witnessed strong 8% growth in volume offtakes during the quarter, which was reflective of the consistent market share and penetration gains witnessed by the brand. The reported volum e growth, however, was impacted by the aforesaid stock adjustments in GT and in wholesale and B2B. The brand maintained its premiums and logged in 100 bps gain in market share during the quarter. Flanker brands, including Nihar Coconut Oil and Oil of Malab ar, which compete with regional and some deep -discounted national players, grew in mid -teens. Consequently, volume market share of the composite coconut oil portfolio, including flanker brands, reached its highest -ever level at circa 64% on a MAT basis. We expect a pickup in Parachute through the rest of the year in view of the visibly encouraging trends in market share penetration and offtakes. The pricing growth on account of actions taken so far will flow through entirely from Q2 and we could take possib ly another round of price hikes in case of any further rise in copra prices during the course of the next second half of the year. Gradual escalation in copra prices is positive for the brand as it affords us the opportunity to strategically leverage the brand's pricing power and procurement system advantages thereby gaining volume traction and market share.

 Saffola edible oil delivered mid -single -digit volume growth as stability prevailed in both input
and consumer pricing. As the pricing base entirely catches up from Q2, revenue growth will track in line with volume growth. Offtakes for the brand has also re mained healthy. Master brand advertising in Saffola initiated last year has been a positive step towards leveraging the equity of the master brand and enabling far more efficient brand -building investments.
Value -added hair oils have been sluggish amidst competitive headwinds in the bottom of the pyramid segment. Volume declined in low single -digits, partly impacted by the aforesaid GT distributor stock adjustment and limiting wholesale and B2B in SETU launch markets. In fact, secondary sales and offtake grew in low single -digits. While competitive intensity remained high, we have gained 50 bps volume share and 60 bps value share in Q1. Brands such as Aloe and Jasmine, which play in the mid and premium segment s grew well ahead of the category. We will expand our participation in this segment of the category. Getting value -added hair oils back to healthy growth is a key priority for us and we expect to make some headway this year through concerted action initiat ed in the bottom of the pyramid segment of the portfolio, and a gradual improving rural consumption sentiment in mass BPC categories and SETU -aided volume growth.
Foods had a robust quarter and registered 37% growth with core Oats portfolio growing at 20% plus. We kept up the innovation velocity with the launch of Saffola Muesli with a differentiated fla

vor format aiming to leverage the brand's equity in the breakfa st segment. The Plix plant -based nutrition portfolio and True Elements have also scaled up well. We expect to surpass our internal expectation which we had set at the start of the year. We are able to expect a structural shift in our foods gross margin las t year and expect profitability to inch up as we scale over the medium term.

Premium Personal Care sustained its healthy growth trajectory led by the digital first brands. We expect the digital first brands to exit FY '25 at a Rs. 550 -600 crores run rate this year and striving to achieve double -digit EBITDA margin by FY '27. Beardo will hit double -digit EBITDA margin this year. Just Herbs is tracking well ahead of the Rs. 1 billion ARR mark while the traction in Plix Personal Care portf olio has been encouraging. Both Plix and Just Herbs have been scaling with minimal cash burn. We believe Beardo and Plix have the potential to scale up to Rs. 500 crores ARR each in 3 to 4 years' time given the expanse and growing TAM of their portfolios. The collaboration with Kaya will enable us to advance our play in science -backed personal care. We are currently working towards a smooth transition and now have exclusive rights to scale up Kaya's range of efficacy -based personal care products outside of its clinics.

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 We believe this is a Rs. 100 crores revenue opportunity over the next 4 years. And we'll add another growth lever to our digital first business, thereby further activating the portfolio diversification agenda of the India business. And as you know, Kaya is a known brand and also it has high gross margins.

Our portfolio diversification objective has led to a marked shift in our revenue construct and reduction in the commodity linkage of margin and revenue growth. We will sustain the aggression to drive 20 -25% CAGR in these portfolios and expect the composite share of foods and premium personal care portfolio to cross 25% by FY '27, accompanied by a visible improvement in their profitability.

Moving to international business, we have maintained a double digit consistent constant currency growth trajectory. The Bangladesh business has held firm in a challenging environment on the back of its broad -based portfolio and robust fundamentals. However , we remain watchful of the current on -ground situation. In Vietnam, we witnessed some signs of a recovery in HPC demand and expect gradual improvement ahead. Myanmar has been under geopolitical turmoil and the business may remain subdued this year. We con tinue to ramp up in MENA through the expansion of the hair oils portfolio in Egypt and the Gulf region and witnessed healthy traction in the hair care and health care portfolios in South Africa. The export business has scaled to $25 million and continued i ts healthy run. The broad -basing of the business has not only strengthened the growth prospects of the business but has also added margin upside potential in the medium term and also consistently reducing the concentration risk in Bangladesh business over the last three to four years.

To sum up , we continue to gun for a double -digit consolidated revenue growth this year by driving outperformance vis -a-vis category and market share gains in the domestic core portfolios, accelerated growths in the foods and the premium care portfolio, and healthy momen tum in International business, which will be supplemented by a favorable pricing cycle in key domestic portfolios. While key commodities are exhibiting mild upward bias, we are confident that we'll be able to maneuver margins through pricing, driving a more favorable mix and ongoing cost optimizati on initiatives to hold operating margin at FY '24 levels this year.

Last but not the least, we have always viewed our entire business operations through the lens of sustainability, and our Sustainability 2.0 framework has been seeing encouraging progress across each of the eight broad -based themes. We have detailed the sam e in our FY 24 Integrated Annual Report, which was released last month, and I hope it will make for good reading. We

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Marico Information classification: Official firmly believe in creating shared value for all will aid us in driving sustainable all around and
superior growth in the longer term.
With that, I will now close my comments. Thank you for patiently listening, and we will now
take all your questions.
Moderator : Thank you very much. We will now begin the question -and-answer session. The first question
is from the line of Abneesh Roy from Nuvama. Please go ahead.
Abneesh Roy: My first question is on the foods business. So, very strong growth here. Wanted to understand if
there is any one -off this quarter? And between the two new businesses or True Elements and
Plix, would you expect FY25 higher growth in Plix? And in True Elements, if you could specify,
in a very hyper compe titive and a lot of similar kind of brands, how True Elements is now able
to differentiate and thereby grow strongly?
Saugata Gupta : So, firstly, just to give you a flavor, as you know, last year, we took a pause in our foods business
primarily to get the margin correction and also to get the entire supply chain and the sales system
because as you know that our entire forecasting, rep lenishment model and our supply chain was
not geared to handling low -shelf -life products. At the same time, we had an 800 bps correction
in our margin. And also, this year, we are only focusing on a few things, investing behind only
things lik e oats, honey, soya, and now, of course, breakfast cereals and snacking, which we are
actually planning to expand with a launch of a Rs. 10 snacking products, which is crunchies. So,
if I look at it, the organic growth is still high teens with oats doing 2 0%. Obviously, the growth
in Plix and True Elements is slightly higher because of a lower base and Plix significantly driving
multiple nutraceutical platforms.
As far as True Elements differentiation is concerned, I think it starts with the brand name True
and 'free-from '. It operates at a slightly higher RPI. It is slightly more, I would say, the business
that comes from OT versus GT compared to other food brands. And some of the new things
which we're experimenting on and as I realize one thing is that if you have to sca le in foods, one
of the things we have to do is to ensure some price points to drive growth. At the same time,
Indianize some of the flavors and offerings which True Elements has started doing. Having said
that, the other thing you must realize the digital brands enjoy is, while they independently drive
their destiny in terms of driving brand preference and sales, the significant expertise of
procurement, supply chain, cost management and manufacturing processes of Marico, which
gives them a certain advanta ge in terms of cost structure and pricing.

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098.
CIN: L15140MH1988PLC049208. Email: investor@marico.com

Marico Information classification: Official Abneesh Roy : My second question is on your international business. You have diversified away from
Bangladesh, which is a good strategy in the current context. Another FMCG company said that
past few weeks in Bangladesh has been quite challenging, which

is understanda ble. My specific
question is, how are your EBITDA margins in Bangladesh versus say the consol margins or say
the standalone margins? And second is, how serious is the impact till now? Some color if you
could give either in terms of manufacturing or in terms of demand and distribution, how big is
the impact till now? I understand these are daily consumption, so this will come back. But till
now how is the demand in Bangladesh?
Saugata Gupta : I think firstly this strategy of reducing dependence on a single country, expanding the full
potential of MENA and South Africa or Southeast Asia started four years ago and nothing to do
with the current context, and it is a gradual process which we have been doing. And within

Bangladesh also, we have been reducing our dependence on coconut oil and driving and successfully significant diversification of our portfolio into shampoo, baby and all. See, I don't want to comment on the country. So, all I can tell you is that there have been significant black swan events in the past across our countries, across our portfolio, whether it's COVID, whether it's Ukraine, post -Ukraine inflation. What happens in moments of adversity, the strong gets stronge r and the weak gets weaker. So, therefore as I said that we have a very strong business, strong fundamentals, we have been in that country for 20 years. So, we have weathered different storms, so it's okay. I mean this is all I can say at this stage.

Abneesh Roy : I will follow -up on that later. Last quick question on value -added hair oil. Other companies in that space are also facing the same issue, demand is low there. I wanted to understand when rural recovery is there, and of course, it's in the initial phase, in this category, where is the customer going? Because in a lot of your other categories, or maybe for other companies also, rural demand seems to be reviving and good benefit. But here, clearly, all companies are facing similar issues. So, why isn't the customer in the rural reviving here also? And do you think he will come back once the rural demand picks up pace further?

Saugata Gupta : Let me just give you a color to this. I don't see any way the category is behaving differently from other mass HPC categories. The thing that has happened in this category is perhaps because of certain competitive actions. All the action has happened in the bottom of pyramid, where because of pricing and what I call BTL driven growth, the average value growth of the category has come down, okay? So, in terms of sheer consumption in ML has not come down other than because in the case of the sm all packs, which are the price point packs of Rs. 10 and Rs. 20, there has been significant inflation. Now this anniversarization of this inflation will happen somewhere

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098.
CIN: L15140MH1988PLC049208. Email: investor@marico.com

 during the year. So, today, our volume growth, if I adjust with the one which is the SETU led and the other stock correction, it's still in the positive territory. And if I compared to the other HPC categories, it is still in low single -digits. So, you have to look at offtake growth. Our offtake growth is around still 3%. So, I am not very concerned. And the second thing, specifically what we are doing is, instead of going down the rat hole of just competing on below the line spends and pricing at the bottom of pyramid, we are focusing on our investments to drive now that the demand situation is improving, especially rural. So, we are seeing some green shoots in brands like Aloe and J asmine. We need to participate slightly more stronger in things like hair fall. And we are chasing value growth in hair oils and we are chasing value share in hair oils. We have seen the first turnaround where we have started gaining value share in hair oi ls. So, I believe towards the back half of the year, we should see positive growth in both value and also the value share gain which we continue to have.

Abneesh Roy : And one follow -up on that. The BTL being higher, is it due to any specific reason that it has picked up by those competitors and those would be all regional players essentially, right, bunch of regional players?

Saugata Gupta : No, I am talking about national players who have gone into zero BTL and high BTL driven strategy, which is not necessarily the best strategy long term.

Moderator : Thank you. The next question comes from the line of Percy with IIFL. Please go ahead.

Percy Panthaki : My question is on the foods business. So, while Saffola Oats is doing very well, we had launched a few other brands also. Can you give us some idea on how they're progressing, the honey, the noodles, the soya chunks, etc, where you see greatest potential, where you see that there is a little bit o f a struggle? And in terms of further categories within foods, would you want to enter in the near -term? Or do you think you would want to consolidate the current categories that you have entered fi rst?

Saugata Gupta : Firstly, I think our endeavor is to grow food and as I said, the diversified part of the business at 20% to 25% profitably, because we don't want to do for higher growth at the expense of profit. So, 20% to 25% is the first destination, which includes, obviously, brands like Plix and True Elements, and we are exceeding that outcome, okay? And I think this is a great development. Secondly, if I take all food into account, organic, it's still in high-teens. Now, coming to individual, this one, let me just give you a flavor without getting into too much detail is that honey category last season has not been the best and it's just not us, but some of the bigger

 players, I'm sure, has experienced the same thing. Now, coming to soya, again, soya is doing well, and I think honey and soya are the ones which have scaled up. The only thing we are mindful of soya is that, in terms of margin, it is not the higher margin compared to others. And therefore, we are not aggre ssively growing soya until we get, what I call, an innovation kind of a solve, just like we have done in oats, because had we just sold plain oats, that would not have made significant margin, masala oats obviously makes better margin than plain oats. So, we are searching for a solve there. Having said that, I think we are going to aggressively participate in breakfast. You will see some more launches in this space also of masala oats space. And the other thing which we are now doing is for the first time we are prototyping a little bit of sn acking in GT, as we had done only MT and e -com and quick -commerce. The other interesting thing is that we believe that our food journey has a significant upside potential in quick -commerce. As you know, quick -commerce as a channel is growing significantly and food as an impulse category is a natural play there. We haven't played that much in quick -commerce in foods, but now we are going to play aggressively as far as quick -commerce is concerned. And as you know that quick -commerce in this country, this next 2, 3 years, it's going to be on a very -very good traction. So, overall, all I can say is that we are fairly confident of maintaining that 20-25% growth rate in food while sustainably improving profitability. And this will come both from organic and digital brands mixture or what I call the more this one brands.

Percy Panthaki : Just another question on your growth constru ct. So, if I basically look at your personal care, digital brands put together plus foods, all this put together is approximately 20% of your domestic top -line. And if this portfolio grows at about 20%, you should get about 4% kind of growth, which would be largel y volume led from this itself, right? So, I mean, how do we look at growth going ahead? So, is it fair to say that let's say, you would be targeting for India, 7% to 8% volume growth, out of which half of it would come from this 20% portfolio, which is growing very fast and remaining half of it would come from the 80%, which is more mature. And if this understanding i s correct, then this quarter what really happened for us to fall short of that number?

Saugata Gupta : So, I think two things you have to see. It does not come to 4% actually . So, two things. One is if you take the stock correction which we have done and I'm not even talking of the SETU correction because that's a secondary term. The primary stock correction at the distributor, you can add 2% to the overall. So, if you add that growth, any case this growth would have been around 6%. A lso, the number from new business es is not 4%, it would have been around 2-3%. But having said that, going forward, we expect volume growth to definitely improve over the next corresponding quarters.

 Pawan Agrawal : And also, just to add, Percy, for example, Plix we are not including in the volume growth because it is not in the base yet. So, to that extent, Plix contribution has not gone into the volume growth. Now it comes into the base from next quarter, then, of course, we'll add Plix in volume growth.

Percy Panthaki : And last question on margins. We are already at 23% plus this quarter. Are we sort of now maxed out in terms of margins at a consol level or do you see more growth drivers? Because do you fear at some point the margin sort of become too attractive for co mpetition or something like that? I mean, how are you thinking about this whole piece?

Saugata Gupta : So, in oats which we have, we never do supernormal profit. We certainly ensure that there is no disruption model in place. Having said that, I think you are right. This year, I don't think we will have any further margin expansion. Having said that, there are structural ways to improve margin long-term because food and digital as we talked about in the next 3 years, digital will get into a double -digit EBITDA, food is consistently and in fact we have a proven model in the case of oats, where oats deliver an EBITDA which is fairly decent. And also, the fact that some of the other international businesses with scale like Middle East and South East Asia, it's actually by the inching up of the margin in the future. But this year, I think, we should be able to maintain margins, that's the best-case scenario given the fact that we already peaked last year and the fact that there is some mild inflation, etc. I think the focus is to ensure that how do we get into a double -digit revenue growth and aggre ssively drive the diversification agenda, which will also require some A&P.

Pawan Agrawal : And just to clarify, Percy, when we say hold margins, we are saying we will hold margins as compared to FY '24. Of course, in Q1 FY25 , we have delivered higher margins because we had some strategic position gains in copra and vegetable oils. So, going ahead for this year, gross margins might moderate a bit because we expect certain inflation in some of the key commodities. But we are definitely committed to hold the gross margins at the levels of FY '24 and similarly at operating margin level, we would hold operating margin in FY '24.

Mod

erator : The next question is from the line of Vivek Maheshwari from Jefferies. Please go ahead.

Vivek Maheshwari: A few questions. First, Saugata and Pawan, on VAHO. Again, there are different reasons in different years, and you have tried your best, you have explained in the past as well, and the bigger thing is you are also gaining market share, right? What is wrong with this category? Is there a possibility this is more like a structural issue, consumers not using hair oil? I just don't know. And at the value level, is there some market share loss? So, at an overall level you are

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098.
CIN: L15140MH1988PLC049208. Email: investor@marico.com

 gaining, but at the value level, is there some market share loss? I just want to understand what exactly is going wrong here .

Saugata Gupta : No. I will tell you what has happened. Obviously, the bottom end is where we have lost share because beyond the point, it doesn't make sense to forego profitability. And therefore, that some share loss has happened at the bottom of the pyramid. Let me just tell you, the issue that has happened is post 2020 and especially after 2022, Ukraine, this one, there has been a downgradation that has happened because of 2 or 3 reasons. One, consumers downgraded from the premium part of the category to s lightly this one. This was a combination of 3 things. One, I think far more attractive pricing and heightened competitive activity at the bottom end. Second, that had happened is shrinkflation. And so, if you look at it, this perhaps is a category where a significant portion of the sale, especially at the bottom of pyramid is in Rs. 10 and Rs. 20. And in order to protect the Rs. 10 and Rs. 20 pricing, people, competitors and us, we have taken significant ml-age drops. Now, one of the things we realize, and this is true in other HPC categories also, is that when you take an ml-age drop or a grammage drop to maintain price point, there are a lot of people, especially in rural and in the urban bottom of pyramid, they buy a certain frequency with a given outlay. So, therefore, they titrated the usage. This anniversarization of that is happening sometime during this quarter, as we speak sometime in August, September. So, we believe that in terms of both the volume or the consumption and given that we are seeing signs in the rural to etch up, I think the category will show higher growth. As far as we are concerned, however, I think what we have taken a stance is that, yes, we are okay to forego some share at the bottom of pyramid, but we need to invest far more rather than following some other players who have just knocked off BTL to drive this one, which is not good for long -term category growth. Because at the end of the day, I can be happy by saying my SOV is maintained, but the category will not grow if there is no investment in BTL. And therefore, we will start investing in BTL into converting that money into volume growth. So, we have seen some green shoots in other brands like Aloe and Jasmine. As I said, we need to aggressively grow. So, therefore, going forward, at least a second time, we need to accelerate the value growth of that part of the portfolio because we will lose at the bottom of the portfolio.

Vivek Maheshwari: And the other question is, Saugata, I mean, if I recall correctly, I don't know which year, but I think a decade back or so, you tried Muesli at that time. I think Kaya distribution also Marico did at some point of time. What do you think will be different this time compared to, let’s say, the previous attempts?

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098.
CIN: L15

140MH1988PLC049208. Email: investor@marico.com

 Saugata Gupta : First, let me speak on Muesli. At the end of the day, as you know, even in Olympics Games, some people failed in Tokyo, succeeded in Paris . So, therefore, you might fail, but that doesn't mean we'll stop doing it. I think, first of all, we have got our food business model including distribution, supply chain right. When we tried Muesli some years ago, I don't think it was an issue on the pro duct. I think we had a good product, this time we have a superior product, but we were not the best -in-class in doing food distribution, getting our business model. So, therefore, we are far more confident of doing food right now . Also, Muesli as a category has grown leaps and bounds. Today, if you see, it is one of the highest growing categor ies, it has overtaken Corn Flakes as a category. So, therefore, Saffola by participation and also the fact I think our capability, operation capability as far as OT is concerned is much better today. Our chances of success will be better. And I think after one tough fai lure we don't give up. In fact, if you look at it, we have tried a lot in food and we finally succeeded in food .

Now coming to Kaya, Kaya this time is different. Last time what happened was, we did a sub - brand called Kaya Youth O2. Kaya continued to sell in other channels. This time it is a deal where Marico has exclusive rights to sell, Kaya will stop selling in other channel s. Kaya will only sell in their clinics. For all other channels, which is e -commerce, modern trade, D2C and beauty GT, Marico has got exclusive right to sell. Earlier there were 2 brands and we were competing, so it didn't help. Also, I think our digital capability compared to 2019 when we did Kaya Youth O2, and now is far superior to do that. And I believe that this, and therefore, given our digital marketing capability and other capability of our digital business, today, we stand a far better chance, a much more cleaner arrangement this time. It's not a sub -brand o r a pre t line while Kaya continues to sell, it's exclusive. So, all existing relationships which Kaya had is taken over by Marico in terms of the e -commerce sales and modern trade. Kaya was actually virtually only e -commerce, but we are now going to get in to modern trade and some of the beauty outlets over the next 3 to 4 months. So, we'll start the process sometime in September.

Vivek Maheshwari: And just a couple of follow -ups on that. So, on Kaya side, when you are going to take that over, so what will be the existing revenues that will straightaway come to you, Saugata?

Saugata Gupta : We don't want to get into that. All I can say is it's a Rs. 100 crores potential in 4 years. So, just to give you another perspective, Kaya is a known brand. It has got existing consumers. Just Herbs is a Rs. 100 crore brand. If we can do Just Herbs a Rs . 100 crore brand, there's no reason why Kaya shouldn't be Rs. 100 crore brand.

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098.
CIN: L15140MH1988PLC049208. Email: investor@marico.com

Marico Information classification: Official Vivek Maheshwari: The reason of asking, Saugata, this question was because the press release also says 4 to 5 years
Rs. 100 crores, and I thought if it is selling by the existing team, you could have reached there
way faster than that, unless I am missing something.
Pawan Agrawal : So, currently the scale is quite miniscule, Vivek, and that's where our strength will come in and
we will be able to grow the brand to Rs. 100 crores in the next 4 to 5 years. So, currently the
scale is not very large.
Saugata Gupta : I think we would be able to give a far better sense after doing it for 1 or 2 years. Digital business,
we have surpassed our ow

n aspirations and our targets. I am sure we should be able to do that in
Kaya. I will be a happy man.
Vivek Maheshwari: And yes, point taken, you have done quite well on the digital side. Lastly, on the acquisition bit,
inorganic bit that you have mentioned, and you have also articulated your confidence on the food
side, whether it's on the margin or on the overall business , when you think about inorganic now,
will it be more skewed towards foods then? Anyways you have done quite a bit on the PC side.
Saugata Gupta : I think at the end of the day we look for opportunities which make strategic sense. I think as far
as the digital is concerned, we looked at several adjacencies which make the market attractive,
but we didn't organically have a right to win. I think Kaya was the last space which was vacant,
which was what I call science -based skin care, which was vacant. We would have loved to
otherwise acquire one of those brands, therefore, but anyway, now we have the opportunity to
sell Kaya. See, foods bu siness I think needs scale. I think one of the learnings so far is that, I
mean hypothetically, there are 2 routes on food. You take a regional brand doing very well, scale
it up nationally, or take this one already a scaled business. I don't think digital or digital -first,
unless it's a nutraceutical because we already have Plix. I don't think a niche food brand makes
sense to us given the scale of our current foods business.
Vivek Maheshwari: So, in conclusion, your point is you want to build scale further or let's say the thought process is
more around margins in case of foods or build scale? Sorry, I missed that part.
Saugata Gupta : No. I think organically we have to continue to build scale. What I meant was that, if you want
to do inorganic, it makes sense to get a little scaled opportunity rather than doing this founder
driven brand on foods because it doesn't provide scale.
Moderator : The next question comes from the line of Harit Kapoor from Investec. Please go ahead.

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098.
CIN: L15140MH1988PLC049208. Email: investor@marico.com

Marico Information classification: Official Harit Kapoor: I had 3 questions; I will say it out. One was on the exercise on SETU as well as some destocking
at the wholesaler 's level or some channel management. Just wanted to know, how long does this
take where your offtakes and your primary start to kind of match each other? That's the first
question.
Saugata Gupta : So, I think I would say a couple of quarters, because SETU is a continuing project. Let me just
give you a perspective on why we are doing this. See, normally when you do direct distribution,
you get to sell range. Having said that, obviously through who lesale and B2B channels, the core
brands, it could be Parachute in the South or Shanti Amla in the North, I mean, they anyway
have indirect distribution. But if I have to get a portfolio and get critical mass, it is very, very
important that, I ensure that when the direct distributor goes to them, the pricing is attractive and
the retailers don't say that, okay, I'm getting it in wholesale or B2B at a far cheaper price. So,
this process will take a couple of quarters. Regarding the GT primary stock correction, I think it
again may be 1 or 2 quarters again. And you must realize that, and this is just not for us, it is for
everybody, if you look at today the growth of quick -commerce that is happening, the channel
that is getting impacted according to me is the urban GT because the entire quick -commerce
growth is happening mostly in the top 8 cities. And therefore, it is imperative upon us to ensure
that we protect the margins and protect the ROI of the distribution system so that there is this

one. So, having said that, I think what will also happen is as we e

xpand SETU, especially
opening up food or say cosmetic or chemist outlets, which throughput our diversified portfolio, there's an opportunity to actually sell a bigger range and at a higher realizat ion, because these are especially both food and especially personal care, like, things like Livon and others, which are at a higher realization, their turnover increases. I think the biggest thing is, irrespective of whatever growth, they have a fixed cost increase that happens in cities, like say 8% to 10% every year. So, how do I able to give that 8% to 10% turnover so that they maintain the ROI?

Harit Kapoor: Very clear. Second thing was on the 3 -year phase plan for SETU, 1 million going to 1.5 million direct reach. I just wanted to get a sense about how does this reduce the wholesale mix from your channel sales from what currently to how much does it go down to?

Saugata Gupta : It's very difficult, but I will tell you what are the 2, 3 things that happen when you increase direct distribution. Firstly, it increases range, because what happens is the wholesaler or the B2B usually handles high -velocity leader brands, they don't ha ve that assortment, okay? The second thing in urban SETU we'll be able to also drive the diversification portfolio because we are opening up some of them. So, I will give you an example of it. If you go to Bengaluru or you go to Coimbatore or Kerala, you will see bakery outlets. Now bakery outlets, we never used to

Marico Information classification: Official service those bakery outlets. But today, if I have a critical mass of food, which is basically some
snacking, some oats, some plain oats because plain oats is a big thing in the south, you can get into those outlets. We might open some chemist outlets because with hair fall and like we have just started in 1 or 2 markets, trying to take Plix into GT, for example. So, what will happen is that we will open these set of outlets which will give growth. Automatically, as I alluded to earlier, is that obviously when my distributor opens a new outlet that person has to sell Parachute and our Shanti Amla also. And therefore, w e want to make that sale process reasonably attractive that that guy doesn't have to reach. So, these o utlets which we're opening it's nothing, no Marico stock is available, some Marico stock is available sporadically. So, it's very difficult to say how much wholesale will reduce, but I think consciously what we are doing is that we are not disproportionately incentivizing wholesale or B2B but encouraging a direct sale. And I believe having a far more direct sale is a source of competitive advantage. And, yes, we will open 500,000 outlets. At the same time, we will also look at some outlets which are non -profitable to serve and close it down because they can be anyway serviced if they're only stocking, say only Parachute small packs. We are most happy if they pick it up from wholesale. There's no point trying to service those outlets.

Harit Kapoor: And last question is on the generally industry question. You mentioned in your presentation as well as your opening remarks that the pickup in industry has been seen more in HPC over foods. Do you look at this more as a base thing that HPC has been weak l ast year and looking before that as well? Or anything else to read into this industry trend? because that's something we've been seeing across the board the last quarter, quarter and a half.

Saugata Gupta : I think the combination of both. One is this. The other one is, if you look at it, last year's FMCG growth was driven entirely by urban and obviously the packaged food is primarily urban, while HPC had a little more rural SKU. Now that rural is recoverin g, maybe

that's one of the other
reasons. So, the combination of a base and the way urban and rural is performing. Having said that, I must say that at the premium end urban continues to grow. I mean, we are seeing significant, like for exampl e, if you see the growth in our digital brands. And if I look at the food companies, our food growth surpasses all the food companies' growth.

Moderator : The next question comes from the line of Mihir P. Shah from Nomura. Please go ahead.

Mihir Shah : Firstly, on Parachute, does Parachute need further price hikes? Last quarter, you had mentioned that there is a possibility of another round. Is that done? Or there is another round in the offering? Also, when one looks at the offtake volumes, it's much stronger than expected. I mean, I heard

 you mentioning that it will take a couple of quarters for this stock adjustment in GT to coincide
with the primary sale. But given that the offtake is so strong, should one expect high single digit growth going forward? Or especially, you have taken the pr ice hikes. And also, if you can triangulate how the competitive intensity is playing out. I heard that the flanker brands are growing in mid -teens, but other competition is talking something different. Can you talk a bit on these 3 aspects, please?

Saugata Gupta : So, let me first address the parachute growth. I think, as far as we have taken around 6% price hikes in Parachute. If there is further copra inflation in the back half of the year, we might take a little bit. But we expect a marginal inflation in copra, we will take that price hike. And as I said that, we like this marginal commodity price increase because of our procurement and position building, it actually helps us. So, it's good for us in relative terms. Now, coming to the Parachute volume growth. Yes, you ar e right. While we will continue to take some adjustments in both to facilitate SETU and some of the distributor ROIs. Because we see at the end of the day, I don't want the distributor ROI to suffer because of our supply chain and working capital because t hat's okay. It's not offtake. The offtake primary growth gap will remain a little bit. Having said that, we expect parachute volume growth to increase gradually as we move in the quarter 2 to quarter 4. And yes, you can expect mid -single -digit volume growt h definitely coming in. I don't know after that what happens in the second half of the year. Regarding the third question, see, if you look at the overall, both Parachute is gaining market share. And overall, Marico CNO has gained market share. So, it's not that Parachute has got impacted. The so -called competitive activity has happened in certain markets, which are not Parachute markets. These are some markets in the North maybe, but I would assume what is happening is that, some of the smaller players or some unbranded, I mean, they may be suffering a lot. But I think it could be a little bit because of some of the competitive ac tivity, there could be consolidation of market share amongst the larger players, but I don't think it affects Marico and Parachute per se. Both, as I said, the flanker brands and Parachute continues to gain share.

Mihir Shah : Secondly, on Saffola, it seems the pricing led growth going forward in second, third quarter will be closer to low to mid -teens. Do you see any pricing action here that you may need to take to ensure the volume growth trajectory is maintained? Or do you think that there's no need for further pricing action and the volume will still hold to mid or single -digit growth?

Saugata Gupta : So, just to clarify, what we meant is that the pricing will come flat. So, the annive

rsarization of
the price drops will come. So, therefore, going forward sometime during this quarter, volume growth and revenue growth is going to be the similar.

 Moderator : The next question is from the line of Avi Mehta from Macquarie. Please go ahead.

Avi Mehta : I just wanted to revisit this Bangladesh thing. Could you help us understand how should we look at the performance from a near -term perspective? Does it impact the portfolio diversification pace in any manner? And I just wanted to kind of better understa nd how should we incorporate this bit in?

Saugata Gupta : I think it's too premature to comment on it. And I think as I only said that, if you look at India, Bangladesh, Egypt, everywhere, all the countries we have gone through volatility. And as I said that we always believe the strong gets stronger and the weak gets weaker in these kinds of situations. But I think let's revisit it after we see this quarter going by. Yes.
Avi Mehta : So, would it be fair, Saugata, to say that, from our perspective of how we look at the business, this is something that should not significantly change the broader growth trajectory, even from an annual perspective.
Saugata Gupta : From a long -term basis nothing is going to change. I think long -term basis, nothing is going to change.
Avi Mehta : And second is on the Kaya business, Saugata. While I understand the sales number, could you give us a sense on how the profitability would be shared between the 2 entities.
Saugata Gupta : There's no profitability sharing , it's just a model in which we pay a royalty towards Kaya for the brand. That's it.
Avi Mehta : So, we will be paying the royalty, and everything accrues to us. Any rate that is available in the public domain that you could share?
Pawan Agrawal : We won't be sharing the royalty rate publicly, but it's on standard terms. So, it's not a very significant amount, and therefore a large part of the profitability will be accruing to Marico.
Moderator : Thank you. The next question is from the line of Karthik Chellappa from Indus Capital Advisors. Please go ahead.

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098.
CIN: L15140MH1988PLC049208. Email: investor@marico.com

 Karthik Chellappa : I have 2 questions. The first is on the value -added hair oil portfolio. If the premium and the mid - segment is actually doing better than the bottom of the pyramid segment, could you give us some color on how that impacts the margin profile of the value -added hair oil business?
Saugata Gupta : So, let me just give you a full color. But as far as the category is concerned, the bottom of the pyramid maybe growing a bit more than maybe the mid or the premium part of the category, okay. So, if you look at players who participate in hair fall or some of the other premium players there, and I'm not talking of a quarter number, you have to look at from a 2 -year, 3 -year perspective, okay. So, what exactly happened is that as Ukraine happened and the shrinkflation happened, the category suffered in becaus e of shrinkflation consumption and the category suffered in the face of downgradation from the top end to the bottom end, okay? As far as Marico is concerned, what we are saying is that we are okay to lose some share at the bottom end and there it is not s o profitable, but I would rather invest at the medium and the top end and grow value share there, okay, because they make much more profitable rather than getting into the mugs game, which we have been perhaps doin

g and trying to just fight at the bottom o f the pyramid.
Pawan Agrawal : And technically to answer your question, Karthik, yes, if my mid and premium is doing better and bottom of pyramid has declined, so weighted average gross margin for the quarter will definitely go up. But as Saugata said, we are anyways focusing more in te rms of how do we drive value share and value growth, so we'll continue to have that strategy. But , yes, the weighted average gross margin would have gone up.
Karthik Chellappa : My next question is for one of the drivers of medium -term margins, I think Saugata earlier mentioned that the Middle East and South Africa also will start to see an improvement in their margin profile. Could you give us some color on relative to the international margins, how far is Middle East and South Africa today?
Saugata Gupta : No, I think Middle East, as I said that Middle East, there is a significant pool available for top - line and market share, which we are doing, and Middle East is a profitable market, okay? As far as South Africa is concerned, we have also improved the pro fitability. What I alluded to saying is that, the structural profitability creeping up long -term is these markets with scale continue to improve on profitability.
Karthik Chellappa : And we can assume that currently these two geographies are probably tracking below your international margins, right, obviously?

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098.
CIN: L15140MH1988PLC049208. Email: investor@marico.com

 Pawan Agrawal : So, it is definitely lower at this stage. But as Saugata had alluded earlier in the call that, these are the structural levers that we see which can improve the margins further as we go ahead. Because these businesses are growing at a very fast pace, we are getting scale, and the scale advantages will kick in. So, it has improved from the past, but we still see there is a potential of improvement going ahead as well.

Saugata Gupta : So, structurally in Middle East, CPG companies make high operating margins, but that will only happen through scale.

Moderator : Thank you. Ladies and gentlemen, we will take that as a last question. I would now like to hand the conference over to the management for closing comments. Over to you, gentlemen.

Pawan Agrawal : Thanks for listening on the call. To conclude, FY25 has started well with some green shoots in domestic demand trends, robust performance of foods and digital -first brands, and the International business maintaining its momentum. We expect to sustain an improving trend in domestic revenue growth on the back of a gradual uptick in domestic volumes, supplemented by pricing growth picking up as commodity prices may see mild inflation in H2. We expect the continual broad -basing of the internation al business to hold us in good stead. In adding to driving our strategic priorities of aggressive portfolio diversification in India and overseas, and strengthening our GT M through Project SETU, we continue to strive towards achieving our target to deliver double -digit revenue growth and hold on to operating margins in FY25.
So, that's it from our side. If you have any further queries, please feel free to reach out to our IR team, and they'll be happy to address. Thank you. And have a great evening.

Moderator : Thank you. On behalf of Marico Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

(This document has been edited to improve readability)

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Listing Department,
BSE Limited,
1st Floor, Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001
Scrip Code: 531642 The Manager,
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The National Stock Exchange of India Limited,
Exchange Plaza, C -1 Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400051
Scrip Symbol: MARICO

Sub.: Transcript of the earnings conference call

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, copy of transcript of the earnings conference call held on Tues day, October 29, 202 4 on the un-audited financial results and operations of the Company for the quarter and half year ended September 30, 202 4, is enclosed .

The said transcript is also available on the Company’s website at https://marico.com/investorspdf/Marico_Limited_ -_Q2FY25_Earnings_Call_Transcript.pdf .

This is for your information and records.

Thank you.

Yours faithfully,
For Marico Limited

Vinay M A
Company Secretary & Compliance Officer

Encl .: As above

Marico Limited
Q2 FY25 Earnings Conference Call

October 29, 2024

MANAGEMENT : MR. SAUGATA GUPTA – MD & CEO, MARICO LIMITED
MR. PAWAN AGRAWAL – CFO, MARICO LIMITED

 Moderator : Ladies and gentlemen , good day, and welcome to Marico Limited Q 2 FY25 Earnings Conference Call.

We have with us the Senior Management of Marico, represented by Mr. Saugata Gupta – MD and CEO; and Mr. Pawan Agrawal – CFO.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th e call, please signal an operator by pressing "*"then "0" on your touchtone phone.

Please note that this conference is being recorded.

Before we get started, I would like to remind you that the Q&A session is only for institutional investors and analysts, and therefore if anybody else who is not an institutional investor or analyst but would like to ask questions, please directly reach out to Marico's Investor Relations team.

I would now hand the conference over to Mr. Saugata Gupta for his "Opening Comments".

Thank you, and over to you, sir.

Saugata Gupta: Hi, good evening to all those who have joined the call and hope everyone is doing well. I would like to begin by dissecting the broader market landscape during the quarter gone by , after which I will touch upon our performance and strategic objectives going forward.

The sector exhibited stable demand trends with rural outpacing urban on a year -on-year basis for the third quarter on the drought while pricing growth trended up. For a better read on ongoing consumption patterns, let us break down the performance of each market segment. In urban, we continue to see buoyancy in consumption in the top -end and upper -middle class segments , which aligns with the growth seen in most of our newer portfolios of foods and premium personal care, including the Digital -First brands. However, among the middle and the lo wer middle class in urban, food inflation and muted sentiment overall has affected the consumption. In the bottom -of-pyramid segment in urban, there is a similar situation, although this segment is partially insulated from the impact of food inflation by government schemes. And lastly, in rural, there is a gradual improvement in demand sentiment which has been aided by above -normal monsoons, sustained government spending through MSPs and free food grain schemes. Looking ahead, this pattern and trajectory of demand should help in sequential improvement in our volume growth

 going forward. However, food and retail inflation trends would be key factors to be monitored
as we move in the coming quarters.
Moving on to our performance, the sequential uptick in domestic volume growth was led by steadying trends across a majority of our portfolios, which also reflected in the healthier trends in off -take growth, as more than 80% of the business either gained or sustained market share and penetration on a MAT basis. Domestic revenue growth moved up along expected lines as volume growth was supplemented by price hikes in coconut oil portfolio and favorable reversal in pricing cycle in Saffola oil. Pricing growth is likely to pick up in H2. In view of the sequential rise in commodity prices , which will further aid domestic revenue growth through the course of the year . From the channel perspective , alternate channels continue to gain salien ce vis-à-vis general trade . While the share of alternate channels has been on the rise

in tier 1 market , we are
also taking concerted effort towards reviving growth in our GT business , which we believe will remain the dominant channel , especially in ti er 2 markets and beyond . After the successful initiation in the preceding qu arter, Project SETU extended to more states taking the tally to 10 states. The execution at state level has progressed as a plan supported by robust governance mechanisms to ensure sustainable outlet expansion. Implementing mindset and operating model changes at this scale can be time consuming, especially when significant consumption tailwinds are absent. However, we believe given the early trends, this three -year commitment will structure reset and transform the long -term potential of our GT sales infrastructure, leading to higher growth. In addition to improved direct reach and weighted distribution, projects SETU will drive market share gains across categories in urban and rural markets, as well as enhance assortment levels in urban stores, thereb y enabling the diversification and premiumization in the domestic business in an accelerated manner.
Delving into domestic business, we shall touch upon the key trends in each of our categories. Parachute which has witnessed a healthy pickup in volume growth even after observing the impact of ml-age reduction in one of the low in the key price point packs implemented in lieu of a price increase. The volume impact of ml-age reduction was circa 1% at the brand level. The brand gained 120 bps gain in volume share on a MAT basis. Revenue growth moved to double digits aided by pricing intervention made at the start of the year. Given the sequential rise in copra prices, the brand has taken another round of price increase of circa 4%, which will flow through in H2. Flanker brands , includ ing Nihal Coconut Oil and Oil of Malabar , continue d to grow in mid -teens, thereby shielding the franchise from deep discounting competition.

 Saffola edible oil s delivered flattish volumes while the pricing cycle for the brand turned slightly
favorable after eight quarters. Building up on last year's Rosca Healthy Step message, the brand launched the Step Up for Your Heart campaign to mark the World Heart Day, which reinforced the brand purpose, which is to encourage consumers to inculcate exercise for a healthy heart . The recent hike in import duties has led to a steep increase in vegetable oil prices and we have taken a price increase of at least 15% in response to the same. However, I hope the duty hike does not spark any vola tility in the market, which will lead to trade -led h eadwinds we have encountered in the past.
Value -added hair oils remain sluggish amidst persistent irrational competition at the bottom of pyramid segments. During the quarter, we have gained 110 bps in value market share as mid and premium segments of our franchise fared relatively better. While we are the category leader, we also believe that it is not ideal for category growth when other key players resort to consistently pulling back ATL spends and employing only trade led pricing strategies or consumer promotes . This diminishes the share of voice of the category . We believe that this irrational competence should ease out given the current situation unless logic doesn't prevail. We will continue to focus on brand and category investments in the mid and premium tier of valve and not deviate from basic fundamentals of category building by matching unsustainable tactics in terms of pricing at the bottom end. We be lieve that a trajectory of a franchise has bottomed out in this quart er, and

we expect gradually improving tre

nds ahead of the back of visible ATL investments, brand activation leading into the festive season and gradually improve rural consumption sentiment in mass BPC categories.

Food s surpassed ■1,000 crore in annual run rate in Q2. It is extremely heartening to see that the aspirations we set four years ago during the beginning of the COVID period are close to fructifying , and it has been amazing, I would say, in terms of the addressable market expansion and diversification journey and growth in foods. Saffola Oats recorded mid -teen growth, and our newer franchises also fared healthily. We introduced Sa ffola Masala Millet s this quarter to broaden our millet -based range and meet the rising consumer demand for healthier options. This product aims to blend the nutritional advances of millet with enticing savory flavors.

Furthermore, both True elements in the plant -based nutrition portfolio complex continue to demonstrate impressive growth.

Premier Personal Care maintained its strong momentum this quarter driven by the Digital -First portfolio , which crossed 525 crore in annual recurring revenue . In Q2, we expect to clock an exit ARR of circa 600 crores this year. We are to outperform the expectation and in fact to achieve a

 double -digit EBITDA margin this year. Just Herbs and Plix personal care range also continue d

to gain traction. We believe Beardo and Plix have the potential to scale to 500 crore ARR each in the next 3 years. Additionally, the company began selling Kaya products on select online channels starting mid-September 2024.

The composite share of Foods and Premium Personal Care including Digital -First brands in the domestic business moved up to 21% in H1 furthering the portfolio diversification agenda of the India business. The rapid pace and scale of diversification has enabled us to navigate recent periods of consumption volatility and post decent volume growth. We will continue to drive 20% to 25% plus CAGR in these portfolios accompanied by visible improvement in their profitability. We were able to affect the structural shift in food gross margin last year and expect profitability to inch up as we scale over the medium term. We maintain our aspirations to attain double -digit EBITDA margin in Digital -First brands by FY27.

In our international business, we continue to witness strong double -digit growth momentum. Bangladesh demonstrated visible resilience and robust profitability despite operational challenges that gradually diminished in the latter half of the quarter. We continue to believe in times of volatility and adversity, the strong get stronger and the weak gets weaker. The medium -term growth outlook remains strong in Bangladesh. Vietnam also reported growth on the back of recovery in HPC demand. MENA posted a stellar performance well by growth, strong growth in the Gulf region and Egypt. South Africa grew impressively as well, and both the healthcare franchises were growing in double digits. NCD or New Country Development and Exports continue to be anoth er consistent growth driver. Diversifying international business has not only bolstered our growth prospects but also improved its medium -term margin potential.

To sum up, consolidated revenue growth is likely to move into double digits in the second half of the year. We are extremely confident of that. We will try to deliver double -digit revenue growth for the full year as well. We expect this to materialize if we are able to continue delivering a sequential uptick in volume growth in domestic business in the second half. Given the higher than anticipated degree of inflati

on in copra prices coupled with a sharp import duty hike in vegetable oil, we will focus on our stated volume -led revenue growth aspirations while there could be a slightly moderate lag in operating profit growth vis-a-vis revenue growth during the second half of the year.

Last but not the least, we have always prioritized sustainability in our business operations. Our Sustainability 2.0 framework is demonstrating positive progress across each of the eight key

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098.
CIN: L15140MH1988PLC049208. Email: investor@marico.com

 focus areas. We are confident that our commitment to creating shared value for all will drive sustainable and differential growth in the long run.

With that, I will now close my comments. Thank you for patiently listening. We will now take your questions and Wishing All of You a very Happy Diwali.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from Abneesh Roy from Nuvama . Please go ahead.

Abneesh Roy: My first question is on the urban demand, which you mentioned is stable. You did mention that at the lower end, there is a challenge of food inflation and muted sentiment. Now, if I see QSR sector, pizza and burger sector, they have faced seven quarters of slowdown. Now, when I see your numbers, a good set of numbers, foods, 28% growth, premium personal care trending ahead of expectation. So , in your these two segments, which are more index to urban, because they are more catering to mid and premium, would you say that the risk in coming quarters is not something you would be worried on? And second, of course, is in terms of the Plix's performance, et cetera, if you could give more details ? Because you did mention tha t 28% is the food growth. But the Saffola Oats growth is mid teens, which means the other segments have also done well. And last point on urban you said the food inflation and muted sentiment . Now if food inflation cools off , say, in one quarter, would you also discuss the muted sentiments? What is the issue there? Those will be the first question.

Saugata Gupta: So, let me just address one thing, which is, if you see our diversified business, which is the premium foods, I mean the foods part of it, the entire digital brands and then serum and male grooming, a lot of them cater to the top, as in the upper middle class masstige kind of segments. Now, we believe that consumption has not got impacted in that segment. We also throughput a lot through OT, including e -commerce and modern trade where our shares are disproportionately higher, and because we have invested ahead of the curve. The other thing which is there is that you must realize that our digital brands, we don't , unlike some of the standalone digital brands , don't have to scout for capital. We are fairly in terms of we don't have bleed . We don't have substantial bleed. In fact, some of them or most of them are positive or a very, very low bleed. Therefore, our ability to invest and grow and also tap into the Marico system has significant cost advantages. So , in one way, our call in terms of and also in food, we are challengers . In most of the things we are doing category building, we are gaining shares. So , our call in 2020 to aggressively diversify perhaps is helping us in this kind of a current situation. Now, coming to the, if you see the middle class, there are two things , one is , there has been a inflation, the food

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098.
CIN: L15140MH1988PLC049208. Email: investor@marico.com

 inflation and general retail inflation is a sentiment is a function of, you know, sometimes what happens if you see, for example, let's look at certain sectors or where there is, for example, opportunities . How do people in the middle class, the sentiment increases if there are good sala ry increment s, significant job opportunities . Those are the drivers of sentiment. And sometimes the sentiments are slightly muted , if you look at some of the news that is emanating out there. Now, obviously, as soon as the food inflation cools down, I think urban will recover, but some part of the urban . So, if you look at say mass food categories, but cater to the middle class and the lower middle class, yes, they may be impacted in the short term.

Now c oming to, you wanted some color on Plix. As I have said that we believe that Plix has the potential to become a 500-crore brand. It operates both in personal care and food. Obviously , our food growth, some part of the food growth is led by digital brands. Having said that , I think the good thing is that if you look at our organic part of the food , which is essentially the Oats and the Masala Oats business , has grown in mid-teens , and they are a significant portion of our 1,000 crore ARR, the core business. And we believe that one of the things we have said that today perhaps in the Saffola franchise , for example , food contributes to 30% of the S affola franchise. We believe over the next three years this number could be 50 , and I would really hope in the next five to seven years food , the S affola franchise will become more than 60% plus which will become a dramatic transformation in both the margin and the profile of the consumer and the kind of total addressable market expansion this brand can go to.

Abneesh Roy: My second and last question is on the Saffola edible oil. So , when I see Q2 , we have seen the number one edible oil company Adani Wilmar see double -digit volume growth. So here if I see , Saffola edible oil is clearly a premium part of urban consumption and it is health focused also , which is a very clear theme. So , in the second half, what will be your expectation on Saffola edible oil? Because this time it is flat versus say double -digit for the economy and now the pricing is going up for both. And there is the challenge of overall urban demand. So , if I put all this, where is the issue ? Is there some level of now cannibalization , say, from the economy edible oil also having very similar ads to w hat the Saffola has or is it just a transient issue of , say, the pricing et cetera changing past few quarters. So , where is the issue when you see the volume difference between your growth and say Adani Wilm ar's growth?

Saugata Gupta: Firstly , the margin expectations from the brands are completely different , and therefore we don't want to deliver volumes at any cost. And for us , as I said , ultimately , as long as the food franchise makes much more margins than edible oil franchise and therefore that has been our focus. So , therefore , we are not going to sacrifice the threshold level of margins for getting volume.

 Secondly , you must realize that our set of consumers also and as you know the brand also encourages people to lead a healthy life and therefore the average consumption of oil is slightly lower than at the mass end. So , it's a combination of those. As an organization , we are okay in ensuring that we do a certain level of profitable control growth. Now with the 15% price increase , obviously my revenue growth will be decent , but as long as we maintain margins, we are happy. Our entire focus is to ensure that w e keep a special level of margins and get measured growth in Saffola edible oil while continuing to aggressively grow foods .

Moderator: The next question is from Avi Mehta from Macquarie . Please go ahead.

Avi Mehta: Sir, I just wanted to kind of double click on the margin a bit. Now given that you have taken another round of price increase in Parachute, and our comment that there is no competitive concerns from price discounters, could you please elaborate why, whether your comment of being watchful on margins in the second half, does it suggest a material revisit of the earlier expectations of flattish margins in FY ' 25?

Pawan Agrawal: So, if you look at H1, we have been able to hold the margins at 21.6%. The earlier guidance was that at a full year level, we will try and hold the margins. Now if you look at the cost pressures, it is definitely higher than what we had anticipated. If you look at copra prices, which have spiked in quarter 2, we have seen spikes in quarter 3 as well. And also, the increase in edible oil duty was a surprise. So, to that extent, yes, cost pressures are slightly higher than what we anticipated. Our focus will be , of course , to sort of drive volume and revenue growth. As far as margins are concerned, we will still try and see as to how much we can maintain the margins for the full year. At best, there could be a comp ression of 40 to 50 basis points. In H1, we have delivered double -digit profit growth. We will try to deliver healthy profit growth in H2 also. But purely from an operating margin standpoint, at the most, there could be a comparison of 50 basis points.

Avi Mehta: The second question is on, I know it's early stages for Project SETU , but would love to get any early insights on how are you seeing the benefits flow through in the initial stage where this was

rolled out and where you have some history?
Saugata Gupta: So, I will give you a very macro flavor to it. The approach is to do direct rural distribution. We believe direct distribution is a source of long -term competitive advantage because you have far more control. We are also deploying significant technological tools in order to ensure far better quality of execution. Once, and n ow that the fact that the rural demand is improving, we believe

 that will lead to both higher growth and growth of market share and assortment. Usually the assortment is something that happens when there is direct distribution because the wholesaler usually carries high -velocity brands , which are leader brands, which are pool -based.
In urban, it will lead to significant diversification. As you know, we are not present in a number of chemist , cosmetic outlets or specialty food outlets . For example , in South India , there are a lot of bakeries . In West India there are stores which sell dry fruits and food . Now we were never catering to the stores . Now , if we have to succeed in our new portfolio , SETU will help .
Thirdly , because right now our new food business is disproportionately skewed towards OT , GT expansion in food will also help in terms of margin also , long-term margin protection. And thirdly, this will set up, this SETU should set up the distribution for tomorrow for our digital brands to experiment with GT.
Let me tell you something . Just distributing digital brands, G2C brands in GT can give one -time sale and a lot of people, especially during earn -out and other such events do it. But then they have to take back stocks also subsequently. So , we are not in a position, we believe that only to sell few SKUs there. But our ability to do that,

once this is done, for example, selling some True Elements, selling some of the Plix, for example, you are selling a Rs. 20 coconut, Rs. 30 or 20?
Pawan Agrawal: 20.
Saugata Gupta: Rs. 20 coconut water. We are selling some of the SKUs already started to experiment with that.
Avi Mehta: So, fairly clear on this. And by when do you think you woul d be able to quantify or give us some better color on the likely benefit in terms of financial?
Saugata Gupta: Yes, I would say after Q4, because then you would have had two, three quarters of different sector because today we are still experimenting, prototyping, we are changing and chopping some of the ideas. And as you know that these kinds of things work far better when there is tailwinds right now, consumption tailwinds are not there. It's just that at least rural it's improving . Urban it's somewhat a little volatile.
So, it takes a little time. We are happy to be patient on it and get it right. We are wedded to it for three years. We believe that will be transformational in terms of reconstructing our GT

 profitability and having, creating Oats for long-term growth. So , we are committed to it and we will get it right. We are extremely confident of getting it right.
Moderator: Thank you. Next question is from Vivek Maheshwari from Jefferies. Please go ahead.
Vivek Maheshwari: A few questions , Saugata, first again on the industry bit. I mean, I know these are very difficult to forecast, but do you see a scenario for last few quarters , let's say, leaving aside last couple ,

rural was somewhat under pressure and then urban was doing well ? Do you think that there can be a scenario where rural actually picks up reasonably well and continues to show the trend that we have seen , but Urban actually continues to disappoint in the foreseeable future which again pulls down the pulls down the overall performance of the sector ?

Saugata Gupta: So, let me just give you a flavor of it. I think if the food inflation is not sticky and it cools down, it will definitely improve the urban growth. Having said that, you must realize also some of the last year or if you look at this year also, the urban base was higher. In the case of rural, the base was lower. Rural, a combination of MSP, some of the government schemes, the rainfall and all, the factors for an immediate gradual improvement are slightly more positive.

Having said that, at the top end, we are that way a little lucky that in the top end we don't see any impact at all and if you see our digital brands and most of our premium personal care and even food where we have challenges, it operates at that end. Yes, there are also some channel play, like, for example, if you are over skewed, we are seeing much more growth in maybe quick commerce versus a modern trade. So, it all depends on the kind of portfolio you have and that perhaps will determine the growth trajectory of different players.

Vivek Maheshwari: The other thing , Saugata, is again on VAHO , which has been asked to you at different points of time over the past few quarters, but VAHO numbers again, you have gained market share and I think your number is minus 8 and again, I am sorry, I am asking you this directly, but do you genuinely trust the market share number because are you seeing a scenario where the market itself is kind of declining or you think that there is some anomaly, there are some regional players who may be cropping u p and taking away share ? Because it's baffling to see VAHO actually not performing . I mean , there were periods where it did perform, but through the course of , let's say , 5-7 ye

ars if you took it, the growth is very anemic compared to , let's say , how well you have done . And there have been cycles that we have seen in both Parachute and Saf fola, but unfortunately that cycle has also not showed up in VAHO . It has been fairly muted growth.

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098.
CIN: L15140MH1988PLC049208. Email: investor@marico.com

 Saugata Gupta: See, sometimes there is a, see off -takes are okay . There is always a lag between secondary and off-takes . Sometimes that happens as seen last year also in Parachute. let me just tell you, we believe it's bottomed out.

Now, having said that, there are two things. We took this call of not participating in going down the rat hole in terms of just trying to do price matching at the bottom end of the pyramid. Now that is where, so if you look at it this value decline also is happening because of the fact that there is a higher below BTL, realizations are going down, people are not spending their ASP . So, if I look at NC number , it will be different because what is happening is players are converting ASP into BTL which is bringing down NR.

Now we have chosen now to not, we will selectively participate in that . We have started investing behind the middle segment . We don't participate in the super premium segment , which is Almond and Hairfall and the share gains are happening there. The reason we are gaining value share is because we are perhaps growing slightly in that end and there is a significant spread at the bottom of pyramid.

Now it's unfortunate that when we face a little bit of irrational competition , there is nothing much we can do. Having said that , our actions at the middle of the pyramid and at a mid to high RPI indicate that this thing has bottomed out, this decline has bottomed out. So, I am unlikely to shock you with a minus 10 or a minus 11 next quarter , if that's the case.

Vivek Maheshwari: So, just a couple of follow ups . So, one you are saying , when you say bottom out as in , in terms of there will be growth from this quarter onwards?

Pawan Agrawal: So, w hat we meant is that this is the worst as far as VAHO is concerned . We will definitely have better performance going ahead . We would expect to deliver positive growth , but let's see . I think this is clearly the bottom from a VAHO performance standpoint.

Saugata Gupta: And the reason is as I said that we are now clear on this strategy , because in the last few quarters , we were into this chasing the wholesale game which we were playing.

Vivek Maheshwari: And in terms of one more thing, Saugata, do you see a period of , let's say , sustained , let's say , 3-

4 years where VAHO could grow in reasonable double digits? Is that something that you think can be the base case here?

 Saugata Gupta: Double -digit growth , I mean , I would love to do it , but let's take one quarter or a couple of quarters at a time , but the immediate task is to get the thing back on track. We believe that , as Pawan also alluded to , that the worst is over in terms of the decline , but we need to wait for a couple of quarters on this. And as I said that if the rural sentiment improves, SETU starts kicking in, maybe next year we should see better performance.

Vivek Maheshwari: Last question on Plix portfolio again . So, I saw your presentation slide and I know this was always there , but the personal care, which is under Plix as against , let's say , plant -based nutrition . I mean , I know there are examples of , let's say , some one like a Himalaya, but do you think personal care and a nutrition can be under the same brand umbrella and can be scaled up without having any conflict , confusion or whatever it may be? Are there many examples of that other than Himalaya?

Saugata Gupta: No, so in Europe, if you see, the trend is in a plant -based skin food and hair food, and that is how the brand is moving towards. And if you see anything like, for example, there would be things which will help in your sleep, relaxation, rejuvenation, and functionality. So, whatever we do, there will be functionality. What we are trying to do in Plix is, as I said, that hair food and skin food, and that's how a lot of brands are moving. Now, fortunately for us, the brand name itself and the positioning allows it to stretch. Having said that, you are absolutely right, we always keep a strong eye on in terms of that we should not overstretch the brand.

Vivek Maheshwari: And just a small follow up. So, when you think about Plix for you, is it , let's say, the nutrition brand or does it become more like a , let's say, protein brand for you or it is personal care, or do you think it is equally spread between the two, when you think about it?

Saugata Gupta: It's a good for you brand, and the source is plant -based, and it is in the area of nutraceutical, hair food and skin food. So, it nourishes you either way, whether it's hair, skin or body.

Moderator: Thank you. Next question is from Ar nab Mitra from Goldman Sachs . Please go ahead .

Arnab Mitra: My first question was actually on your performance this quarter as well as your outlook seem significantly better than many of the other FMCG companies . You, of course , outline d certain reasons , but I just wanted to check is it also a factor that you have done a lot of chan nel inventory corrections over the last like four , five quarters due to this chan nel shift that is happening and therefore you are in a better position in terms of planning inventory , which is helping you deliver better numbers , while maybe many of your peers said have to correct that . So, just wanted to

 understand if your channel destocking that you were planning behind us , by and large , and are you now well set in terms of the urban beauty ?

Saugata Gupta: No, s o I think, see, one of the things that is helping us, if you realize that in the last few quarters we were facing deflation. Now, when we were facing deflation, as you know, in urban, GT was anyway stressed. What happens is , if you face deflation and plus the fact that you are declining, your costs go up by an X percentage that leads to significant ROI stress. Now, in places like, especially in the South and West which have a significant Parachute skew and maybe a big metro like a Bombay , Delhi which also has a Saffola skew, this inflation is going to help us in terms of managing distribute the ROI in the immediate term. Having said that, we are continuing to be concerned because, if you ask me, the growth of some of the alternate channels is coming at the expense of maybe Kirana or coming at the expense of Modern Trade . So, we continue to be partnering them in terms of ensuring and it is in our interest that you have a viable GT system. So, as and when the need arises, we will do it. See, keeping stocks is a kind of an inefficient way of us age of capital. So, at the same t ime, I would say that in the next 2 -3 quarters because we have these revenue tailwinds , that will help us in terms of managing ROI.

Pawan Agrawal: And just to add a couple of points, Arnab, one is,

of course, Saugata touched upon distribut or ROI. Now, given that we have pricing led growth, largely driven by Parachute , which is more in the South and West of our country. So, over there, I believe that distribut or ROI will be fixed, but there could still be certain regions, geographies where ROI could be a challenge and t herefore we may take certain calibrated calls to sort of support distribut ors in ROI. That's one. And number two, as far as SETU is concerned, yes, there could be some stock adjustments on the B2B and wholesale side for us to expand ou r distribution. So, that adjustment might still happen. So, it's not that it's completely clear, but depending on how the ROI works out, depending on how SETU expands in certain markets, some of those calls might still be taken in quarters to come.

Arnab Mitra: My second question would be, S affola, see, in Parachute , we have seen the pattern that when commodity goes up , you take price hikes. We tend to actually accelerate volumes given the setup of the category. In edible oil, what is your expectation? We are getting into an inflationary cycle. We have taken a 15% hike. Could it have a significant negative impact on volumes because this is an expensive product, the absolute price gap is quite large? Any sense of what you expect to happen on the S affola vol umes in the near term as this pricing goes into the market?

 Saugata Gupta: So, our pricing model suggests, as you know, that post Ukraine, we had a pricing up to 230. So, I think the yield point at a threshold level where volumes really get impacted is closer towards 200. Today, I think we are at 185.

Pawan Agrawal: Yes.

Saugata Gupta: We are at 185. We should be comfortable at this level. Having said that, the problem that happens is, we don't know because given the fact that this has led to inflation, if there is some adjustment in duty or some other discount, those volatility leads to the trade destocking . To me that is what we are worried about , but at 185 price point for Saffola Gold, we are comfortable . Our last pricing model sensitivity stress test which we ran suggested anything hitting 200 becomes a problem.

Arnab Mitra: And my last question was on Plix and Beardo where you are looking to potentially these brands could become very large over the next few years. Fundamentally, what's the gross margin profile of these brands and at scale, do they make the Mari co average EBITDA margins once the se brand scale up?

Saugata Gupta: Absolutely, I think Beardo, I think is anyway hitting double -digit EBITDA margin this year. And we should be able to do with scale , and we are broadly confident because they have high gross margins. And as I said, that one of the things we will not make a mistake is that once we experiment with GT, we will have a very limited portfolio because this while the temptation to go into GT can give you short -term top line. But long term, without an off take model and without a mark ed A&P model, there can be an issue in terms of profitability.

Pawan Agrawal: And also just to add, Arnab, as Saugata said, Beardo will end up with a double -digit operating margin. Plix also either will be positive or have a marginal bleed. And we had also given a guidance that over the next three years, we definitely expect the overall digital business to move into double -digit operating margin. And we discussed in earlier calls as well that there will be two different models of growth in digital business. One could be a significant growth of 70 %, 80% with a significa nt bleed. And second could be the model that we have adopted, where we ar

e okay to grow at 25 -30%, but growing profitably. I think second model works well for us and we will stick to that. And we hope to move to double -digit operating margin for the entire digital business as a whole by FY '27.

Moderator: Thank you. Next question is from Manoj Menon from ICICI securities. Please go ahead.

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 Manoj Menon: I got a few questions, but I will just start with what my friend asked a little earlier on the digital brands. I recall, around 12 months back, you actually had, there was an exchange release which spoke about, you got a new EVP digital, which was maybe my understanding, the first in the industry. And 12 months later, when I look at the performance, it definitely seems to be one of the important interventions you would have taken, which is working. Just only one question here, or rather two , I would say . Look , could just quantify the online, offline, let's say , salience , let's say, in the D2C brands, which you have , maybe not D2C anymore ? Secondly , just also want to understand, let's say , the offline journey, which you had in the last, let's say , 12, 24 months and the learning, particularly in the aspect of demand planning. Because when I look at some of the peers who would have, plus the peers in that segment would have gone from online to offline , one of the challenges which I find they facing is to , let's say , to increase the demand planning accuracy. So, two questions. Let's say , your offline journey and point number two , the demand planning part.

Saugata Gupta: So, I think our offline numbers are not very high . It's marginal. We continue to focus on online. I think two things , I would say , our experience on offline . For offline to happen , you need the right price point . For example , I think we are experimenting with a ACV on Plix for $75, 75 bucks while the other one is , I think , sellout is 200 nearly . Am I right ? More , more , 250 plus . Similarly , we are doing a coconut water . So, the first thing is get the price point right . There is no point trying to sell high AOV stuff out there. Number two , I think a learning from not only FMCG for other industry is that if I am discounting heavily in e -Com and there is no point trying to do a GT with the same tax because the GT guy will then realize or the consumer will realize anyway I can get it cheaper in e-Com . To create a portfolio with the right pricing and have a limited set of SKUs. So, for example , in Beardo , we believe that not more than 5 , 6 SKUs. The demand generation problem that happens is if you get into this display and a beauty advisor model , you need at least a turnover , I mean , an off -take of 75,000 to 1 lakh per store to break even . And theoretically , then what happens in the BA model if you are stuck with 100 stores selling 60,000 , you can never make profits . In Excel , you might make it . In reality , you will never make it.

Manoj Menon: That's very clear . I will honestly have a follow -up on this little later , team . Just only one thing which I understood on the initial part of the comment is that so most of the growth is still driven by online which means that , let's say , the offline piece is yet to happen in a material way.

Saugata Gupta: You know , it's not material , but at the same time , I believe it's growing . And similarly , I must say that , especially amongst all these brands , as I talked about these two price points SKUs in

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CIN: L15140MH1988PLC049208. Email: i

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Marico Information classification: Official Plix similarly True Elements , especially in food , I think food has a far more better runway for
offline th an while personal care I still strongly believe that you need to saturate and drive penetration in online . We also have had successful experiments on quick commerce . I think in terms of some of our personal care brands. So, I think we haven't yet saturated it. But our entire GT run will be measured . Just to give you a number of GT amongst the digital brand, It will be right now around 15% to 20% .

Manoj Menon: Which is a very , I would say , it's a good performance actually . And lastly on this aspect , if I move on to the other one, any experiments , anything which you have done , let's say , let me, if I can, I don't know , please feel free to disagree with me . If I consider , let's say, Marico as an offline first thinking sort of a DNA trying to , let's say , take a D2C offline , let's say , any experience you have done where , let's say , you could do far better than , let's say , D2C trying to do offline in terms of , let's say , all your forecast getting right ?

Saugata Gupta: No, so as long as it's limited , it's fine, but I think I can't do a model of taking 100 or 150 SK Us assortment . I don't have that capability . That's a different capability . See, I think , let me just rephrase what the Mar ico vision is . I think we need to be seen in the next 3 to 5 years as a legacy FMCG company is also who has transformed itself to a successful consumer digital company . And I don't think globally many companies have done that kind of a transition. And co -existing both models , okay . It's not that one at the expense of others.

Pawan Agrawal: And just one clarification , Manoj. This GT 15 %-20% is basically offline. So, which could be both GT and MT.

Manoj Menon: In the interest of time, I will have to just quickly pushed through two more. Honestly, when I was looking at the slide number 7 , which essentially talks about 4% volume growth in Parachute , overall growth of 5% , it's a bit surprising that the perception that Parachute is probably , let's say the growth of Parachute needs to be uplifted with other businesses. One question on VAHO , that's more of an observation , is that, honestly , I am a little confused actually. So, where is the consumer going? Is he or she just simply down trading? Or is he , let's say, prioritizing consumption? Or let's say per -dime consumption has reduced currently?

Saugata Gupta: Significant down trading has happened. I think also shrink inflation has happened. As you know, in order to keep the price points in brands like Shanti Amla and in the , 10, 20 price po int packs we have taken significant ml-age cuts. And this has happened in other categories like soap that people don't increase transaction proportionately. It's been a combination of that, but there has

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Marico Information classification: Official been significant down trading. And as I said, I alluded to that something which I want to break
the mold i s that if other players don't invest and get into A &P equal to zero and put all their monies into trade inputs and running BOGOs , as a market leader, if I try to do that and say that I want to go that , you know, that is long term, not good for me. We have taken this call and this shift will happen over the next 2 -3 quarters. We will start investing behind driving category growth. Because if the SOV , if the total s pend in the category goes down by 50 %-60%, somewhere it impacts category growth.

Manoj Menon: Just lastly relaying one thought which I have heard largely from longly inv

estors about
Bangladesh , while the current water performance may not fully reflect the changed , let's say , equation on the ground etc ., etc., if there is a , let's say , parallel when we think about what happened , let's say , to a Burger King in Indonesia , are there anything , I know that it's not a statement, it's a sensitive one for you to comment upon , that one of the worries which investors have is that this can actually happen in Bangladesh .

Saugata Gupta: See, we continue to be convinced about the medium -term opportunity in Bangladesh and at the same time, as a long -term international strategy, we have been consistently reducing our dependence on Bangladesh and within Bangladesh , of course , accelerating the innovation. But I keep on repeating this , that the strong get stronger, we ak get weaker . We are a listed company in Bangladesh, and we have reasons to believe that the medium -term potential is very much intact. And having said that, as I said that we will continue to accelerate the diversification in both top line and bottom line from Bangladesh . If you look at the growth in, especially in MENA where I believe there is a huge headroom for growth in market share, we are not present in Egypt is a large market in hair oil. We are not present at all . We just launched and we are doing well. We are aggressively getting market share in the Middle East . We are doing well in Vietnam or in our new coun try development . So, that part of the business just as we have done a diversification agenda in India, we want that non -Bangladesh business needs to grow by 20 %-25% over the next three years, if we can do it, we will have achieved that accelerated diversification.

Manoj Menon: And one last thing , Saugata, again a sensitive one for a public forum . So, there is a two -year extension for the MD & CEO done about 18 months back . There is still six months to go . Any qualitative comments? I do recall …

Saugata Gupta: It is still 18 months to go , don't worry . There is a lot of time left .

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 Pawan Agrawal: We will come back to the Street at the right time .

Saugata Gupta: We will do it at the right point of time . Don't worry about it .

Moderator: Next question is from Harit Kapoor from Inves tec. Please go ahead.

Harit Kapoor: So, just on the ad side, you have seen the standalone entity seen two quarters of decline in spend . I understand that some of the Digital -First brands don't get reflected in the standalone numbers given that they are part of the subsidiary piece. But just wanted to get your sense on, has there been any ATL v ersus BTL shift on the core? Or you have not needed to , you will spend competitively but it's still showing a decline. So, any thoughts on that and also going forward?

Pawan Agrawal: In fact, Harit, we had discussed this in the last quarter as well and the reasons are very similar. For example, first of all, we have invested adequately in focused categories of CNO , Premium, VAHO , Foods and PPC to ensure that our share of voice is intact, number one. Number two, which is from the last three quarters, you would have noticed that we have started this master brand campaign on the Saffola franchise and that has helped us to optimize the A&P spends on Saffola. Otherwise , we were spending on multiple smaller initiatives under Saffola . Thirdly, I think in BOP and VAHO , of course, there has been a cut due to intense competitive activity , which we have discussed at length, where of course some of the monies have been diverted towards pricing and trade mobilization . And lastly, I think we have also rationali

zed some of the spends in the alternate channels of MT and e-Com . So, these are the reasons why you will see a little bit of cut in the A&P spends. But going ahead, I believe that you will see an upward trend in A&P spends and should definitely improve. However, at a consol level, if you look at it, we have increased the A&P spend at about 8% and overall A2S is about 10.9% to 11%, which is a pretty healthy number as compared to where the industry is at.

Harit Kapoor: Second thing is on the food side . So, first half, growth has been very strong. Even if you kind of leave out Plix, if you could just give a sense of apart from oats, where have you seen the high pockets of growth in the subcategories that you are there now in, any kind of qualitative view also on that would be very helpful.

Saugata Gupta: So, I think we are just prototyping a revised version of snacking. We are prototyping millet, Masala Millet . We believe that this one has potential. And also, Muesli. And also, if I look at honey and soya, they are steady. They are not giving exponential growth, but they continue to be steady. So, I think the total aspiration is food to grow 25%. We continue to be confident in

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 this part of the business, which is the core foods, or the Saffola part of foods to grow in double
digits every quarter.
Harit Kapoor: And one last bookkeeping was on the standalone side, while you have explained the higher other income at a consolidated level , please give a sense about why the standalone number looks even higher at 300 odd crores, if you can help with that?
Pawan Agrawal: It is because of dividend that we have got from Bangladesh subsidiary to an extent of about 231 odd crores. So, that is what is spiking the number . Outside of that , of course , the reasons are the sale of fixed assets and one favorable settlement of one of the dispute . So, all this if you keep aside , then the growth is in the normal range. The big part is Bangladesh dividend.
Moderator: Thank you. Next question is from Tejas Shah from Avend us Spark Institutional Equities. Please go ahead.
Tejas Shah: Saugata, with all the major FMCG companies flagging off an urban slowdown and at the other end, quick commerce guys are again, which are heavily indexed to urban demand are showing strong growth. So, just wanted to check if our saliency in the quick commerce channel is as high as GT and the slowdown observation is not the outcome of key channel which is GT losing market share and overall urban demand shift that we are witnessing.
Saugata Gupta: So, I think obviously there is some transition happening and shift in demand happening. But I think one of the things we always ensure, and it is good for us is actually our OT saliency continues to be higher and our market share in each of the categories which we participate a re higher in OT than in GT.
Tejas Shah: Second, just one small observation. If I look at our employee cost as a percentage of sales, it has increased from 6.5 roughly that run rate pre -pandemic to now 8% this quarter. Does this suggest that the incremental growth or the nature of growth that we are chasing demands higher, very different kind of talent , so employee cost will remain at elevated level versus what we saw pre - pandemic level ?
Pawan Agrawal: So, there are two things. One is if you look at, we have added a lot of new businesses in the last three to four years. Over there , employee cost as a percentage of sales is slightly higher and again these differences are becoming large. So, therefore , that is also impacting overall as a percentage to sales. Secondly,

in this particular quarter, of course, there is an impact of the

 phantom stock , which is share -based payment , which is linked to the stock price. And since the
stock price has done well, there is an impact in the current quarter. If you have to exclude that, then the growth will be in the range of about 8 %-9%, which is in line. So , largely , the addition of new businesses which is slightly higher employee cost is skewing the sales percentage number. But again , it is also a function of how your revenue g rows . For example, if there is higher pricing led growth, the operatin g leverage will kick in and this number will compress going ahead.
Saugata Gupta: I think just to add, so the moment we start delivering double -digit revenue growth in the second half, this percentage will go down. And just to add that one of the reasons , of course , is because of scale, this fixed overheads or employee cost as a percentage of sales in digital business is high. It will come down . And also, another reason you must realize that traditional FMCG company outsourced a lot of things. Here a lot of thing s is in-sourced. Like for example, we do a lot of content advertising development in -sourced as opposed to using agency. So , that which is shown as some other expense comes into employee cost here.
Moderator: We will be able to take one last question. We take the last question from Mihir Shah from Nomura. Please go ahead.

Mihir Shah: Pawan , one small clarification , first, on the operating margin contraction of 40 to 50 basis points that you called out. That was for the full year, right? Not for the second half.
Pawan Agrawal: Yes, that's for the full year. So , the last one we have been able to follow -up. Now there are a lot of moving paths , and that's the estimate that we are giving at this point in time. We will try to better this number. But as of now, it looks like maybe at 40 to 50 basis points, there could be contraction at a full -year level.
Mihir Shah: No, that's clear. Firstly on Saffola , the import duty hike, that was on palm , soy and sunflower and not on rice bran. Does this help in improving your competitive pricing in any way? And when was the 15% price hike implemented and how should one think about volumes on the back of this 15% price hike?
Saugata Gupta: So, firstly, the entire market shoots up, unfortunately, that the domestic oil is also independent of import . It goes up. And I think , I guess one of the reasons this import duty was done for that better realization for farmers. Now, as I had alluded to earlier, that we believe that at the current level, we seem to be reasonably comfortable. Last time when we took a price increase in 2022,

 we had moved to 230. We had seen the volume getting impacted and whatever modeling suggests anything close to 200 and 200 plus , our volume gets impacted. As of now, I think at 185, we seem to be okay.
Mihir Shah: Secondly on foods again, can you talk a bit on what is the contribution , ballpark contribution maybe of your core brands of oats, honey, and chunks? Because I wanted to get a sense of your journey of foods from 2x to 4x that you are talking about so which other brands do you see that can give you, you know, what will be the glide part to that journey basically ? How much do you think that can add and maybe some categories that you are t

hinking about ? I understand Plix is there, but other than that?
Saugata Gupta: No, I think the contribution of the core is significant, okay. I will just give you a construct of the growth rather than , so if you look at food s, I think the biggest one is oats and w ithin oats, millet, masala which we have launched is an adjacency to it. We are obviously participating in now breakfast with muesli. We have a presence in snacking and immunity and soya. Now soya and honey are obviously not growing exponentially, but the construct is that we want to have the organic core growing in double digit and ensuring maybe the Plix plus True Elements growing at 30% plus so that we have a weighted average of anything between 25% .
Moderator: Thank you very much. We will take that as the last question. I would now like to hand the conference back to the management team for closing comments.
Pawan Agrawal: Thanks for listening on the call. To conclude, the first half has largely m et our expectations. So far, we have delivered on the key performance parameters as laid out at the start of this year , in terms of an improving volume and revenue growth trajectory in the core and overall domestic business, maintaining the robust double -digit constant currency growth momentum in the overseas businesses as well as holding on to the operating margin of the base period , and we have delivered double -digit earnings growth in the first half. In the context of the current consumption environment and sharper than anticipated rise in commodity prices, we will take calibrated pricing actions to alleviate the pressure on margins and stay the course on our stated aspirations.
That is it from our side. If you have any further queries, please feel free to reach out to our IR team and they will be happy to address. Thank you , and wish you all a great festive season ahead.

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Marico Information classification: Official Moderator: Thank you very much. On behalf of Marico Limited, that concludes the conference. Thank you
for joining us, ladies and gentlemen . You may now disconnect your lines.

(This document has been edited to improve readability)

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Mumbai – 400001
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Sub.: Transcript of the earnings conference call

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, copy of transcript of the earnings conference call held on Friday, January 31 , 202 5 on the un-audited financial results and operations of the Company for the quarter and nine months ended December 31 , 2024 , is enclosed .

The said transcript is also available on the Company's website at https://marico.com/investorspdf/Marico_Limited_Q3FY25_Earnings_Call_Transcript.pdf .

This is for your information and records.

Thank you.

Yours faithfully,
For Marico Limited

Vinay M A
Company Secretary & Compliance Officer

Encl .: As above

Marico Limited
Q3 FY25 Earnings Conference Call

January 31, 2025

MANAGEMENT : MR. SAUGATA GUPTA – MD & CEO, MARICO LIMITED
MR. PAWAN AGRAWAL – CFO, MARICO LIMITED

 Moderator : Ladies and gentlemen good day and welcome to the Marico Limited Q3 FY25 Earnings Conference Call.

We have with us today Senior Management of Marico , represented by Mr. Saugata Gupta – MD and CEO and Mr. Pawan Agrawal – CFO.

As a reminder all participant lines will be in the listen -only mode . There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th is conference , please signal an operator by pressing '*' and then '0' on your touchtone phone.

Please note that this conference is being recorded.

Before we get started, I would like to remind you that the Q&A session is only for institutional investors and the analysts and therefore if there is anybody else who is not an institutional investor or analyst but would like to ask questions, please directly reach out to Marico's investor relations team.

I now hand the conference over to Mr. Saugata Gupta for his opening comment s. Thank you and over to you sir.

Saugata Gupta : Hi everyone and all those who have joined the call and my best wishes to all of you for a very Happy and Prosperous 2025. I would like to begin by sharing a perspective on the operating environment during the quarter, followed by our performance and the strategic objectives going forward.

The FMCG sector exhibited reasonably steady demand sentiment during the quarter. Retail and food inflation were at elevated levels but showed some signs of easing in December. Urban demand remained stable yet soft on a sequential basis whereas rural contin ued to witness improvement, growing at 2 x suburban on a year-on-year basis for the third consecutive quarter. Resultantly, HPC categories continue d to outperform packaged food on a year-on-year basis. Continued government schemes, rise in MSPs and a favorable crop season bode well for the ongoing rural recovery. In urban , consumption sentiment remained reasonably stable and healthy amongst the affluent and upper middle -class segments. While middle and bottom of pyramid segments appeared relatively subdued by inflation and slow wage growth . Pricing growth across categories was up sequentially as companies implemented pricing hikes to counter margin pressure from the sharp rise in commodity prices.

Moving on to our performance, India business posted a sequential uptick in underlying volume growth and a robust high te en revenue growth. Offtake growth remained healthy with over 90%

Marico Information classification: Official of the business gaining or sustaining market share and about 80% of the business either gaining
or sustaining penetration both on a MAT basis. From a channel perspective, alternate channels continue to drive growth and gain salience. The GT channel has seen prolonged sluggishness due to the evolving inter channel dynamics, conflict and shift in consumer behavior. While the share of altern ate channels have been on the rise in Tier-I markets, we believe GT will continue to be relevant and dominant channel, especially in Tier-II markets and beyond. We will continue our focus on driving differential growth in our urban centric and premium portfolios through the organized retail and e-commerce channels. Therefore, we will aim to deliver consistent and competitive growth in the medium term through a sharper and more targeted portfolio and SKU strategy in each channel.
Delving into the domestic business, I will now touch upon the key trends in eac

h of our
categories . Parachute posted a resilient performance despite a steep input and pricing increases absorbing a circa 1% volum e impact due to ml-age reduction in one of the price point packs. The brand maintained it s stronghold through market share and penetration gains. We have taken another round of price hikes towards the end of Q3 as forecast suggest copra prices to remain firm in the near term. We will closely monitor consumption trends with this high pricing and the transient impact of shrink flation of price point packs in the near term given the persistently inflationary market co nditions which are expected to improve soon. Saffola edible oils also demonstrated stability despite significant price hikes over the past few months driven by the import duty hike, we expect the brand to remain steady unless there is significant volatility in vegetable oil prices. Value added hair oils while subdued, recovered sequentially and maintained an upward trajectory in market share excluding the bottom of pyramid segment where we are facing unreasonable competition. The portfolio delivered 3% growth which is in line with ov erall BPC categories. We will continue to reinforce our market leadership through strategically increasing ATL spends and focusing on growth in the mid and premium segments , while gradually improving rural sentim ent is likely to support consumption in this category. Food business scaled up to around ■1,000 crore s ARR in Q3 which was underpinned by broad based growth in the core and the new fr anchises. You would recall in 2020 we had taken this aspiration of developing a ■1,000 crore s food portfolio . We have finally reached there . Saffola oats delivered double digit growth and maintained its position as the #1 brand in the oats category. True Elements and Plix plant -based nutrition portfolio also scaled up well .
Following the substantial expansion in gross margin last year , we expect gradual improvement in the profitability of the Foods portfolio as we build scale in the medium term. The premium personal care portfolio performed well in line with expectations. The digital first portfolio scaled ahead of expectation , reached ■600 crore s in ARR in Q3. Beardo is on track to deliver double digit EBITDA margins , reinforcing the long-term focus towards driving consistent growth and

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098. CIN: L15140MH1988PLC049208.
Email: investor@marico.com

Marico Information classification: Official improvement in profitability in the medium term. We maintain our aspirations to achieve double
digit EBITDA margin in the Digital first portfolio by FY2 7. The composite revenue share of Foods and premium personal care including Digital first brands in the d omestic business stood higher at 21% in 9M'FY25 despite significant pricing growth in the core portfolios . These businesses are now clocking a combined ARR of around ■1,900 crores , and represent a phenomenal shift in the growth trajectory and the potential of the I ndia business in the future. This is a testament to the tremendous conviction, capability building effort and strategic investments made over the past four years. Further, a notable improvement in profitability of these businesses over the last couple of years reinforces our focus on driving sustainable diversification in the medium term.
The international business sustained its double -digit constant currency growth momentum. The business has continued to chart a resilient top line and profitability performance despite the impact of currency headwinds in key markets. Currency headwinds had a 2% impact on consolidated EBITDA this quarter. The Bangladesh business delivered a robust growth and continued to demonstrate its competitive moat even amidst the challenging macro environment.
MENA del

ivered strong growth and aggressive market share gai ns across both the Gulf and Egypt markets. South Africa has been a consistent performer as well. Southeast Asia was muted due to a tepid con sump tion environment in Vietnam and geopolitical issues in Myanmar. The new country development or exports market has been scaling up healthily as well. We are confident of maintaining the strong double digit constant currency growth trajectory in international markets and gradually unlocking the margin upside to scale benefits in the medium term.

To sum up, both domestic and consolidated revenue growth along with the underlying India volume growth reached a 13-quarter high amidst the challenging inflationary environment. The international business has also sustained its double -digit constant currency growth momentum. We are on track to achieve double digit consolidated revenue growth for the full year. As a result, we are well positioned to meet our aspiration across most key performance metrics set at the start of the year , alongside our strategic diversification goals in both India and international markets. While input inflation has been higher than expected, this has put some transient pressure on profitability . As far as copra is concerned , it follows an 18-to-24-month cycle and we are nearing the end of the inflationary cycle. Prices are expected to cool down once the flush season resumes from early Q1 'FY26. However, the gains will come to us with some lag since we maintain some level of position at current levels as well. That being said, our ability to take pricing in Parachute , ongoing cost management initiatives and the scale up of Foods and digital first businesses in India, as well as MENA and South African business es enable us to contain the impact .

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 We remain committed to achieving top quartile volume growth in the India business and double - digit consolidated revenue growth in the near and medium term , as well as double digit constant currency growth in the international business. One of the things we have managed to do reasonably well , is our ability to anticipate an opportunity or a threat and be ahead of the curve. You will recall , first we called out and addressed the inter -channel conflict in India as early as 2019 -20, as well as the GT stress and the need to support the distributor ROIs four to five quarters ago. Recogniz ing the early signs of stress in GT , we chose to proactively invest and adopt a measured and structural approach to address the issues. It included actions such as segregating facts across channels, implementing a minimum operating price and elevating our strain on our partners by reducing wor king capital pressure. In addition, Project SETU has extended into 11 states now. We expect the results of initiatives to revive GT growth to reflect in our performance over the coming quarters while the improving consumption trends persist. Secondly, we are one of the very few companies that continue to invest in brand building across input cost cycles given our strategic intent to continually strengthen the long-term equity of our franchises , and accelerate diversification and we have resisted temptation to manage short term margin by cutting A &P in a quarter. Thirdly, we anticipated the threat of D2C brands eating into incumbent players growth as early as 2020 which has happened in some of the developed markets including US. Similarly, we identified the higher growth potential of Foods versus BPC, and we strongly believe that packaged Foods over the next medium -term cycle has a higher runway to growth than some of the BPC categories. We therefore initiated an ambition

diversification agenda through aggressive organic and inorganic investments which has been delivering impactful outcomes. We have also exhibited resilience and grip which h as led to our ability to tackle this slowdown by largely delivering what we have promised. And finally, our vision of being one of the few legacy FMCG companies across the globe to successfully transform itsel f into a profitable consumer digital company is progressing reasonably well. This has been made possible by our unique M &A strategy which is a win -win for both of us and the founders , and our ability to learn from them with humility and seed founders' mentality within our leadership in the process over a 3-year period where they earn out .

Last but not least, sustainability remains a top priority and integral to our business operations. Our Sustainability 2.0 framework is yielding positive progress across all key focus areas, we are confident that our dedication to creating shared value for all will drive long term sustainable and differentiated growth. With that, I will now close my comments. Thank you for patiently listening and we'll now take all your questions.

Moderator : Thank you very much . We will now begin the question -and-answer session. Anyone who wishes

to ask a question may press '*' and '1' on the touchtone telephone. If you wish to withdraw
yourself from the question queue you may press '*' and '2'. Participants are requested to please

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 use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. We have the first question from the line of Abneesh Roy from Nuvama. Please go ahead.

Abneesh Roy: Yes, congrats on a good set of numbers. My first question is on Plix and True Element s. If you could tell us in terms of distribution scale up with respect to these two specific products, how much scale up is expected to happen in one year ? In True E lements , competitive intensity I think is quite high. There are a lot of similar kind of companies in both legacy and startups as well . Hence , if you could discuss how things are on competitive intensity and in terms of profitability, how are things panning versus internal exp ectations ?

Saugata Gupta: First, let me answer the last question. I think the cash burn in the businesses Plix is all profitable and the burn rate in True E lements is extremely low. Now coming to the growth expectation , one of the things we believe in digital businesses is to have a sustainable profitable growth trajectory . Given a choice between 60% growth , and high cash burn , versus 25%-30% growth and having responsibility towards both capital utilization and managing profitable scale up , we have chosen the latter . Therefore, as long as we deliver that kind of a growth, we would be happy. Now I think as far as GT is concerned , one of our learnings has been that a lot of so called D2C or digital brands end up taking costly displays, beauty advisors, putting in all the 200 -300 SKUs and perhaps after some time offtake doesn't happen and they have to take the stock back. We have been doing this in a focused way . For example, in Beardo we learned that you should only do the hero SKUs which are 6 or 7 SKUs. Now , in food obviously the opportunity for GT is far higher. In the case of Plix what we are also doing is that we have got some specific SKUs , such as a smaller ACV pack , and tender coconut concentrate. . We are creating a portfolio for GT, rather than having the same set of products. Furthermore, if you offer significant discounts on e-commerce or your own D2C platform but do not pass them on to GT , where products are so

ld at MRP, those stocks do not sell. Therefore , we have now realized that you need to have a significantly differentiated portfolio. You also asked about competition in True Elements . I think there is enough opportunity and headroom for growth in the markets. The way we look at it is that between Sa ffola and True Elements we will occupy different market categories and work together and grow , and there is enough opportunity and TAM in these categories because I think healthy eating or 'better for you ' products is something which will actually grow in India. Plix of course has a huge headroom for growth in some of the formats or some of the places where it can move into. So, therefore, we are very excited. We are extremely confident that Plix will hit a 500 crore s number very soon. And I think having said that we are not pushing the digital businesses to do obscene 70 %-80% growth and do a cash burn . That is something which we don't want to do. We believe in built to last and build to build businesses which are healthy and sustainable over the long term.

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 Abneesh Roy: One follow up on Plix regarding achieving 500 crores very soon , will it be in FY26 or 27 ? And second when you had acquired Plix, it was clearly a very differentiated portfolio and innovative company. Now what are the SKUs or formats which are working and in terms of pricing have you made it more affordable? Because pricing at that time was definitely on the higher side. But with your scale and expan sion, and overall ability to price it lower , has the pricing become more affordable for the customer?

Saugata Gupta: I think in GT we are prototyping certain packs which have a lower MRP because we believe that, lower outlay is important. I think in terms of pricing at the end of the day in a nutraceutical product , we are quite okay. We don't want to deep discount it , because that finally dilutes the equity and leads to commoditization of the category . Ultimately, I think AOV , and we have made sure that we make a healthy CM1 , these are very important for the sustainability of digital businesses.

Abneesh Roy: Understood. My last question is on the Parachute business. In the context of double digit price hike done by us , have the other listed players who are much smaller in coconut, taken similar pricing? Because I do see them being a bit more aggressive on promotion. Secondly, with regards to the 3% volume growth , I have two sub questions . One is if you could elaborate if the 1% adverse impact on volume will continue in Q4 because of the pack price change . Second in terms of the 3% volume growth is rural 2x of urban in this category for you?

Saugata Gupta: No, I talked about rural being 2 X of urban for the FMCG sector , specifically for us it's been more or less in line . Now the second question you asked on the shrinkflation. Yes, it will continue because anniversarization will only happen in Q2 -Q3 because Q2 -Q3 sometimes in Q2 and Q3 and so that will continue for a couple of quarters. But one of the things that c ould happen is that as we said that we are perhaps on the end of the inflation cycle and when the deflation comes, we might want to neutralize those inflation , but adding volumes back as and when the opportunities arise between Q2 and Q3 this year .

Abneesh Roy: One follow up Saugata, last one from my side. So, you did say that in FY26 copra could correct. And that's a very fair observation given agri commodities behave like that normally after sharp inflation, sharp deflation can happen. My question here is would you be worried with that? Because one price cut could happen in FY27, say starting

FY26 in Q2, which means operating deleverage can happen in that part of business. Second ly, are local players also coming back. So, on these two aspects, what will be your thought? I understand currently no one can say how much deflation will happen . But from a theoretical perspective, how would you fight the deflation issue on the operating deleverage issue and the local players coming back, how you will be able to fight those two ?

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 Saugata Gupta: I think there are two things. One is as you know given the MSPs in copra , the downside is not very high. Okay. Secondly, having withstood multiple cycles, I think we have refined our strategy and we are not particularly concerned about that. I think if I look at the last cycle, we corrected ourselves within one quarter of the volume growth. So, I don't think, as I said that I think after continuing these cycles we will not be in the past yet. I think in 2018 or something, I don't remember two cycles we have made some mistakes in terms of not taking proactive price drops. We als o know how not to keep in terms of the stock covers and all that when the deflation occurs. So, I think we are far more refined in managing this . And as you know that in terms of the smaller players broadly, I don't think we have seen significant lack of promo activity even in the inflationary cycle because some of the so-called organized players are also not making money. And you refer red to some promotions some people are giving. So, I don't think the behavior has changed during inflation or deflation of some of the branded competition.

Pawan Agrawal: Just to clarify, earlier we were more conservative about copra prices in terms of taking the pricing correction because the dependence on profitability was far higher. Now given the structural levers that we have pulled in the last couple of years where we have improved profitability on various fronts , here we'll be more proactive in terms of passing on the benefits to protect the volume and consumer franchise. And therefore, we are not too worried about if the deflation sets in and sets in rapidly, whether it will impact the volume. So, we are far more confident at this point in time that we would be able to pass on the benefit to the consumers proactively and still deliver decent volume growth.

Saugata Gupta: Actually, just to add to that, I think what we can promise in the next 3 to 5 years, we will not discuss copra pricing in our analyst call.

Abneesh Roy: Sure. I'm done. Thanks a lot.
Saugata Gupta: Thank you Abnee sh.
Moderator: Thank you. The next question is from the line of Percy Pant haki from IIFL Securities. Please go ahead.
Percy Panthaki: Hi Sa ugata. Congrats on a good set of numbers. I just wanted to understand your food business a little better , now that it has gained some kind of scale. So, could you just very roughly break up the total business in terms of percentage contribution of different segments, be it oats, honey or whatever else ? And secondly, if you could give some idea on what kind of EBITDA margins this entire food business as a whole is generating and what kind of margins you would target over a 3 to 5 year kind of a period ?

 Saugata Gupta: I'll give you a broad macro flavor , Percy. I think if you look at it, obviously the largest is the oats, and the oats at a scale deliver ed almost near the company average. So, I think as you get scale, we get that. Okay. And as you would recall last year, we improved the gross margin by 800 basis points and we are working towards capability building. Are we there fully? We are not there, but still we are 7 or 8 , I mean 7 on 10 today . I think we believe that the crux to it is to crack the GT in Foods and towards that SETU one of the drivers of SETU also is to expand food outlets. Of course, besides getting into chemist ,cosmetic and urban. We think that while oats and the good thing is that even in the so-called food slowdown, our core which is oats and masala oats continue to give double digit growth. Which means we have been able to expand penetration. And that's a penetration drive expansion which we are doing . . As the country shifts towards healthier choices, there is a growing demand in India for 'better -for-you' Foods . We believe that whether it's masala oats and a variant which we have launched in masala millets, this will drive the core. As far as the other things are concerned, which we believe can get scale ; I think honey and soya have got potential for scale. In honey , we have done very well in OT. We need to do a better job in distribution. As I said that once we get the SETU initiative right over the next 6-9 months , we will get the next level of growth in food. . We see significant opportunities in both muesli and snacking. Snacking, in particular, is a major category where we are actively prototyping, and muesli, which we have also been testing, is performing well. So, these are the way to look at it we are making good profit. Foods Foods When it comes to food, I believe in scaling growth by focusing on 3 -4 major categories rather than sp reading efforts thin across 8 smaller ones. The moment we scale 3-4 things to ■300-400 crores each, we will achieve our EBITDA targets . And the other thing about this is , while Foods make slightly lower margin compared to our personal care or Parachute Parachute ; it makes much better margin than Saffo la. So, if I look at it in another 2-3 years it will be 50-50 and then Foods will dominate Saffola . Foods Secondly, o ur goal is to ensure that the blended gross margin of our new portfolio — including digital, premium personal care, and Foods —remains higher than that of our core business. This serves as a key metric for us
Pawan Agrawal: And just to answer your question to the breakup ; in our own portfolio, oats continue to be the largest part and we believe it will continue to remain larger at least for the next 1 or 2 years because the penetration is still low and there's significant room for growth. And we've been continuously delivering double digit growth in oats. Then it is followed by True Elements , Plix and then honey and soya is scaling up fast.
Percy Panthaki: Understood. And Saugata, when you said that the Foods portfolio is having a better margin than the Sa ffola portfolio, two sub questions within that, did you mean that at current level or do you mean once it scales up over a few years ?

Marico Information classification: Official Saugata Gupta: At current level , Saffola.
Percy Panthaki: Did you mean it at a gross margin level or at a EBITDA margin level?
Pawan Agrawal: Let me just clarify. First, at a gross margin level, my Foods portfolio is definitely far higher as compared to edible oil portfolio. As and when we get scale, as Saugat a mentioned, for example masala oats, it is now making almost company level operating margin. So, overall Foods operating margin will also be better than edible oil operating margin. But as we keep getting scale, it will only get better and better.
Percy Panthaki: Understood. Secondly, just wanted to understand t

he interplay between your input cost, inflation and pricing. So, just sort of trying to wrap my head around or trying to work my own estimates for FY26. So, supposing if there is some amount of deflation in copra and you have to drop your price, that will affect the sales negatively but it should affect the margins positively and vice versa. So, if there is still an inflation, maybe your top line will continue to be good and the margins might be under pressure. But in either of these two cases, are you confident of delivering double digit EBITDA growth YOY ?
Pawan Agrawal: You have rightly mentioned Percy, that there are multiple or numerous dynamics at play. So, it is very difficult at this stage to share a margin percentage. But still we will aim to hold the margin steady while we will focus on delivering double digit revenue growth backed up by top quartile volume growth , and deliver healthy profit growth . Now as the year progresses and probably, let's say when we come up after the Q4 earnings call, we'll be in a better position to give you a better guidance for FY26. But we are definitely committed for double digit revenue growth which will have a good volume growth and a healthy profit growth.
Percy Panthaki: Okay, that's very helpful. Thank you very much.
Moderator: Thank you. The next question is from the line of Avi from Macquarie . Please go ahead.
Avi Mehta : Hi team. I just wanted to clarify on this, on the food’s profitability bit. So, at the EBITDA level, the existing Foods plus premium portfolio, which is 21% of our business should be equal to company average right now or slightly less ? I'm sorry, I just wanted to kind of understand that . Where do we see it in FY 27 or how do we see kind of progressing towards FY27?
Pawan Agrawal: So, currently at a weighted average level, what S augat a mentioned is that we try and manage that the weighted average gross margin portfolio , the weighted average gross margin of the Foods plus digital portfolio has to be higher than the company gross margin. So, that's one , that

Marico Information classification: Official we definitely ensure . As far as Foods margin is concerned, masala oats has definitely reached EBITDA of company. However, if you look at smaller Foods such as honey, soya, etc. , currently these are in buildup stage. As and when they reach about ■150 to ■200 crores, they'll start making very healthy margins. So, that is what it is.
Saugata Gupta: And the digital will hit again double digits. Over the next 3 to 5 years the aim is to merge with the company margin.
Pawan Agrawal: Just to give you color on the digital business EBITDA , it has now moved to a very -very low burn, all digital business put together . It will be low single digit. In fact, Beardo is likely to deliver double digit EBITDA growth. And next year as a total digital business as a cohort we definitely believe that we'll move to positive EBITDA margin. And in FY27 we would strive for delivering double digit EBITDA margins.
Avi Mehta : Okay, perfectly clear . Thanks a lot for this and sorry, a short -term question . Just this transient profitability impact from higher copra and veg oils, what would it mean for us as we see this year’s margins or does it mean like 70 to 90 basis points contraction, EBITDA or even higher? Is there a number that you could share?
Pawan Agrawal: See while were hoping to deliver 20.5% margin for the full year, but there has been higher than anticipated cost push in copra and we have not passed on the entire hit to the consumers to protect the consumer franchise , volume and prioritize market share gains. And as you know during these times, we lap up market share gains. Addition

ally, the top line growth also has been
higher. We have moved to mid-teens and hopefully we will be targeting high teens growth in coming quarter. So, which mathematically also impacts the gross margin due to Denominator effect. So, as a result, and mix of all this, we believe we should be able to hold about 20% operating margin for the year.
Avi Mehta : Perfectly clear. Thanks a lot for this. That's all from my side.
Saugata Gupta: Thank you.
Moderator: Thank you. The next question is from the line of Arnab Mitra from Goldman Sachs. Please go ahead.
Arnab Mitra: Hi, Saugata and Pawan. Congratulations on a good performance in this tough environment. My first question was on Foods and personal digital -first brands. Correct me if I'm wrong, but it seems Plix has been a big positive surprise on both sides. So, on the Foods part, my question

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 was is it still very ACV driven or how has been the progress in diversifying the portfolio outside
ACV , which was I think the original thought also that the company had ? And on the personal care side, that space seems extremely crowded , serums and that space. So, how is Plix managing to grow there? Is it at a big loss? Any separate l strategy that is working for you?
Saugata Gupta: I think two things which are differentiated for Plix. If you look at it, Plix is essentially far more a D2C driven brand. Therefore, given the higher AOVs, it's reasonably profitable and has low cash burn. Now the diversification from ACV has started and obviously, as you know that in any nutraceutical brand you have five platforms which is basically weight management, heart care, diabetes, gut health, bone health and sleep. We have gone into one or two of these platforms and we will obviously go into others as there is a diversi fication agenda . Having said that, I think it's very important to have a hero product and get scale on a hero product because that drives profitability. What we are going to do also, as I said, unlike some of the other companies, we are going to only take few SKUs and go into GT and we are actually experiencing a reasonably successful GT model. As Plix is concerned, it is very early days . Now coming to personal care , I think one as I said, is the business model, which is different. We do much more. The second thing is, if you look at it , it is all about hair and skin food. So, Plix positions its personal care as hair and skin food as opposed to a basic beauty product . Therefore, there is a distinctive positioning as far as Plix is concerned. I think the advantage that digital brands have due to strategic partnership with Marico is the access to our supply chain capabilities, deep R&D which adds to the product development and improvement in cost structure, which will not be otherwise accessible to a standalone founder brand.
Arnab Mitra: Just one follow up S augata on this was when you look at FY26 further scaling up mix, would online and A CV itself have a lot of headroom for growth or would you need the new platforms to scale in GT to grow towards maybe 30 %-40% or whatever you will do in FY25?
Saugata Gupta: No, it will be a mixture of both , but I think there's enough opportunity as I have mentioned earlier. I look at it in India the biggest consumer need is looking good, staying healthy and young , and I think Plix participates in both of them and therefore there's extreme tailwind and I think there's significant capability. I think if we look at it, I believe that in terms of innovation, in terms of high velocity innovation and digital marketing ca pability, Plix will be best in class, one of the best-in-class India and even globally. The

other thing we have started in Plix is that we
have started the international business, and we are starting to sell in Middle -east and US , and it's tracking well.
Arnab Mitra: Got it. My second and last question was on VAHO where you mentioned slight sequential improvement , though the YOY number is still negative. But your confidence on this is

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actually seeing some traction in the initiatives you've taken ? Have you done above the line and
other initiatives here ? Any sense of how you think the recovery happens here in terms of the
confidence on your side?
Saugata Gupta: Arnab, i t's a combination of both. And if you look at it, I think last time we were very
embarrassed about reporting a -8% and we said that is it. I mean we can't move beyond that in
terms of decline. I think we have moved up. I think what we have done is two things. One is, the
part of the business where there is unreasonable competition we said that let's not try to keep on
doing BTL . We don't believe in BTL driving growth. We believe in ASP driving growth because
we believe brand equity drives growth and we are doing it independent of competitive action.
And therefore, we have started investing behind mid and the premium pa rt of the business. And
therefore, as you said that business grew 2 %-3%. We will continue to invest because otherwise
what happens is if I just track SOV and be very happy that I maintained SOV by reducing 40%
ad spend. We are doing harm, long-term harm to the category which I don't want to do as a
market leader.
Arnab Mitra: Got it. Thanks. That's it from my side. All the best.
Pawan Agrawal: Thank you.
Moderator: Thank you. Ladies and gentlemen, to ask a question you may please press '*' and '1'. The next
question is from the line of Kartik Ch elappa from Indus Capital Advisors Hong Kong Limited .
Please go ahead.
Kartik Ch elappa: Thank you for the opportunity. Sir, I have two questions. The first one is on channel. You have
commented in your information updates that modern trade and e -commerce, including quick
commerce have been growing at high double digit volume growth. Could you give us some
context or perspective on what those volumes growths are and how divergent they are between
the two channels?
Saugata Gupta: I think quick commerce obviously is the biggest driver of growth and what we have realized that
we need to have a differentiated portfolio in quick commerce and interestingly even some of the
digital brands are also doing well in quick commerce. Now coming to modern trade there . yes,
there has been a little bit of a slowdown in modern trade. Having said that, I think we are still
growing in double digit in both marketplace e-comm erce and modern trade. The growth in quick
commerce is being 50%+

Marico Information classification: Official Kartik Ch elappa: Got it. And over how many quarters do you think your GT growth will start to catch up with
your company average growth at the domestic level? Because right now it's flattish and you are
implementing a lot more initiatives. But once that starts to bear fruit, how many quarters in your
estimate will it take for t he growth to converge with the company average?
Saugata Gupta: I think if you ask me, over the next 3-4 years, obviously OT is going to grow higher than GT . I
think what we are trying to do is to get GT back on tr

ack and also get the GT what I call the
infrastructure stability which is basically ensuring that our partners ' ROI, o ne of the interesting
things about the inflation is that if you are delivering double digit revenue growth, it is actually
positively improving the ROI of our partners because we had faced deflation in the last 2 years.
Hence , I would say that in GT, we are expect ing growth to marginally improve. Whether GT
growth across these channels will converging , that is unlikely to happen, but that is the case for
all the entire sector. Having said that, I think if we can crack premium personal care, chemist
and beauty outlets and also food, we will have an accelerated growth especially in GT Urban .
SETU should deliver a higher growth in GT rural along with this. And the last thing is that which
is a different is with digital brand s, over the next two years, we should be able to achieve a
reasonable amount of growth in GT. However, as mentioned earlier, we do not intend to be
overly ambitious in this segment. We believe that success requires doubling down and
specializing in one or two key channels.
Kartik Ch elappa: Got it. Last question from myself sir. As far as VAHO is concerned, although it's declining in

2% in value terms . Is there any geographical disparity in that growth? Are there certain geographies which have started showing positive growth and if so, which ones would they be?
Saugata Gupta: See it's mostly on Shanti and rural . As I said that we are facing unreasonable competition with disproportionately unsustainable BTL , which we don't want to compete with because we believe in long term equity building and in terms of ATL works far more better in long term equity creation than BTL .
Kartik Ch elappa: Got it. Okay. Thank you very much for this sir and wish you and the team all the very best in the following quarter .
Saugata Gupta: Thank you so much.
Moderator: Thank you. The next question is from the line of Bhavdeep Vora from Franklin Templeton. Before you go ahead with your question, I'd like to remind participants that they may press '*' and '1' if they wish to ask questions. Please go ahead Bhavdeep.

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 Bhavdeep Vora: Thank you. Thanks for the opportunity. My question was on the different channels if you could describe the salience of different channels. Could you provide insights into the profitability and working capital intensity across different channels —GT, MT, and e -commerce —in the domestic India business?
Pawan Agrawal: Basically , alternate channels contribute about 30%. Then there is a CS D which is for the defence person nel that is about 6 % to 7% , and balance is GT . Now we haven't really gone public with respect to channel wise profitability . But yes, the profitability in GT is better than alternate channels. Having said that, we have taken a lot of measures to improve profitability on alternate channels. That is not very significantly different from GT . Now in terms of working capital intensity of course the receivables etc. is higher for GT channel and that is why you would have seen that debtor days would have slightly increased. But over there also we are having a very tight control and we believe that this will remain at this level where we have reported.
Saugata Gupta: Just wanted to add that we believe that the role of alternate channels is to drive premiumization, upsizing and diversification. And therefore, one of the things we have been doing is that clearly identifying , one is having different packs, especially in our core like Parachut e, and also identifying GT advantage SKUs and MT-OT advantage SKUs.
Bhavdeep Vora: Okay, thanks. T

he second question was on Bangladesh. We have seen an acceleration in the constant currency revenue growth. So, if you could comment on what's really happening in that market and how do you see kind of the next financial year in terms of the expectations for revenue growth and profitabilit y?
Saugata Gupta: Just to give you a perspective, I think as we have mentioned it is on a slightly lower base because last year Quarter 3 was soft. But the way to look at it is that we should be hitting a double -digit constant currency growth . This year also and next year also will aspire to deliver a double -digit constant currency growth.
Bhavdeep Vora: Okay, thanks. That's it from my side. Thank you. All the best.
Moderator: Thank you. The next question is from the line of She ela Rathi from Morgan Stanley. Please go ahead.
Sheela Rathi: Thanks for taking my question. Saugata, m y first question was on VAHO portfolio. I mean you gave very detailed explanation on how we are shaping up the food business and what are the trends . But with respect to VAHO portfolio and the competitive landscape seems to be very challenging for last many quarters or so. Is there a reset or a rethinking around rebuilding a

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Email: investor@marico.com

Marico Information classification: Official portfolio here or is there any other, any part of the portfolio which we can modify? Do you bring
back the growth trends in this particular portfolio?
Saugata Gupta: Okay, so I will give you a broad construct . We initiate d the reset last quarter , but this process takes at least a couple of quarters to complete. We have said that ultimately, we will do a reallocation of resources towards investing in the mid and the premium part of the portfolio , we are not `looking to engage in intense competition at the bottom of the pyramid by over -investing in BTL , as th is approach often leads to unsustainable and unprofitable growth. As an organization , we don't want unprofitable and unsustainable growth because otherwise, we could be expanding into categories like rice, pulses and other s, which we do not intend to pursue in our Foods segment. Instead, our focus remains on value -adde d Foods . This reset process takes three to four quarters. As a market leader, if we do not invest in category growth, the category itself will not do well . That being said , VAHO is performing similarly to other BPC categories, with all BPC segments growing in low single digits. This negative value was coming because of the commoditization of the category which happened in the bottom of the pyramid which we don't want to do and that is the reset. Now that reset takes time , but By FY25 -26, we expect this transition to result in higher value growth, increased value share, and a continued focus on long - term growth. We also recognize the need to invest in addressing hair fall and other consumer concerns. By that time, we anticipate an improvement in the overall consumption environment. When consumption weakens, consumers tend to downgrade or titrate spending, which further fuels the bottom -of-the-pyramid consumption trend.
Sheela Rathi: Understood. So, what I understand is we will see more innovations coming here and we will focus less on the bottom of the pyramid. But today what would be the share of that?
Saugata Gupta: I would not say focus less. I will not play on BTL . BTL can't be a driver of a growth of an FMCG company.
Sheela Rathi: And what would be the share of bottom of pyramid for us?
Saugata Gupta: No, we don't want to get into details, but it is obviously for Nihar Shant i Amla, the Rs. 10 and Rs. 20 pack is signif icant .
Sheela Rathi: If we look back say 3 years ago the share has been coming down. Is that a r

ight way to look at
it?
Saugata Gupta: Yes, but w hat we want to do is we want to bring down the share much more rapidly.

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Marico Information classification: Official Sheela Rathi: Understood. 2026 is when we can see more trends emerging clearly on the VAH O portfolio.
Saugata Gupta: Yes, h aving said that it will take time, in terms of a reset requirement because we are doing it the hard way. We are not going tactically to the wholesaler on the 30th of the month and selling. We are doing it in the hard way which is building brand equity , investing behind it will take a couple of quarters but we are confident this is the best way to do it.
Pawan Agrawal: That is one of the reasons our value share gain has been higher as compared to volume share gain in VAHO .
Sheela Rathi: Understood. And my second and final question is with respect to the food’s portfolio , you clearly called out oats is a large part in Saffola. I n terms of the other parts of the portfolio, how is the competitive intensity for us? Because a lot of players like you also said in your opening remarks that we started our food journey very early as an opportunity. So, how is the competitive landscape fo r us now? Because everyone wants to do food at this point of time.
Saugata Gupta: I would like to highlight two things. One is what is important is we have a very strong brand called Sa ffola, and I think that in terms of the equity of the brand in expanding into ‘better for you’ opportunities in India, Saf fola brand carries far more equity and pull. The second part of the thing is that if you look at Foods , a lot of categories are extremely low penetration compared to some of the personal care categories where penetration is almost saturated in India. Therefore, even if 3 or 4 players participate, it is okay because that grows the category. And I believe that the runway for Foods in India, especially for a healthy food brand like Sa ffola, I think is a 5-year, 10-year runway. So, we are not, I think if we go into the commoditization route and discounting route is something which I think will not give us growth. Having said that, I think

as I said that one of the challenges we are facing and we must solve for it is how to create and drive expansion of distribution in what I call food specific outlets. For example, in the south there are a lot of these bakeries. In Mumbai you have the se dry fruit sto res. So, these are the kind of outlets we need to now increase saliency . And that is something which we should tackle in the next one year.

Sheela Rathi: One Follow up here , Saugata. Fair to say that these categories are still the e-comm categories and not yet seen salience in GT per se , MT maybe there could be some pickup. But with respect to GT are you seeing trends where these category products are available?

Saugata Gupta: Absolutely. I think if you look at oats and masala oats, a significant portion comes from GT while we don't participate, at least 60% of muesli comes from GT. Therefore , in GT, it is definitely a big category. Just that we have to set up the distribution - standalone modern trade

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 is something which has a very -very high throughput for food, there are a lot of high throughput GT outlets on food. We are present, but we need to do a better job and we will do it. And if you ask me in Foods , if you lo ok at some of the successful brands, look at Epigamia, look at ID, look at other successful brands or even founder driven brands or insurgent brands. They have been successful because they've gone into GT . So, in personal care , I can still say you can create a ■500 crore brand using digital . Food, there is no way without getting into GT.

Sheela Rathi: Understood, very clear. Thank you very much Saugata .

Moderator: Thank you. Ladies and gentlemen, to ask a question you may please press '*' and '1' on your touchtone telephones. Participants who wish to ask questions may press '*' and '1' at this time. As we have no further questions, I would now like to hand the conference over to the management for closing comments. Over to you sir.

Pawan Agrawal: Thanks for listening on the call. To conclude, we have remained steadfast in pursuing our strategic objectives , set out at the beginning of the year both in India and international markets amidst the evolving demand and macroeconomic environment . Sustained investment towards the accelerated scale up of our Foods and premium personal care portfolio in India and ramp up in MENA and South Africa and international is resulting in a visible shift in the revenue construct of the business. And we have also established an improving trend in profitability of these portfolio. While we are contending with a stee per inflationary commodity cycle than envisaged, which will have some transient impact in the near term, we will judiciously leverage the pricing power of our brands and stay the course on our stated aspirations.

So, that is it from our side. If you have any further queries, please feel free to reach out to our IR team and they'll be happy to address. Thank you and have a great evening.

Moderator: Thank you . On behalf of Marico L imited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

(This document has been edited to improve readability)

Call: May 2025

Marico Information classification: Official May 9, 2025

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Scrip Code: 531642 The Manager,
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Bandra Kurla Complex, Bandra (East),
Mumbai – 400051 .
Scrip Symbol: MARICO

Sub: Transcript of the earnings conference call

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, copy of transcript of the earnings conference call held on Friday, May 2, 2025 on the audited financial results and operations of the Company for the quarter and fin ancial year ended March 31, 2025 , is enclosed .

The said transcript is also available on the Company's website at https://marico.com/investorspdf/Marico_Limited_Q4FY25_Earnings_Call_Transcript.pdf .

This is for your information and records.

Thank you.

Yours faithfully,
For Marico Limited

Vinay M A
Company Secretary & Compliance Officer

Encl .: As above

Marico Limited
Q4FY25 Earnings Conference Call
May 02, 202 5

MANAGEMENT : MR. SAUGATA GUPTA – MD & CEO, MARICO LIMITED
MR. PAWAN AGRAWAL – GROUP CFO & CEO –

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Moderator: Ladies and gentlemen, good day, and welcome to Marico Limited Q4 FY 25 Earnings Conference Call. We have with us the senior management of Marico represented by Mr. Saugata Gupta, MD and CE O; and Mr. Pawan Agrawal, CFO. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

Before we get started, I would like to remind you that the Q&A session is only for institutional investors and analysts. And therefore, if there is anybody else who is not an institutional investor or analyst, who would like to ask questions, please direct ly reach out to Marico's Investor Relations team.

I now hand the conference over to Mr. Saugata Gupta for his opening comments. Thank you, and over to you, sir.

Saugata Gupta: Good evening to all those who have joined the call, and I hope all of you are doing well. With FY25, having come to a close, I would like to begin by sharing a quick overview on the operating environment during the quarter gone by, after which I'll touch upon our performance and strategic objectives for the year ahead.

During the quarter, consumer sentiment remained largely stable, supported by improving rural demand and mix ed trends across mass and affluent urban segments. Margins for most players were under pressure due to input cost pressure s. Easing retail and food inflation is encouraging for consumption trends going ahead. In addition, a healthy monsoon season, higher MSPs and continued government spending should support the uptrend in rural growth. It is important to note that the growth of listed companies alone does not provide a comprehensive picture of consumption trends, commentary from unlisted players including Indian subsidiaries of multinational corporations, D2C players and regional brands indicate a slightly better performance, underscoring broader demand resilience.

Moving to our performance in Q4, India business continued to deliver sequential improvement in volume growth and strong top -line growth aided by pricing i ntervention in core franchises. In the demand front, the core portfolios witnessed transient sluggishness amidst steep inflation and key commodities , although we maintain the strong momentum in new businesses, which furthered the diversification agenda. Offtakes remained healthy with more than 95% of the

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Marico Information classification: Official portfolio gaining or maintaining market share and more than 80% sustaining or improving penetration on a MAT basis. While alternate channel s gained salience particularly in Tier 1 markets, General Trade remain ed sluggish . We are making concerted efforts to revive GT through Project SETU, which is progressing well. Under SETU , we will focus on rural outlet expansion at a pan -India l

evel, while deploying strong control frameworks to ensure sustainable outlet expansion across markets. Quick commerce has rapidly scaled up to ~3% of the India business , where we are building assortment across categories to effectively capitalize on the potential of this channel.

Delving further into India business, I will now share some perspective on the performance of our key categories.
Parachute had a muted quarter as a result of consumption titration, which is typical during hyperinflationary cycles like the one we are witnessing currently. In addition to price hikes, we had implemented ml-age reduction in select packs over the last 6 to 9 months. Adjusting for the impact of ml-age reduction s, the brand recorded low single -digit volume growth in Q4. Revenue growth was in the twenties, aided by pricing . Parachute maintained its st ronghold gaining ~70 bps market share on MAT basis. Given the extended firmness in copra prices due to lower arrival in the market, the awaited correction is most probably going to happen towards Q2. As prices move from the current hyperinflationary zone to a moderately inflationary zone in Q2, which should be the case for most of the year, we expect volume growth to pick up. Our robust supply chain capabilities will give us an edge and allow us to be far more competitive. We are already seeing first signs of supply chain disruption among local players, as well as competition taking significant price increases and reducing BTL . All th ese will be a tailwind s for the brand for volume growth to pick up sometime in Q2.
Saffola edible oil was also impacted by sharp price hikes taken in response to the elevated global vegetable oil prices . While revenue growth in the coming year will be aided by pricing to some degree, we expect volumes to be steady as long as vegetable oil prices remain stable. Our priority is to maintain threshold level s of profitability as a portfolio while maintaining basic volume growth.
Value -added hair oils continue d to show sequential recovery of the bottoming out in Q2 this year, led by healthy performance in the mid and premium segment s of the portfolio . We will continue to drive growth in these segment s while undertaking focused interventions in the bottom of pyramid segment. The franchise has gained 120 bps in value market share. We are confident of sustaining the improving growth trajectory through next year , backed by continued innovation, ATL investment s, and focused brand activation. This strategy of driving growth through mid and premium segments and holding the bottom of pyramid will help in driving margins with mix improvement , as value growth continues to improve from quarter -on-quarter.

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 Food s delivered robust value growth of 44% YoY in Q4 and 30% + growth in FY 25, surpassing
the ■900 crore mark in annual revenues. The oats franchise has grown double digits in FY 25. While the core Foods portfolio of oats, honey and soya chunks have fared well , we are also seeing green shoots in the recent launch es such as Muesli etc. In Q4, we launched Saffola Cuppa Oats, a 4 -minute ready -to- eat offering combining oats, millet s and crunchy multigrain bites. Furthermore, True Elements and the plant -based nutrition portfolio of Plix maintained accelerated growth momentum. The Foods portfolio has reached 5x of the FY 20 scale, and we expect 25% + growth over the medium term to reach about 8

x of the FY20 scale, while we
continue to improve profitability in the category.
Premium Personal Care sustained strong momentum during the quarter, led by Digital -first portfolio. The Digital -first p ortfolio exited FY 25 at ■750 crore s ARR, much ahead of aspirations. We now expect this exit ARR to be 2.5x of FY 24 ARR in FY 27, up from the previous target of 2x. Beardo has scaled ~4x since FY 21 and has reached near double -digit EBITDA margin . Just Herbs crossed ■100 crore s revenue mark in FY 25. Plix personal care portfolio has been gaining visible traction. Plix has delivered single -digit EBITDA margin this year. We continue to see marked improvement in profitability in the Digital -first portfolio and maintain our aspiration to achieve double -digit EBITDA margin by FY '27.
Moving to International business we have sustained a double -digit constant currency growth momentum in Q4 and FY25. Bangladesh posted double -digit growth in Q4 and FY 25 and has stood as a symbol of resilience amid a challenging operating environment. MENA maintained its growth trajectory with both the Gulf region and Egypt faring well including consistent share gains in competition and a robust performance in NPD and diversification. South Africa also maintain ed its consistent run. Vietnam had a relatively slower year with mid - single -digit growth due to sluggishness in some of the key categories . We expect recovery in the coming quarters. Our new country development or export market has also been scaling up well.
To sum up, we have achieved most of our strategic objectives set at the start of the year. We

have achieved double -digit consolidated revenue growth aspiration for FY 25. This was supported by an improving volume growth trajectory in the India business and broad - based growth in overseas market. The diversification journey across markets has shown significant traction with profit improvement, and we have been resilient against unprecedented input c ost inflation.

In India, core category growth was subdued in FY 25, but we expect a gradual pick up through FY26, aided by improving consumption sentiment across urban and rural, and easing of hyperinflation pressure across key commodities . Our sustained investment s in scaling the Foods and Premium Personal Care portfolio s have visibly reshaped our revenue mix, delivering differential growth even amid softer mass consumption demand. The composite revenue share

 of Foods and Premium Personal Care in the India business stood at ~22% in FY 25, representi ng a combined ARR of nearly ■2,000 crores. We will continue to aggressively diversify the portfolio through these portfolios in line with our medium -term strategic priorities and expect these portfolio s to expand to ~25% of domestic revenue by FY 27. The rapid scale -up of these portfolios has been accompanied by significant improvement in their profitability, result in their share of India Net Contribution moving to double digits, which is ~5x of FY 22 levels. In Foods, we have structurally expand ed gross margin s by ~1,000 bps over FY 24 and FY 25, on a cumulative basis, and we expect gradual margin expansion as the business scales in the medium term.

If you take a step back, you will realize that our model is unique since our aspirations or ambition in Digital business have always been far ahead of the resource available at hand given the balance sheet and P&L guardrails of a well -run listed company. This forced us to engineer a profitable and sustainable growth model, which does not rely on cash burn. Among the acquired Digital Brands , we now have 2 distinct cohorts at different stages of their growth journey. The first cohort consists of Beardo and Plix, which are profitable at the EBITDA level and are on an accelerated growth path. We expect these two brands to cross ■1,000 crores in combined ARR this year with a clear focus on driving operating profitability with scale. We will focus on accelerated growth in Beardo and Plix, along with further EBITDA upliftment . On the other hand, Just Herbs and True Elements , though not yet at breakeven, will focus on sustainable 20% to 25% growth and leveraging scale and synergy to achieve breakeven at the earliest over the next 18 to 24 months. On an overall basis, we will also drive synergies in costs and leverage 1P data across our digital business to unlock further efficiencies. We will now be tapping economies of scale, which is available to a house of brands with a large scale strong mothership in our case, which we believe is a strong edge over stand -alone D2C brands. We firmly believe that we are on track to be one of the most successful digital FMCG companies in the country.

The international business has navigated transient macroeconomic and currency headwinds in select markets. Our consistent endeavor in any market i s to deliver top quartile revenue and profit growth. We have achieved this in Bangladesh and South Africa. We are progressing steadily on this journey in MENA, while we have delivered on top line growth, our margins are improving to top quartile. In Vietnam, there is some ground to cover and we are working on GTM transformation and portfolio diversification is underway. We also made more visible progress in premiumizing our portfolio across markets with innovation s and expansion s into Premium Personal Care categories like shampoo s, skin care, hair styling care (excluding hair oils) and baby care. These premium portfolio s in international business have grown at 24% over FY21-25 period. As a result, the premium business revenue share in the international business rose from 20% in FY 21 to 29% in FY 25. We will continue to invest aggressively towards diversifying the portfolio, expand ing the total addressable market and driving market share gains

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Marico Information classification: Official in each of the markets. We are confident of sustaining strong double -digit constant currency
growth in international markets while gradually unlocking the margin upside from scale benefits over the medium term. This experience ha s given us confidence that we can also try some of these initiatives in the Indian market in the days to come.
The consolidated operating margin of FY 25 ended just shy of 20%, and we have delivered resilient bottom line performance without any negative surprises despite input cost pressures being significantly higher than for the rest of the sector. We have also made aggressive investment in A&P throughout the year, staying true to our strategic intent of continually strengthening our core franchise s and accelerating diversification. A&P spends were up 35% in Q4 and up 18% in FY25 . Now if A&P had grown in line with our top line growth, our EBITDA growth would have moved to 9% on a full year basis and we would have delivered 20.3% EBITDA margin for the period . A&P sets you up for future growth and therefore,

as an
organization, we have resisted the temptation to manage short -term margins by cutting A&P and sacrificing future growth. In this context, our leadership position in 90% of ou r portfolio , low price elasticity in our resource engine and the master brand Parachute across markets is the strongest moat . This has helped us to take 30% + price increases in Parachute with the one which has been taken last week , without any significant volume impact. In addition to the pricing power exercised by our master brand Parachute, the margin resilience reflects the leverage and air cover provided by the premiumization benefits from the high -growth segment s within India and international markets, which will further get accelerated by the VAHO growth expected this year, the culture of frugality, the strength of our institutionalized cost management framework and the effectiveness of our advanced procurement and suppl y chain capabilities. Also, the profit dependence on Parachute will continue to systematically further reduce as we drive growth and profitability in the high-growth segments with in India and the international business and we are confident of visible improvement in VAHO growth. Hence, we have the capacity to deliver top quartile growth and invest behind A&P without giving margin shocks.
Moving into next year, we expect to sustain double -digit revenue growth and will strive to deliver double -digit operating profit growth. We have scaled the ■10,000 crore s revenue milestone this year, and we are now gearing up with intent and focus to chart the course to the next ■10,000 crores to move to ■20,000 crores. A key aspect that has been instrument al in our journey has been the mix , depth and longevity of talent of our team s across all levels of the organization.
Last but not the least, Sustainability remains central to our strategy . Our Sustainability 2.0 framework i s delivering strong progress across all key focus areas and moving up towards our 2030 goals. We are confident that our commitment to creating shared value will drive long -term, sustainable and differentiated growth.
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May 02 , 202 5

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Marico Information classification: Official With that, I conclude my remarks. I would like to thank you once again for your support and
belief in us. I firmly believe that we are at the beginning of a virtuous flywheel. I can assure you that me and my team are working tirelessly with utmost passion to realize the dream. Thank you.
Moderator: We'll take our first question from the line of Mihir Shah from Nomura.
Mihir Shah: Congrats on a great set of numbers. So firstly , on copra, copra has remained firm longer than expected. On gross margins, I hear you take another price increase in Parachute leading to 30% pricing and you're not seeing any volume backlash because of that. That's great news. But on gross margins, how should one think about that going forward?
And when should one expect gross margins to start showing improvement or the pricing that you've taken to tide over the inflation, a nd we can start seeing gross margins to sequentially improve from here on? And for FY 26, any level of gross margin that you have in mind that you can share? So that's on question one.
Pawan Agrawal: Yes. As far as gross margins are concerned, given the fact that the copra prices have been higher than what we had anticipated, it will remain under pressure for the next one quarter for sure, and

then we will see as to how the copra prices behave. And just to give you a sense on copra prices,
typically, copra has 18-to-24-month cycle, and this cycle has lasted longer. The reason being the Northeast rains were not great leading to lower crop availability. But we are hoping to start witnessing some softening by the end of the first quarter . While there could be some pressure on margin on account of that in the next one or two quarters, we expect margin pressure to ease out starting end of quarter two. But having said that, I just want to allude to one point, which Saugata also mentioned , that we have pulled multiple levers of profitability over the last one to two years ; such as expansion of margin in Foods , Digital businesses, some of the fast -growing premium businesses and also scale up of premium portfolio in the international business . Our dependence on copra as a lever of profitability has come down and will keep going down over the next few years. Also, as Saugata mentioned , we expect better improvement in VAHO performance in the next year. And if VAHO ex bottom of pyramid comes to the party , that will also aid margins. Hence , we are not overly worried about copra prices. But yes, for the next one quarter, margins will be under pressure. Hopefully, from quarter two onwards, we can start seeing some improvement.

Mihir Shah: Secondly, on Food s. Foods has delivered a strong growth since past few years. Can one say the low-hanging fruits of placing new products and launches is behind and growth probably can moderate a bit from these levels? I understand that the guidance that you've given indicates a 25% CAG R continuing. I just wanted to double check if that range can sustain in any new subcategories that you were thinking of adding or you will probably scaling the current portfolio? So that's on Foods.

Saugata Gupta: I think there is a huge run rate for growth in Foods , and the reason is that we have not tapped the GT fully for Foods so far. I mean most of our Foods business has been skewed to OT. We are also significantly leveraging quick commerce . Therefore, there is a significant distribution opportunit y available . The penetration of Oats and Masala Oats is still low in our country , and therefore, we have a penetration task. For instance, in Honey, we have a double -digit market share in the organized trade. We have a low single digit share in GT, because we have not focus ed on GT distribution yet, since we have been driving other initia tives. One part of SETU , which is urban part of the SETU is about driving Foods in chemists and cosmetic outlets. Also, we have True Elements – a brand with a strong equity and huge potential . You will see expansion into some new categories, which we are planning in True elements as well . Therefore, we are extremely confident on Foods growth . Secondly, Oats and Masala Oats, which is the core, continue to grow in double -digits. We have significant opportunity in Muesli and some of the other categories in addition to Honey . Muesli, again, we have been so far restricted ourselves to OT. We are just about testing waters in GT, but to give you a perspective, if we are available in all Masala Oats outlets, there is a 4x, 5x opportunity in Muesli as well . I think one of the things we are doing in the last two years is to ensure that we get the profitability right . Next, I think we have to get the GT distribution right in Foods .

Mihir Shah: Got it, thank you very much Saugata. Wishing you all the very best.

Moderator: Thank you. We'll take our next question from the line of Avi from Macquarie. Please go ahead.

Avi: I just wanted to ask two questions. First, on the expectation that we have of driving or aspiration of driving double -digit value growth in FY 26 in India. Could you share your thoughts on what have you built in from an oil price perspective, especially given the recent correction in palm oil? Just an understanding or is that a risk ? Basically what I'm trying to appreciate is while I get the point of copra deflation not panning out, my only concern was, are you not worried about deflation and Saffola pricing hurting our ability to reach double -digit growth in FY 26. And what makes us confidence there? So that was what I was trying to get.

Pawan Agrawal: It is built on 3 different goals. One is our core business, where we definitely expect, first of all, the volume growth trajectory itself to improve. Further, we expect that in the first half of the year, the inflation led growth will definitely support. That's one. Second is Foods, as we just mentioned that we expect Foods to continue to grow at 25% plus. Hence, that's the second build. And third is, of course, the Digital -first businesses, which is growing at a much higher rate. So if you do the math around these 3, you'll arrive at that double -digit top line growth which is fairly possible in FY 26.

 Saugata Gupta: Just t o add, we have delivered 7% volume growth in Q4 and for the full year we delivered 5%.
We expect the volume growth next year , full year annualized , as more than 5%. 6-7% growth has almost become a base case for us.
Avi: Got it. Okay, sir. Sir, the last bit on the margin front, while I understand the input cost etc. Could you share how should we look at SETU and any quantum of benefit from that initiative? .
Saugata Gupta: The objective of SETU is to improve our quality of direct distribution. As you know that our total distribution to direct distribution ratio was higher, which means that our direct distribution was lower than some of the benchmark organizations. The first impact of SETU will happen in terms of the quality of distribution in rural. It will help in range selling. It will also help in gaining market share and also drive some of the diversification agenda , like basically, what happens is if it goes through wholesale, wholesale only takes the high -velocity brand or the leader brand. When you do direct, you expect a better range selling. The second part of SETU, of course, is the urban part of SETU, where we do food, chemist and cosmetic outlets , which is the second phase of SETU . But I think the first thing of SETU is to improve our quality of rural distribution. As you know, we don't sell sachet , nor we sell Food s. Hence, the gross margin of our rural portfolio is fairly good. And therefo re, our break evens are better compared to having sachets in portfolio. With that said, we will start seeing the results of SETU. SETU is doing decently well and the impact will visible from this year. You will see the impact on volume growth , and we also expect SETU to aid growth in VAHO.
Avi: Okay, si r. So essentially, the first level of improvement will be the volume growth trajectory in particular in VAHO and the second leg could possibly come from a range selling in urban India
Saugata Gupta: But also, I think in some markets, Parachute rural share also could improve.
Avi: Okay, sir, from current level, Okay, sir. Okay. Tha

t's all from my side. Thank you.
Moderator: Thank you. We'll take our next question from the line of Harit Kapoor from Investec. Please go ahead .
Harit Kapoor: I just had two questions. One was specifically on this quarter, Foods growth at 44%, it has come off on a pretty good base. Actually, the base growth was also over 20%, so this is the highest growth quarter for us in the year for Foods . So I just wanted to get a sense of anything incremental that we've seen in Q4, whether it's been a little higher on distribution or certain brands or in the portfolio which have done incrementally better because this number is higher than what we've seen probably in the last 8, 10 quarters. So just wanted to get your sense on that.

 Saugata Gupta : No, it's a combination of three elements. One is our core Foods that we said that has grown in
double digit in the full year. Additionally, there are True Elements and Plix. All the three are driving the growth. And as I said, that obviously 44% may be a number which is slightly higher than our aspiration for the full year. But I think one of the other things we have done, in the last 2 years, is that we have significantly made efforts to improve the profitability of Foods .
Therefore, one of the things we are going to do with improvement in profitability , is that we will be going into GT in a more meaningful way and also scale up products like Honey and Muesli.
And if you look at interestingly one piece of data, if quick comm has been contributing to 3% of FMCG and especially in BPC, in Food quick comm contribute s nearly 7%. Quick com m is a big driver of food. And between Plix, True elements and Saffola, we are also investing significantly

in quick com m to drive Foods growth. Having said that, I think as long as I think we will be happy if we can deliver 20% to 25% plus growth in Foods over the next 2, 3 years.
Avi: Fantastic. The second thing was on Parachute. So there's a 30% increase now on prices. Could you just give us sense of what's happening in the market? I mean, where is this regional unorganized player in terms of the RPI between Parachute and the regional or unorganized players ? And you did speak about some supply chain issues that the competition is having due to which they are also having to take price increases. So if you could just explain these couple of things that would be helpful.
Saugata Gupta : During the inflationary cycle , we are more competitive in relative terms, because we absorb some part of the cost . Also, due to our procurement efficiency, our consumption cost is not like what we have the buying cost or the market cost . Hence, there are two things . One, for the small players, because of the high cost of procuring copra and the fact that they are risk averse in buying copra , because if the copra prices go down, they'll be stuck with that . As a result, what happens is that the stock pressure reduces. Therefore, in the last couple of weeks, we have seen less competitive prese nce amongst smaller brands. Second, availability is also a problem as they have to get working capital to buy copra, at higher prices. As far as branded competition is concerned, I think last year, we saw a little unreasonable competition but perhaps they are not making margins. They have now taken price increases in line with the cost increase and sometimes disproportionate, which also helps us in a way. And ther

efore, what we are confident about is that as soon as the hyperinflation settles to moderate inflation, it's unlikely there will be a major deflation, although nobody cannot predict commodity prices . Although, as copra prices settle down in Q2, you will see the volume growth happening. Also, as I mentioned , that there is also a 1 %-2% drop, which has happened due to the ml-age drops , which we will be anniversarizing as we move to the second half of the year.
Avi: Great. Those were my questions. Wish you all the best.
 Moderator: Thank you. We'll take our next question from the line of Abneesh Roy from Nuvama Wealth.
Please go ahead.
Abneesh Roy: This is Abneesh Roy . My first question is on the quick -commerce, do you see the bargaining power increas ing for you , given new players are expected to enter this. Already you're doing so well with 7% in Foods . So do you expect that now with bargaining power increasing maybe this can even grow faster, given new player 's entry?
Saugata Gupta: So just to clarify, I said 7% for the Foods category as a whole, For us, different brands have different contribution, but for Foods it is higher than BPC. Now coming to bargaining power , so the way we look at any new channel is that you first need to understand the shopper. So I believe the quick com shopper is different fr om the shopper in a marketplace, is different from a shopper in modern trade and different from a shopper in GT . For example, in quick com, we believe convenience plays a role, impulse categories have a higher throughput in quick commerce. And given the fact that a shopper in a marketplace has browsing time , in quick commerce, if you are not in the first four on the screen and it's a vertical mobile screen, you don't stand a chance . Therefore, I think it's important to understand that, therefore, how do I create a portfolio which is tailor made for quick commerce and it is not cannibalistic. Having said that, yes, quick com merce is taking some share from marketplaces, they're taking some share from GT. And therefore, what we need to do is to ensure that and have a tailor -made portfolio to ensure that we drive offtake and not just give price discounting and not have cannibalistic sale. As long as that and the category grows, I think we'll be able to ensure that we are not profit dilutive in any segment.
Abneesh Roy: Sir, my second question is on the international business. Sales growth has been quite decent in the past few quarters. My second question was, if you could discuss volume growth in Bangladesh and MENA how the trends have been a nd how the mix has changed. You can compare versus last 1 year versus, say, 2 years back, so that a longer time frame can be taken. And would you be worried on the benign crude oil prices for the MENA growth from a 1 -year perspective, would that impact or it's mostly now specific to company rather than the crude oil from a growth perspective in MENA region?
Saugata Gupta: Not really. Benign crude oil will not impact MENA , we are a challenger in the region and we

are growing. I think there is enough opportunity headroom for both market share gains and profitability as we scale up. A significant portion of growth came from volume growth because there was very little inflation in MENA . I think the one big change that has happened is if you look at Bangladesh, 7-8 years ago, Parachute Coconut oil formed 90% of the business , it is now sub 60%. And as I menti

oned in my opening remarks, the share of premium has now ga ined significant critical mass and w e are growing, whether it's in shampoo, baby, we have launched shower gel and body lotion in the Middle East. And the other interesting thing was we were not

 prese nt within Hair Oil category in Egypt in the last couple of years, we are gaining rapid market share there which provides headroom for growth. Hence, according to me, there is a significant headroom for growth in MENA for both top line market share and profitability. In Bangladesh, we have been resilient and the diversification agenda continues.

Abneesh Roy: Sir, my last question will be on the A &P spend. So India's largest consumer company also has cut its margin profile from the next two, three quarters' perspective because they've seen that macro seems to be improving and they want to invest. So is that also a thought process, one of the thought process in Q4 , because Q4 run rate is much faster than in terms of growth versus the full year. And if you could tell us if most of the increase in ad spend is for Digital brands and Foods essentially in Q4?

Saugata Gupta: I think it is not fair to compare a particular quarter because there could be certain new launches. Having said that, I will give you a perspective of full year. In the full year, –we have grown our A&P by 18%. We have also significantly invested behind the diversification agenda in the international business. Having said that, we are doing two to three things. We are converting some BTL to ATL in core. We will continue to invest in core also. And let me tell you one thing, sometimes we fall into what I call the SO V trap. SOV trap means that if competition doesn't spend, we also stop spending. As a category leader, it is our responsibility to drive category growth in the long term. We are here to grow the category long term. We are not going to sacrifice the long term for some short term quarterly margins. We never believed in that. We have never done this. Therefore, we'll continue to invest in the core. Thus, A&P will be broadly on the same line s, which we have done now. We will benefit significantly from efficiency, if our A&P s pend is at the same levels of last year. We are also doing a significant efficiency program on the A&P as I talked about, which is the cutting down on non -producti ve spend, cutting down from BTL to ATL, so that we continue to drive media. The other thing you must realize today. Thanks to all the digital brands, our digital buying capability and digital scale of media buying is one of the largest in the industry which is commensurate to a size of a larger FMC G player . So therefore the digital media buyi ng efficiency, thanks to Plix, T rue Elements, Beardo and Just Herbs has also grown manifold. So as the digital marketing capability. So that gives significant efficiencies. And for the first time, what we are doing is we are buying digital media together.

Abneesh Roy: Sir, the last quick follow -up on your digital -first. It has done quite well and you have been one of the early movers and early in M&A , and most of them have done well. From an FY 26 perspective, will it be more of stabilizing these four to a better profita bility with a very good growth o r you think you need one more M&A because we do see lot of D2C startups available. And we are also seeing other liste d companies also starting to do, you have been on the ea

rly startup , but now we have seen other companies. So, i f you could discuss from a FY 26 perspective, it's more of stabilizing the current core brands here?

Marico Information classification: Official Saugata Gupta: As I alluded to during my opening commentary, we see two cohorts in the digital business. The
first cohort consisting of Beardo and Plix. We expect the ARR to hit ■1,000 crores plus as far as these two brands are concerned. They are already profitable. We don't need to incur extra cash burn to achieve disproportionate growth, I think will accelerate growth in these two brands. At the same time, get scale efficiencies and continue to improve EBITDA. As far as the other two brands are concerned, which is Just Herbs and True Elements, we will now grow maybe 20% to 25% on a sustainable basis, but accelerate the journey to breakeven period so that in 18 to 24 months , we see some site of a breakeven . And therefore, overall if we look at the blend, we are well positioned over the next FY '27 to move the overall digital business EBITDA to double digit. Now yes, there could be brands available, but we will continue to use the same model. We firmly believe that it is much better to take a majority stake and learn from the founders rather than acquiring 100% , because that gives us a far better w ay of integrating a nd as we keep on integrating our experience and capability keeps on increasing.

Abneesh Roy: That’s all from my side. Thank you.

Moderator: Thank you. W e'll take our next question from the line of Karthik Chellappa from Indus Capital Advisors (Hong Kong) Limited. Please go ahead.

Karthik Chellappa: Yes. Thank you for the opportunity and congrats on the quarter.

Moderator: Karthik can you use your handset mode please, your volume is very low.

Karthik Chellappa: Sure. Is this any better?

Management: Yes, of course, Karthik.

Karthik Chellappa: Okay, great. Thank you for the opportunity and also congrats on the quarter and also congrats to Saugata o n the reappointment. So I have two questions. The first one is, if I were to look at our India P&L for this quarter, the absolute EBIT has actually declined. So despite having about ■400 crore s extra revenue , the EBIT itself has n’t moved much. So how should I see this a nd how much of this is, you think, because of raw material inflation impact and how much of this could just be a mix impact?

Pawan Agrawal: I think, Karthik, you're referring to the segmental results that we have published , over there you would see a marginal decline in EBIT . But it also includes the digital . If you were to adjust the digital business bleed, etcetera, EBITDA for quarter four for India business has actually grown by about 4% to 5%.

Karthik Chellappa: Okay. So the two biggest drags are basically the digital hit and the other income, right?

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Marico Information classification: Official Pawan Agrawal: Correct. That's right.

Karthik Chellappa: Okay. Great. My second question is, as far as the Foods business is concerned and the serum and male grooming business is concerned, could you g

ive a sense of what kind of annualized run rate we are running at if I take fourth quarter as a base?

Saugata Gupta: In Foods full year we achieved ■900 crores. Therefore, you can expect at least a 20% to 25% plus growth in the Foods business. Now I'm not getting into serum specifically, but I think serum as a category is growing, and we are also growing.

Karthik Chellappa: Okay. Great. Because in the third quarter, we have disclosed a run rate for Foods at about ■1,000 crores. So if you have done ■900 crores, that means that pace is accelerating, right? That's a reasonable inference .

Saugata Gupta: Usually, Q4 is a slightly slower for Foods , we are shy of ■1,000 crores in run rate in Q4 . Usually, Q2 and Q3 are peak , especially during the festive season, such as Diwali and other festivities and when all the giftings are done . So we are slightly shy of ■1,000 crores run rate in Q4, but despite that we have a 40% + growth rate. So I think you can take a 25% to 30% as minimum growth rate for Foods as we move towards the next year. Also we have given our FY 27 aspiration in any case.

Karthik Chellappa: Excellent. Just one clarification. The 30% price increase cumulative we have taken in Parachute. That's over what period?

Pawan Agrawal: So starting from last year quarter one, if you look at quarter 4 results, we have taken about 23% price increase, 22% value increase and a 1% decline in volume , so that's 23% price increase. Very recently, we've taken another round of price increase of about 8% to 9%.

Saugata Gupta : That has just gone into the market last week actually.

Pawan Agrawal: Yes.
Karthik Chellappa: Excellent. Okay. That's all from my side, and wish you and the team all the very best for FY 26.
Moderator: Next question is from the line of Abhijeet Kundu from Antique Stock Broking.
Abhijeet Kundu: Actually, you have very commendably shown about 13% growth in gross profit during the quarter despite all the inflation and the price hikes we have taken. So gross probably something which in core is something very important at this point in time . So my first question was in Project SETU, you said that VAHO would be one of the main beneficiary as on date. Does

 Project SETU improve your presence in under -indexed geographies of VAHO or it would be both in under -index ed and the existing strong geographies . So that is the first question.
Saugata Gupta: Yes. Let me give you a perspective , if you look at historically, Parachute strong markets are basically the South and Maharashtra. And value -added hair oil markets are strong in the North. Having said that, I think in strong markets of the South and Maharashtra, especially South, this will help in diversification by putting the second or the third brand in because we have huge distribution already . In the case of some of the under -indexed markets, like in the North such as UP etc., where we are under indexed, there also, we see growth in VAHO . Basically, what it will do is in the South it will help in diversification of VAHO . It will also help in Parachute rural market share because in rural we can now reach directly. In the north, it will significantly improve the performance of VAHO , especially under -indexed markets. Hence, we are actually relatively more under -indexed in our direct distribution in the North compared to South.
Abhijeet Kundu: Understood. And how has been the competitive environment in VAHO and also in case of Saffo la edible oil, because in edible oil, there has been very sharp inflation . Companies have shown growth , but the volumes have been impacted . Although , your volume has relatively been insulated and the impact has been lower. So how has the market share behave d there in case of edible oil and how has the competitive environment been in VAHO? Because you say that your key competitor has increased prices in coconut oil as well as in other oils. So just a perspective on that .
Saugata Gupta: So first, let me clarify, I mentioned only coconut oil. As far as Saffola is concerned, we have taken a conscious decision that we will ensure we deliver modest volume growth , and we will definitely not sacrifice on margins. We will operate at a threshold level of margin. And as you know, in any case, Saffola operates with a significant skew in OT as well as metro. Therefore , we believe that we will be able to give modest volume growth as long as there is no significant volatility in the raw material prices . I think in coconut oil, what has happened is that in the last year, we were facing two sets of headwinds. As you know, in the FMCG market , during COVID and the immediate period post COVID, a lot of smaller players ha d gone out of circulation or their presence had reduced. Sometime from 23-24 onwards when inflation happened, a lot of the small players started getting into the market. And obviously, in one year, we witnessed maybe because of inflation - our biggest source of growth in coconut oil is unbranded to branded, that slowed down and sometimes it went reverse . What we are now seeing in this period of inflation and if you look at this hyperinflation, small players' ability to buy , their working capital and the ability to store, they don't have position building , they become much more uncompetitive. At the same time, we have seen a case of organized competition also taking significant price increases, so that they don't make a negative gross margin, both of which will help us. And that's why we are confident that Parachute volumes will start coming back in a couple of quarters. And

 number two, as I said in the second half of the year, with anniversarization , the ml

-age drop
impact will also stop to a large extent.
Abhijeet Kundu: And...
Saugata Gupta: I'm just going to add something It is our pricing power and we operate in a low-price elasticity.
I don't recall any master brand having the guts to take 30% price increase .
Abhijeet Kundu: Very clear. And about the competitive environment in VAHO, has the intensity reduced?
Saugata Gupta: Not really. But as I said, what we have taken is a conscious call, which I alluded to in the last quarter also . There are two sets of things. One is the bottom of pyramid where there is a competitive intensity that is far more trade -driven intensity in terms of p layers moving from ATL to BTL . We are focusing on the mid and premium. We will continue to invest ATL. It doesn't matter whether our share of voi ce increases because it is our job as a market leader to drive category growth. If you look at our trajectory of VAHO from Q2, in Q3 and Q4, we have shown an improvement. And we are now pretty confident that this year, we will turn positive, and it will improve with every quarter.
Abhijeet Kundu: Okay. And the last one is, what will be the effective tax rate in the next few years?
Pawan Agrawal: You can take it at around 22%.
Moderator: We'll take our nex

t question from the line of Nihal Mahesh J ham from HSBC Securities.
Nihal Mahesh Jham: Congratulations on the good performance. A couple of questions. First, on the Foods part of it, just wanted more clarity on where is snacking in the overall scheme of things. Has that also achieved a certain threshold profitability and if it's an important part of the 25% growth that you are targeting or more in the pilot stage and maybe the growth will be beyond FY 27 for that segment?
Saugata Gupta: So we continue to be in the pilot stage. I think it's important first to get the GTM right. As you know, snacking is not OT skewed, because if you have to get snacking to scale, we have to get our GT in Food s right. S o, when it comes to Saffola Foods growth , there are three key focus areas. First is to continue to invest behind increasing penetration in Oats. We will continue to drive honey, and we want to scale up Muesli, snacking comes next. And of course, as I said that you will see significant some new category entr ies in True Elements and Plix continues to do well. I believe that nutraceuticals, where Plix operates , the headroom for TAM expansion continues. We can get into some other things, like if you look at a nutraceutical band, you have five elements in any nutraceutical company. And one is w eight management, one is cardiovascular health, diabetes, gut health, bone health, stress and sleep. Now Plix -- the name

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 is agnostic . It can operate in all. And therefore, the headroom for growth in Plix is tremendous.
And I believe that Plix is a very strong equity . It has strong digital capability. The f ounders and us, we are working together, partnering and creating this explosive growth. And therefore, there is enough headroom for growth. Therefore, for u s, food is at 3 -vector growth and not a single -vector growth.
Nihal Mahesh Jham: Sure, sir. Just one follow -up here. So try to think that new categories of Foods will be more niche is a way the historical trajectory of Foods has been and, say, for a large category like snacking, where it's hypercompetitive will always not be a very core foc us in terms of driving it ahead?
Saugata Gupta: No, I think if you look at one thing, what we are doing is one step at a time - if you look at Foods , I would first do a few things, get scale and then attempt the next one rather than doing many things , because one of the experiences we have had is that when we broke even in Oats and Masala Oats, with scale , the profitability had galloped . So therefore, one of the things we will do we do a few things to scale rather than doing many things subscale .
Nihal Mahesh Jham: Understood. Second question was on Beardo and the larger D2C portfolio that it's commendable reached a double -digit margin despite revenue is much lesser than some of the other larger D2C means you originally started out D 2C. So just wanted to understand what has been the path to achieving these kind of margins at this scale? Is it measured A&P? Is it more focused on profitability and less discounts? Or is this a right mix of channels, if you could just highlight that.
Saugata Gupta: I think I alluded to my commentary being a listed company, our ambition or aspiration has to be greater than resource s. We don't have the luxury of having r esource greater than ambition.
Pawan Agrawal: And also just to add, we've discussed in the past that there could be two differe

nt models of
growth in the D2C business , one is explosive growth of 70 % to 80% with a significant cash burn. And the second one, which is a calibrated growth of 20% to 30%, but a very high focu s on profitability improvement. And latter is what we have adopted as the approach, and we are absolutely comfortable with this, and we will continue to have this approach for the rest of the Digital businesses. While Beardo has a reached double -digit operating margin, but others are also on the way. And we believe in the next 2 years, our aspiration of reaching double -digit operating margin for the entire cohort we should be able to realize.

Moderator: We'll take our next question from the line of Sheela Rathi from Morgan Stanley.

Sheela Rathi: Congratulations, Saugata for your reappointment. My first question was with respect to the opening remarks you made that the growth for the listed FMCG companies may not be the right

 way to look at it or not necessarily representative of the overall growth. So just from your
perspective, what would be your sense on the growth last year for the overall con sumer space?

Saugata Gupta: I cannot give a number . But all I can say is that the D2C and the smaller brands don't get captured and also some of the unlisted companies. Thus it could be a tad higher. That's all I can say.

Sheela Rathi: Understood. And second question is very similar to what Nihal just asked on with respect to Beardo getting to double -digit margins. Just from your lens, again, what would be the gestation period? Is it fair to say that the gestation period for a personal care D2C brand is about 5 to 7 years, whereas fo r Foods it could be much longer? So what would be that number for Foods businesses when we are pursuing a similar Digital first kind of a strategy as well as right GTM strategy rather?

Saugata Gupta: So I think it's very difficult. But what I can tell you is this is for food brands and I'm not talking nutraceutical s. Nutraceutical s, obviously has high gross margin. I don't think there is a profitable model for digital -only food s busines s in this country. So they have to get into GT. And if you look at some of the brands which have scaled up, they have gone into GT . The proportion of GT-led Food founder brand s is always higher than personal care . For personal care brand s perhaps I would say they should not go too much into GT.

Sheela Rathi: Understood. Actually because that's the best thing, right, with respect to the journey for us on the Beardo side on how the profitability has moved. Thank you.

Saugata Gupta: Thank you.

Moderator: We'll take our next question from the line of Anurag Dayal from Phillip Capital.

Anurag Dayal: Sir, one question I have on GT channel it has been under pressure for quite some time, and you allude d you to some of the steps taken to pressure apart from our SETU initiative, could you tell us what are the states which we have taken? And when you see gro wth recovering in the channel?

Saugata Gupta: I think we believe that the urban GT will continue to be stressed , because I think if you look at the organized trade share in the top 5, 6 cities, it's increasing, also with growth of quick - commerce, quick -commerce is also taking a slice from GT. Having said that, what we are trying to do is ensure that through a significant number of steps, we want to manage and ensure that our partners continue to get ROI. But I believe there is significant oppo

rtunity in GT and it will
continue to be very, very critical and a source of competitive advantage. There will continue to be entry barriers in the smaller & mid towns and rural . And that is why we are investing a significant portion of our effort in SETU , because in rural I don't see OT impacting rural even in the next 5-7 years . And that is where I think a lot of our SETU initiatives and investment is

 going. We believe that for large FMCG player s, defocusing on GT is not a great thing to do, but we should at the same time we believe it is “and” growth in India . It's not ‘or’ growth like what has happened in some of the other Western markets. GT will continue to be ever important even in 2030.

Anurag Dayal: So sir, are we doing a differential SKUs for GT.

Saugata Gupta: Yes, I think our entire effort is to have channel -specific portfolio and channel -specific SKU s and keep on reducing channel conflict and cannibalistic growth.

Anurag Dayal: And one more question I have on Bangladesh. Now it's very commendable that we achieved double -digit growth in a tough environment. However, the dividend payout has been a record high in FY 25. I just want to understand the reason behind it. Does it indicate that the growth opportunity in Bangladesh is now limited and maybe you're looking at other international markets – how do we understand this?

Pawan Agrawal: Surplus cash lying on the balance sheet, and it is only prudent to return it back to the shareholders rather earning interest income on that. We are not compromising any investment opportunity, the A&P also continues to grow. And we believe that through continued investment , we will continue to grow in double digits. So it's more of a surplus l ying in the balance she et that has been brought back.

Moderator: Thank you. Ladies and gentlemen, we'll take that as a last question for today. I would now like to hand the conference over to management for closing comments. Over to you.

Pawan Agrawal: Thanks for listening on the call. To conclude, the year has been marked by significantly positive outcomes in each of our strategic objectives, even while the operating environment has been challenging . Despite sharp input cost pressures, our core portfolio s have remained steady, and we have sustained investment towards the accelerated scale up of Foods and Premium Personal Care portfolios in India and premium categories in the overseas markets to build high growth levers , which are not only margin accretive , but will also systematically reduce commodity exposure over the time. As a result, we are working towards the revenue and profit construct, which will be far more resilient and predictable across business cycles. While we will need to navigate inflationary pressures in the immediate term, we remain confident of delivering to p quartile performance in the coming year and the medium term.

That is it from our side. If you have any further queries, please feel free to reach out to our IR team, and we'll be happy to address. Thank you, and have a great evening.

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098. CIN: L15140MH1988PLC049208. Email: investor

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 Moderator: Thank you. On behalf of Marico Limited, that concludes this conference. Thank you for joining us, and you may now discon nect.

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Sub: Transcript of the earnings conference call

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, copy of transcript of the earnings conference call held on Monday , August 4 , 2025 on the un-audited financial results and operations of the Company for the quarter ended June 30 , 2025 is enclosed .

The said transcript is also available on the Company's website at https://marico.com/investorspdf/Marico_Limited_Q1FY26_Earnings_Call_Transcript.pdf .

This is for your information and records.

Thank you.

Yours faithfully,
For Marico Limited

Vinay M A
Company Secretary & Compliance Officer

Encl .: As above

Marico Limited
Q1FY26 Earnings Conference Call

August 0 4, 2025

MANAGEMENT : MR. SAUGATA GUPTA – MD & CEO , MARICO LIMITED
MR. PAWAN AGRAWAL – GROUP CFO & CEO -
INTERNATIONAL BUSINESS (REST OF SOUTH ASIA & SE
ASIA) , MARICO LIMITED

 Moderator: Ladies and gentlemen, good day and welcome to Marico Limited's Q1 FY26 Earnings Conference Call. We have with us the Senior Management of Marico represented by Mr. Saugata Gupta , MD and CEO ; and Mr. Pawan Agrawal – Group CFO & CEO - International Business (Rest of South Asia & SE Asia) . As a reminder, all participant s' lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*," then "0" on your touch -tone phone. Please note that this conference is being recorded.

Before we get started, I would like to remind you that the Q&A session is only for institutional investors and analysts. And therefore, if there is anybody else who is not an institutional investor or analyst who would like to ask questions, please directly reach out to Marico's Investor Relations team.

I now hand the conference over to Mr. Saugata Gupta for his opening comments. Thank you, and over to you, sir.

Saugata Gupta: Yes. Hi, everyone. Good evening to all those who have joined the call.

I would like to start with a narrative on the operating environment during the quarter gone by , after which I will touch upon our performance and strategic objectives going forward.

During the quarter, we witnessed stable to improving demand trends in India across urban and rural. Premium categories continue d to outperform the mass segment s, while alternate channels like Modern Trade, E-commerce and especially Quick Commerce continue d to lead growth. While General Trade also moved into growth after some quarters as a result of focused initiatives, improved execution, and the ongoing progress of Project SETU. Looking ahead, we are optimistic about a gradual and broad based recovery in consumption sentiment supported by easing retail and food inflation, a favorable monsoon, increased government spending and higher MSP.

Moving on to the quarterly performance , we have continued to deliver a sequential uptick in underlying volume growth in India, which is nearing double -digits, backed by improving traction in the core aided by GT improvement and sustained momentum in our new businesses. Offtake trends have remained encouraging , with nearly the entire business either sustaining or gaining market share , and over 80% of the business sustaining on improving penetration.

Revenue growth in the India business reached multi -year highs , as the strengthening volume trajectory was supplemented by pricing actions in core portfolios, taken in response to the sharp inflation in key commodities like copra and edible oil over the last 12 months.

Delving further into India business, I will now share some perspective on the performance of our key categories .

 Parachute has continued to demonstrate resilience amidst the hyperinflationary conditions in copra prices. In such hyperinflation , while consumption titration is typical, Parachute has exhibited minimal volume impact and consolidated its market share, underscoring its inherent strength in terms of price inelasticity and deep consumer trust , despite multiple rounds of price increases and ml -age reductions amounting to an effective price increase of 60% plus. After normalizing for ml -age changes , the brand re mained in growth t

erritory during the quarter. We
have delivered this growth despite consciously rationing certain low margin volumes to protect brand profitability. During the quarter, the brand continued to gain share in Modern Trade and E-com, while pricing transitions are in fact quicker and the new prices have already hit the shelves.

We understand that the unprecedented levels of inflation in this particular cycle has been due to the supply -demand gap created by a combination of drop in crop yield s due to an uneven weather pattern in the first half of 2024 and speculative activities . Further, some unseasonal rains in April and May , and the temperature fluctuation this year , further extended this cycle and led to a sharp spike in April period when normally conversion starts, but this year because of rains, the conversions got delayed. Pr incipally, it is the inelasticity of certain sources of demand that accentuate s the demand supply gap during such times , as you know copra cannot be imported.

While the length and severity of this inflationary cycle poses short -term challenges, we have been able to hold our ground and deliver stable outcomes on the back of pricing inelasticity and enduring equity of Parachute. The brand has successfully navigated multiple hyperinflationary cycles whether it's in 2014 -15 or over an 18 to 24 -month cycle in 2017-19 where we had also taken around 35% price increase and still delivered 5.5% growth over a period of 2017-19 and a 6.5% growth in 2014-15. The scale of our operations , coupled with resilient back -end capabilities and prudent inventory management , continues to reinforce a competitive edge. That being said, we believe the current market conditions are unsustainable , and the copra market should settle down over the course of this fiscal year given the forecast of monsoons and the decent progress so far. In fact, prices have just come down around 12% from the highs in the last two weeks. As consumer pricing gradually normalizes, we expect Parachute to chart meaningful recovery in volume growth given our competitive advantage under such condition s where the smaller players are out of the market.

Saffo la oil has bounced back to deliver mid -single digit volume growth, which is in line with our medium -term aspiration. We expect the brand to be steady on a full year base. During the quarter, we launched the Saffola Cold Pressed Oils range on E-commerce and Quick Commerce platform. This is in line with our purpose of the brand to reinforce healthy cooking choices in Indian households and premiumize its play.

Value -Added Hair Oil s had a strong step -up in its recovery, led by sustained momentum in the mid and premium segments . The franchise gained 140 bps in value market share on a MAT

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098. CIN: L15140MH1988PLC049208.
Email: investor@marico.com

 basis. We are confident of maintaining a double -digit growth momentum in the franchise
throughout the year on the back of sharper brand activation s supported by a strategic pivot from trade -led investments toward s brand -building and therefore increasing SOV, especially in the mid and premium segments, along with enhanced direct reach through Project SETU, which invariably benefits VAHO.

The Foods portfolio scaled in line with expectations. The core Saffola franchise grew in double -digits, while True Elements and Plix's plant -based nutrition range sustained accelerated growth momentum. We remain on track to deliver over 25% growth this year and over the medium -term, while steadily improving profitability. During the quarter, we also expanded our Muesli range with two variants. We will continue the innovation momentum and expand the TAM of Saffola through extension s into relevant adjacencies.

We have a clear path for each of the three
Foods brands and see tremendous TAM expansion opportunities across the board , and some of it we have shared in the presentation for Plix and True Elements.

Premium Personal Care continued its strong growth momentum during the quarter, led by the Digital -first portfolio. The Digital -first portfolio, comprising Beardo, Just Herbs and the Personal Care portfolio of Plix, exited the quarter with an ARR of over ■ 850 crores, scaling up well ahead of our earlier targets. Given this trajectory, we are on track to reach 2.5x of FY24 ARR by FY27. We continue to operate with a keen eye on the profitability and are striving to deliver double -digit EBITDA margins in this portfolio by FY27.

Moving to our international business , we recorded high -teen constant currency growth, maintaining a stellar momentum. Bangladesh delivered a robust performance underpinned by broad -based growth across core and new franchises, while Vietnam had a muted quarter. Strategic intervention s are underway, and we expect a gradual recovery in this business in the quarters ahead. In MENA, the accelerated scale -up in the Gulf region and Egypt continued, supported by healthy traction in new franchises and sustained market share gains in our core and

in the NPD. South A frica was static this quarter, but we aim to achieving our full -year growth aspirations.
To sum up , we have started the year on a strong footing, with both India volume growth, overseas business constant currency growth and the consolidated revenue growth trending positively and reaching multi -year highs.
We firmly believe that we are in a virtuous growth flywheel , and I would like to share a perspective on why we see it in that way.
Over the past few years, the CPG landscape has undergone significant shifts shaped by macro events and evolving consumer behavior. During the COVID period, while categories like Food s,
 Health and Hygiene benefited from natural tailwinds, we believe it also brought a degree of
complacency among CPG players since the share of wallet was artificially shifting in their favor given that the lockdown created situation where other spends , such as out of home, travel and entertainment w ere not being done.
Subsequently, during the inflationary environment following the Ukraine war, the sector delivered pricing -led top -line growth along with A&P cut and other cost -led margin expansion , while some of them got rewarded. In emerging markets, however, we believe the core mantra for consumer companies must remain centered on driving volume -led growth, which is a far more sustainable and enduring lever for growth. We draw a lot of confidence from 99% of the business gaining or sustaining market share in India, which has happened after a while. We are consciously staying away from the trap of optimizing margins at the cost of long -term brand investments. We have also resisted steroid -based selling in organized trade and investing in below -the-line of price -led selling. We believe our resource allocation strategy over the past few quarters is paying off. We have also done significant SKU rationalization so that we believe in fewer, bigger and better.
We are also seeing the positive impact of Project SETU -led initiatives in rural , and on mid - premium segments of VAHO. As we scale this up further in urban, we expect it to catalyze growth in Foods and PPC categories like Serum and Male Grooming . In addition to inflationary cycles being conducive to GT ROIs, our prior investments towards re -invigorating the GT distribution system have already begun to yield early wins with the revival of growth in the ch

annel after a long hiatus. In addition, this high top -line growth is helping in improvement of ROI of our GT distribution partners after a long time.
Next, the scale -up of our digital brands has opened new frontiers for diversification and innovation, offering avenues for accelerated revenue and profit growth in the medium term. Our brands are earning recognition , with three of our digital brands featuring in the latest edition of the Insurgent Brands List published by one of the top VCs and one of the big three MBB management consulting firms. In addition to that, we have started the process of cost synergies amongst the digital brands as well as data s ynergies.
Coming to our strategic objectives for this year , with high single -digit volume growth in India as our base case, we will strive to deliver double -digit volume growth in some quarters. Supported by pricing growth, we will target around 25% revenue growth this year. While the pricing -led denominator effect may suppress optical margins this year , we are not alarmed by the optical drop in operating margins and firmly believe this is a temporary hi atus and not a structural concern. We would think of this inflat ionary cycle like a one -time upheaval which could in some categories potentially uproot business models, although we are delivering sector leading growth and moderate profits in spite of this high inflation which is unprecedented , and
 I believe exceptional. While delivering double -digit EBITDA growth this year may be somewhat
of a challenge, we expect better visibility by the second half. That said, consistent with historical

trends, moderate profit delivery during inflationary years has been invariably followed by considerable profit acceleration in deflationary periods and thus we are fairly confident of delivering double -digit profit CAGR over the next two years.

We have seen cycles like this before and each time we have come out stronger. We believe that what continues to anchor us through these cycles is a resilient and experienced senior leadership team with collective experience of over 140 years in Marico and an average leadership tenure of eight to ten years that reflects deep institutional memory and understanding of various business cycles. Ashish, the CEO of India Core business , and I have been working together for the past 20 years, and Pawan has also been with us for 21 years. So, between the three of us, we have around 63 years of combined experience at Marico. Over the last few years , we made significant investment and effort towards strengthening our leadership depth and we now have a solid Gen Next leadership in place.

Looking at the medium term, while the journey from ■5,000 to ■10,000 Crores took longer and we were not happy about it, there is a very fair chance that we could touch ■15,000 Crores over the next two years. Therefore, we also believe that the ■10,000 Crores to ■20,000 Crores leap can be achieved within the next five years if we continue to maintain this momentum.

Last but not the least, sustainability remains central to our strategy. Our Sustainability 2.0 framework is delivering strong progress across all key focus areas and moving up towards our 2030 goals. We are confident that our commitment to creating shared value will drive long term sustainable and differentiated growth.

With that, I conclude my remarks and thank you . And we are happy to take your questions.

Moderator: Thank you very much, sir. We will now begin with the question and answer session. The first question is from the line of Abneesh Roy from Nuvama. Please go ahead.

Abneesh Roy: Yes, congrats on a very good volume and revenue growt

h. My first question is on the India Hair Oil business, so three subparts to that. First is , copra, how is the supply side now looking ? And what kind of correction do you see in the next two, three quarters? That is my first sub -question. Second is , VAHO has seen a smart recovery after a few years of challenging times, the entire category saw challenging times . Now with urban recovery being talked about by most FMCG companies and rural contin uing to remain reasonably robust, would you expect VAHO volume growth to accelerate from here? That is the first question.

Saugata Gupta: Let me first address your question on Coconut Oil. As far as copra is concerned , as I said that the correction has started, we also need to understand that we being a significant buyer of copra,

 we have to also manage the entire supply chain assurance as well as pricing. We are now in a state where we believe we have much more control of the situation . Because , as you know that copra and the overall coconut demand titration happens in these kinds of inflation, the normal supply & demand imbalance adjusted itself because every consumption point gets titrated . And given our supply chain and other advantages , along with our position building, I think we are in a far better control. So, we believe that things are much better . And therefore , I do not see any further inflation at this point in time . But we will be able to give a much better kind of a feel in the second half. But , as I said that in spite of taking such price increases, we have actually in transaction terms still delivered a slight growth of 1% . And given the outlook on Parachute, we should be under control.

Coming to Value -Added Hair Oil s, we took a conscious call over the last two, three quarters because we faced unreasonable competition where a lot of spends went from ATL to BTL in the bottom of pyramid, especially in Amla segment that we wanted to defocus . And what happens normally if competitive spend falls, you can maintain the same SOV at half the spend . We said that it was a suicidal strategy, as it does not make sense, so we had re -pivoted towards investing behind medium and premium brands which make better margins.

In addition to that , we are getting the first benefits of SETU , especially in rural , because whenever you do direct distribution, the second and third brand distribution increases and therefore we are extremely confident of maintaining this double -digit value growth in the Value -Added Hair Oil business . And if you take ex -Amla, actually the volume growth is in double -digits. And this is the high margin part of the business, so you can understand this along with the Foods and Digital margin improvement, we have been able to hold on to margin in spite of this kind of a unprecedented, input cost inflation.

Abneesh Roy: Thanks. One quick follow -up question here on the coconut oil business. Whenever we see such sharp inflation in FMCG and specifically in coconut oil, we see local players lower their intensity and presence in market , and obviously copra has seen absolutely insane inflation . So, if you could talk about some of the local players in the core market . And similarly on the consumption side, because customer in India is extremely value focused, have you seen any kind of a consumer change that some part is going to other oils? I do notice your very resilient volumes, but that could be a function of market share again, because the very big retailer which had a concall recently, said that in coconut oil they saw very sharp decline versus your almost flattish volume. So, you have done quite well. B ut have you seen some section

of customers shift to
other oils? And since you have gained market share so it's kind of getting hidden?
Saugata Gupta: So, I think as you know that our entire growth model is based on unbranded to branded and getting market share from other smaller players in the coconut oil market. I alluded to two pieces of statistics , in 2014 -15, we had taken a 35% price increase and we delivered a 6.5% volume

 growth and as well as market share gain. Over '17 to '19, because it was over an 18 to 20 month
period, the average price increase was again 35% , and we had delivered a two year CAGR of 5% in Parachute. So , I believe that we should be able to hold on to the volume. There could be titration, but all I can tell you that we are taking certain steps in terms of our strategy which will ensure that the volumes are not impacted. Yes, the smaller players and other smaller branded players will be far more impacted.
Abneesh Roy: Sure. Last question. On the International business, if you could comment, three sub -questions there. In terms of the Gulf and Egypt, with regards to 42% CCG, is there some base effect? Is this sustainable? On South Africa, what is happening there , why have you not changed the full year guidance in spite of weak, flattish number? And Bangladesh, are you getting volume growth? My sense is that the pricing growth in the coconut oil business will be quite sharp there as well . Of course, lower than India, given you do have import option there, how is the volume growth in Bangladesh?
Saugata Gupta: Okay. So, let me address one by one. As far as MENA is concerned, the growth is being fueled by two things. One , growth in the core in terms of market share gain. As you know that we never participated in VAHO in Egypt, we had launched VAHO in Egypt two to three years ago , and then we launched a full portfolio of VAHO in Egypt, which is Herbs India, we have got Fiancee and we have got Amla as well . Similarly , we have got an aggressive distribution and investments . And, we have launched shampoo s in Egypt and Middle East, in addition to shower gels and body lotion. So, the NPD contribution has been significant, and all the NPDs are doing well, as well as we are getting share in our core. Hence, last year we grew 30% plus, and this will continue . We are expecting to have this accelerated growth in the Middle East because it's a very strong focus and investment market for us in terms of the opportunity or the headroom for both top line and bottom line growth . We have also done significant improvement in operating margin, due to which we continue to reduce our dependence on Bangladesh for both top line and bottom line.
I think your second question was on South Africa . Sometimes in quarters we do some certain readjustment of strategy, so we are pretty confident that we could start getting back on track from Quarter 2 , and then we have visibility of July on growth returning back . And over the full year we should be able to hit double -digit growth which has been our consistent delivery . Having said that , again as you know, over the last four, five years we have outperformed the sector by a mile in South Africa and significantly improved profitability , and we have proved it . Although, we have not made so much investment in South Africa or Africa . But with being vvery frugal and efficient capital allocation , we have been able to give sector beating growth consistently in South Africa over the last five years.

 Now coming to Bangladesh, Bangladesh has two components as a volume growth in the core,
there is significant NPD performance as you know, we have done very well recently in shampoo , and we are doing well in baby. There is some part of inflation and price increase in Bangladesh which has been far lower than India, because international copra has not got ten impacted as much as Indian copra.

Abneesh Roy: Sure. Thanks. That's all from my side. Thank you.

Moderator: Thank you. The next question is from the line of Vivek Maheshwari from Jefferies. Please go ahead.

Vivek Maheshwari: Saugata and team, good to see results. First ly Saugata on ATL versus BTL what you mentioned. So, at a consolidated level I see your advertising spends have gone up quite a bit , about 25% , but India business is actually down 20% , the absolute number is like lowest in the last five years or let's say 20 quarters. The percentage number I know the denominator shifts quite a bit in your case but we have seen inflationary cycles in the past , at about 3.5% this is also the lowest number that at least I recall or we have ever seen. Can you just elaborate more on this?

Pawan Agrawal: You are right , Vivek , it's incorrect to look at ASP percentage to sales because of the denominator effect. Having said that , yes, of course there has been some cut in India A SP, but let me just tell you two three broad counters for that. #1, we have not cut in the focus categories of premium, VAHO, Foods and PPC. So, in these categories we have invested adequately . Also, Saugata touched upon the fact that we have ensured that our share of voice is higher than our share of market in focus categor ies. Secondly in BOP of VAHO we have definitely cut down due to competitive activity at the trade and therefore we have rationalized ATL spends towards consumer beneficial pricing in that segment. Additionally , I think in this quarter we have cut down lot of non -media spends , like we have rationalized the frequency of Nielsen subscription data, we have defe rred some of the new film shoots which was discretionary and hence reduction in utilization of celebrity time cost . And additionally , we also extracted lot of inefficiency out of media and non -media spends and hence getting more bang for the buck for the same dollar spent. So, these are some of the reasons because of which you see the A&P spend s going down a little . But going ahead , we believe that A&P will trend upwards in India business . And of course , at a consol level , we continue to invest behind all the focus categories and new parts of the business.

Vivek Maheshwari: I see. Okay .

Saugata Gupta: Just to add , practically though, in terms of media spends there has been no reduction.

Vivek Maheshwari: Why do you say that Saugata? Sorry, because the number is just about like ■85 Crores .

 Saugata Gupta: That is because all the cuts have been done in non-media and production , and other activities .
We have ensured that the media spends have not been compromised.

Pawan Agrawal: Media spends on the focus categories in fact has increased . For other part as I explained , largely because of non -media cut in some of the elements , and plus in some of the non -focus categories of course we have cut down.

Vivek Maheshwari: Got it, Pawan, and Saugata. And so when I subtract standalone from consol , the advertising spend over there is up 60%. I am guessing that bulk of this will be on India business only and international movement will be relatively lower, right , is that fair?

Saugata Gupta: Yes, you are right , so it is large

ly on the new businesses and also international business also has gone up but not to that extent.

Vivek Maheshwari: Got it. And the second thing is your comment in the press release or the information update about the M&As. So, what you mentioned in the existing geographies or even a new geograph ies, I am guessing that is more in the context of international business that you are talking about. And you have done , I would say , exceptionally well on the acquisitions that you have done in the digital first D2C space in India. Are there still wide spaces that you are looking at in India or do you think the platforms are ready (the brand platforms)? And you have also given in your release the categories that you can expand into with the existing platforms? So, how do you think about India acquisitions from here on?

Saugata Gupta: There are one or two spaces which I think are still available. See , we are clearly going into not only market attractiveness but a right -to-win which are adjacencies. So, we believe that there are one or two spaces which are available whether it's in Foods or Personal Care . In addition to that , I mean , as you know , Foods is an interest for us , so therefore we will continue to be looking into these acquisitions. Our track record for acquisition has been good. We now have a good

playbook . And we also believe that we see ourselves as a strategic investor of choice , because given that we have multiple brands ; the kind of synergies , and the kind of cost , and the kind of knowledge we can give and help a Founder to grow his or her business is I think significant.
Vivek Maheshwari: Got it. Thank you. Wishing you all the very best.
Pawan Agrawal: Thank you.
Saugata Gupta: Thank you.
Moderator: Thank you. The next question is from the line of Aarushi Lunia from Macquarie. Please go ahead.

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098. CIN: L15140MH1988PLC049208.
Email: investor@marico.com
 Avi Mehta: Hi team. This is Avi here from Macquarie.
Saugata Gupta: Hi, Avi.
Avi Mehta: Hi sir. So, I just had one question on copra. Just wanted to understand a bit , how is current copra versus the sector average is it if you could kind of give us a sense? And based on that would it be fair to say if you could kind of help first clarify that part.
Saugata Gupta: We didn't get the question Avi?
Pawan Agrawal: Versus sector average as in? .
Avi Mehta: Versus the quarter average. I am really sorry 1Q average. Is it ahead of that? Is it below that? How would it be just to get a perspective?
Pawan Agrawal : Are you asking about inflation , the copra inflation ?
Avi Mehta: More in terms of the cost.
Saugata Gupta: Yes, yes, 12% down in the last few weeks . So, that 10 7% was for the quarter on a year on year basis . But yes, if you take a point today it's 12% down from the last peak.
Pawan Agrawal: From the peak.
Saugata Gupta: From the peak, yes.
Avi Mehta: From the peak. So, can the quarter average still be down , that's the correct understanding ?
Pawan Agrawal: The prices level went up in Quarter 1 , it went up further in July and now we are seeing about 10% to 12% correction from the peak that we had seen in July. And again, to sort of bring it back to the point which Saugata had mentioned earlier, we do not see any further pricing action at least given the recent trends that we have seen in the copra prices.
Avi Mehta: Got it. S ir, just a clarification, would it be fair to say that whatever was the 1Q EBITDA growth, the growth logically should kind of improve as we go forward given that VAHO is improving.
Is that a fair expectation ?
Pawan Agrawal: It is difficult to give quarter -on-quarter guidance, Avi . In fact , Saugata touched upon in his opening commenta

ry that while we had given a double -digit profit growth guidance earlier . In the current scenario it looks a little challenging, but we will still strive for high single -digit growth in this year. But typically what we have seen is that inflationary years get followed by a

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Email: investor@marico.com
 deflationary year , and we have been able to make up for more than what we could not do in the previous year. Therefore, from a two year perspective, we are fairly confident that we should be able to deliver double -digit profit growth CAGR .
Saugata Gupta: The only thing , which I have also alluded to is, just wait and watch in the second half. See, right now, as I said that, yes, double -digit looks a bit challenging as of now, but you never know. See, I mean, three months ago I never could have predicted copra prices, no?
Avi Mehta: Yes. I understood, so except copra, there is nothing that I have to look.
Saugata Gupta: I would look at last 6 months , but as you know, we never give up like the Indian cricket team till the last ball. So, we will not give up. We will be like the Indian cricket team.
Avi Mehta: Perfect. That's all from my side. I just wanted to clarify that point only. Thank you very much.
Saugata Gupta: Thank you.
Moderator: Thank you. The next question is from the line of Mihir Shah from Nomura. Please go ahead.
Mihir Shah: Hi, team. Thank you for taking my question. Firstly, on Parachute, just one small clarification.

In the press update you highlighted that there is a consumer pricing of about 60% and that translates to closer to about 30%, 31% for the quarter. I wanted to know, after this 31%, what is the incremental pricing that you have taken that has yet to come through in the numbers?

Pawan Agrawal: So, we have taken additional 30% price increase in Quarter 1 . We do not intend to take any further price increase, as I just mentioned . So, the full effect of this price increase will be visible in Quarter 2 , where the value growth probably could be even higher on the Parachute franchise. But again, from Quarter 2 onwards, or later half of the Quarter 2 , we will also start anniversarizing in the base. So, in H2, your pricing growth will progressively come down from the peaks of Quarter 2 .

Mihir Shah: Understood, Pawan. Thank you for clarifying that. After such sharp price increases, I mean, historically, I do not think, I recall much price declines in Parachute maybe in '17, '18 and thereabouts. But how confident are you on the volume growth front you sustained this quarter? But does this kind of price increase put significant pressure on titrating for consumers? Can one expect a sharper decline on volumes of Parachute or not really?

Saugata Gupta: No. So , I think there are two things. One is, obviously, we will take steps now and I cannot get into details of what are the steps we will take to ensure that protecting some of the packs which are much more sensitive to pricing. We are taking steps. Secondly, as I told you, is that during such times the small players are really stretched in terms of their presence. Also some of our

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Email: investor@marico.com

 branded large competitors who have been doing unreasonable kind of pricing, which was lost last year I think will not do that. So, I think there will be market share gain s. So, combination of that we will be able to hold broadly the volumes. I do not see any reason to be stressed out. And I think the other thing is that , what I bel

ieve is going to happen is that , the peak has been reached and therefore as we go towards the second half I think there will be a little bit of stability as far as pricing and oth er things go.

Mihir Shah: Thanks, Saugata, for that. Secondly, on VAHO, great set of numbers after such a long period of time. Is there any element of channel filling or is largely Project SETU that is driving this? What is the core driver for this and sustainability of this? I know you mentioned that you were trying to do double -digits, but just wanted to check on that one.

Saugata Gupta: I think we have a very high confidence level on sustaining double -digit growth in VAHO. And two things, one is that, as you have seen, we are seeing also a significant increase in market share. See, what happens is that normally wholesalers take a high velocity item. To give you an example, a Parachute or a Shanti Amla will be a natural choice which will go through the wholesale system or the indirect sales system. Now that we are over a three year period adding 0.5 million set of outlets, in variably it is the second or third brand that goes into the range selling. And that is the advantage we are getting. Therefore, we must, not only taking share from the organized players, we will be also taking share from some of the smaller players. And the second thing which we are doing is that , because we have said that we are not going to get into the BTL fight at the bottom of pyramid , but instead invest behind equity building, we are significantly investing behind equity building . This also means that our share of voice is increasing , and we are investing behind it because it is my job as a category leader to drive category growth. So, we are fulfilling the job which we had abdicated because we were trying to fight at the bottom of pyramid. So, it's a combination of that . The biggest illustration of the fact is that if you take out Shanti Amla from the equation ; because we are not getting into the BTL fight which is I think is very inan e; volume growth of the other brands which is brands like Hair and Care, Jasmine, Aloe, Ayurvedic ; they have actually grown in double -digit for the first time after a lot of quarters and we expect this kind of a trend to be maintained.

Mihir Shah: Fantastic. That's wonderful, heartening to hear. Lastly, if I can just push in one more on margins, I wanted to understand how should one think about margins in the near term with this kind of inflation in copra? VAHO is margin accretive category if that goes by double -digits while the kind of pressure that you see from copra, I mean , when will this converge and when can we start seeing margins starting to expand, can it be like in two to three quarters, is that a fair understanding?

Pawan Agrawal: So, see, from a margin percentage standpoint, very honestly , it is very difficult to sort of gauge because there are multiple moving parts in terms of the commodity inflation, price increase that

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098. CIN: L15140MH1988PLC049208.
Email: investor@marico.com
 we have taken etc. B ut as I mentioned earlier, in this kind of inflationary scenario, what is important is to look at the profit growth , because margins will definitely look compressed because of the significant denominator effect . And as you would have heard, Saugata said that we are expecting even higher revenue growth going ahead. Therefore, margin percentage guidance is difficult . But yes, we hold on to what I just said a while ago in terms of the profit growth.

Saugata Gupta: And as I said again and reinforcing, let us wait a quarter because situation is volatile . We have far more control on volume and revenue growth, and I think with that margin will follow . And as I sai

d that, we strongly believe that in emerging market s, volume growth is important. So, if we can in some of the quarters go for a double -digit volume growth, automatically margins will come next year, and on a two-year basis it will be healthy profit growth. I mean , there is no reason to be concerned at all , as one or two quarters is fine . Also, I do not think any power brand globally has taken this kind of a price increase and actually also been able to hold volume.

Pawan Agrawal: And we have seen in the past that any compression in margin in a particular year has been supplemented by a significant expansion in the subsequent year , so that will play out as we move along to FY27.

Mihir Shah: Fair point. Thank you very much, gents. Wishing you all the very best. Congrats on a great set of numbers.

Saugata Gupta: Thank you.

Moderator: Thank you. The next question is from the line of Percy Panthaki from IIFL Securities. Please go ahead.

Percy Panthaki: Hi, everyone. My question is on the Parachute segment. You mentioned that now there is like a 60% price increase on Parachute. We have seen inflationary cycles in the past, but I do not think we have ever taken a 60% YoY pricing in Parachute. So , in light of this, I know you said you will take measures to protect volume. But in light of this, do you think it is possible that with a 60% pricing, volume might touch a negative double -digit kind of number? Or you think that that's out of the question, it cannot get so bad?

Saugata Gupta: First of all, I the 60% is a point -to-point. And as Pawan alluded to, as we move towards second half, this number will go down drastically. It could go to between 35% to 45% , if there is no pricing action. And I gave some piece of statistics that this has happened twice in the past , we have taken 35% hikes earlier . That time, India might have been the 11th largest economy , today we are far bigger , and the aspiration s have grown accordingly. Number two is, this 60% is a one -quarter phenomenon . It's not a two, three -quarter phenomenon . And as I said that there has been stabilization happening on the copra prices from the peak. Thus, this kind of supply -demand

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098. CIN: L15140MH1988PLC049208.
Email: investor@marico.com
 mismatch , was a function of some speculat ion as well . It is not a structural or major issue. So, it will get sorted out. Now, obviously, you will only see proof of this as the second quarter ends . But we are not unduly perturbed by this one. There could be minor volume pressure here and there. But I mean, a doomsday scenario is unlikely to happen. I do not think anything like that will happen.

Pawan Agrawal: Let me just add , I think we are confident nothing of that sort will happen. In fact, in this quarter also if you adjust for ml-age, it is 1% positive growth. And also, this is despite taking certain calls of rationalizing the supply on certain channel SKU combinations , which were very low margin. So, we took a very conscious call in terms of not supplying to protect margin. So, therefore, we are absolutely confident that there would not be a scenario where we will have any major decline. In a ll probability, we should be able to deliver growth adjusted for ml-age.

Percy Panthaki: Got it. And secondly, just wanted to understand the drivers behind the copra price, what is the reason that the inflation is so high and even like even taking a slight moderation from here, it would still for the full year remain much higher than what our original estimates were. So, what led to this basically?

Saugata Gupta: I talked about this in my opening commentary . So what happened was there was a slight drop in coconut productivity , of around 9%. Now

as I mentioned earlier, some of the demand for coconut which is used for consumption and religious purposes are inelastic. So, Copra is the end of that entire supply chain. What also happened was there were some unseasonal rains in April , and copra needs dry weather for conversion, that conversion cycle got delayed and since all the other demands were met with a certain pricing, the availability for copra further shrank because of 9% overall productivity drop . As demand remained at certain level, it led to some speculative activity in copra . Now what has happened, given all the pricing changes , demand rationing has happened automatically . As a result, we are seeing first signs of demand rationing happening , and we are still in the season . The season continues till September. Our first job is to ensure that we have supply assurance. We believe that we have far better control of the situation as of now. Now going forward, yes, I think the overall full year copra prices will still be high, but at the same time, sequentially copra prices are expected to go down directionally unless there is again some other black swan event or something . And what happens is that if you see, inflationary cycles are invariably followed by a deflationary cycle, because what happens is that demand titration happens, also the rains this time are good. Our initia l view of the crop is also decent, so we believe that it will be followed by a deflationary cycle.

Percy Panthaki: So, when you are saying productivity is 9% down, does it mean that the crop itself is sort of 9% down? What exactly does it mean?

Saugata Gupta: Broadly, yes.

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098. CIN: L15140MH1988PLC049208.
Email: investor@marico.com
 Percy Panthaki: Okay. And this is because of some seasonal vagaries that the 9% has got affected or what is the underlying reason for that?

Saugata Gupta: Temperature and seasonal rain are the function s of that.

Percy Panthaki: Understood. And this VAHO, basically you are focusing more on the mid and premium because you think that the lower end does not really make profit, but what we have seen across many --

Saugata Gupta: It does make profit. But it does not make as much margin as the rest of the portfolio .

Percy Panthaki: Correct. So, we have seen across many segments that consumption is under a huge amount of pressure and in this kind of a scenario, basically the consumer is willing to go for cheaper alternatives. You have seen that in multiple categories in the consumption space. So, while your strategy is sort of good of focusing on the more profitable part, but do you think this is the right time to do that?

Saugata Gupta: I do not know. We have not noticed. See, first of all , the indexation of RPI is not that massive. So, even within VAHO, in brands like Amla category, we are not focusing on BTL. That does not mean I am not going to invest behind Shanti Amla, mid and large packs . It is about that Rs. 20 price point, BTL driven strategy. Once we have now got VAHO, the rest of the things, I might invest in Amla also and grow the category. What we are saying is, we do not believe that by converting ATL to BTL, that does not necessarily lead to consumption. The question is if I give 10%, 20% BTL, am I getting increased offtake? My hypothesis is that increase in BTL does not give you long -term off -take.

Percy Panthaki: Right. Got it. Yes, that's it for me, Saugata.

Saugata Gupta: I am not saying I am taking price increases in Amla. All I am saying is, I am not buying volume by doing BTL. That's all.

Percy Panthaki: Understood. Thank you very much.

Saugata Gupta: That does not mean the consumer will stop buying because Marico has stopped giving BTL to the wholesale

r.

Percy Panthaki: Got it. Understood.

Moderator: Thank you. The next question is from the line of Aditya Soman from CLSA. Please go ahead.

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098. CIN: L15140MH1988PLC049208.

Email: investor@marico.com
 Aditya Soman: Hi, good evening and thanks for your time. So, two questions. Firstly, on VAHO, what would be the volume growth? I mean, you indicated that it's sort of double -digit, excluding Shanti Amla. Including Shanti Amla, would it be like low single -digit?

Saugata Gupta: No, it will be slightly more.

Pawan Agrawal: It is mid-single -digit.

Aditya Soman: Mid-single -digit. And so, that effectively means that volumes for the remaining 30% of your portfolio, other than Parachute, Saffola and VAHO, would be sort of north of 25%. Would that be the right rate to get you to the 9% overall .

Saugata Gupta: All I can say is that we have indicated that Saffola is mid single -digits, we would not get into individual category -wise growth. But yes, the premium part of the business, a nd diversification of business, would be higher growth.

Aditya Soman: I understand. No, that's very clear. And then just lastly, on this VAHO bit again, one of your competitors on their call, they mentioned that they have gained probably the most market share in their oil category. And obviously, they compete in Amla. So, would that be the right inference that they are gaining market share because of BTL or whatever?

Saugata Gupta: I cannot comment on this one. We have gained 140 bps value share. We focus on value share.

Aditya Soman: Very clear. So, that's it for me. Thank you.

Saugata Gupta: Thank you.

Moderator: Thank you. The next question is from the line of Nihal Mahesh Jham from HSBC Securities. Please go ahead.

Nihal Mahesh Jham: Yes, good evening and congratulations . Focusing on the Foods business, there has been a slight moderation from the 40% growth you saw in Q4 to 20% , so any specific parts you want to highlight on that?

Saugata Gupta: On a quarterly basis this happened because last year there were some launches. So, we are fairly confident about delivering 25%-plus growth in the Foods business. There is nothing to be worried about. We look at t wo things. One , we look at is if the core of the Foods portfolio , which is the Saffola Oats, Masala Oats, Honey etc, are growing in double -digits. Yes, they are growing in double -digits. Sometimes, parts of True Elements, or some part s of Plix can cause some fluctuation . So, I do not think there's any cause for concern. Maybe 40% would have been a slightly higher number because we have always been talking about a 25% plus kind of growth .

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Email: investor@marico.com
 Nihal Mahesh Jham: So, Saugata, second is on the profitability of the foods business itself. In case of Personal Care , you have given this outlook of double -digit EBITDA. In Foods you mentioned that you expect to see a gradual improvement in the gross margin from where you already reached. But just if I had to speak in terms of the EBITDA profitability, what would be the aspirations, say, similar by FY27 for this part of the busines s?

Saugata Gupta: So, I think two things. One is, as far as the Oats plus Masala Oats, the core of the business, which is a significant part of the portfolio , we are almost touching the company EBITDA. Now, what we have realized is that as long as you concentrate on the value -added part, we breakeven in any category at ■150 crores to ■200 crores, and then we can hit ■300 crores to ■400 crores. So

, our objective will be to get some of these categories into that range . Having said that , over the last two years, we have improved gross margin by 1,000 basis points. It's still a work in progress. We need to continue to do that. And what we actually look at is the blended gross margin of our NPD versus our current portfolio. The blended gross margin of our NPD is higher right now than that of our current portfolio , and this will progressively move up.

Pawan Agrawal: Also , just to add, Foods operates on a low A&P and low gross margin model, and therefore at a net contribution level, it would not be very different. Once it reaches a particular scale, then to reach to a company EBITDA is not much of an effort because it's a low A&P model.

Saugata Gupta: And also continuing on that, we are using the Saffola master brand and getting amortization of the spend. So, you have to look at it from the perspective of the Saffola master brand, Saffola Total, this one in net contribution terms.

Nihal Mahesh Jham: So, just quickly one last question that the ■20,000 Crores number you have given by FY20, just more clarity in terms of, the different segment contribution. You mentioned Foods and D2C 25% by '27, but just more clarity on the statement you made in the annual report.

Pawan Agrawal: It's very difficult to give an exact breakup of that ■20,000 Crores, but the idea is that on all the

core categories, we have given some guidance. For example, let's say we are talking about Foods 25% plus growth, D2C 25% plus growth, VAHO we are expecting to deliver double -digit growth. A combination of all of these, plus of course international business, we also expect mid - teens sort of a number. With a combination of all this, this ■20,000 Crores can be achieved.
Nihal Mahesh Jham: Got it. Thank you so much. Wish you all the best.
Moderator: Thank you. Thank you, sir. The next question is from the line of Harit Kapoor from Investec. Please go ahead.

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098. CIN: L15140MH1988PLC049208.
Email: investor@marico.com
 Harit Kapoor: Yes, hi. Good evening. So, just had three questions. One was on SETU. So, it's almost a year and a half in your three -year journey. Just wanted to get a sense of, how much of the 500,000 direct would we have broadly covered and any target for this year?
Saugata Gupta: So, to be honest, while we kicked off SETU sometime around one and a half years ago, but the impact has just started because we were prototyping SETU . I would say that we are seeing the first signs of growth of SETU , and you will see perhaps better, impact of SETU as we go into the second half of the year. There are two parts to it. One is the rural , where we are not only doing direct distribution, but also converting some of our indirect to direct using far more technology and getting contro l of EBITDA ranges. The second part of the SETU is urban , where we will increase our presence in food specialty stores, cosmetic as well as chemists , which we will unfold as we grow. So, this will lead to two things. One , it we will certainly see a GT improvement and GT growth as we move from quarter to quarter. This process, while we said has been around for three years, I would knock off the first six months because we were trying to get the model right. I would say it has been one year and there are two more years to go. Bu t we are quite confident , that what we have achieved in this is two things. One, we believe that the long term sustainable competitive advantage for incumbents or large players in the FMCG sector is strength in GT. GT is not going to vanish overnight . Therefore , while we get short term sales by investing in OT, we have said that it is on our interest to ensure t

hat our distribution system in terms of ROI stability stays continuously in control. We were the first to call about this issue of GT and yes, that's why we started this SETU. And the second thing it will start doing is we will be able to do range selling. Tomorrow , when some of the digital brands hit a certain critical mass, we can create a specialized GT channel for the say the top 10,000 to 15,000 food outlets or the top 5,000 beauty stores or the top 10,000 chemists. So, that's the other thing which we have not even leveraged yet. That will be Phase 2B of SETU.
Harit Kapoor: Got it. The second question was on VAHO, given that the non -Amla brands have grown in double -digit and clearly share has come from those brands, just wanted to get a sense of, who are the players that or which are the type of players that we have been successful in gaining share from? The question essentially is, if you look at it a few yea rs back, you also had certain, D2C - led players in premium space who came in and took up some space there, created certain brands there. So, is some of it coming from there ? As well that as you are expanding your reach, customers coming back to umbrella brands, a little bit more color on that, that's all.
Saugata Gupta: So, I think mere distribution or placing a product does not lead to market share. I am alluding to some D2C brands . And I do not think Nielsen captures them at all. So, whatever share we have got would have come from the large, organized players. So, I do not think there is any concern with respect to D2C players . As I said, I think the biggest gain has come because of our SETU initiative, which is involved in direct distribution availability and weighted distribution .

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098. CIN: L15140MH1988PLC049208.
Email: investor@marico.com
 Secondly , because of the fact that we are now investing behind some of these brands , it is leading to overall brand preference.
Harit Kapoor: Got it. And lastly, in your presentation you did, you had a slide where you spoke about the ■900 Crores to ■2,000 Crores journey for the four brands in the digital space. Is this pertaining to

digital -first brands overall or it's pertaining to these four brands in the journey you see these four brands going over the next three years? Because I just want to know if ther e is an acquisition element to that ■900 Crores to ■2,000 crores also.

Saugata Gupta: No. So, I think as of now it is the f our brand s, but we will be happy to acquire some and ensure that this number is definitely achieved or crossed. What we want to allude to in this chart is the potential TAM expansion for each of these four brands.

Harit Kapoor: Yes, I got that. Great. Thanks. Wish you all the best. Thank you.

Moderator: Thank you. The next question is from the line of Arnab Mitra from Goldman Sachs. Please go ahead.

Arnab Mitra: Hi, congratulations on a great quarter. My first question is again on the digital brand. So, you have given this enhanced aspiration of 2.5x and also margins going up sharply. Your chart shows a significant jump from where you are today to '27. So, now what you have seen in other digital companies sometimes , is that all the things do not happen together. If you try to pull the margin up, it does affect the growth rate at least to some extent. So, what's giving you the confidence that you can do both which is scale up the top line but take up the percentage margins in some of these busines ses?

Saugata Gupta: Okay. I think I covered this last time. There are two cohorts. Beardo and Plix have broken even. In fact, Beardo is close to double -digit EBITDA. Plix has broken even too. They are now on an accelerated growth path , and obviously they will continue to perform, because of cost and scale synergies . So, in order to make them grow at an accelerated pace, I do not need to sacrifice margins . Actually, EBITDA will also increase. As far as Just Herbs and True Elements are concerned, we are okay with moderate growth and get to a path to breakeven within the next 18 months. The biggest one , is that I think we have a unique opportunity for all these brands to have access to the entire Marico cost structure , whether it's procurement, whether it's supply chain. Take for example , digital media buying – we are buying as One Marico , which gives us structural cost advantages that standalone digital brands don’t have. And those are the things we are tapping. For example, in Beardo, when we insourced one or two of the hero SKUs into our own manufacturing system, we straightaway got a 500 bps to 600 bps improvement in gross margin. We are starting that process now.

Pawan Agrawal: Just to add, there are two broad levers. One is, of course, the back -end synergies which Saugata spoke about. And secondly, also with the scale, operating leverage will kick in. Now, businesses are becoming sizable, and therefore, let's say, overheads will get absorbed better , which will give an operating leverage. So, this is giving us the confidence that even operating margin percentage will improve and again we have work to do in Just Herbs and True Elements , which we are expecting to move them to breakeven soon . Therefore , the overall digital cohort will contribute positively.

Arnab Mitra: Just one follow -up on this. I mean so what we have seen again in some of the other digital brands is that this advertising spend which tends to be a really large cost in these businesses they almost become like a variable cost because it's performance marketing which is almost variable. So, are you saying that in your case the way the P&L of these brands look there is actually going to be decent operating leverage on advertising which I assume would be a really large percentage of sales at the early stage when the brand is scaling out?

Saugata Gupta: So, let me give you a construct. As far as advertising is concerned a good digital marketing leads to lower ROAS. Number two , if you look at say D2C part of the business , as long as the AOVs are high and your digital marketing spends are better you actually get a better profitability. The second thing that happens is that we also believe that it's just not about performance marketing but also off -platform spends that needs to also drive , and as I alluded to us as one Marico buyer, off-platfor m spend efficiencies are far better than standalone brands. So, unlike some of the standalone brands we are also getting economies of scale as far as A2S is concerned and as you look at it, it's not that we make super obscene gross margin, Beardo is the fact , anything between ■250 Crores to ■300 Crores level , I can make double -digit EBITDA. It proves that our cost structure can be manageable , and as you know I think it was mentioned in my opening remarks - recently there's a study done by a VC in partnership with a n MBB consulting firm on Insurgent brands . You will notice that not only our brands are high growth , they are also extremely capital efficient.

Arnab Mitra: Got it. And my last question is actually on the copra, that where copra prices today are how much do they have to drop then before you have to start taking price drops what I mean is I mean till where have you priced copra on a broad -based basis. Do you ex pect second half there maybe need to take price hikes given, how much the cycle has gone up even if it comes off let's say 10%,

15% from here you may not need to take price corrections.

Saugata Gupta: So, it all depends on the situation . What we will do is , we will always balance volume and margin. And I think , we now have a broad pricing model which has been developed with around 15 years of data. So, we will not be greedy about margin . At the same time , we believe that usually in the d eflationar y cycle we have been able to increase our margins.

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098. CIN: L15140MH1988PLC049208.
Email: investor@marico.com
 Pawan Agrawal: I just want to call out one thing , Arnab , that our vulnerability towards copra price fluctuations have come down over the years , as we pulled multiple levers of margin expansion that we discussed over the call in the last one or two quarters . For example, Foods gross margin or digital business margins. In fact, driving VAHO growth through mid and premium segment s is also helping us drive up margins with a better mix. In fact, rapid scale -up of the premium portfolio in international business, and the scaling up of smaller business units in international business, all these are additional profit levers . And therefore , our dependence on copra as a lever of profitability has come down , and will keep going down over the next few years. Just to share a number, the dependence on Parachute and Saffola for profits has gone down by approximately 1,000 basis points over the last few years. So, therefore, we are not as vulnerable due to copra and edible oil prices now , as we used to be let's say few years ago.

Saugata Gupta: And I think , if VAHO keeps on growing double -digit, your digital businesses grow , this number will progressively, even this year, become less impactful. So, it's fine. I mean, yes, it's something which has been unprecedented, but it's not giving us sleepless nights.

Arnab Mitra: Understood. Thanks so much. That's it from my side. All the best.

Moderator: Thank you. Ladies and gentlemen, we will take the last question for today, which is from the line of Nitin from Emkay Global. Please go ahead.

Nitin Gupta: Yes, thanks a lot for the opportunity. So, my questions are around copra prices . There is a drop of around 12%. So, based on the previous answer, it seems like we are not going to take any price cut right now and we will look to balance. So, the other two questions are around, there was a solvent extractor in press release which talks about pest attack, hurting yield of copra. So, is there any such concern for this year? And second is around, as import of copra is banned in the country? So, can we import finished goods from Bangladesh?

Pawan Agrawal: No, w e cannot import either copra or oil . We can only import to the extent what we can export. Now, the representation is from the independent industry body. So, again, we do not have such information of pest s etc. damaging the crop in a wide scale manner. Yes, there could be some limited impact. But again, it's an industry body which represent s the industry as a whole.

Saugata Gupta: Just to add that, as I said that the drop has not been major, it's 8% to 9%. It happens in any crop and whatever little visibility we have is, there's no additional concern as we go into the next year.

Nitin Gupta: Yes, this is reassuring. Second, in terms of like the long -term path , we have discussed in the annual report about around doubling revenue by 2030. So, this implies around mid -teens sort of a growth ahead. So, would you be able to highlight how much of the business we are expecting from organic business and inorganic?

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098. CIN: L15140MH1988PLC049208.
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ail: investor@marico.com
 Saugata Gupta: Yes, I think when we talk about a five -year number, it's an aspiration. We now put the building blocks in place to do it. It's very difficult to say inorganic vs. organic. I have never believed inorganic to be a substitute for organic growth. Inorganic is always an accelerator therefore for us, and in today's uncertain world, there always has to be a Plan B and a Plan C. So, I do not see

any inorganic component in that kind of a plan. Given that we have started the year on a good note and have the building blocks in place - diversification, getting VAHO back into double - digit value growth, international business getting into teens, our ability to deliver 14%-15% growth which takes us to that goal is possible. I think this year we have talked about around 25% which accelerates this. And that's why I told in the opening commentary that in order to secure that aspiration, we will try and attempt to hit the first 5000 cr. , I mean to move to 15,000 cr. in two years.

Nitin Gupta: Thank you, sir. Thanks for the opportunity. All the very best.

Moderator: Thank you. As that was the last question for today, I would now like to hand the conference over to the management for closing comments. Thank you and over to you, sir.

Pawan Agrawal: To conclude, we have had an encouraging start to the new fiscal, having delivered robust growth and resilient margins in both India and international business es, despite facing unprecedented levels of input cost pressure s. In India, there are clear signs of gradual pickup in the core portfolios while the new businesses are playing their part in accelerating growth. International business has been a consistent growth driver and we intend to further solidify its double -digit growth trajectory over the medium term. We are fairly confident of maintaining the strong volume and revenue momentum in the quarters ahead, while tapping multiple levers at our disposal to effectively navigate transient inflationary pressures in the immediate term. We will continue to prioritiz e driving a sustainable and profitable growth construct for the medium and long term.

That is it from our side. If you have any further queries, please feel free to reach out to our IR team and they will be happy to address them. Thank you and have a great evening.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Marico Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Thank you.

(This document has been edited to improve readability)

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Sub.: Transcript of the earnings conference call

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, copy of transcript of the earnings conference call held on Friday , November 14, 202 5 on the un-audited financial results and operations of the Company for the quarter and half year ended September 30, 202 5, is enclosed .

The said transcript is also available on the Company's website at https://marico.com/investorspdf/Marico_limited_q2fy26_earnings_call_transcript.pdf .

This is for your information and records.

Thank you.

Yours faithfully,
For Marico Limited

Vinay M A
Company Secretary & Compliance Officer

Encl .: As above

Marico Limited
Q2FY26 Earnings Conference Call

November 14 , 2025

MANAGEMENT : MR. SAUGATA GUPTA – MD & CEO , MARICO LIMITED
MR. PAWAN AGRAWAL – GROUP CFO & CEO -
INTERNATIONAL BUSINESS (REST OF SOUTH ASIA & SE
ASIA), MARICO LIMITED

 Moderator : Ladies and gentlemen, good day and welcome to Mari co Limited's Q2 FY ' 26 Earnings Conference call.

We have with us the senior management of Mari co represented by Mr. Sa ugata Gupta - MD and CEO and Mr. Pawan Agrawal - Group CFO and CEO - International Business.

As a reminder, all participant lines will be in the listen only mode and there will be opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' and then '0' on your touch -tone phone.

Before we get started, I would like to remind you that the Q&A session is for institutional investors and analysts. And therefore, if there is anybody else who is not an institutional investor or analyst , but would like to ask questions, please directly reach out to Mari co's Investor Relations team.

I now hand the conference over to Mr. Sa ugata Gupta. Thank you and over to you, sir.

Saugata Gupta : Hi and good evening to all those who have joined the call. I would like to start with a narrative on the operating environment during the quarter gone by, after which I will touch upon our performance and strategic objectives going forward. We witnessed steady demand trends during the month of July and August before facing transitionary disruption in trade channels due to the implementation of the revised GST rates in the month of September. The recent GST rate rationalization is a positive s tep towards boosting demand and driving sustai nable growth in the branded FMCG sector. About 30% of our India business have benefited from the GST revision. Consistent with the government's objective, we have passed on the benefits of the reduced GST rates to the consumers across relevant categories, either through price cuts or gra mmage increase in price point packs, thereby enhancing product affordability and accessibility.

Further, the ongoing progress of project SETU continue to strengthen our distribution fundamentals with execution across markets. Coverage expansion remains on track underpinned by focused initiatives to deepen presence in upgraded towns and expand outlet reach. Organized trade , special ly quick commerce continue to lead growth for the business. Quick com has nearly doubled on a year -on-year basis. Overall, we are optimistic that easing inflation, supportive policy, transformative GST reforms along with favorable monsoons and a healthy crop outlook will boost disposable incomes and aid consumption across urban and rural markets.

Moving on to the quarterly performance , we have delivered a 7% volume growth in India in spite of the disruptions in September. Our franchises continue d to witness healthy off -take growth with more than 95% of the business gaining or sustaining market share and more than 75% of the business gaining or sustaining penetration. Revenue growth in India business hit

 multi -quarter highs, supplemented by prior pricing actions in core portfolios in response to sharp inflation in key commodities. Revenue growth will remain strong in the second half, even with partial anniversarization of pricing action s in the Parachute and S affola portfolios.

Delving further into the India business, I will now share the performance of our key categories .

Parachute was muted in volume terms in the context of u nprecedented hyperinflation in Copra prices and 60% pricin

g growth year -on-year basis. I have never heard of any master brand or
power brand in the world taking a 60% pricing growth. I think it is something unheard of in large FMCG economies. Obviously, in small countries with hyperinflation, this is a possibility. The brand was flat tish in volume terms after normalizing for ml-age changes. In addition, we also rationed supplies to certain institutional customers to safeguard brand profitability. The brand consolidated its market share, therefore continuing to exhibit remarkable pricing and elasticity.
We expect Parachute to remain steady and revert to growth as pricing and input cost h eadwinds received over the next few quarters. On Copra prices, it has come down actually from 15% from the highs seen in July 25. Current forecasts and our crop estimate outlook suggest that Copra market is likely to settle down over the course of the next few quarters and start coming down March onwards.
Saffola oils were flat tish in volume terms amidst the prevailing elevated pricing environment. We anticipate growth will gradually pick up over the course of the next few quarters as pricing volatility has subsided. The recently launched S affola Cold Pressed Oils range witness ed a positive response on E-com and Q -com platforms. Value -added hai r oils accelerated its growth trajectory. The franchise gain ed 150 bps in value market share on a MAT basis. The mid and premium segment s of the portfolio continued to record double -digit volume growth in this quarter. As you will recall, we have started investing behind that and growing that part of the portfolio. We are confident of maintaining this double -digit growth momentum in the franchise in the quarter ahead on the back of strategic pivots over the last 9 -12 months.
The Food portfolio has crossed Rs. 1,100 crore ARR. Saffola Oats continue to gain market share while the Honey and Soya Chunks continue to scale up well. The new Muesli range is exhibiting green shoots . True E lements and the plant -based Nutraceutical portfolio of Plix maintain their strong growth momentum. During the quarter, True Elements expanded its ready to eat portfolio with the prototyping of protein bars and Overnight Oats. We remain on track to meet our aspirations over the medium term. The immense growth opportunity of Foods and the potential to expand TAM is undeniable and will continue to double down on the same. H aving said that, you would have seen that we have grown 12% this quarter. Let me address upfront the reason for this. I think it is a combination of 4 reasons and therefore we expect food to go back into higher growth trajectory by Q4. There were 4 things : One, as you know now we are lapping up

 the last year of earn-out of True Elements and obviously once we have integrated, we have
adjusted in terms of certain strategy and consolidated the process and focus on profitability instead of just growth. Second, t here is some Flipkart adjustment especially in Plix, in which Flipkart has adjusted accounting where the net reali zation has gone down based on the discounting. Third, t here is also a base of Mayo, Peanut butter and Munchies in the base and lastly, for the next 2 -3 quarters, we are now very focused on improving Plix profitability and mix. We will do these things over the next 2 quarters and we are extremely confident that by Q4, we will get back into higher growth rate on Foods .
Premium Personal Care maintained a strong growth trajectory during the quarter in the serums, male grooming and skincare portfolio. We aim to invest in sustainable growth vectors across the course of the coming quarters. The digital first

portfolio exited the quarter with an ARR of over
Rs. 1,000 crores. We are on track to reach 2.5x of FY '24 ARR in FY '27 in line with our aspiration. We remain sharply focused on profitability and aspire to achieve double digit EBITDA margins in this portfolio by FY '27.
Moving on, the international business maintains its robust performance. Bangladesh showcased its foundational strength and delivered ahead of expectations. Vietnam showed signs of recovery backed by targeted initiatives in the quarter and will continue to grow in the coming quarters at a higher rate. MENA remained on an accelerated growth path on the back of strong growth across core and new franchises. While South Africa had a sluggish H1, we are certain of a visible recovery in the second half.
To sum up, we delivered an encouraging performance in the first half with both the Indian and international business progressing in tandem. We remain focused on executing our strategic priorities for the year and expect to sustain the positive growth momentum across India and

overseas business in the quarters ahead. We will aim to improve India volume growth and maintain robust double digit constant currency momentum in the overseas business in the second half of the year. Supported by pricing growth, we co ntinue to target around 25% consolidated revenue growth this year. Over the last few quarters , we have delivered reasonable EBITDA growth despite unprecedented input cost inflation and continued A&P investments. As margin pressures ease gradually, we aim to deliver double digit EBITDA growth in the second half. We remain confident in our trajectory and expect to make meaningful progress towards the ambition of reaching Rs. 20,000 crores in revenue by 2030. While headwinds and disruptions in the operating en vironment are inevitable, we have consistently focused on embedding resilience across our system's culture and operating model to deliver consistent and predictable outcomes. Beyond the strong equity of our brands, it is the institutionalized resilience in cost management and backend capabilities that has enabled us to sustain EBITDA growth through varying input cost cycles without compromising in brand building investments in each and every quarter since

 the pandemic. And there is something perhaps we are one of the very few companies to achieve this. We have never given any surprise any quarter on EBITDA growth.

Our culture of empowerment encourages teams to experiment, adapt and innovate, fostering agility and ensuring the continuity of our growth flywheel. This is backed up with a strong next gen leadership and capability development plan which has led to a strong, largely internal succession planning pipeline. I had also mention ed that in addition to this resilience and leadership pipeline, our ability to anticipate and call out risks and opportunities in our business ahead of time has ensured consistent top quartile performance in recent times. This is enabled by a leadership mindset which is self -aware and authentic, which encourages us to embrace reality and focus on internal solutions for issues rather than always externalize a problem.

With that, I conclude my remarks. Thank you and we can now take questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question comes from the line of Avi from Macquarie. Please go ahead.

Avi: Yes, hi team. I just had one single question on the GST transition , could you give us a sense on what could be your expectation of the impact and how long do you think it will take for this disruption to reverse?

Saugata Gupta : So, we saw some of this i

mpact flowing into first half of October, but it is now more or less stabilized.

Avi: And the quantum of the impact in your opinion, how much could it be on sales or volume, whichever way?

Saugata Gupta : You can take around 2% during Quarter 2 .

Pawan Agrawal : See in Quarter 2 there was an impact of about 2%. Now , it was l ed by destocking. But typically what we ha ve seen is that once trade has destocked, it is very difficult to sort of bring it back to the old stock level. So, if the question is whether we will see a positive impact of 1% or 2% in Quarter 3 , the answer is not really. But having said that we have given a guidance on the overall volume trajectory, which we definitely expect that could be slightly better than what we delivered in Quarter 2 .

Avi: Got it. Perfect. That is all from my side. I will come back in the queue.

Saugata Gupta : Thank you.

 Moderator : Thank you. The next question is from the line of Abhneesh Roy from Nuvama. Please go ahead.

Abneesh Roy : Thanks. Two questions. First is on the Honey and Soya Chunks , if you could tell us how much is the salience of Kirana in this part of the portfolio ? And if you could talk about profitability, how is the positioning? Are you more of a price warrior or now you are charging almost parity to the market leader in these two segments?

Saugata Gupta : So, we will be a warrior, but not on pricing. We are a challenger. So, if you really look at it, two things we have to do, which is as far as Honey is concerned, we were over indexed in organized trade. And as far as GT is concerned, our weighted distribution was not that great, but there is a significant portion of Honey business that is on GT. We are beginning our initiatives on that. OT relies a lot on pricing and there is a lot of clutter. As far as GT is concerned, the number of players are far lower. And it is the same case in Muesli , also that the number of players in GT are far lower. And usually the leader enjoys a far higher market share . Therefore, the market share pool available for grabbing is far higher. We should have done it a little earlier. But we are now very determined to get our act right on GT in Foods . The profitability of Honey is decent. There is no reason for concern. As I said that on pricing we don't operate on price. As far as Soya is concerned, S oya is primarily a GT initiative. And we are obviously taking steps to ensure that we are not growing aggressively in S oya to ensure we grow profitably. As you are aware, in the last 2 years, we have increased our gross margin in food by 1000 basis points. And we are determined every year to improve that gross margin.

Abneesh Roy : One follow up there, Sa ugata. So, in terms of S oya, why is it primarily GT? Because modern trade e -commerce, quick commerce generally is much easier, low hanging fruit. So, I couldn't understand why more of GT in this?

Saugata Gupta : Soya, the consumer use is basically, during the monsoon, it is used when vegetable prices go up. It is used as a protein substitute. And it is for the mass end. Now, we don't participate in the mock meat and frozen foods, which is growing andit is not yet that critical mass. Also, if you look at the unit price, it is not very high .. Therefore, technically, even if I push OT, it will not be a very profitable because the pricing is pretty muted in terms of the unit price of S oya.

Abneesh Roy : Understood. Second and last question. So, generally, Plix, the growth is quite strong. So, now, you are also mentioning profitability also comes into the picture. So, the reason for that, it is just the phase evolution. If you could talk about competi

tion, how is the competition shaping up? I think HUL's Oziva also, in many of the segments, now they also compete. So, if you could talk about how the competitive intensity is, is that one of the reasons why profitability is coming as a focus area and you spoke on accounting on Flipkart. Normally, this kind of a thing, we have not come across other FMCG compan ies. So, how does your number change because of the accounting, the logic behind that, if you could explain ? And similarly, what is the size of the

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098. CIN: L15140MH1988PLC049208.
Email: investor@marico.com
 True Elements, two new products? So, one is, of course, Overnight Oat’s market size is very nascent. And second, Protein B ars is very competitive. So, what will be your positioning here, given a lot of D2C companies also there here?

Saugata Gupta : As far as Plix is concerned, there are two things. First, we want to significantly improve profitability because it has attained a critical mass and it continues to grow. And the reason is that we have an aspiration of double -digit EBITDA for th e entire digital business. So, what we are doing in the next 2 quarters, while we will continue to aggressively grow the personal care portfolio, in the Food s part of Plix, we are ensuring that we invest in the right channels to improve profitability. And it takes only 2 quarters to handle that. Now , coming to Overnight Oats, it is a category we are creating. It is a big category in developed markets like US, because of the Bircher Muesli , it is a category we are developing, and True Elements is one of the pioneers . As you know, historically Mari co has created the Oats category. It was a plain oats category. Masala Oats is something which Mari co has given and we have had significant success and experience in category development in the Oats category. Now coming to protein, you have to participate in the category. Unlike in other com panies, with protein as the only driver of growth, True E lements has a far more wide spectrum and broader participation. We believe True Elements is the right brand to win and get a share. So, it is more of a participation and getting some share of the category because at the end of the day, if you are a pro -health consumer, I can easily cluster and upsell to that set of consumers. Now coming to Flipkart, Pawan will take this.

Pawan Agrawal : This is more in the context of the digital first brand s. When Sa ugata mentioned in the opening commentary, it does not have any material impact on the Mari co numbers reported because Plix has a significant chunk of business coming in from Foods and therefore it is more of an accounting adjustment where certain part of the expenses is now getting data from the revenue.

On a like -to-like basis, there is some impact on the reporting of Foods . But if I were to just extrapolate this to overall company level, there is no significant impact.
Abneesh Roy : And this would be impacting other brands on Flipkart also, is it specific to you?
Pawan Agrawal : It is for the brands that have a B2C arrangement with Flipkart and for us it is largely on account of Plix. Nothing to do with Mari co set of brands and nothing to do with even some of the other digital brands that we have.
Abneesh Roy : Understood. That is all from my side. Thanks a lot.
Saugata Gupta : Thank you.
Moderator : Thank you. The next question is from the line of Mihir Shah from Nomura. Please go ahead.

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098. CIN: L15140MH1988PLC049208.
Email: investor@marico.com
 Mihir Shah :

Hi, sir. Thank you for taking my question. Looking Q2 FY 26, and just taking a context leap from FY25, despite significant gross margin pressure, you have particularly struck up your ad spends. How should one think about ad spends going forward in FY '27? And is there a threshold of margin that you want to work with on the gross and EBITDA level that we should keep in mind?
Saugata Gupta : So, if you really look at it, our objective is to ensure that we continue to maximize growth and volume share while operating with in threshold level of margins. What I see in FY '27 is the following, in terms of the raw material costs coming down, there will be an opportunity to get back some of the margins. Also, a s you know that we started investing in the premium part of VAHO , we continue to invest behind the diversification and the premiumization. So, therefore, there will be margin improvem ent. But as I said that o ur main focus is also to ensure superior and top quartile volume growth as get into FY27. We also expect improvement in Parachute volume growth. As you know that Parachute , some part of the volume dip has also happened because of two things. One, we could not supply to some of the institutional channels , which we took because of the profitability and number two is the ml-age drops. So, I believe there will be higher volume growth opportunities in Parachute . And we will continue to invest. There could be slight increase in A &P maybe, but the more important part of it is that we are extremely confident of the bottom -line growth once the input costs start s coming down . Whil e for commodi ties, nobody can predict, but as far as we are concerned, given the outlook, given the crop, given the demand supply situation, we expect Copra to definitely come down by March. Therefore, next year one of the things which we had alluded to in the earlier call , in the previous quarter is that one needs to look at a double dig it profitability growth over a 2 -year CAGR basis which we are pretty confident about.
Pawan Agrawal : And if I may just add, I would just want to mention that gross margins definitely have bottomed out and as we move ahead, we only improve from here. And as far as A &P spend is concerned, we are very confident we will continue to spend in double digits growth in A &P. And we ha ve also seen in the past that in any inflationary period followed by deflationary year, we have been able to increase our operating margin by 250 basis points. So, depending on where we end at this year, we are confident that next year , operating margin will definitely see an improvement of at least 200 basis points.
Mihir Shah : Got it, very clear , Saugata , thank you for that. Second question is on project SETU , again, looking beyond FY '26, what is the kind of benefit that this should continue over FY27 and how should one look into any tangible targets that you can share on project SETU and the benefit of that?
Saugata Gupta : Yes, so it is very difficult to allocate a growth, but I will give you what are the things we have done. The first benefit of Project SETU , as you know, that usually a wholesale dependency

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098. CIN: L15140MH1988PLC049208.
Email: investor@marico.com
 means that they deal only with high velocity power brands. So, in most of the South and West,
they dealt with Parachute , in the North and in the East, they dealt with Nihar and in the North

and some parts of the West, they dealt with Shanti Amla. Project SETU has enabled range selling, which has directly contributed to a significant improvement in the trajectory of VAHO growth. We are extremely confident that this momentum will continue. Importantly, the growth we are witnessing is in the high

-marg in segment of VAHO, as Shanti Amla is relatively low er
margin while the rest of the portfolio is high -margin. This has also allowed us to avoid engaging in BTL or trade spend fight towards protecting Shanti Amla's price point . So, that operating leverage and the luxury of choice we now have is thanks to SETU. The second part of SETU, which is now going to happen, is while there are markets where Parachute is dominant —how do we grow other markets and diversify the business, especially within the South. The third opportunity we will tap is the gap between Parachute's rural market share and urban market share . We want to bridge that gap. The fourth part of SETU we will now see is the urban aspect, where we are under -indexed in food, chemist, and cosmetic outlets. I mentioned that in categories like Honey and Muesli, there is an opportunity to grab market share because the number of players is far lower in GT. Secondly, in chemist and cosmetic channels, this will also give us an opportunity to some of ou r digital brands in GT —whether in chemist, cosmetic, or food outlets. That will be the last phase of SETU. Ultimately, SETU will first reduce the gap between direct and indirect coverage, and secondly, it will help in diversification, range selling, and fa r more automation. Another important outcome is that we are controlling resource allocation —a lot of below -the-line spend that was wasted will now be converted to above -the-line over the next 2 –3 years, which will also help drive off take-based growth.

Mihir Shah : Got it. Thank you, Saugata for the detailed answer. I think the momentum that we are seeing should continue and that is the confidence I was looking for. Wishing you all the very best.

Moderator : Thank you. Our next question comes from the line of Hari t Kapoor from Investec. Please go ahead.

Harit Kapoor : Yes, hi team. Good evening. Just two questions of mine. If you could just explain the Copra price coming down by about 15%. How does the market competitive activity work? Is it that you need to make some price divisions, ml-age divisions or given that you are not passed on the full impact, you don't need to make any changes there ? How does the Copra price movement at this price, how does it impact the market activity for you in terms of ml-age and price? That is my first question?

Saugata Gupta : So, at this current level, I don't see any reason for pricing action. We are very comfortable.

Harit Kapoor : So, the way to think about it is that this recent fall actually just plays out in terms of a slightly better margin profile going forward. That is the way to think about it?

 Saugata Gupta : Yes. So, that is why we have indicated that we are a little more confident of trying to deliver
double -digit EBITDA growth in the second half.

Harit Kapoor : Got it. And the second question was on the LUP bit, you mentioned that there have been some grammage increases as well. So, what part of the portfolio, what percentage mix of the por tfolio have you seen these grammage increases if you could just highlight , sir?

Saugata Gupta : Let me just clarify. In Parachute , because of inflation, we have taken ml-age drop.

Harit Kapoor : I was asking more from a GST perspective ?

Saugata Gupta : Yes, Shanti Amla, that is some part of the portfolio. That is very marginal, because as I said that we only operate in LUP mostly in Shanti Amla.

Pawan Agrawal : So, that was in the context of value -add hair oil, where on the price point, we could not reduce the prices and therefore we had increased corresponding ml-ages in those price point packs. And as Saugat a mentioned that it is largely in Sha

nti Amla, other part of the VAHO does not have
any significant contribution coming in from price point packs .

Harit Kapoor : Got it. And last thing on VAHO was this quarter obviously has been amongst the highest growths that we have seen in recent times and you mentioned a lot of initiatives. You also had a fairly favorable base this time around where we had very sharp reductions in the base. So, I just wanted to get a sense of how much of this is base led and your confidence on continuing to maintain may not be this level of trajectory, but at least a double digit growth trajectory. Is that something which you are fairly confident about?

Saugata Gupta : Let me give you some piece of statistics. The 2-year CAGR minus Shanti Amla, because as I

said that we are defocused by LUP of Shan ti Amla, the value is around 9%. And if you take this
year also, the volume for the premium part which is the non -Shanti Amla portfolio , is in double
digits. So, we are extremely confident of continuing to d elivering teen's growth in VAHO .
Harit Kapoor : Fantastic, those were my que stions, Thank you . Wish you all the best .
Saugata Gupta : Just to add that the very fact that we are focusing on the premium part of it, which also has long -term margins.
Harit Kapoor : Thank you very much.
Moderator : Thank you. The next question is on the line of Anand Shah from A xis Capital. Please go ahead.
 Anand Shah : Yes, hi, thanks for the opportunity. So, a few questions. Firstly, on the digital first portfolio, you
already sort of are seeming to be clocking much higher than your aspiration. So, as per my math,
you already probably would be in that Rs. 1,000 crore s ballpark this year itself. So, any chance
sort of, I think you already upgrade the ARR guidance to that extent, but any chance there you
will surpass and which parts of the por tfolio are firing here mostly? C an you give some
granularity?
Saugata Gupta : We are getting significant growth in Beardo and Plix. And as you know, Beardo is around in the
region of a double -digit EBITDA . Plix has already broken even and over the next 2-3 quarters
we will focus on significantly increasing the EBITDA percentage in Plix so that we are on our
way to our 10% target in 2027. True Elements has been undergoing the integration. As you
know, we got 100% som etime in September. And therefore, our first task is to ensure that we
integrate it well and also start our journey towards break even. And as we said in the last call
also, our focus on Just Herbs and True E lements is first to get the m to break even. And I am
okay with the moderate growth. But we are most happy to accelerate the personal care part of
Plix. We are working towards improvement in the profitability of the other part of Plix and also
driving personal care . But more importantly, we have started the process of synergies of the
digital brands, cost synergies to drive profitability, including common sourcing, common
logistics, common system, common media buying, digital media buying and that is a huge
because we believe that while we are capable of growing at a faster pace, it is equally important
to focus on the profitability. And once we get the profitability, we push the pedal and accelerate
rather than just keep pushing the pedal.
Anand Shah : Got it. Perfect. On the margin side, would it be fair to say you will already, maybe by 20 26, be
in the low to mid -single digit in terms of margins for the digital first portfolio?
Pawan Agrawal : Overall, put together, we may not be able to give you an exact number as to where we will be.
But as Sa ugata mentioned, in Beardo, we have moved to double digits. In the ne

xt 2 quarters,
we are hoping that Plix will move to mid to high single digits. We have a job to do in True
Elements and Just Herbs . And Sa ugata also mentioned that in True Elements also, our focus has
been to sort of improve the profitability because we have taken this from the promoters in the
first year. So, we continue to stand by with our guidance of a double digit operating margin for
the next year, where we feel that we should be able to reach that mark by end of next year.
Anand Shah : Wonderful. And one clarification, True elements would be clubbe d in your Foods reporting.
That is correct, right?
Pawan Agrawal : Yes, that is true. And also the food part of Plix also gets reported in the food.
 Anand Shah : In the food spot, yes. Got it. And second, you did indicate that you were sort of from inflation
to deflation, eventually, you see 200 b ps kind of an expansion on average, which has be en
historical band as well, 200 -250 b ps. So, if Copra is just in this price, as if it is today, and let us
say it doesn't correct, then would that still hold up?

Pawan Agrawal : So, see, as far as Copra is concerned, we believe that it will remain range bound over the next 2-3 months. And then when the flushing comes in the month of March, we will see some meaningful correction. So definitely, we don't expect the Copra price is projected to continue at this level . Of course, it has already come off from the peaks by about 15%. And after 3-4 months, we definitely believe that it will come down further .
Saugata Gupta : Just to answer your question, in the second half, you will get obviously, even if it is at 15% reduction from the peak, there will be flow through to some margin .
Anand Shah : Yes, as so you guys did that double -digit EBITDA growth in second half, essentially?
Saugata Gupta : Yes.
Anand Shah : Got it. And in Foods , it seems you focus a little bit in the interim as you get a bit more in co st correction and profitability to that sense. So, you were looking at sort of 8x in FY '27. So, would that still hold up? Because it seems a little bit under shoo ting on the Foods revenue target?
Saugata Gupta : No, we are just doing for 2 quarters, which I said that we are getting some of the things right. Because if you notice, it is important to grow , stabilize, get the profit, then grow. That is how we do it - a step jump, step jump. So, it is these 2 quarters we would call it a little bit of a pause. As I said, in Q4 things will be back on track. And some of it , when Pawan alluded to is that of Flipkart adjustment and all those in the base. So, it is a 2 quarter s issue.
Pawan Agrawal : And to clarify when Saugata says pause, pause means at least double -digit growth.
Saugata Gupta : Yes. So, our standards of pause is slightly different.
Anand Shah : Got it. Wonderful. And very last, if I may any indication on the margins you can share in Foods , either on gross and EBITDA or if it is a differential you want to share ?
Pawan Agrawal : Discussing the earlier call, it is a function of what scale we reach for each of the sub portfolio . For example, Masala Oats makes company level operating margin. So, as and when these businesses will reach a certain scale, we are confident it definitely has the potential to reach up to a company operating margin level. But there is a bit of time before we reach there. But what we always ensure is that whenever we get into Foods , or we equally get into some of the personal
 care, the weighted average gross margin is better than what we have at a portfolio level .
Therefore, it is something that is complete ly sacrosanct. And that drives our entire new product innovation process, as well as any acquisition that we do.
Saugata Gupta : So, one shift we have done in Foods after our learning after we have tried things is we are going to follow the policy of fewer, bigger, better and relevant.
Anand Shah : Wonderful. Thanks and best of luck. Thanks a lot.
Saugata Gupta : Thank you.
Moderator : Thank you. The next question is from the line of Amit Sachdeva from UBS. Please go ahead.
Amit Sachdeva : Hi, good evening. And thank you for taking my question. Thank you. So, my question is on VAHO and VAHO clearly , the trajectory has changed. And it is sustaining and I think good to note that the higher margin part of VAHO is growing. So, Saugata, what I would like to understand is that can you give us a bit of a deep dive into how this change is happening? And is there a channel cut to it? And is there a brand cut to it? Clearly, if you could give us some sort of salience that is an MT GT or e-com, what sort of major transition has come and is sustaining? And then how to, is this now margin enhancing and is the marg in at VAHO level are better than company level margins or at least reaching there? How do we think about this portfolio growing at this rate? And what is the impact on margin for overall company?
Saugata Gupta : The margin at VAHO level is higher than the company level margins, significantly higher and especially the things we are focusing in. So, therefore, it is a wish . Basically , what we are doing is a virtuous cycle of growth. Now , coming to what we exactly did in the past 2 years before we re-pivoted our strategy, it was a road to nowhere, which I call it where we went into a trade spending fight to win the sector and because of competitive action where ATL was withdrawn and put into BTL , we perhaps went into the trap or temporary trap. I believe that for a category to grow, you must invest behind premiumization, you must invest behind brand building and you must invest behind driving consumer penetration, instead of just putting money be hind trade. So, we just did a re -pivoting where we said, we are okay to lose share at the bottom of pyramid because that share is sometimes channel filling, which we don't want to do. But focus on the higher part of the pyramid and drive premiumization. For example, one part of the premiumization is we have b rought some of our Middle East franchises with a focus on modern

trade and E-commerce . And also, there are some large brands like Hair & Care, PA Jasmine, Aloe, Nihar Perfumed Hair Oil which we are focusing on . All of the se are significantly higher margin. And with invest ment behind ATL and brand building , we expect to significantly gain share. If you look at it, we have gained 150 bps value share. We will continue to gain value

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 share . So, therefore, our entire KPIs in V AHO today's value growth, value share and gross margin.

Amit Sachdeva : Got it. That is very helpful, Sa ugata . Can you give us a little bit of channel touch to it? What is GT, MT and E -com for this VAHO portfolio?

Saugata Gupta : It has been a broad based growth. As I said, SETU has driven V AHO growth and our investment beyond premiumizat ion is giving us growth in OT .

Amit Sachdeva : Great. Now , thanks so much for this. And could you give us the oat s growth this quarter thing, food and within food, the oat s part of the portfolio, ho w it has grown?

Pawan Agrawal : The Organic Saffola Foods ex of some of the discontinued products in the base has grown by about 8%.

Amit Sachdeva : Perfect. Thank you, Pa wan. Thanks so much for taking my questions.

Moderator : Thank you. The next question is from the line of Percy Pant haki from IIFL Securities. Please go ahead.

Percy Panthaki : Hi, Sa ugata. Can you just give your estimate? Of course, there will be Nielsen figures, but I would value your estimate more. What is the industry growth of the V AHO sort of industry right now?

Saugata Gupta : If I have grown say 16% and gained share, you can derive a number. So, it should be in double digits, a little bit, entering double digits definitely in value.

Percy Panthaki : So, what really has changed here, because over the last 5 years, VAHO as an industry has been a very slow growing industry. And now it has come to a 10% growth at industry level, we have not seen any major recovery in macro consumption across many of the FMCG segments. In the past, we have held that VAHO will grow sort of or slow down whatever in line with the personal care industry. It is clearly sort of the growth or slow down at least right now seems to be divorced from the personal care industry?

Saugata Gupta : Two things I would say. Firstly, at a macro level, starting with us, and at least one more player is doing fundamentally the right things in terms of investing behind growth. Secondly, as you know, the category was under indexed in the OT. And we are doing a lot of category management work in OT to drive the saliency of the category , which is leading to premiumization. Fundamentally category building and premiumization work is happening. We

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 had earlier perhaps defocused for 18 months when we started getting too focused on LUPs. And this pivot is leading to this category growth.

Percy Panthaki : Understood. Also, how do we see the Foods and the digital brands business over a medium term, let us say, 3 -4 year kind of period, what kind of CAGR growth target and what kind of margin targets 3-4 years down the line would be something that you would consider reasonable ?

Saugata Gupta : Firstly, on food, some of the scaled -up businesses should get into a company EBITDA in the next 3-4 years. Our first milestone for digital business is to get into the 10% EBITDA and then sequentially move forward. The growth momentum we have indicated already as far as food is concerned to 8x of FY20 and digital first brands to 2.5 x, for FY '27. At the end of the day, as far as digital is concerned, we wi ll continue to ensure that we look at some inorganic opportunities also over the next 2-3 years.

Percy Panthaki : That is all from me. Thanks and all the best .

Moderator : Thank you. Our next question is from the line of Nihal Mahesh Jham from HSBC. Please go ahead.
Nihal Mahesh Jham : The question from my side, when you mentioned about the food part about Munchies and Peanut Butter, is it that these products have been discontinued just that the growth of this part of the portfolio was muted, which led to the overall slowdown?
Saugata Gupta : No, w e have mostly discontinued it because, see, again, as I said that we talked about fewer, bigger, better, and anything which is not a significant opportunity, one of biggest learning has been that if you want to participate in food, scale and profitability goes hand in hand. So, therefore anything which you can't really make it big, let us not do niche things. We have Plix and True Elements, two brands to actually experiment with niche things and Sa ffola will actually drive scale. Because if I have to do Peanut Butter, I can do with T

rue Elements. I don't have to do it with Sa ffola.
Nihal Mahesh Jham : Understood. My second question was, I just want to clarify, when you mentioned about double digit margin, this is for the entire Foods and digital business by FY '27, right? It is not specifically for the digital part of the business?
Saugata Gupta : Digital brands. We talked about digital brands.
Nihal Mahesh Jham : Including the oats and the core Sa ffola part of the portfolio?
Saugata Gupta : No. There are 4 digital brands, which is Plix, Beardo, True Elements and Just Herbs .

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 Nihal Mahesh Jham : Understood that. Final question was in the Plix part of it. Now , obviously as a brand, the proposition of the Foods part is very clear with the hero SKUs like apple cider vinegar and the proposition on weight management. It is obviously great to see that even the personal care part of the portfolio is sort of an equal contributor to growth. So, especially want to understand which are the hero SKUs or segments specifically for the personal care part of Plix and maybe if there is a proposit ion there that you may just want to highlight, which may be not something we may be aware of?
Saugata Gupta : So, the proposition , if you look at trends in Western countries, is about hair and skin food. So, whatever is good for you and how do you transfer that into personal care . The concept is about plant -based hair and skin food. So, it is science based with nature. For example, you have watermelon, pineapple, guava and rosemary. Basically , that is the concept and then getting into hair and skin categories and combined with science because obviously the actives are science. So, that is the proposition. So, it still is plant based . And what we are talking about is that whatever you consume , can be hair and skin food, which are essentially problem solving or enhanc ing. Each of the products has a strong functionality .
Nihal Mahesh Jham : And just one quick follow up, you expect the mix in Plix of personal care and Foods also sort of remain similar ballpark figure?
Saugata Gupta : So, we are deliberately dri ving a higher personal care because that will ensure profitability and that will also drive traction of growth . At the end of the day, as far as Nutraceutical is concerned over the next couple of years, we will also look at some of the other platforms or Nutraceuticals. As you know that any Nutraceutical brand can extend into 5 or 6 areas, which is basically weight management, heart health, gut health, bone health, sleep, stress, and diabetes. So, technically, as a good thing about Plix is that the brand name doesn't stand for any particular problem , therefore we can extend it. The potential of Plix is infinite relative to any digital brand , given its presence in both Personal Care and Nutraceuticals , it has one of the highest TAMs a digital brand can have.
Nihal Mahesh Jham : Understood. That is very close of it all. Thank you.
Moderator : Thank you. Our next que stion comes from the line of J aykumar Doshi from Kotak. Please go ahead.
Jaykumar Doshi : Hi, thanks for the opportunity. Actually, continuing on the earlier question on Plix, could you give us some color in terms of what are your top 5 hero products? What is the contribution of these products to overall sales of Plix? And over the past 2 years it has done phenomenally well. So, are your Hero products continuing to grow at the same pace at the overall brand growth? Or is it also driven by a long tail of new introductions product that you may have added? Any color

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Marico Information classification: Official you can share on repeat of f-takes? And what does the channel mix look like today? I think it is
predominantly still online. And how do you see some of these things change over the next 1 or
2 years as it scales up to maybe Rs. 1,000 crores or close to Rs. 1,000 crores topl ine. So, whatever
you can share on Plix, our understanding is fairly limited of this space as well as Plix. So, it will
help. That is it. Thank you?
Saugata Gupta : In a lighter vein, I must say you are asking me due diligence questions almost , even more than
a pitch document. So, let me just give you a broad strategic flavor to this. Plix has participants
in Nutraceuticals where the hero product is ACV. Having said that, we are also looking at value -
addition in that space. And there are flavors . There is no sugar variety. One of the biggest things
we have done in Plix is staying two things, having hero SKUs contributing significantly and not
growing with just mindless innovation, which I call spray and pray. Secondly, there is a
significantly strong profitable D2C business and a marketplace. So, it is very limited brick and
mortar p lay, but primarily digital play. Having said that there are opportunities. Like for
example, we have specific SKUs like there is a coconut powder, there is a Rs. 75 smaller ACV,
which is there, which we are experimenting with. As far as the personal care is concerned, we
have both hair and skin products like hair growth, we are present in some of the skin products.
Our effort is focused on ensuring that, for a successful digital business, hero SKUs contribute at
least 50 –60% of sales and in our case, the contribution is even higher. Secondly, these SKUs
must continue to deliver strong organic growth, as this is critical for sustainable and profitable
brand growth. Broadly, that is the approach. Recently, we have also increased our focus on
personal care. Plix has an international presence and is already available in the US, which is
another area we are working to grow. Our initial results, especially in the Middle East like UAE,
have been extremely encouraging.
Jaykumar Doshi : That is helpful. T hank you. One more s uffice question , if you were to sort of , if you were to
assume that Parachute was at normalized margins today, what would be your company level
consolidated EBITDA margin in first half, or to put it the other way, what is the impact on
percentage margins that Parachute has had in the first half of this year?
Pawan Agrawal : A very large part of the margin erosion is because of Parachute margin compression. To work
out backward numbers, you don't want to get into all of that, we can only suggest that, as we
have already mentioned earlier, in the second half, we can expect double digit profit growth . It
is difficult to give a guidance, because a lot of moving parts in terms of how the commodity cost
will move, what impact will the pricing have. So, in the second half, we expect double -digit
profit growth at EBITDA level. And next year, of course, we would be targeting much higher,
because we expect the prices to go do wn. And therefore, we ha ve seen in the past as well that in
deflationary years, we make up for the lost margin in the previous year.

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Marico Information classification: Official Jaykumar Doshi : I was trying to understand you have made significant progress in Foods , and you intend to make
progress in Plix on profitability. So, if and when Parachute gets back to normalized margins, is
there a possibility that your percentage margin band would actually be hi

gher than where you
were 2 years , 3 years back, given this portfolio margin improvement sort of is also helping? Or
you will just get back to the earlier band?
Pawan Agrawal : Fairly possible. And again, we have discussed this earlier as well, that there are margin
improvement levers that are in place. Just if you ask me for next 2-3 years ' perspective, of course,
it can go beyond our peak that we have delivered in the past.
Jaykumar Doshi : Perfect. Thank you so much.
Saugata Gupta : But the immediate focus next year is to do the catch up so that over a 2-year CAGR , it is
comfortable double digits. And number two is continue to focus on volume growth , which is
equally important. The fact that how do you maintain top quartile volume growth .

Jaykumar Doshi : Thank you very much.
Moderator : Thank you. Ladies and g entlemen, we will take that as the last question. I would now like to hand the conference over to the management for closing comments. Over to you, gentlemen.
Pawan Agrawal : Thanks for listening in on the call. To conclude, our performance has kept us well poised to advance on our key strategic priorities. Volume growth in India was well ahead of the sector despite elevated pricing and transitory impact of the GST reform. We continue to channel our efforts towards our diversification agenda and remain committed to consistent brand building investments. The international business has visibly accelerated its growth momentum and expected to maintain the same. Going ahead, we a re fairly confident of delivering top quartile volume growth in India business. And with early signs of easing cost headwind s, we will strive to deliver improved profit growth as well. That is it from our side. If you have any further queries, please feel free to reach out to our IR team and they will be happy to assist. Thank you and have a great evening.
Moderator : Thank you. On behalf of Mari co Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

(This document has been edited to improve readability)

Call: Jan 2026

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1st Floor, Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001
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Bandra Kurla Complex, Bandra (East),
Mumbai – 400051
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Sub.: Transcript of the earnings conference call

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, copy of transcript of the earnings conference call held on Tuesday , January 27 , 202 6 on the un-audited financial results and operations of the Company for the quarter and nine months ended December 31, 202 5, is enclosed .

The said transcript is also available on the Company's website at https://marico.com/investorspdf/Marico_Limited_Q3FY26_Earnings_Call_Transcript.pdf .

This is for your information and records.

Thank you.

Yours faithfully,
For Marico Limited

Vinay M A
Company Secretary & Compliance Officer

Encl .: As above

"Marico Limited
Q3FY26 Earnings Conference Call"

January 27, 2026

MANAGEMENT : MR. SAUGATA GUPTA – MD & CEO , MARICO LIMITED
MR. PAWAN AGRAWAL – GROUP CFO & CEO -
INTERNATIONAL BUSINESS (REST OF SOUTH ASIA & SE
ASIA) , MARICO LIMITED

 Moderator: Ladies and gentlemen , good day and welcome to Marico Limited's Q 3 FY26 Earnings
Conference call.
We have with us the Senior Management of Marico represented by Mr. Saugata Gupta - MD and CEO and Mr. Pawan Agrawal - Group CFO and CEO - International Business.
As a reminder, all participant lines will be in the listen -only mode , and there will be opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' and then '0' on your touch -tone phone. Please note that this conference is being recorded.
Before we get started, I would like to remind you that the Q&A session is only for institutional investors and analysts. And therefore, if anybody else who is not an institutional investor or analyst, but would like to ask questions, please directly reach out to Marico's Investor Relations team.
I now hand the conference over to Mr. Saugata Gupta. Thank you , and over to you, sir.
Saugata Gupta: Hi. Good evening to all those who have joined the call . I would like to begin with a brief overview of the operating environment during the quarter, after which I will take you through our performance and strategic objectives going forward.
Our demand conditions during the quarter remained stable. We continued to see the building blocks for a gradual recovery in consumption, supported by moderating inflation, improved affordability following the recent GST rate rationalization, which has been transformative, higher MSPs, and a healthy crop sowing season. We believe these factors provide a constructive backdrop for demand improvement across both urban and rural markets in the coming quarters.
Moving on to our quarterly performance , the India business demonstrated a sequential improvement in volume growth despite an elevated pricing environment, which started tapering off towards the end of the quarter. Revenue momentum remained strong, aided by calibrated pricing actions across core portfolios over the last 12 months in response to the rise in input costs. Our franchises have continued to record strong offtakes, with more than 95% of the business gaining or sustaining market share and about 80% gaining or sustaining penetration on a MAT basis. Among channels, while e -commerce and quick commerce were leading growth drivers, we saw a clear improvement in traditional trade, marking the outcome of consistent investments and targeted actions over the last 2 years. Project SETU has continued to strengthen our distribution fundamentals, execution capabilities, and the coverage expansion remains firmly on track, led by deeper presence in upgraded towns and pan -India rural scale -up. We will now commence our initiatives on targeted expansion in urban channels, such as chemist, cosmetic, and specialty food outlets. These actions are enhancing our direct reach, improving product

 assortment and availability in rural, and will subsequently accelerate our premiumization and
diversification agenda in general trade in the top towns.
Delving deeper into the India business, I will now share the performance of our key categories .
Parachute continue d to demonstrate inherent brand strength despite prevailing consumer prices, underlying volume growth after adjusting for ml-age reduction remained positive, demonstrating remarkable price elasticity and deep consumer tru

st and loyalty. With correction having set in
and copra prices down by around 25% to 30% from peak levels, the brand will be passing on the benefit to the consumer in the coming months, as and when we believe it is the right time to do it. While we expect near -term performance to remain stable, easing absolute consumer prices will support a gradual recovery in volume growth over the course of the next year.

Value -added hair oils delivered another strong quarter with accelerated market share gains. Our value share on MAT basis stands at an all -time high of nearly 30%, showing considerable progress towards premiumization of the mix and bridging the gap between volume and value share, along with our intended lines and long -term aspirations. We remain confident of sustaining a double -digit growth trajectory in the near -to-medium term, supported by sharp strategic focus on the mid and premium segments, consistent innovation across channels, enhanced direct reach through Project SETU, and structural tailwinds from the recent GST rate rationalization, which has driven affordability.

Saffola Edible Oil had a soft quarter in a relatively elevated pricing environment, with revenue growth moderating as prior pricing actions largely anniversarized in this quarter. Like in the previous quarter, we have sacrificed volumes which are below our threshold margins across certain packs and channels. Going forward, the brand will continue to sharpen its premiumization agenda, led by Saffola Gold and Total variants, and the recently introduced Cold Pressed Oils , which is doing quite well. Backed by strong equity and focused consumer activations, we expect Saffola to chart an improving volume growth trajectory in the coming quarters.

The Foods portfolio performed broadly in line with the stated expectations, as we had talked about in the last call, that we will take a pause on our growth as we rectify some of the portfolio which is not delivering high on profitability. So , Saffola Oats continued to gain market share and consolidate market leadership. As we had conveyed earlier, with the portfolio rapidly scaling up to ARR of INR 1,000 crore, our focus has been on stabilization and strengthening profitability towards building a sustainable, profitable growth engine. We remain very bullish on value -added foods and nutra opportunity in India, and our strategy to invest in fewer, bigger, better plays in terms of our portfolio approach. That being said, we are confident of resuming the accelerated growth trajectory in our organic food business over the next two quarters.

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 We also announced the strategic investment in one of India's leading premium gourmet snacking
brands, 4700BC. This is renowned for its popcorn and also offers a range of innovative snack offerings such as popped chips , makhana , crunchy corn , and a recently launched nachos with avocado oil. We woul d like to share our perspective on this investment . When you look at our Foods portfolio today, among Saffola, which stands for healthy foods, playing in the mass -stage segment, True Elements, which stands for the clean label, premium breakfast cereals, nuts and seeds, and snacking segment, and Plix, which does nutraceuticals, there was a gap in our portfolio of our premium gourmet snack, which is better for you and can d eliver a mix of offerings for all occasions. I am particularly excited about how the better -for-you gourmet snacking brands are becoming a choice for the consumer, who want taste and differentiated flavors as a part of their routine. We believe 4700BC is an underleveraged and an underinvested brand that can, if afforded the required investment and ou

r overall capabilities, including cost,
channel, GTM, and with a strong new product pipeline ahead, it will continue to push boundaries in the premium gourmet snacking arena. Together, we will tap the opportunity to leverage our existing scale in foods and drive synergies and broaden the brand's presence across channels. It is clocking at about INR 140 crores ARR in the last three months . We see tremendous potential for the brand to scale its ARR to 3x in the next three years.

In Premium Personal Care , the portfolio comprising Serums, Male Grooming , and Skincare grew in double digits and is expected to exit the year at an ARR of INR 350+ crores. In addition, the Digital -First portfolio is expected to exit FY '26 with an ARR of INR +1,000 crores. We are on track to reach 2.5x of FY '24 ARR next year, and we are making concerted efforts to move to double -digit EBITDA margin in the Digital -First portfolio by end of FY '27.

Moving on, the international business continued to deliver robust and broad -based growth. Bangladesh led from the front, supported by a steady core business and a scale -up of new franchises like shampoos. Vietnam and South Africa bounced back to deliver do uble-digit constant currency growth, driven by targeted initiatives. MENA continued to deliver strong performance in key franchises across both the Gulf region and Egypt . The NCD business also

delivered accelerated growth. Overall, the international business is now exhibiting a virtuous growth flywheel, and we expect this momentum to sustain across markets over the medium term.
To sum up , we delivered a strong and resilient performance in Q3, with both the India and international businesses progressing well in a steady operating environment. We will remain sharply focused on execution, strengthening our franchises and driving sustainable volume -led growth. In India, we expect to drive improved trajectory in the core portfolio while driving the profitable scale -up of foods and digital -first businesses. We aim to sustain the volume growth momentum even as pricing growth is likely to moderate over the course of the next few quarters . With input cost easing and margin pressure subsiding , we expect progressive improvement in operating profit growth rates over the coming quarters.

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 As we look ahead, we are moving from stability to purposeful acceleration, leveraging a resilient operating model and a disciplined cost architecture. Our priorities are clear: sharp portfolio choices, enabling faster decision -making and driving agile exec ution. Importantly, our agility has enabled us to take targeted initiatives and successfully turn around portfolios within just a few quarters. This is exhibited by the turnaround of VAHO in India and more recently, the quick recovery in Vietnam and South Africa businesses. What gives us confidence as we move forward is that this acceleration is grounded in strong fundamentals and a high degree of accountability in the senior management. This balance of resilience and execution discipline, coupled with the tremendous leadersh ip depth which we have developed over the past few years, has well - positioned us to sustain momentum and further accelerate the growth flywheel we have built.
With that, I conclude my remarks. Thank you . And we can now take some questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question comes from the line of Abneesh Roy from Nuvama. Please go ahead.
Abneesh Roy: My first question is on the new acquisition. So, my questions here are, if you want to take it 3x in three years, if you could talk about what all are needed apart from the brand support. So , in terms of distribution, for example, where is the company now? For example, INR 140 crore ARR , how much is coming from which kind of distribution channel ? And where do you see the delta? Second is from a pricing , obviously , this is gourmet, so it is premium. Would you plan to have some kind of a offering, which also appeals to the smaller box GT? I do understand the larger box GT will have an audience, but the small box GT, is there a pricing or positioning which is possible? And if you could also talk about profitability. I do understand initially investment will be needed, and it is unfair to look at first -year profitability for a brand which anyway may not be making profit. But from a three -year perspective, what will be the expectation on the pr ofitability?
Saugata Gupta: First of all, I would urge you to look at two interesting brands globally, which started off with popcorn and have diversified and become reasonably blockbuster brands. One is called Lesser Evil in the U.S., and the other brand is called Proper, which is a UK -based brand. And I am sure we will follow their trajectories and get inspired from these brands. And there is another big trend in the U.S., there is a brand called SkinnyPop , which is growing, again, which is a popcorn and better -for-you brand. Now, that will give you an idea of what is possible in terms of the portfolio. Now, if I look at the overall, broad sense of the portfolio of 4700BC, PVR Cinemas is very low. It is just about double digits. There is a big institutional business and exports, but they are very, very good because, as you know, these institutional business creates very good sampling opportunities. At the same time, it also ensures that there is no marketing cost of doing so. So , 4700BC is available in the following airlines. It is available in all business class lounges of Etihad. It is available in Qatar, Cathay Pacific, in first and business class of Air India. Most

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 recently in some of the European routes of IndiGo, which goes to Amsterdam, Manchester, and

just recently, last week to Athens. It is available in Vande Bharat and in one or two hotels. And that business, plus we have a very good business that just started in the Middle East. We believe there is significant opportunity now with Marico 's access to the e -commerce and other channels. So, that is around 20% to 25%. The rest is all online, very little retail. So, we believe that modern trade, for example where Marico can give access , and the top -end food is the best route to grow. If you look at the trajectory of some of the brands, let's take iD, Veeba, Epigamia, they now have significant part of their business in retail, and that business is missing. in terms of investments, we are happy to do, and at the same time, you must realize today we already have some digital brands like True Elements. There will be huge opportunities in shared costs and other things when they come into the Marico fold. So , therefore, this will all happen , there will be no incremental investment to expand into GT. So, that takes care, and last year it ma de about INR 12 crores loss. This plus True Elements together can now have an accelerated path to breaking even with all the tapping of the synergies. There is a strong innovation pipeline with this brand, and we will unfold.

And if you really look at it, Indians, while they love healthy products, they don't compromise on taste. Perhaps indulgence gourmet is going to grow. As people 's habits in terms of binge - watching OTT and other things like Friday night in, those things which I have seen, which you see in develop

ed markets, this progress, the tailwinds towards adoption of this brand is very high. And therefore, this was a missing link in our entire foods portfolio. If you look at it, Saffola plays in mass -stage health, True Elements in clean, premium seeds and breakfast and snacking. So, this was a gap out there, and it is a perfect gap . And I believe, we also believe we love the founders who have a mindset of build to last rather than build to sell. And w e are extremely confident about scaling this brand up, and it is a brand we all love. The products are very nice, and we are very, very optimistic about growing this brand.

Pawan Agrawal: Just to add on the profitability, Abneesh , the brand has gross contribution and CM2, which is ahead of Marico's food business at this point in time. And it is a premium brand, which has significant pricing power. So , therefore, of course, we can also expect that the margins can go even higher in the future. And there are significant synergies in the back -end cost and GTM, which will be leveraged in the near term and unlock synergies. So, overall, from a profitability context, of course, we will be investing at this point in time , but whether the brand has path to profitability to reach, let's say, double -digit margin over a period of time, we are fairly confident it can really go there.

Abneesh Roy: One or two follow -ups there. So one is, Saugata , you always mention Marico, and you obviously want to take bigger bets. Now, this is around 1% of your revenue . So, does it fit that? Not everything needs to fit. So , that was one question. Second is, your example of the Lesser Evil brand, for example. Those need a different mindset, and you did say the founders, etc. So , I

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 wanted to understand, does this signal that now you want to play in the gourmet, in the impulse category much more over a longer term? Because this is completely new white space you have opened up. Till now, Saffola or the other brands have been mostly in the health space. This opens up the impulse and the gourmet. Obviously, this is too small. So , I wanted to understand, does this open up much bigger opportunity on your own or, say, even M&A -wise, in the longer term?

Saugata Gupta: So, our digital business , entire philosophy is think big, start small, scale up fast or drop fast. And therefore, it is a string of pearls strategy to do something big. We are another, maybe two years from now, we have a INR 2,500 crore+ digital business, which is bigger than some of the multinationals companies who have stayed in India for 20 -25 years. So, it is big. The digital business and the entire diversification agenda has been big. There are steps to that bigness rather than doing one thing. We obviously have done big things. our VAHO turnaround is a big thing. There are opportunities in organically growing big things. Digital Plix, we took it at INR 150 crore. It should be hitting INR 1,000 crore. Again, we have done this. The question is, I don't believe in buying something big and paying 6x for that. That is something which we don't want to do. We are far more prudent. We want the founders to have the skin in the game, grow with us, and we learn the business from them. So , the question is, we have started small, but there is no reason to not develop and make it big together rather than buying something big and then not growing it.

Pawan Agrawal: And just for the context, Abneesh , our diversified portfolio just a few years ago, was just about 11%-12% of India business , and we have taken a target of reaching about 25%. We have already reached about 22%. So , it is not about the size of the business when

you acquire . It is all about
the potential that we assess it can become. For example, Saugata talked about Plix. Similarly,
we are very hopeful that all these businesses will grow bigger over a period of time.
Saugata Gupta: And to answer your second question, Abneesh , you are absolutely right. I believe that with True Elements plus Saffola, we found that snacking, if I really want to grow snacking, it could become restrictive, and therefore we opened up. Having said that, we will continue to play in the premium end, which is organized trade plus maybe metro food outlets. I don't think we have a right to win today in a pa an plus or doing a INR 5, INR 10 product right now. We don't have the GTM, neither the capability. But it at least opens up as India progresses and the premium set opens up, I believe there is enough critical mass. And you are right, , this significantly improves the TAM expansion for our food business.
Abneesh Roy: My second and last question is on hair oil. So , overall excitement in the hair oil is coming back in the minds of investors. We have seen the small hair oil company with the new CEO doing well. They have also called out hair oil as a category, is seeing a somewhat of a revival. You have done exceedingly well past few quarters in VAHO. So , my question is, as a category in hair oil, how do you see next one year? Last few quarters has been good for VAHO. And second,

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Email: investor@marico.com
 adjacent question is, yes, volume growth is still quite strong for Marico as a company, but when
Parachute starts seeing deflation, and we have seen already 20% -25% deflation in copra from top, and next crop is also looking decent. As a company, would you see that challenge that suddenly the sales growth for the company in India business becomes a challenge at some stage? What will be your take on that?
Saugata Gupta: See, there are two things. One is, this time the absolute inflation was very high , which actually impacted volume growth, and we had done some of the ml-age reduction, which anniversari zes in the first quarter next year . Secondly, you will be surprised because we were pleasantly surprised with the price elasticity of the brand. And therefore, when the deflation happens, some deflation has already happened, we will be far better prepared, including a far, far thinner pipeline to manage it. As far as hair oil VAHO growth is concerned, if you look at the VAHO growth, the two -year CAGR ex of Shanti is 14%, the quarterly Y -o-Y growth is very high teens . So, we are at a double digit two-year CAGR and it is great turnaround . I believe that there is enough opportunity, and what is also helping is SETU, because if I look at the biggest impact so far in the states where we have expanded distribution, improved the quality of rural distribution, converted a lot of indirect to direct, has been the growth of the second and the thi rd brand, because that is where range selling happens. And SETU, we are today, if you ask me , we have done ~30%. There is still 70% to go, and it is a 3 -5-year project. I mean, three years obviously was initially designed, but I am sure if we can get it, it is going to continue for the next three to five years. So , we are extremely confident about this. And one more interesting thing we are doing is that at one point in time, the volume value share gap in hair oils was 10 %. It has now gone down to 5%. So, focus on abandoning the , I won't call it abandoning, but holding fort in the bottom of pyramid and INR 10-20 price points , not doing anything irrational, but focusing on the packs like Jasmine, Aloe, Hair & Care, and some of the other brands, is actually helping, and we

will continue to focus on value share. And as you know, these brands are actually
high margin . So, they are helping in the mix . They are helping in the overall gross margin improvement over the next couple of years.
Abneesh Roy: That's all from me.
Saugata Gupta: And s orry, just to add, just to reassure everyone, this is a category which is very close to India. Not only that, it is a category that is significant, even the Middle East, including Middle Eastern countries, Egypt. I mean, this is a category that continues to grow, and we have great faith in this category, and we have ensured that we continue to invest behind this habit . And this habit is going to stay. That is something which we have proven in the last 20 years, contrary to some people thinking this category will die down.
Moderator: Our next question comes from the line of Mihir Shah from Nomura. Please go ahead.

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098. CIN: L15140MH1988PLC049208.
Email: investor@marico.com
 Mihir Shah: So, just continuing on VAHO , except for SETU , the kind of growth that we are seeing is really sharp, and apparently the other players are also seeing sharper growth. But I don't see them marrying together because each of these subcategories have a different market. They are more ingredient -based hair oils, which are preferred. So , what is really driving this growth? What is a sustainable number for VAHO that we can think about over the near term, maybe the next two to four quarters? So , that is part A. Part B is, given VAHO has the highest margin in the core business, higher than Parachute and Saffola , and as copra headwinds start to wane and those margins will start improving, higher growth from VAHO can add to that margin expansion. So , how should one think about that play as well? So that is my first question.

Saugata Gupta: Coming to , , we are extremely confident of delivering double -digit value growth in VAHO. A nd as you see, recent trends about also a double -digit volume growth is also very much possible. And s ee, it is a combination of different factors. the resource allocation is working. We have converted a lot of monies which was locked into BTL, spends in the 10 -20 packs of Shanti Amla into ATL. We believe, the job of a market leader is to drive equity and not be satisfied if the competitor doesn't spend with a SOV, because ultimately we have significantly invested in SOV. If you look at the reach and the weighted distribution of each of the brands due to SETU has increased sufficiently , and far more sharper positioning and a portfolio approach across states. You are absolutely right about the mix, because the moment the mix of VAHO increases, that will be a margin kind of a tailwind. And I will want Pawan to answer the expectation on the margins.

Pawan Agrawal: Mihir, the first thing that you said is, of course, value -added hair oil has better margins, and that exactly is the reason as to why we could still deliver reasonably resilient profit growth this year, despite significant copra inflation, because the mix has helped. Now, as far as next year is concerned, again, giving a guidance with respect to what kind of a percentage margin we can deliver is difficult, but at least we are very confident of delivering at least mid -teen growth. We could try for more, and at least we would strive for improving the operating margin by about 150-200 basis points.

Mihir Shah: That is very clear. Thanks for that. Second, on the copra-led price cuts, given that this time around price increases were relatively very sharp, , there is an expectation that the price cuts also probably will be very sharp. So , wanted to get a sense on how should one think about the pricing in Parachute as you go do

wn the quarter, given copra is already down 30%. Maybe in a month or two, you had earlier highlighted that price cuts can probably start in Feb or March. I wanted to get a sense of that, and how many times do you think that one will have to take price cuts to ensure the trade channel remains healthy in terms of stocking? So , that is the second question.

Pawan Agrawal: So, Mihir, we haven't taken any pricing action so far, and there are two, three reasons for that. Firstly, we had not taken price increase in line with the increase in copra prices. Copra prices

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098. CIN: L15140MH1988PLC049208.
Email: investor@marico.com
Marico Information classification: Official had shot up by more than 100%, but we had taken price increase of 60%. So , now that the copra prices have corrected by 25% -30%, we are not taking any immediate correction from a premium standpoint, as in premium to lo ose oil, we are still comfortable, and therefore, we need not be getting into pricing action immediately. Secondly, we are still awaiting to get a firm handle on how the copra price trajectory will move, which we will get by March -April, and then take correction in one go, rather than taking in multiple steps , because if you take pricing correction in multiple steps, it disturbs the trade rhythm. So, that is how we are looking at it. However, we may pass on some benefit through some sort of consumer offers, etc ., in lieu of pricing in the interim before we get a firm handle with respect to how copra will behave, and then we take firmer price cuts.

Saugata Gupta: See, we want to be clear about the visibility of what should be the price cut and take one price cut. We will not take multiple price cuts. The big change that has happened is that we work with far, far thinner pipelines because of our supply chain efficiencies and our AI -based forecasting models . So, therefore, we are compared to, say, five years ago and all that, that the changeover,

which used to take 8 weeks to 12 weeks, especially in rural, this is going to be much faster because of what we are doing now.
Mihir Shah: That is very clear.
Moderator: Our next question comes from the line of Harit Kapoor from Investec. Please go ahead.
Harit Kapoor: There is two questions. First is on foods. The growth rates, you had already mentioned in the last quarter that you will relook at the profitability, just adjust it and then see an acceleration in growth. You have spoken about 25% CAGR as well in your presentation. Just wanted to know, what is the timeline that we can expect that you see a recovery in the growth rate starting to kind of pick up again on the food side? And the second question is on Bangladesh. Again, phenomenal performance in that market, as you have continued to do extremely well, but there continue to be some macroeconomic uncertainties. So, just wanted your thought, the last time something like this happened, you kind of went through relatively unscathed. Just wanted to get your sense on how do you see the position on ground? So , these are the two questions.
Saugata Gupta: As far as food is concerned, as far as the organic part of the food is concerned, we will get back into growth in the coming two quarters. When we talk about food, 20 %-25% growth, it is a combination of organic, inorganic, and we are absolutely certain we will start getting back into 25% growth of food business. Now, coming to Bangladesh, yes, , we are waiting, we are closely monitoring the situation. So far, we have been extremely resilient. Even in Quarter 2, when the issues were quite grim in terms of the , it was in August that this thing happened. That quarter, we grew by 8%. So, we have taken steps out there, and we don't see any reason to be extremely concerned at this m

oment in time in terms of delivering business.

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098. CIN: L15140MH1988PLC049208.
Email: investor@marico.com
 Harit Kapoor: And i f I could take one more question. The Parachute process that you have mentioned is basically saying that there was a reduction in the RPIs that you were making because you took a much lower price increase than you did, and you wait for those RPIs to maybe slightly normalize a little bit, and then you take the one shot price tag. That is right?
Saugata Gupta: Yes, that is right. That is right. See, if you look at it, copra actually moved more than 100%. We took a 60% price hike. At current levels, our price premium is still tolerable, and therefore, we will wait, , by a certain time, where we get a visibility of what will be the likely input cost for the large part of the year. When it happens, we will take one shot, one price, we will take. And as I said, that the two differences are that we obviously have a far more thinner pipeline and a far better position in terms of our ability to handle this. Yes, in the past we have struggled, but this time we are confident that there will be no such issues as far as volume growth is concerned. And i n any case, the absolute pricing was so high this time, that had impacted volume growth.
Harit Kapoor: Great to hear.
Moderator: Our next question comes from the line of Percy from IIFL. Please go ahead.
Percy: Hi, Saugata. My question is also on the copra pricing only. So , supposing if this price remains where it is, which is like a 20% down, and you are saying that you are comfortable with this kind of a premium to the other players , in that kind of a situation, what kind of margin expansion can we expect on a overall consol basis for the company because of the pricing benefit on the copra?
Pawan Agrawal: So, we didn't say that we will not take any pricing action. We just want to get a firm handle of what the copra trajectory could be. If it were to remain 20% lower, then still we might take correction, but over a period of time, which we may not be doing immediately. And therefore, from a margin standpoint, I just mentioned, I mean, very difficult to give you margin percentage guidance, very confident of delivering mid -teens growth. But we will definitely strive for, as I said earlier, that 150 to 200 basis points margin expansion we should try and improve.
Percy: Okay, mid -teens growth in rupee terms on EBITDA.
Pawan Agrawal: Operating profit, ye s.
Saugata Gupta: Yes, that should be our base case.
Percy: Secondly, just wanted to understand on Saffola foods , this quarter growth is only 5%. What is the reason for that?
Saugata Gupta: As I told you that, two things: One, we are ensuring profitability, so we take, a lot of businesses which we believe is, two things. One, we had these things like mayo, peanut butter and all that

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 we have rationalized, which was there perhaps in the base. Some of the SKUs which , we have
reduced complexity, rationalized some of the SKUs. And thirdly, in certain SKUs into
customer/channel, which are not so profitable, we have rationalized that also. Because I believe
in food, you have to continuously, after every two, three years, get into one step jump into
profitability.
Percy: So, would I be right in assuming that if you have sort of rationalized the SKUs itself, this burden
will be there for another three quarters before it anniversarizes and your growth would probably
in single digit?
Saugata

Gupta: No, one to two quarters. We started this 1.5 quarters ago, so within over the next 2 quarters, we
will start seeing growth, good growth. In any case , as I said, that our ambition on foods of 20% -
25% includes organic plus inorganic. So , you will start seeing 20%+ growth in any case there
from next quarter.
Percy: Yes, but that is because of 4700BC, right?
Saugata Gupta: Yes, that is fine, because we have always said that over a long term, our growth ambition is a
mixture of organic and inorganic . So, it is fine.
Percy: That's all from me.
Moderator: Our next question comes from the line of Nihal Mahesh Jham from HSBC. Please go ahead.
Nihal Mahesh Jham: Saugata, congratulations on the good performance. Just, continuing on the foods bit of it, as you
highlighted, is it mainly a case of moderation in the portfolio on the SKU basis? Or are we also,
say, optimizing some of the advertising spends in , say, a lot of these online first brands? And
where as the confidence coming, if I leave apart the inorganic element, that you mentioned about
4700BC sort of being consolidated, that the growth is going to recover in two quarters. So , what
is drivi ng that confidence?
Saugata Gupta: Two things. One, as I said , so we have stopped, rationalized, some of the products, like we had
some flavors, some things like, what I call mayo, peanut butter and some of the stuff we had
launched. So , that anniversarization is going to happen. Secondly, obviously, all the investments
will go focused back into driving penetration of our core . So, we have now rationalized and that
should drive some of the growth back. Now, as I said , as long as , we expect the growth go, to
go back into double digits. And, obviously, this doesn't include any innovation . Any innovation
which we do organically from our base portfolio also adds to that. So, our first step is over the
next two quarters to get into double digits, which we are pretty confident about. And then, the
overall foods growth will continue because of whatever organic plus inorganic into the 20% -
25%+.

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098. CIN: L15140MH1988PLC049208.
Email: investor@marico.com
 Nihal Mahesh Jham: Saugata , again, on the copra bit, that historically, as you said, whenever there has been a sharp
correction in copra on a quarter -on-quarter basis, now we are seeing a 30% correction from peak.
Ther e are only two things at play. We are obviously sitting on our raw material inventory, so
that somewhere limits immediate pricing action. And then there is channel pipeline also, which
ends up, say, impacting how the pass -through happens to the channel, and tha t sort of affects
volume growth.
On the channel pipeline, you mentioned you are running much thinner, but is there a case where
we may have to maybe aggressively reduce our prices, and that can maybe have an impact in
terms of seeing the benefits of gross margin play out? Just wanted to understand that, would
there be a lot of dynamic elements this quarter which could end up impacting the performance
of the PCNO category?
Saugata Gupta: No, I don't think so. Now, we are talking about one month is down the quarter, in this quarter.
And as I said, two things. One is that we are comfortable with our price premium as we are
today. Number two is that we don't need to take an aggressive price down because, see, you must
also realize that we are, the brand equity keeps on growing stronger. Usually after such a long,
I mean, an inflationary cycle, weaker brands , they really become weak. Number three, which is
also gives us hope that at least one of our competitors is being extremely rational on pricing,
because we also faced, as you know, irrational pricing from two competitors in the past,

and
now at least one of them is following a rational pricing model, which I believe is good, because at the end of the day, there is no point selling at negative gross margin. That spoils the market long term and creates equity. So , a combination of all that . And as I said that today we are sitting on 33% of this quarter gone, and we are sitting pretty comfortably. And as I said that, also the third thing that will help us is there is about 3% loss which we were having on ml-age, that gets anniversarized from Quarter 1 next year. So , a combination of that, we are fairly certain. Obviously, I know because of the past, there could be certain kinds of issues which we are far, far in a better shape to cope with . And , as I said, to give positive growth, and really look at it this way, that, with a 60% price hike in transaction terms, we have still given growth. Now, that itself , I am yet to see any brand in the world which has done that. So, we are far more confident, and therefore, there is no need to take , as I said, we will not take multiple price hikes. We will take one single price hike, which will ensure a far more smoother transition. And s ome of it obviously will go towards margin expansion.

Nihal Mahesh Jham: Just, just one quick follow -up on the foods business. You did mention that the CAGR growth that you are giving includes 4700BC. Now, just to get a sense that it may be difficult for us to get a sense of how acquisitions will play out over the next three years. But for this current foods portfolio, what is the bare minimum organic growth that you will be targeting?

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 Saugata Gupta: We have always said we will deliver double -digit growth, organic growth, and we have been delivering double -digit organic growth. This is an aberration, and we have to get it sorted within the next 1 or 2 quarters, we are confident of.

Moderator: Our next question comes from the line of Prakash Kapadia from Kapadia Financial Services. Please go ahead.

Prakash Kapadia: Just wanted to get a sense on the cold -pressed market. Any thoughts? Are we late in the segment because it is already a competitive market, or the TAM is very large, and we see structural opportunities with increasing health awareness? So , what is your thought on that? And typically, it is more for the Q -com, e-com customer only, the general trade would be lower, is what I would guess.

And secondly, Saugata , on the GST cuts, how do we see volume growth picking up? Is there a tailwind for larger players like us where growth can be higher and we can gain market share?

Saugata Gupta: Coming to cold -pressed oils, it started off as a niche kind , but it is rapidly catching up. In fact, it is a big trend today in the Western markets. And as you know, India picks up a lot of trends from U.K. and the U.S., the developed markets, in terms of food habits at the premium end. Yes, it is currently a far more skew in e-com, but we believe we are now seeing this in modern trade, and it will very soon be a critical mass. We are not late to the party at all. I would call ourselves a fast follower with a brand which has significant equity, and we have now a broad participation strategy. The good thing is it makes significant higher margins than some of the entry -level Saffola, which will also help in the profitability of Saffola , and we will also invest. And sometimes what happens in a category with low penetration, if you have two, three serious players investing behind the category, the category grows. And this is exactly the position where cold-pressed oil is. And it is today a drop in the ocean in the large edible oil space. But as you know, you had a

ll the premium hair oils, premium edible oils, which grew. For example, how we grew Saffola, how the premium part grew or some of the other spaces grew. cold pressed oil also will have a critical mass very soon. modern trade and premium GT will see a significant presence of cold -pressed oil in the couple of years.

Prakash Kapadia: And t ypically, consumers are ready to pay 2x price of edible oil. Is that the broader price you want to ?

Saugata Gupta: See, I will tell you how it works. Today, at the premium end , while people are wanting to pay for healthy oil, they are also using less oil. Also, if you look at people eating out, people ordering in through food apps, people traveling abroad, actual cooking oil consumption at the premium end, in terms of total volume actually has gone down a bit. So , I don't think the outlay is that significant enough for the top end . So, that delta for health is absolutely acceptable because they

 are doing it for lots of things. For example, on food today, people are willing to spend on health
as long as whether it is nutritionists, doctors, some of the influencers who are actually advocating
for such things and some things which have also grown in the Western markets, something which
has a health tailwind.
Prakash Kapadia: And on the midterm growth with some of these cuts, is there a play for higher growth? Because
some of these smaller players could get marginalized. How do we see that shaping up?
Saugata Gupta: I didn't get your question. This is for which category you are talking about?
Prakash Kapadia: No, in general, volume growth in the midterm, given that GST cut has happened, which was not
expected last quarter. From here on, is there room for higher growth and smaller players could
lose market share structurally? Is that an opportunity?
Saugata Gupta: Absolutely. See, I will tell you what has happened is that at least in food and packaged food,
where packaged food penetration in India is low , the fact that the entire packaged food is at 5%,
that definitely encourages conversion from unbranded to branded, unpackaged to packaged.
Packaged food is hygienic, packaged food is aspirational.
Similarly, in some of the Personal Care categories, mass categories, which have become 5%,
there will be a medium to long -term movement towards aspirational brands, because of the
affordability factor, which has now set in with this significant reduction in GST, especially
Personal Care categories, which have moved from 18% to 5%, which means a significant
reduction and driving affordability because as the country's GDP improves, as the per capita
income improves, people want aspirational brands.
It is the outlay which sometimes is a restriction . And therefore, structurally, in the medium term,
GST is transformative . It will definitely give added growth to all the brands, especially in
categories which have seen a significant GST cut.
Moderator: Ladies and gentlemen, we will now take our last question from the line of Sheela Rathi from
Morgan Stanley. Please go ahead.
Sheela Rathi: My question is with respect to the 4700BC acquisition. The first part of the question is, now that ,
Saugata , you talked about how different the distribution for this brand has been, where they are
catering to institutions, airlines, and malls , is there a need for us to learn or unlearn with respect
to the distribution strategy , or we will just focus on what we are strong at, which is the retail
distribution ? And the second part to this question is, what is the real competition in this category
at this point in time? I am sure the TAM is still small, but who are the real competi

tors here?

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098. CIN:
L15140MH1988PLC049208.
Email: investor@marico.com
Marico Information classification: Official Saugata Gupta: Let me first address the second question. , see, you have to see TAM as snacking. A consumer
can take a samosa, a consumer can have a popcorn , soup, noodles, and they can have ragi chips.
So, the entire thing that you have to look at, you are playing in a slightly more indulgent but
better -for-you gourmet portion of snacking, and the market is enormous. So, it doesn't have
popcorn to popcorn, unless you are going only for a movie . And as I said that part of the business
is extremely low. There is no need to unlearn. This brand has significant legs, and I said that for
sampling people to experience the product, what they are doing in institutional selling will
continue. The brand is still 60% -70% retail. It is currently mostly e -com. So, therefore, the first
thing is obviously to grow that in things like modern trade, premium food outlets using the
Marico GTM . And in fact, this will help us tomorrow, for example, looking at True Elements
for institutional sales. If a person can have popcorn on a flight, why can't they have some mixed
nuts on a flight from True Elements? So, therefore, actually it opens up multiple synergies. It
opens up multiple vectors of growth. At the same time, as I said, with True Elements, this brand
and others, there are a lot of synergies at the back end and cost . Today, each brand has their own
sales system and cost structures , when it is standalone versus Marico. So , there will be significant
opportunities , which then can be plowed back towards investment behind the brand to grow it
further.
Moderator: Thank you. I would now like to hand the conference over to the management for closing
comments. Over to you, gentlemen .
Pawan Agrawal: Thanks for dialing in on the call. To conclude, we have continued to deliver high single -digit
volume growth and log market shares and penetration gains in India business, despite

inflationary headwinds in some of the key core categories. The international business continues to grow from strength -to-strength, supported by a broad -based performance across markets. We remain focused on advancing our diversification agenda in both India and overseas businesses and will maintain investments to drive the same. With input cost pressures exhibiting moderating trends, we will aim to sustain the top quartile volume growth momentum and are confident of strengthening our operating profit growth trajectory in the quarters a head.

That is it from our side. If you have any further questions, please feel free to reach out to our IR team , and they would be happy to address. Thank you and have a great evening.

Moderator: Thank you. On behalf of Marico Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

(This document has been edited to improve readability)

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Sub.: Transcript of conference call

Dear Sir/Madam,

Further to our letter dated February 17, 2026, please find enclosed copy of transcript of the conference call held on Friday, February 13 , 202 6 on the announcement of recent strategic investments .

The said transcript is also available on the Company's website at :
https://marico.com/inve storspdf/Marico_Limited_ -_Conference_Call_Transcript_ -_13th_February_2026.pdf

This is for your information and records.

Thank you.

Yours faithfully,
For Marico Limited

Vinay M A
Company Secretary & Compliance Officer

Encl .: As above

Marico Limited
Transforming into a Digital -first Powerhouse

Conference Call
February 13, 2026

MANAGEMENT : MR. SAUGATA GUPTA – MD & CEO , MARICO LIMITED
MR. PAWAN AGRAWAL – GROUP CFO & CEO -
INTERNATIONAL BUSINESS (REST OF SOUTH ASIA & SE
ASIA) , MARICO LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Marico Limited's Conference Call. We have with us the senior management of Marico represented by Mr. Saugata Gupta, MD and CEO; and Mr. Pawan Agrawal, Group CFO and CEO, International Business. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone.

Before we get started, I would like to remind you that the Q&A session is only for institutional investors and analysts. And therefore, if there is anybody else who is not an institutional investor or analyst, who would like to ask questions, please direct ly reach out to Marico's Investor Relations team.

I now hand the conference over to Mr. Saugata Gupta for his opening comments. Thank you, and over to you, sir.

Saugata Gupta: Good afternoon and thank you for joining us once again. It's been a short period of time. So let me begin by setting the context for this call and sharing our perspective on the recent strategic investments we have made in India and Vietnam, and how these fit into our big picture aspiration to structurally diver sify the business beyond the core in India and the international markets.

We have also published a detailed deck earlier today. Trust you have had a chance to go through the same. We believe Marico is at an inflection point, transforming from a legacy FMCG incumbent into a scaled, profitable, digital -first consumer powerhouse. And this deck outlines how we are building a portfolio which is profitable, digital -first franchise in India and international markets, anchored in strong brands, disciplined execution, and a repeatable playbook for growth that has already delivered demons trable successes in some of the brands.

Taking a step back, if you look at what has consistently held us in good stead over the years, it would be our ability to spot opportunities early while anticipating and mitigating future risks of growth. For instance, the digital imperative in India and Vietnam is unmistakable in view of the exponential growth in internet penetration and e -commerce adoption, and we realize that we must seize this moment decisively. Since these trends are structurally reshaping consumer behavior, Marico is strategically po sitioned itself to capture this opportunity. Our vision rests on five strategic pillars , namely : evidence -based acquisitions, profitable scale -up via operational discipline, synergy acceleration, prudent capital allocation, and a repeatable playbook. Speaking of the recent acquisitions in particular, each of these are designed to fill white spaces, l everage Marico's distribution and supply chain strengths, and accelerate growth through digital -first engagement. We are building across what we call the digital chessboard, which spans three strategic domains: digital foods, digital personal care, and glo bal digital brands.

In foods, our portfolio now spans from mainstream health and wellness with Saffola, clean label and modern breakfast and snacking with True Elements, premium snacking which is indulgent but better for you with 4700BC, and functional nutrition with Cosmix and Plix. 4700BC gives us immediate entry into the fast -growing 24,000 crores Western snacking market and it elevates it through gourmet offerings. Already the number two player in popcorn with 140 crores ARR ,

4700BC fills a critical white space in our foods portfolio. The brand's goal is to scale beyond popcorn with nachos, pop chips, and fox nuts being few steps in that direction. There are interesting examples of such brands in the Western developed markets, and we will draw inspiration from them. Cosmix is a brand with proven D2C economics which strengthens our

participation in the functional wellness space. With a INR100 crores ARR and a high -teen EBITDA margin . Cosmix addresses a pressing consumer need. 73% of Indians and 90% of vegetarians are protein deficient and taps into the growing preference for gut -friendly plant proteins. This brand is well -positioned to scale into nutraceuticals, supplements, and funct ional foods.
In personal care, we are driving thoughtful premiumization. Beardo leads male grooming, Plix is scaling plant -based personal care which is hair and skin food, Kaya offers dermatologist -backed solutions, and Just Herbs elevates Ayurveda -inspired beauty. Eac h brand is positioned to capture distinct demand spaces from self -expression to science -based or clinical efficacy.
Internationally, we aim to replicate this playbook in high -growth markets such as Vietnam and certain countries in the Middle East. In Vietnam, Candid, which is roughly two -thirds of Skinetiq business, is scaling rapidly in this science -based skin care segment with a mid -premium positioning in Vietnam. It exemplifies how a high -quality product -first brand combined with social commerce leadership can deliver superior unit economics given its mid -20s EBITDA. In the Middle East, we will aim to tap markets like the UAE or KSA, which are amongst the highest smartphone penetration markets globally. Our ambition is to build leadership in digital beauty and grooming across these focused emerging markets. Now, with our sizeable digital portfolio, we also have a strong platform to build digital brands organically. We have already launched men's and women's personal care brands in Vietnam, namely Astroman and Lashe , gaining first -mover advantage. Since Vietnam and Middle East are relatively nascent in their D2C journey, this positions us as one of the very few companies perhaps globally that is building digital brands both organically and inorganically at scale.
Looking ahead, our strategic outlook is ambitious yet disciplined. We are targeting 3 x to 3.5x revenue growth in these digital acquisitions by FY30. The focus will be on category expansion, driving or sustaining profitability through scale synergies, and leveraging Marico's platform to accelerate penetration and operational efficiencies. Be ardo and Plix are powerful proof points of our model. Beardo has scaled 5x post -acquisition, which is 100% into the Marico fold in 2020, with a visible transformation in EBITDA margins. Plix has grown 6x in just two years and is on track to deliver double -digit margins in the next 12 to 15 months. These succe ss stories validate our disciplined synergy -driven approach to acquisitions. Plix is also a rare example of a brand that pivoted seamlessly from nutraceuticals into hair and skin food, substantially enhancing its growth journey and the profitable profile.
The conclusion of recent investments in quick succession has been nothing but a result of strategic convergence and a deliberate choice to move with speed, ensuring we avoided any FOMO -led premium in valuation and secure assets at attractive valuations.
Our inorganic approach is clear: we screen for product -market fit, category attractiveness with right to win that cannot be attributed to our existing franchises, healthy unit economics, founder

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098. CIN: L15140

MH1988PLC049208.
Email: investor@marico.com
Marico Information classification: Official mentality with built -to-last as opposed to built -to-sell, and scalability of the business. This
ensures we create value while maintaining discipline. Also, we are now cherry -picking profitable brands with a minimum INR100 to INR150 crore s scale, an inflection point at which we can rapidly grow them 4 x to 5x without the burden of losses. We have been able to pull this off because of Marico's culture of agility, openness, willingness, and humility to learn from founders. Also, now that we have two distinct and comprehensive portfolio of brands in foods and premium personal care, there is tremendous potential to unlock operational and cost synergies across multiple dimensions including GTM, CRM, first -party data, manufactur ing capabilities, back -end supply chain, media buying, and content creation to name a few.
Therefore, when we recalibrate our near and medium -term aspirations around diversification through new businesses and profitability of the digital -first portfolio, we expect material progress on all counts. We expect foods revenue to reach 9x of FY20 level s next year and 15x by FY30. Digital -first PPC annual run rate is expected to be 5x of FY24 levels . And EBITDA margin of the portfolio is expected to be in teens in FY30. This would take the share of new businesses in India revenues to about 33% in FY30, illustrating the structural and strategic metamorphosis that would have come about in the business. We expect all digital brands globally to collectively clock at least around a top line of INR4,000 crores in FY30.
To summarize, Marico is not just participating in the digital consumer revolution; we are shaping it. With strong brand equity, operational muscle, and a proven playbook, we are confident of delivering sustainable profitable growth in the years ahead. We are building the next decade's growth engines: digital -first, premium, and globally scalable in multiple markets without

compromising our DNA of disciplined value creation. Thank you, and we would now be happy to take questions.
Moderator: We'll take our first question from the line of Abneesh Roy from Nuvama.
Abneesh Roy: Congrats on fantastic portfolio transformation. My first question is on Vietnam. Vietnam is around 20 %-25% of international business and I think around 5 %-6% of the console. Is there a thought process that over the next five years, the 2030 targets you have given, you want Vietnam to be even more salience within the international? And any chance that this anti -aging, hydration, and anti -acne, at some stage you will bring some of these into your other markets, even Bangladesh, India also? Any thought process on that?
Saugata Gupta: So, there are two things we have been doing in the international business: reducing concentration risk in terms of country as well as portfolio. If you look at the share of the premium business has been going up drastically, and we are participating in premium personal care categories like shampoo, baby, and body care successfully across multiple markets. Vietnam is a stable economy with high growth opportunities, significant amount of internet penetration. We believe that the organized trade, which is e -commerce plus modern trade contribution, will be ahead of India in the next couple of years, including e -commerce which is very big, including social commerce using TikTok. And therefore, we want obviously to invest in this country and continue to do tuck -ins because we have created capability. Yes, you are right, we can think of looking at it, but even there are opportunities to now have a e -commerce or a digital play in adjacent countries of Southeast Asia also with this portfolio. See, this product is also inspired by K-Beauty and we also have a similar portfolio like a Kaya in India. So, therefore, th ere is obvious

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098. CIN: L15140MH1988PLC049208.
Email: investor@marico.com
 chance of replicating and cross -learning in terms of chassis and product formulation. And as you
know, K -Beauty is also quite a trend in India.
Abneesh Roy: Sure. Second question was on the 2030 target. If I see those targets over the next 4 years work out to 3 to 3.5 for 4 ,700 Cosmix, and Candid. Now the size of these three are pretty small when I compare to your other acquisitions and even say , Marico's overall sales. Because when I see the kind of scale -up you have done in Beardo 5x and Plix 6x, of course the time periods are different ?
But from a 4-year perspective, taking a INR100 crore s brand or a INR140 crore s brand 3x -- is this quite conservative? Are you seeing some challenges here? Because versus your own performance and versus the INR100 crores to INR140 crore s size, this looks very conservative to me ?
Saugata Gupta: See, culturally as a company, we first do and then say as opposed to saying and doing. And therefore, this is a base case. When I talked about Beardo, I would have given you a much lower number and similarly for Plix. This is something which is a base case which will beat our acquisition assumptions. Obviously, in the case of Beardo and Plix, it has overtaken those assumptions by a mile. But these are the starting assumptions and you will see. And especially 4700BC, which has a INR24,000 crore s TAM, you're absolutely right Abneesh that we can do much better. But we have to get the thing right and get into a profitable sustainable growth cycle, which is very, very critical.
Abneesh Roy: Last question. So when I see Plix and when I see Cosmix, they seem fairly adjacent in terms of product portfolio. So Plix is basically nutraceuticals, hair and skin food. Fantastic scale -up. Was there a thought process that we can do plant protein, plant f unctional foods even in Plix because Cosmix the size is INR100 crore s? Build versus buy, I wanted to understand that better. Because see, too many brands and you always say Saugata that fewer bigger b ets plus advertising budget to each brand , was there possibility that you could have done this in Plix also, these products?
Saugata Gupta: Okay. So if you look at Plix today, the center of gravity has moved into a beauty and personal care because, you know, hair and skin food. And even in nutraceuticals, it is a slightly fun brand, fun and vibrancy if you look at the way the branding and colo rs are. What Cosmix does is, there is a serious movement and we needed a offering towards the vegan, vegetarian , and serious nutrition and wellbeing. So you will see the divergence between the positioning of the brands. And therefore, Cosmix will focus on nutraceuticals and getting into spaces like, you know, other nutraceutical spaces which are there, which I have been talking about. It could be gut he alth, it could be sleep, it could be stress, it could be, you know, different. And you will see that coming. For example, it could be even more and you must realize in India today, a significant portion of the population with high , purchasing power wants vegetarian and vegan options. And vegan is a big trend at the top of pyramid. So therefore Cosmix is going to be specialized because we

realized that if the center of gravity of Plix has moved to a lot to hair and skin food and personal
care, we need a brand in this space. The approach has been very simple: plot all the adjacencies
which have significant runway for growth and en sure that there is a brand that fits snugly into
that position.

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098. CIN:
L15140MH1988PLC049208.
Email: i

nvestor@marico.com
 Abneesh Roy: One last follow -up, Saugata. Given your targets are almost the same for all three, 3 to 3.5
broadly, given the kind of success Plix has seen 6x within 2 years or 3 years , will it be fair to
say that the most conservative target is for Cosmix out of these three?
Saugata Gupta: I would think 4700BC because of the different vectors of growth.
Abneesh Roy: Okay. Sure, understood. Thank you.
Moderator: Thank you. Next question is from the line of Latika Chopra from JP Morgan. Please go ahead.
Latika Chopra: Yes, hi Saugata and Pawan. The first question was regarding the Indian acquisitions. Both the
brands that you bought, 4700BC and Cosmix, they derive fairly high revenue from the key
product: popcorn is about 75% and protein powders is about 95%, which of cour se established
these bra nds with a high consumer recall?
How do you think about the other emerging parts of these brands to scale up and salience to look
like? Perhaps you could share some color on how this journey happened for Plix and Beardo,
any learnings from there? Thank you.
Saugata Gupta: There are two -three things. One is as you move first you need to have a certain core and a hero
SKU. Even in the case of Beardo, for example, we looked at one issue that suppose beards
become s a fad. And within 2 years we started the diversification process in terms of getting into
things which are adjacent, which are profitable, and which is in line with the brand equity. As
you know, Beardo is the so -called Harley -Davidson of male grooming. Now Cosmix, while it
started with plant protein powder, it has already gone into protein bars. Tomorrow there are
enough opportunities in other nutraceutical spaces and you will see some of the launches, it has
also got a pancake mix, and you will see some of the launches that are coming very soon. What
we want to do is a one -stop shop for people who believe in vegetarian, plant and vegan across
nutraceuticals. For example, hypothetically some people don't like fish oil in nutraceuticals like
Omega -3. Can I give them an option? I mean so and therefor e there would be some similar
approach which we will follow.
Now similarly for as far as 470 0BC is concerned, we have already gone into nachos, there are
pop chips this and that opportunity is huge. In fact, humongous, which is there in 470 0BC and
also the good thing about 4700BC is the because of the institutional clientele across premium
passengers of a lot of foreign airlines, Air India, as we ll as things like Vande Bharat. We are
getting a opportunity to do a lot of forced trials like what Paper Boat did with Indigo. So that
opportunity and this is with a very premium set of audienc e. And we want to participate in
significant areas of gourmet snacking as an option. And you will see that playing out , we have
looked at the innovation cycle when we acquired these brands , over the next 12 months. And the
other interesting thing that which will aid the journey of 4700 BC is the manufacturing capability
and the supply chain capability of Marico. As you know, food gross margins are slightly lower
compared to premium personal care and therefore cost stru ctures, sourcing, manufacturing and
that is where the entire Marico weight can give a significant competitive advantage.
Pawan Agrawal: And if I may just add, Latika, this let's say about Cosmix, it's just not a protein brand. It's
establishing itself into a comprehensive wellness brand and therefore the opportunity is pretty

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098. CIN:
L15140MH1988PLC049208.
Email: investor@marico.com
 large. For example, if I just talk about vitamins, mineral and supplement space, that itself is
about INR11,000 crores.

So if we have to extend into multiple other categories, the opportunity
is pretty large and that's exactly what we have done with let's say a Beardo or a Plix where we
started with one particular category, but really expanded into multiple other adjacent categories.

So we don't really think that the opportunity is limited to the category where it is participating
at this point in time, but it definitely has legs to travel t o a lot of adjacent categories.
Saugata Gupta: But at the same time, we d on't believe in spray and pray. S o therefore we will get scale in
categories, win and then move to multiple categories, but we don't want to launch in 15
categories , I don't have anybody to sell to.
Latika Chopra: Understood. No, that's very helpful. I think just probably you partly answered it, but on 4700
BC, if possible to share any color on what could be the potential margin levels at a scaled -up
level or what you have say by FY30 since you've talked about a revenue target, b ecause I'm not
sure if this brand is EBITDA positive. It could be because of the institutional sales mix being
high and also the manufacturing bit that you alluded to. If you could give us some more color
on this? Thank you.
Pawan Agrawal: So as of now, it is an EBITDA bleed. And hopefully in the next 12 to 18 months, we are targeting
to become EBITDA positive. And that is one of the reasons we're not looking at making it 6x,
7x because we believe in scaling up profitably. So therefore in the next three years when we are
talking about 3.5x, we are also equally mindful about the fact that we have to make it EBITDA
positive in the next as I said 12 to 18 months and then of course move into at least mid -to-high
single -digit EBITDA in the next three years. So that's how we are looking at this business. Of
course, other two businesses are definitely at a much higher profitability scale at this point itself.
Latika Chopra: Understood. Thank you so much and all the best.
Moderator: Thank you. Next question is from the line of Percy Panthaki from IIFL Securities. Please go
ahead.
Percy Panthaki: Hi, just one clarification. I'm looking at Slide 27, in which you have given the EBITDA margins
for the digital -first PPC business, b ut can you also give some idea on EBITDA margins for the
food business, please, over the same timelines?
Pawan Agrawal: So, when we talk about foods from a diversification standpoint, it includes the core foods
portfolio as well, which is Saffola Masala Oats plus honey, soya, etc., where depending on what
scale we are talking about, for example Masala Oats is already making company operating
margin. So once those different portfolio s reach a scale of INR200 to INR250 crores, we believe
that it has a potential of making double -digit operating margin and as it scales further can of
course reach to company operating margin. Why we are calling out digital -first PPC brand
separately? Because the se are newer businesses and there we had committed that we will move
to about double -digit operating margin by FY27, which we have a fairly good visibility about
and of course over the next three to four years we can move to teens EBITDA margin.
Saugata Gupta: To just clarify, if I take the composite blended foods, it could be higher.

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098. CIN:
L15140MH1988PLC049208.
Email: investor@marico.com
 Percy Panthaki: No, so by FY30 would we be able to do the similar kind of margins
in foods as we are having a
target for digital -first PPC?
Saugata Gupta: Yes, in fact, blended margin of foods could be higher.
Percy Panthaki: Even in FY30 with the ne w business coming in next year?
Saugata Gupta: Yes, which includes Saffola core, yes, it could be higher.
Percy Panthaki: Understood. S

econdly, just wanted to understand your framework for selecting which companies
to acq uire. How do you go about it a nd second part to that question is that do you think you
would need any more acquisitions over the next three to four years, or now more or less you
think that your portfolio is complete?
Saugata Gupta: Definitely not in the next three weeks because my team needs rest and relaxation, they have been
very busy. But we will look into tuck -ins and maybe very few spaces. But more or less at least
the food chessboard is complete. Now there could be opportunities in mass foods. As I said,
obviously global ly, say in Vietnam or Middle East if there is play, yes. And maybe again tuck -
in opportunities in personal care but yes, we have done a majority of it. We also wanted to hurry
it because of two things , we don't want the FOMO premium to set in, we don't like paying 6x,
7x, in multiples. And secondly, once you have all the three, it's much more easier to synergize
and get the cost advantages. Like say for example can Cosmix, True Elements, and 4700BC and
Saffola have a common food GTM? Those are the kind of synergies w e now have critical mass
to do. So coming back to your first question, what we look at, we have already cherry -picked
broadly the categories. Then we look at the business. We now have a complete analytics
playbook on quality of revenue, quality of the founders, the kind of the headroom for top -line
growth, headroom for bottom -line growth, synergies with Marico. So we look at these and, for
example for every company we have chosen, we have also de -selected certain things at the same

point in time. So it starts with the category we want to get into and then looks at the companies. And things where we are not adjacency or are not a no right to win, say for example, I can't win in pet care. If something in yogurt or ice creams is available, I can't because I don't have a right to win it is not an adjacency, I will not get into it.

Percy Panthaki: Understood. And in terms of the two big spaces which is foods and digital PPC, there are subcategories. Do you think that you are already in all the subcategories that you want to be or are there some categories of interest which are still unoccupied by y ou? You need not name them, but just wanted to understand ?

Saugata Gupta: No, no, so the trends might emerge. So we are constantly looking at trends. See, if you look at our history of digital and food is because we believe that our core has a certain amount of penetration and if we have to consistently grow in double digits, w e need to diversify. So we will look at trends and adjacent trends that something picks up we believe that it is something worth picking up, we will do that. So we are continuously looking at , what we need to do is our mix of countries into category we need to have a majority of our portfolios as a tailwind as opposed to headwind. And that's the f ormula which we are looking at.

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098. CIN: L15140MH1988PLC049208.
Email: investor@marico.com
 Percy Panthaki: As of today, there is no subcategory where you feel, this is really somewhere I need to be and I'm not there ?

Saugata Gupta: See, I mean, could be some tuck-in opportunities but we are largely filled up my chessboard …

Pawan Agrawal : At least on the digital food side we're pretty content, so to say. Maybe in the digital on the personal care, we could be still open. As Saugata mentioned, in mass categories, of course we could be open .

Saugata Gupta: Like mass category we be open, and of course in digital in some of the countries of interest for us, we are open. Having said that just to also address the thing that in Vietnam we are doing an unique experiment with two brands,

Astroman and Lashes , because we are going to use the platform which is available and as you know , Vietnam is a very high social commerce market and one of the Co -Founders is one of the biggest blogger and influencer in Vietn am. We are also looking to use this platform to do organically , need not be always everything inorganically. Similarly in Middle East, some of the food brands has enough potential.

Percy Panthaki: Got it, Saugata. Thanks so much.

Moderator: Thank you. Next question is from the line of Harit Kapoor from Investec. Please go ahead.

Harit Kapoor: Yes, hi good afternoon. So just had two questions. One was, is there any incremental investment you need to make in team scale -up also, as you've rapidly kind of expanded into new categories, new businesses, new brands? I know that some of these basis milesto ne will still be with you in terms of old founders, but do you see that investment required in terms of team, people, etc., as well? That's my first question ?

Saugata Gupta: So, we are doing some centralized capability, it could be helping on so to give an give an analogy, can we have people who learn from these businesses and take up these businesses? Because what we do is, 1 year before the we take over we start, implanting people. We have a central team that helps in, I can give you analogy just like operating partners in PE help, we have people who are providing that service. I spend personally a lot of time in these digital businesses , because I believe this is high growth , and there is a centralized team of people which are centers of excellence from a Marico to help. And obviously in that we are also, shaping up our own capability of doing high velocity supply chain because all the things which are things like supply chain, things like, content all these capabilities which we are also building, starting to build in -house.

Harit Kapoor: Got it, got it. And the second one is, it seems like obviously you've done three fairly quickly. I just wanted to get your sense of the market. Is there a more motivated kind of seller or a more motivated founder there now, with a more rational multiple e nvironment here? It's not only you -- you've seen some other companies also close acquisitions recently. Obviously, you have done it at a larger scale and pace. But just wanted to get your sense -- is it a more conducive market to buy? Is what my question was?

Saugata Gupta: I would look at it that we are a strategic partner of choice in terms of our ability to partner the founder into realizing his dreams and participat ing jointly. And therefore, if you ask me, we have

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 continued to make these at far more rational valuations. I read about something happened
yesterday also. So, secondly, I would think that we have the synergy which we provide in terms of a bouquet of service s, whether it relates to cost, to procurement, or even say digital media buying, when we buy say through Meta or Google in terms of all the brands including Marico core brands, access to modern trade, access to GT , those are the things which are mutually beneficial for both the founders and us in terms of having this model. This model is unique and this model can only work if culturally the organization is tuned to this model, which is leaving the founders some space and because we have a significant empowered culture in our organization.

Harit Kapoor: Very helpful. Thank you, wish you all the best.

Moderator: Thank you. Next question is from the line of Akshay Krishnan from ICICI Securities. Please go ahead.

Akshay Krishnan: So if you look at your past playbook, we emphasize more on retaining the founders' DNA. No

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how do you prevent the cultural frictions while still enforcing Marico's operational discipline and the governance standards? I just want to understand the overall framework into this?

Saugata Gupta: Obviously we have a point of view on the portfolio, we have point of view on the governance, the regulatory, the quality reputation. We learn with the founders, and if you notice, We have been also entrepreneurial. And if you look at Beardo, Beardo we int egrated 100% we bought in 2020. We still the mojo and the secret sauce of Beardo we have been able to preserve. And therefore, those three years as a learning, you know, for all of us to understand the unique thing. Obviously as I said these four -five things which is capital, the allocation of capital, portfolio, you know, compliance, GMP , those are non -negotiable.

Akshay Krishnan: Got it, got it. So, my second question is on prioritizing adjacencies like expansion within the existing categories or entering completely into new verticals. Now what are the strategic filters that determine the move on the adjacency versus white spaces and also on the expansion spree?

Saugata Gupta: It's the headroom for growth and a right to win. At the same time, we believe in focus and therefore at if you look at all the brands which are acquiring, they have significant amount of hero SKUs or proven SKUs. We don't believe in spraying and praying. Ev en we have been prudent enough into going into GT, we have a broad playbook into GT that only if there is a scale and have a limited amount of SKUs. So it's a broad but you must realize the good thing we have is that the business model allows us to continuously experiment. So we keep on experimenting, you start small, either scale up or drop fast.

Akshay Krishnan: Okay, okay, but how do you determine this white space and what is the timeframe that you generally take up to determine these white spaces?

Saugata Gupta: See, it is a continuous process because there's lot of social listening. In today's world, as I said that it is a very high velocity innovation. Just to give you an example, a innovation cycle can be 60 to 90 days in these digital brands. In Marico, it ca n be anything between 8 to 12 month s.

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098. CIN: L15140MH1988PLC049208.
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Marico Information classification: Official So it's a very, very compressed, low I mean, we don't have MOQs in this, you just put in,
experiment with one partner in quick commerce or in e -commerce, see if it works or in D2C. There are action standards whether it respects to repeats, trials, the kind of reviews you get and determine that within 90 days or 120 days you scale up or you drop.

Akshay Krishnan: Perfect, perfect. And one final thing now on the digital -first playbook. India and Vietnam has really played up well for us. Now what's structural difference in Indonesia and how could this alter the unit economics? Is it on the consumer behavior or the p latform ?

Saugata Gupta: No, no, I just gave you a hypothetical example that if there is a e -com I'm it's not that I'm saying I'm going into Indonesia. I said that it was response to the question that can the Vietnam thing be replicated in other countries? I talked about that see a traditional GTM obviously has a lot of entry barriers. A digital ecosystem has less entry barriers, you can experiment in a country and entry into a country. So I gave it as a hypothetical example.

Akshay Krishnan: Okay, okay, got it, got it. And one final thing sir, so just wanted to understand and dissect between the CAC and the LTV evolving in the competitive intensity. Is the incremental growth coming more on the relative early safe growth or is it more on the e xpansion spree?

Saugata Gupta: See if you notice most of our businesses

including Plix and Cosmix has a significant D2C play,
which has therefore high amount of repeat users and a loyal users in D2C base and a profitable D2C play. Now obviously food is a far more, flirtatious category based on taste and far more experimental category, that doesn't have a D2C play. But our LTV by CAC and repeat rate for both these businesses where there is high D2C is pretty high and best in class.
Akshay Krishnan: And how will this improve the margins and the earnings momentum?
Saugata Gupta: I didn't get your question.
Akshay Krishnan: Margins and the earnings momentum. So, what will be the uplift into this?
Saugata Gupta: We have done a Beardo which now makes double -digit EBITDA. There are enough areas on cost, there is ACOS, improving ROAS, there are net revenue management -- there are multiple levers in play to drive the margin.
Pawan Agrawal : There's also a lot of stuff on the back -end side with the supply chain, logistics, procurement. For example, we have taken in -house some of the products of Beardo and the gross margin has got significantly uplifted. So there'll be time when you would deploy some of these things and therefore we're very confident of the margin guidance that we've give n of double digit in the next year and hopefully in teens over the next three to four years.
Moderator: Thank you. Next question is from the line of Nitin Gupta from Emkay Global. Please go ahead.
Nitin Gupta: Yes, thanks for taking my questions. First question is around like I want to understand the thought process around management bandwidth. So far it has been creep acquisition where the founders have stayed with us and sort of helped grow the brands. Now as we sort of gain 100% ownership of some of the brands, how are we getting prepared for the management transition?

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 Saugata Gupta: So we have only integrated so far Just Herbs, Plix, and True Elements. We have obviously
leaders managing those businesses. There is still a time away, including some of the brands which we have just acquired three years to go. And as and when we have an evolv ing digital business structure and we are to ensure that we have dedicated people already helping these businesses grow and therefore there is no separate or it's almost runs as a as I call Marico 2.0 Engine 2. So therefore, there is no overlap of management bandwidth, perhaps the only overlap is me and some of the one or two Excom members, but hardly any management there they're dedicated people looking into these businesses.
Nitin Gupta: Should be good. And second question pertains to like with this acquisition are we the largest digital -first FMCG company in India? And also, like do you have any aspiration of digital brand salience like for 2030? Like overall, how much of our business wi ll be from digital?
Saugata Gupta: Yes, we want to be a scale player which is profitable and admired and as I said transforming ourselves from a incumbent as well as having some place in some of the international markets.
Pawan Agrawal: And in terms of size for the total business, Saugata had called out in the opening commentary, which is about INR4,000 crores is what we think we should be able to reach by FY '30 for all the digital brands globally.
Nitin Gupta: Sure, thank you. And the last question pertains to quick commerce. So I want to understand like the channel salience for our domestic revenue and also for the 22% of the portfolio where we have the food and digital -first brands.
Saugata Gupta: So in the core , it's 5%. These ones obviously is higher depending on some of the brands . But as I said that ultimately some of the brands have a very strong D2C also.

Nitin Gupta: Sure, got it. Thank you , and all the best.
Moderator: Thank you. We'll take our next question from the line of Mihir Shah from Nomura. Please go ahead.
Mihir Shah: Hi team . Thank you for taking my questions and congrats on a great set of acquisitions. So firstly, wanted to just understand the real penetration opportunity. For a long period of time, we had seen Saffola Oil's distribution was just limited to metros and then probably went into Tier 1. While in the next few years , these new brands can have a scale -up opportunity in metros, how do you see the opportunity for these brands scaling up beyond metro Tier 1 over the next three to five years? So that' s my first question.
Saugata Gupta: If you look at the contribution of organized trade in the current, amongst the TG these brands operate, it will be more than 50%. If you look at some of the metros today, e -comm plus modern trade itself is reaching 40% plus in some of the top metros. So I don't see the need for penetrating right now. There is enough opportunity in the premium and focus is important . Profitability is important. One of the reasons as you know that Saffola hasn't penetrated is because of pricing. Having said that, we would get into some GT but having our SKUs and price points which are different. For example, I mean, in popcorn there could be a hypothetically INR10, INR20 price

point which exists and you can use GT for that.

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 Mihir Shah: Understood, got it. Second , actually just wanted to check on popcorn. There is -- there is a very
large player in popcorn in the mass market. Now this is in the gourmet format. Any plans to eventually get into those markets so that one-stop shop thought process that you had, if somebody wants to think of popcorn, they want to think about Marico? So thoughts around that?

Saugata Gupta: So if I look at it, Masala Oats, which is priced at INR18 rupees is available in 2.5 lakh outlets and we do have our INR10, INR20 popcorn in 4700BC which is available.

Pawan Agrawal: So that is one of the biggest synergy we are looking at to support them on the GT distribution for the price point because price points are actually very, very relevant for the kind of stores that we go to. So that's an immediate, you know, quick win that we are looking at.

Mihir Shah: Got it . Thank you. And lastly just wanted to check on the -- if you see the current founders, they have done a great job in scaling up this business and then now anchoring and partnering with Marico to take this further. The synergies of Marico we do understand. But the kind of investments that will be required, wil l this have any bearing except for the other two which are profitable, will this have any bearing on the margin profiles in the near to medium term over the next few years for Marico in any sorts? Or these margins that we see on the other brands will hold up or these margins can for some time come down as in they are in the investment phase?

Saugata Gupta: We have indicated the sustainable margins for both the brands . And see , at the end of the day if the unit economics is right, you don't need to do it . And as I said in fact the margins for the rest of the brands will improve. And if you look at the two case studies which were put in the presentation , which is Plix and Beardo, there has been a significant improvement in the margins. Because don't underestimate the power of common buying, the Marico procurement, Marico supply chain, and Marico manufacturing.

Pawan Agrawal: And Mihir , if you meant that whether it will have any impact on the group margins because of investment phase , the answer is no. Because the guidance that

we had given at the end of the
earnings call for the next year, we had considered that these acquisitions will come through and we continue to maintain that, which is mid-teens operating profit growth is something that we continue to hold from a group perspective.

Mihir Shah: Got it, yes, that is what I was referring to Pawan. Thank you and wishing you all the very best.

Pawan Agrawal: Thank you.

Moderator: Thank you. Next question is from the line of Anurag Dayal from PhillipCapital. Please go ahead.

Anurag Dayal: Yes, hi. Thank you for the opportunity , sir. S ir, basically , we have developed this playbook behind these acquisitions, you know, referring to digital -first consumers and rapid innovation cycles, premium positioning. Now could we see that eventually these will reshape how Marico builds and scale s brands within its core portfolio? So do you see some elements of this model being embedded into legacy brands as well, where it seems that the growth is somewhat tapering? Or do we -- I mean just wanted to get your response on this.

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 Saugata Gupta: Yes, we can get inspiration from premiumizing some of the hair oils or serums, for example,
and participating far more aggressively. Obviously in the premium part of both hair oils and serums there are digital brands , and therefore this learning can be transplanted into we participating in those much more aggressively. And as I said , in Vietnam , since the market is still nascent and it is maturing, we have already started two brands as an example. One is while our X -Men will continue to play in the mass, a super premium digital brand, a premium digital brand called Astroman. Similarly in the case of shampoo and female grooming and other adjacent categories like wash, deo, and all, we have used the brand called Lashe, which is a hair and skin food brand which we are experimenting with it. So therefore the core also has digital opportunities and we believe that capability will he lp us in participating in that. If you look at already things like , we are doing cold-pressed oils or we have premiumizing serums , we have premiumizing hair oils . That journey has already started and that has happened , because of both

inspiration, capability building and learning from the digital businesses.
Anurag Dayal: Got it. Thank you so much.
Moderator: Thank you. We will take our n ext question is from the line of Vaishnavi Gurung from Craving Alpha Wealth Fund. Please go ahead.
Vaishnavi Gurung: Yes, hi sir, thank you for taking my question. Just two -three questions from my end. First of all, I wanted to understand that since we have been acquiring brands recently, so like are we sort of lacking organic growth opportunities?
Pawan Agrawal : You're asking about whether we are confident about organic growth opportunity.
Vaishnavi Gurung: Yes, I was asking if we are lackin g organic growth opportunities?
Saugata Gupta: If you look at it, we believe that always these acquisitions are a kind of an accelerator. It can't be what I call an escape button for not doing organic growth. And if you look at some of our organic volume growths, we continue to be reasonably good. And I don't think it's a question of organic growth opportunities. Having said that, in any portfolio if you see you're participating higher penetrated categories, if you have high growth ambitions , and we do have high growth ambitions of doubling in five years, which translates to a CAGR of anything between 13% and 14%, you need diversif ication. So it's a combination. A lot of food has actually been organic, the diversification like if you look at the oats journey, if you look at the honey journ

ey, soya
journey. So it's a combination of organic and inorganic. And the reason we have acquired in inorganic in digital is that , that business model is something which is very difficult to build organically . Because the organizational capability and gearing is towards and therefore sometimes you can accelerate by doing this. And we have been extremely prudent in capital allocation and the valuations have been o ne of the best in the industry.
Pawan Agrawal: And again, these are not random acquisitions. It's a well -thought -out strategy in terms of identifying what are the portfolio gaps, what are the categories which has significantly large opportunity of growth, and also trying to look at in terms of our exis ting equities do have a right to win or not. And then we go after these acquisitions , and that all these things also we have

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 detailed out in terms of , in the deck that we have shared , and it's very clearly a top -up to our
growth. And we believe t hat these will continue to add value over the long term.
Vaishnavi Gurung: Noted sir. Also sir, just wanted to understand , what kind of acquisitions are we looking for in the future, like say three to four years down the line? And one more question on 4700BC brand , like how are we planning to scale this premium brand , considering our premium our major distribution channels are through GT?
Saugata Gupta: It's too pr emature to comment on future acquisition s. I have indicated already we could look at something but we can't be specific. As far as 4700BC is concerned, I said GT is an accelerator for Marico. As you know most of our brands in terms of we have been significantly over -indexed even in our core on modern trade and OT. We have been developing these channels , and anyway these brands are run independently , and they have strong opportunity. And the if you look at quick commerce or e -com or modern , I mean , they are going to grow. GT is just a synergy with Marico that further accelerates. That's about it.
Vaishnavi Gurung: Okay, thank you so much.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. On behalf of Marico Limited, we conclude this conference. Thank you for joining us, and you may now disconnect.

(This document has been edited to improve readability)

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Bandra Kurla Complex, Bandra (East),
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Sub: Transcript of the earnings conference call

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, copy of transcript of the earnings conference call held on Tuesday , May 5, 2026 on the audited financial results and operations of the Company for the quarter and fin ancial year ended March 31, 2026 , is enclosed .

The said transcript is also available on the Company's website at https://marico.com/investorspdf/Marico_Limited_Q4FY26_Earnings_Call_Transcript.pdf .

This is for your information and records.

Thank you.

Yours faithfully,
For Marico Limited

Vinay M A
Company Secretary & Compliance Officer

Encl .: As above

Marico Information classification: Official

"Marico Limited
Q4FY26 Earnings Conference Call"

May 05, 2026

MANAGEMENT : MR. SAUGATA GUPTA – MD & CEO, MARICO LIMITED
MR. PAWAN AGRAWAL – GROUP CFO & CEO -
INTERNATIONAL BUSINESS , MARICO LIMITED

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098. CIN: L15140MH1988PLC049208.
Email: investor@marico.com

 Moderator: Ladies and gentlemen, good day, and welcome to the Marico Limited Q4 FY '26 Earnings Conference Call. We have with us today the senior management team of Marico Limited, Mr. Saugata Gupta, MD and CEO; and Mr. Pawan Agrawal, Group CFO and CEO, International Business .

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touch -tone phone.

Before we get started, I would like to remind you that the Q&A session is only for the institutional investors and analysts. And therefore, if there is anybody else who is not an institutional investor or analyst, but would like to ask questions, please di rectly reach out to the Marico Investor Relations team.

I now hand the conference over to Mr. Saugata Gupta. Thank you, and over to you, sir.

Saugata Gupta: Hi, everyone, and good evening to all those who have joined the call. With FY '26 having concluded, I will begin with a brief overview of the operating environment, after which I will take you through our performance and strategic priorities going forward.

During the quarter, demand sentiment remained broadly stable, supported by benign inflation, improving rural sentiment and favorable policy stimulus. These are further aided by the enhanced affordability following the GST rate rationalization implemented d uring the financial year. We are optimistic of a gradual improvement in consumption trends in the quarters ahead, supported by these factors. However, the onset and progression of monsoon as well as the inflationary impact of the West Asia cris is will remain a key monitorable.

I will now move to our performance. FY '26 marked a year of strong execution in a tough operating environment. Volume growth in India business, constant currency growth in International business and consolidated revenue of Marico reached multi -year highs. The India business continued its improving volume growth trajectory during the quarter. Offtakes remained robust with more than 95% of the portfolio gaining or sustaining market share and over 90% maintaining or improving penetration on a MAT basis. Investments under Project SETU are yielding visible results particularly in rural reach and execution quality, supporting the revival and sustained growth of general trade this year. In parallel, alternate channels, including organized retail , e-commerce and quick commerce continue to scale strongly, driving differential growth in urban and premium portfolios.

Delving deep into our key categories, Parachute continued to demonstrate strong resilience during the quarter and delivered low single -digit volume growth after adjusting for mlage adjustments. With copra prices having corrected to about 35% from peak levels and expected to remain rangebound from here on , we have passed on the benefits to consumers t hrough some selective pricing actions. As pricing stabilizes, we expect the recovery in consumption with a

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 pickup in volume growth, which will be evidently visible from Q1 FY '27 itself. Our strengthened distribution and robust back end and supply chain capabilities position us well as compared to the smallest players in current situation, while the brand has continued to strengthen its leadership position d

uring the year.
Value Added Hair Oils delivered robust growth in this quarter led by volume growth in the low 20s and meaningful market share gains. The portfolio grew 20% this year, backed by strong momentum in the mid and Premium segments, which is non -Shanti Amla portf olio. These high - margin segments have delivered close to double -digit volume growth on a two-year CAGR basis. We have also entered the almond oil category under the Hair & Care franchise and we have made considerable inroads in modern trade already. We expect VAHO to sustain its double - digit volume -led growth trajectory, supported by a focused innovation pipeline, improved availability following GST rationalization and distribution expansion under Project SETU.
Saffola Edible Oils delivered steady performance in an elevated pricing environment. As we enter FY '27, we expect stable growth while maintaining our focus on the threshold level of profitability. We will remain disciplined in passing on necessary input c ost movements through calibrated pricing actions while continuing to drive premiumization and pushing for higher growth in cold press ed oils, Saffola Gold and total variants.
Food transitioned to a mid -teen growth on the back of double -digit growth in core Saffola Foods in Q4. The Foods portfolio exited the year at INR1,000 plus crores in revenue. We now have a wholesome play in foods with our portfolio spanning from mainstream health and wellness with Saffola , clean label and modern breakfast and snacking with True Elements, Premium Gourmet snacking with 4700BC and functional nutrition with Cosmix and Plix . You must note that this growth is being delivered alongside a significant improvement in profitability. Our focus remains on building fewer, bigger and more profitable plays while driving category development through innovation and strong execution.
In Premium Personal Care, we continue to scale with a clear focus on profitable growth. The portfolio comprising Serums, Male Grooming and Skin Care exited the year at an ARR of INR 350-plus crores. The digital -first portfolio of Premium Personal Care exit ed FY '26 at INR1,100 crores plus ARR. The scale -up of this portfolio is being accompanied by a structural improvement in profitability as we aim to exit FY '27 at a double -digit EBITDA margins and eventually teens EBITDA margins in FY '30. Beardo and Plix remain on an accelerated growth trajectory with improving profitability.
Our digital transformation continues to accelerate with 55% of Marico's core advertising spends now directed towards digital media. Of course, it is 100% spends in the digital brands.
Consequently, the combined revenue share of Foods and Premium Personal Care, including digital -first brands in the India business, moved up to 23% this year despite the sharp pricing - led growth in the core portfolio. We expect the share of these new busine sses to expand to about 27%, which was earlier target ed to reach 25% in FY '27 and aspire to move about one-third of our business by FY '30.

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 Moving to the international business, we delivered robust growth this year, supported by broad - based performance across markets and portfolio diversification. Bangladesh maintained its strong momentum while Vietnam, South Africa and the export market conti nued scaling up as key-growth engines , strengthen ing the resilience of the portfolio. In MENA, performance in the Gulf region during the quarter was impacted by near -term supply side constraints in March, while Egypt continued to deliver strong growth.
We'll continue to monitor the impact on sales in some markets of the Middle East, which contributes to only 4% of our t

otal turnover, but we see no immediate major concern. We're also making steady progress in premiumizing our portfolio across markets, driven by expansion into beauty and personal care categories and supported by innovation. This is expected to drive both differential growth and margin expansion over the mediu m term.
Our ongoing diversification and premiumization effort across India and international business markets are already reshaping our growth construct in a meaningful way. By FY '30, we expect to have substantially transformed the portfolio, resulting in lowerin g the share of commodity - linked businesses from more than 70% to 50% over a decade.
To sum up, we have delivered on our aspirations across key performance parameters while navigating a highly volatile input cost environment and strengthened the underlying growth drivers of the business. More notably, we have delivered double -digit profit growth despite facing unprece dented inflation in key inputs. This performance reflects the resilience and pricing power of our core categories, profitable scale -up of our new businesses and the strength of our

operating model anchored in supply chain agility, cost discipline and the r esult of ramping up of investments in future -ready capabilities.

Despite ongoing geopolitical tension, we have maintained strong supply chain assurance through strategic positioning across raw materials, packaging materials and finished goods, and do not foresee any material disruption in the near term. Further, we beli eve that our supply chain and back -end advantages will act as a competitive advantage over smaller players and drive superior volume growth and market share gains from these players during the next few quarters.

We remain focused on consistently driving competitive top quartile outcomes in the near term.

We expect to sustain high single -digit volume growth in the India business in FY '27. The international business is expected to maintain strong momentum and mid -teen constant currency growth driven by broad -based performance across markets. At a consolidated level, we aim to deliver double -digit revenue growth to cross INR15,000 crores in revenues and high -teen EBITDA growth, subject to stable macros.

On the cost front, we are witnessing divergence in input trends, while copra prices have corrected meaningfully declining by approximately 35% from peak levels , vegetable oils and other crude -linked inputs continue to exhibit an upward bias driven by ongoing geopolitical tensions in the Middle East. While we benefit from tailwinds in copra, we will mitigate cost pressures through calibrated pricing actions and cost management initiatives. So far, the weighted average input

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 cost increase next year, therefore, is extremely marginal. We have already implemented price hikes , which will neutralize the impact.

Over the medium term, our strategy remains anchored in driving profitable growth through expansion of the total addressable market , sharper portfolio choices, accelerated premiumization and continued investments in digital media analytics, automation and AI capabilities. This calibrated yet ambitious approach to growth, underpinned by strong execution capabilities and disciplined capit al allocation gives us the confidence in our ability to deliver consistent, sustainable and profitable growth over the mediu m term.

We will aim to maintain our current track record of top quartile volume growth in India and teens constant currency growth in international business. At a consolidated level, we will aim to sustain double -digit revenue growth to comfortably cross INR20,000 crores in revenues and aspire for mid -teen

EBITDA growth by FY '30. Our growth trajectory reflects both ambition and execution scaling from INR10,000 crores to INR15,000 crores in just two years and adding another INR5,000 crores plus by FY '30. With a transformed portfolio as we continue to build fewer, bigger, bolder and faster p ace, a resilient operating model and a disciplined capital allocation, we believe we are well positioned to deliver this sustained profitable growth at scale as we cross our journey into 2030.

With that, I conclude my remarks. Thank you, and we can now take some questions.

Moderator: Thank you very much. We will now begin the question and answer session. We have the first question from the line of Abneesh Roy from Nuvama Wealth. Please go ahead.

Abneesh Roy: Congrats. I have three questions. First is on international business. Two subparts to it. One is Bangladesh, there is a sharp acceleration of sales growth to 35% versus full -year growth of 25%. So any one -off here? Was there some delayed pricing, which is benefiting now? Or was it a soft base? And given now in FY '27 entire year, a democratically elected government is there versus a very fragile government in most part of FY '26 in Bangladesh, what will be the outlook?

Second subpart to the international piece is MENA, obviously, in the March month was challenging for all FMCG companies, which were having business there. In April month, are there alternate channels from which maybe the business has seen some improvement. So if you could update on April. I understand March, there was a sharp decline or maybe no business for most companies. How has April been?

Saugata Gupta: In Bangladesh, we have been extremely steady. Now obviously, there are some pricing which has been taken into account. But I think overall as long as we continue to deliver , Bangladesh has been a critical component and has continued to remain resilient and therefore, with annualized double -digit growth, we are happy.

We believe that we have been resilient in Bangladesh and continue to diversify and deliver consistent growth . We'll continue to invest behind brands and diversify. We are pretty confident

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 about delivering this number. Coming to MENA, March, obviously, there were issues on shipment . So there's a difference between impact on offtake and impact on the primary sale, because primary sale is a function of some of the shipments. There are alternative routes. We just don't feed MENA from India, some of the stuff goes through Egypt, there are alternative routes there. So therefore, I think what I alluded to in the call is that, broadly, the impact, I mean, is less and we will wait and see how the situation unfolds. But I think in terms of offtake, we have no reason to have sig nificant concern.

Abneesh Roy: Understood. My second question is on some of the recent acquisitions. So if you could give us some update on 4700BC and some of the other ones in India and Vietnam, etcetera. What is the initial scale up in distribution? Any initial shocks because in M&A, generally, we see in India, especially everything looks quite positive initially, but when actual business comes up in the first year , there are a few challenges, either inventory buildup or any other channel. So any learnings you can share on any of the recent acquisitions?

Saugata Gupta: So I think firstly, those challenges happen when there is a 100% sale happens. We now have a playbook of ensuring how the integration happen s, how we do the valuation, what are the things we look into . I think it has been a positive start. One of the things we do is we ensure that we partner with fantastic set of founders. In all the cases, th

e unique set of brands. And therefore, we have had positive starts, no hiccups. And I think the one big change that has happened now that we have a house of brands , we are seeing the impact of synergy at least in the back end, which benefits long -term profitability, long-term traction or even, for example, if you know that like in a brand like a Popcorn and 4700 BC, we see a price point pack can be taken over by GT. We have actually started immediate synergies on modern trade. So it started off a very well. And as I said, that we don't acquire or buy stake in places where there is we believe that the business is fundamentally weak or unit economics is not there. And I mean, so far, our success rate on that front has been fairly okay.

Abneesh Roy: Understood. Last quick question. So I think you are one of the unique companies from an FY '27 perspective, where the raw material is deflationary, I think for most other companies, clearly, there is a sharp inflation. But if I see your raw material const ruct out of 4, 3 are quite inflationary. The big one is deflationary. So if you could tell us as a basket, how things stand? I do understand things are volatile on a daily basis. But some sense if you can give us as a basket, how much is it up now?

Second is, you did say some corrective action. So is there a MRP cut also? Or is it just select grammage intervention, select promotions being changed, et cetera, in Parachute? And one final question here. So can you cross -subsidize your inflationary part of the portfolio? Because the bulk of the portfolio, copra is deflationary. Can you cross subsidize your foods and personal care by this, which can give you market share gains also?

Pawan Agrawal: From a pricing perspective, what we have done is since we have seen that copra prices have come down by approximately 35% from the peak, we have taken price cuts in non -price point

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 and small packs to the extent of about 10% or so. We haven't really taken any call in terms of increasing the grammage. But as of now, that's the call that we have taken.

Now on your question of cross -subsidizing, we always take a portfolio approach. Of course, we have to keep in mind in terms of what are the expectations from a profit delivery standpoint. And of course, we'll keep calibrating those calls and take a portfol io approach in terms of when we take the calls on pricing, etc..

Now coming to a margin , for next year, of course, there are a lot of moving parts. As you rightly said, yes, we have a tailwind in terms of copra prices where we have some gains coming in as

compared to from the high base of last year. But because the crude where it is at this p oint in time and where it will move, we don't know. But still, if you look at our guidance, what we've given is that if situations were to normalize , we would target to deliver about high teens EBITDA growth, which, in fact, is slightly higher than what we had guided in the previous call. But this definitely assumes that situation should normalize soon. But if it doesn't really sort of, then it's difficult to sort of tell where exactly we will be.
Saugata Gupta: And just to add, I think, to what Pawan said that , normally, whenever there is Parachute deflation, which I think now in terms of our overall proactiveness and managing deflation is much better. But having said that, this is a unique year where we believe that given the supply chain constraints and other challenges the smaller players will face , I think this is advantageous for us. So therefore, instead of cross subsidizing , we have a kind of a competitive advantage this year if this supply situation and all these constraints continue.

Moderator: We will take the next question from the line of Mihir Shah from Nomura. Please go ahead.
Mihir Shah: Congrats on the very good performance. I wanted to just understand on your rationale behind the upward revision on the EBITDA guidance as this is despite the new acquisitions, which could have some drag on the margins, plus the inflation in crude derivatives that we are seeing currently is very sharp. I believe in 3Q, as Pawan highlighted, you had highlighted about mid - teen EBITD A growth and now it's been high teens. So what is driving the change in assumptions? I would appreciate some thoughts on those?
Saugata Gupta: So I think two things. Firstly, just to give a perspective, 2 of the 3 acquisitions, for example, Cosmix and Skinetiq are profitable. As you know, Skinetiq is in the mid -20s, Cosmix is in the high teens. And number two, as we talked about in Plix, which is a large part of the digital business, which is also experiencing an upward trajectory in operating margins . Now we have a firmer view of copra, which is now going to be range bound for the rest of the year. And we have a stress test version of what crude could be , of course, it is very difficult to predict. Obviously, we have taken some pricing action in that part of the portfolio where there has been impact in input costs, which we have taken immediately when this issue happened in March. Therefore, we have a firmer view and this is a best case view given the current situation . And obviously, as I said, that there has been far better visibility of what the digital business

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098. CIN: L15140MH1988PLC049208.
Email: investor@marico.com

 profitability improvement agenda is and what we can achieve. And as I said, the one more thing which we have done is now that we have a basket of brands or portfolio brands in digital where synergies are coming in, I think we have been able to realize better gains in terms of input costs and procurement and other cost drivers. Secondly, I believe that one of the significant competitive advantage or a capability which we have honed over the last four years is ability to handle adversity. And this started during COVID. We faced Ukraine where there was input cost inflation . We had our own unique adversity in terms of 100% increase in copra prices. So we manage the situation far more proactively in terms of supply chain assurance and other things. So I think a combination of all that, where given the current s eituation is the best case visibility, which suggests that we should be able to deliver a high teens . When I t alked about in Jan, obviously, we now have much more firmer data and visibility of that.
Mihir Shah: Got it. Thank you. That's very clear. Secondly, on Saffola, both the volumes and pricing has seen some improvement on a sequential basis. And it also actually in the press note highlighted that there was some pantry stocking up in the early part of March due to the West Asia crisis. So I wanted to check just, one, the level of pricing that will be required on Saffola to maintain margins. Two, any pantry stocking up? And what can be the sustainable volume levels for Saffola for FY '27?
Saugata Gupta: As I said, we have made it clear in Saffola, we are okay to have a low to mid -single -digit volume growth subject to a threshold level of margin. So wherever there has been input cost increase, we'll pass it on, and we have done already. Now coming to the other important thing we are doing is we are focusing on Saffola Gold , Total and Cold pres sed oils, which is the higher - margin portfolio and higher realization portfolio. So there is no change. And obviously, given the volatility, volume and value growth could fluctuate in quarter -to-quarter .

Mihir Shah: Understood. And just one last clarification on VAHO. Did I hear you correctly when you said there was 20 -plus percent volume growth in VAHO and wanted to understand, is there any

anniversarising of pricing should one expect during the first half of FY '27 in VAHO which cut...
Saugata Gupta: There would be some pricing.
Pawan Agrawal: So we already have taken about 6% to 7% price increase in response to whatever increase we have seen in crude derivatives. So yes, so that's the price increase that we've taken. And with respect to volume growth, what you asked for, yes, in quarter 4, it was 20% plus volume growth in the VAHO portfolio.
Mihir Shah: Got it, clear. Thank you so much. Wish you all the very best.
Moderator: We will take the next question from the line of Avi Mehta from Macquarie. Please go ahead.
Avi Mehta: Just wanted to kind of understand you pointed about supply chain constraints that are present by the smaller players and especially in Parachute. Could you give us a sense on how is it? Where
 are we, what are the kind of constraints you're facing to better appreciate the competitive
advantage that you were kind of alluding to?
Saugata Gupta: See, I think it could be, as you know, all polymers, packaging material, it could be fuel in the factory. Now we don't have such constraints. We have ensured to the best of our ability, these things are managed. And also, obviously, ability to foresee , for example, any smart player would have bought in advance in March, early March because this issue started off on 27 February . Obviously, some people had a window of ensuring that you have that supply chain assurance, which gives you both the cost advantage and as well as supply chain advantage. So a smaller player's response times, ability to foresee these would be lower. And also what happens when it's high inflation, they have working capital constraints, they are not able to stock and have kind of a position buildup in these. So that's the advantage. And we have seen this during COVID. We have seen this in highly inflationary times that this is a good thing for us because normally in a deflationary environment, they become active. we have reasons to believe they are no longer active that much even if there is a deflationary environment in copra because all the other things have neutralized that copra impact for them.
Avi Mehta: Saugata, the advantages that we saw, which started probably to wards the start of the conflict, would it be fair that competitive landscape is broadly the same. It's not kind of changed materially from there on despite government trying to reduce gas availability , etc. So it's more it's something that should sustain could sustain for some time. Is the right read through is that how...
Saugata Gupta: It depends. Obviously, as I said, the issue is that today's packaging material, there is inflation and there is some kind of what I won't call it lack of availability, but there is constrained availability. Obviously, a small player ’s ability to cope with that is lower, and it is going to continue for some time.
Avi Mehta: Got it. So it makes some inflation plus availability, which is why this time it's going to be, which is what kind of gives us more confidence from and hence, the upgrade is what you are essentially kind of setting?
Saugata Gupta: That's right.
Avi Mehta: Got it. And the last bit I just wanted to kind of get a sense, see, on the Foods portfolio, we have now kind of broadly come out of any -- when we kind of look at the growth momentum kind of going forward, we are now it's fair to expect profitability plus a 25% kind of plus growth momentum now

is something that we can kind of achieve here? Or is inflation a concern and hence their growth could take a hit? Any color over their income?
Saugata Gupta: I think, l et's take it as a 20% as a base case and then we will see.
Avi Mehta: Perfect, sir. That’s all from my side. Thank you very much.
 Moderator: Thank you. We will take the next question from the line of Harit Kapoor

from Investec. Please
go ahead.
Harit Kapoor: Just two or three from me. One was on the gross margin side on the standalone entity. Given that sequentially, I know, we normally see some sequential drops. But given that there has been a sharp improvement sequentially. Is it fair to assume that the low -cost base completely starts playing out in quarter 1 only for copra? Is that the right way to think about it?
Pawan Agrawal: That will start playing out from quarter 1. But let me not get into quarter -wise as to what could be the gross margin expansion. But rather, I would want to paint a picture for the full year. And I believe for full year, about 300 to 400 basis points improvement over the exit of FY '26 is fairly possible.
Harit Kapoor: Got it. And just one thing on your sense on this consumption uptick, which it looks like in quarter 4, right? You've seen a lot of the companies actually deliver numbers which are ahead of third quarter trajectories. I mean , what would be your kind of prognosis thought process at least on a top-down basis on what's kind of driving this at a sector level would be great to hear your comments.
Saugata Gupta: See, if you look at the second half of the year, I think two things would have happened, I would say that, one, of course, some of the parts of the sector were lapping a slightly softer base. But more than that, rural had earlier recovered. We started seeing a recovery in urban. It's a combination of, obviously, th e GST rate rationalization and the affordability factor led to the price drops, which we had taken. See, also what has happened is that , especially in food now that everything is 5%, so unbranded to branded or unpackaged to packaged conversion is going to likely to get accelerated with that. And we are also seeing in Value Added Hair Oils, for example, as a large category where there is some unbranded small players. So the gap is actually pretty small.
Secondly, I think we continue to enjoy good period of very low inflation. Low inflation helps in FMCG consumption. Ultimately, people are aspirational. They want to get into aspirational brands as disposable income increases. And even now as we speak, I th ink the government has done a fantastic job of containing the kind of a shock which other countries, a lot of emerging markets have faced because of the current crisis. I think we have been insulated. And therefore, we believe that , the sector and especially the organized part of the sector because, as I said, that they have a better coping ability in terms of handling these kind of adversity . So it looks okay for the sector and definitely looks okay for us because as far as we are concerned, we are inflation neutralized to a large extent.
Harit Kapoor: Great. And just one last, bookkeeping was on the tax rate. Just any sense on FY '27 at a consolidated level would be helpful.
Pawan Agrawal: Yes, you could consider around 20% or so.

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Email: investor@marico.com

 Harit Kapoor: Got it. That’s it fr om me. Thank you. Wish you all the best.
Moderato

r: Thank you. We will take the next question from the line of Tejash Shah from Avendus Spark Institutional Equities. Please go ahead.
Tejash Shah: Congrats on good set of numbers. So I have just one question. See, we have been navigating macro headwinds well over the past few quarters, in fact, past few years. And while the government has kind of parallelly for the last one year or one and a half year is trying to revive consumption by making a lot of interventions. So as we look ahead next year, our growth confidence is primarily driven by internal execution? Or are you beginning to see signs of sustainable consumption recovery at ground level as well?
Saugata Gupta: As I said, in the second half of the year, the sector has started accelerating. Having said that, at the end of the day, we have to ensure that we continue to deliver top quartile performance. We believe that we have multiple vectors of growth, whether the recovery of the Core , SETU has significantly given us a distribution reach advantage , the VAHO turnaround, the diversification strategy, the stable business in international and the significant profitable growth trajectory of digital. So I think multiple vectors are playing out. And sometimes 1 or 2 are not playing, might not play. For example, I mean we had a short term issue in Middle East. But I believe if I have 8 to 10 vectors of growth, and they are in a symphony, 1 or 2 strings not working, even then we are pretty confident of delivering what we are seeking to achieve.
Tejash Shah: And lastly, the government's effort, fiscal effort also has been led by state governments also in some cases. So are you seeing any divergent growth trend in some of those states where, let's say, there's a lot of push to put more money in hands of bottom end of the consumer? Or is it

very secular as of now?
Saugata Gupta: I think it's pretty secular. Obviously, it's also , for us it has been a function of where we have got deeper gains because of SETU. Because as you know, in some of the states, our distribution, especially the direct distribution was under -indexed, and therefore, we are seeing that. Obviously, because of our portfolio, especially in Food and Premium Personal Care, the metros. But to us, I think one of the things which is unique to us, we called it out first before others is that we need to get GT back on track. We started investing behind SETU, invested to say that the general trade contributes so much to the country, create so much employment, I think and which is the source of competitive advantage for us because the entry barriers have decreased in OT, but it continues to be in GT. I think our systematic investment, and we believe that we owe it into the entire general trade, our distribution partners and everything to increase the viability. So to us, that is a big thing. And therefore, we believe independent of what happens in a st ate consumption or anything, this will help us to grow and consistently grow.
Tejash Shah: Very clear. Thanks and all the best for coming quarters.
Moderator: Thank you. We will take the next question from the line of Arnab Mitra from Goldman Sachs. Please go ahead.

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098. CIN: L15140MH1988PLC049208.
Email: investor@marico.com

 Arnab Mitra: So congratulations on a great year, Saugata and Pawan. My first question is on Foods. So if I look at the 16% growth, I assume this includes turnover part quarter turnover from the acquisition. So if you could just help me understand how the organic business has done relative to the last couple of quarters? And are you seeing an improvement there and what are the buildings of there for FY '27 as you go ahea d in the organic part of the food business ?
Pawan Agrawal: So I think

the first good news is that in the quarter, the Core Saffola Foods has grown in double digits. Now why overall foods growth is still not looking all that great in this quarter is because True Elements is lapping up the base quarter, which was a high base. And secondly, we've also taken some SKU rationalization call over there for some of the low GC products to accelerate the path of profitability in True Elements. However, we definitely ex pect teen s growth in True Elements in FY '27 also. And thirdly, also for Plix, over the last 3 to 4 quarters, Plix is now more pivoting more to Personal Care. And therefore, the contribution of Plix in the Foods growth is progressively coming down. So these are the reasons as to why Foods growth despite inclusion of 4700 and Cosmix is at about 16% - 17%. But as Saugata alluded earlier in the call that we definitely believe going ahead, it will be in the range of at least 20% to 25%, if not more.
Saugata Gupta: And it's not the entire quarter of Cosmix, it's a few days. We started doing it and I think maybe 50 days or something.
Arnab Mitra: Got it. So in that sense, like for next year, then I think you spoke about 20% plus growth in Foods , you should potentially be able to do a lot more because the organic business also is recovering, and you will get a full year plus I assume there will be a ramp -up in that business. So just wanted to check whether you think the foods growth can be higher bec ause of the M&A also adding to that 20%?
Saugata Gupta: I think we took a base case, let's take it at 20% to 25%, I think, but we'll see. As I said that I don't think we have any concern as far as Foods is concerned, at least immediately, and you will see the results coming from quarter 1 . That’s all I can say.
Arnab Mitra: Got it. My second question actually was, I just wanted to go back to the Bangladesh performance because last two quarters, there has been a very strong acceleration from 22%, 29% and 35% growth rate. So just wanted to understand, is the pricing cycle on coconut oil there going different from India in the sense that is Bangladesh also likely to see a deflation now on pricing or the price trends there are different and therefore, the inflation led growth could continue in the coconut oil business ?
If you could just help understand a little bit on how the last two quarters have accelerated and if we should think this will decelerate immediately or it's a gradual go back to that mid -teens kind of a growth that we have historically had.
Pawan Agrawal: I think we shouldn't read too much into the quarterly swings. On a steady -state basis, we expect definitely to deliver double -digit growth in Bangladesh. Specifically talking about the last couple of quarters, I believe it's a combination of good performa nce of both core and the newer portfolio

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Email: investor@marico.com

 comprising shampoo , baby , etc. And I think it's also driven by a decent volume growth. So
therefore, going ahead, I think from a guidance standpoint, we would say that at least double -
digit growth is for sure, is going to be delivered. And I think one other thing which we are being
watchful is about as to what happens on the consumption side, depending on the inflation,
etcetera. But over there also, I believe that the robust business foundation and strong moat s that
we've built over the years and the favorable cost structure, we believe that we are in a unique
position to sort of whether any of these kind of things play out, we would be in a position to sort
of deliver healthy growth in this market.
Arnab Mitra: Got it, got it. Thanks so much. That's it from my side.
Moderator: Thank you. We will take the next qu

estion from the line of Vivek Maheshwari from Jefferies.
Please go ahead.
Vivek Maheshwari: Great results. Two questions. The first question is, and I understand there is a fair amount of
volatility because of whatever is happening around us. But when I just look at your guidance of
INR15,000 crores Fy '27 revenues and high -teen EBITDA growth , if I just calculate the margins,
the margins are actually lower than what you would have done in like four out of five years in
the past, whether FY '25, '24.
Is it -- so -- and this is despite the fact that copra is correcting, your mix is getting better , some
of the new initiatives have started to contribute , the portfolio mix is getting better. So is it just
because of the uncertainty that you have given this guidance as a base case? Or am I missing
something? Would love to know that.
Pawan Agrawal: Are you suggesting that we are not going back to the peaks of the operating margin? Is that what
your question is?
Vivek Maheshwari: So your margins here, Pawan -- yes, so it's still -- way lower than what where, let's say, the last
five, six years margin highs were. So I just want to understand what am I missing if there is
something dramatically different from, let's say, '21, '23, '24, '25? What am I missing then?
Pawan Agrawal: So one thing which has to be kept in mind, Vivek, is that peak margin was also a year where we
had low inflation in all the commodities. Now in this year, while we would have copra tailwind,
but where the crude is at this point in time, there could be hit in the crude -led derivatives. Now
broadly, what we've said is in gross margin terms, we expect about 350 to 400 bps expansion
for FY '27. We would up the A&P investment again from the current levels. I believe maybe
200, 250 basis points can be increased in the A&P, and balance 150 bps to about 200 bps base
case in case of 150 bps is the operating margin expansion that we are looking at. The operating
margin percentage is also a function of where your revenue is because we have had a significant
revenue growth and therefore, denominator effect also plays out. So while we are delivering
~17% in this year, it's also because of significant denominator effect. So therefore, keeping in
mind all these thing s, we are saying about 150 basis points expansion. And therefore, if you do

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098. CIN:
L15140MH1988PLC049208.
Email: investor@marico.com

Marico Information classification: Official the math, it will come out to about high teens EBITDA growth next year from a guidance
standpoint that we have given.
Vivek Maheshwari: Right. But Pawan, just to follow up and just to clear my understanding, in the past, and as I said,
3 out of 5 -- actually, sorry, my bad, not 4 out of 5, but 3 out of 5, the margins were closer to
let's say 20. This time around, your other parts of the p ortfolio mix VAHO, which is a high -
margin portfolio is also doing better. So I don't want to -- so is there a possibility that the
guidance is a bit more conservative sitting today? Or it is just the volatility, which is what is
driving th is kind of guidance?
Pawan Agrawal: Vivek, I think we would be the only company who would be giving this kind of a guidance in
this kind of environment of high -teen EBITDA growth. So I don't think there is a conservatism
which has been factored into it. But we also need to be mindful in ter ms of the environment that

we are operating in. And still, we are saying that despite at 110 of crude and crude -led derivatives where it is trading at this point in time, we are still sticking out our neck and saying that we would be delivering 150 bps of expansion in operating margin, we will deliver h igh-teen EBITDA growth. I think that's more than one can expect, I guess.
Vivek Maheshwari: No, n

o, totally agree Pawan. No doubt about it.
Saugata Gupta: Let us stabilize also in the sense that let the situation stabilize maybe after 1 or 2 quarters, you will get a better visibility .
Vivek Maheshwari: Sure, sure. And I just want to clarify, it was just about the math rather than anything, not to say that your guidance and your disclosures continue to be the top notch, I would say. The second, without making it very abstract and open -ended thing, but Sau gata and Pawan, what will be the top 1 or 2 things because your execution is good in the toughest of the commodity cycle, you have done very well versus peers also, you have done extremely well, your new product strategy, D2C, whatever premiumization, ever ything has been good.
What are the top 1 or 2 things that you worry about at this juncture for FY '27 and which we should also monitor for your business?
Saugata Gupta: So I think if you look at it, obviously, the macro geopolitical situation is important , Fortunately , of course, our Middle East contribution is low. And obviously, in FMCG and the kind of portfolio we have, whenever there is inflation, it has an impact in terms of consumers either down trading . See the macro factors. I believe as far as internal factors are concerned, the way we are going about doing it, and we are on a momentum on that. I don't see that as an issue. But obviously, we have to watch out for the macro factor because if you see historically, inflation is FMCG consumption is biggest enemy, especially in the bottom of pyramid or in rural. And the last one is another monitorable is if it is a strong El Niño your, in terms of El Nino effect impacting consumption towards the back half of the year, stretching into the quarter 1 of next year. But all these factors are not Marico factors . But I believe at this stage, I think in terms of

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 the machine that is running, we are okay. Right now, there are more of the external factors than internal factors.
Vivek Maheshwari: Got it. Very interesting. Thank you very much. Wish you and your team all the very best.
Moderator: Thank you. We will take the next question from the line of Nihal Mahesh Jham from HSBC Securities. Please go ahead.
Nihal Mahesh Jham: I had two questions. First is on the P CNO part. So what would be the relative price index at this point in time after we've taken the price cuts? And given a firm view of corporate, you already have, what is the incremental pricing action we are thinking?
Saugata Gupta: As of now, I think we have taken that what Pawan alluded to at around a 10% -ish on the non - price point packs. I believe copra will be range bound. And if we could manage with this, we'll manage. We'll see, wait and see. And as I said, that we seem to be in a relatively advantageous position compared to the other deflationary cycles because of weaker competitive positioning because of all the supply chain issues.
Nihal Mahesh Jham: Right. But the 10% cut would still, from an RPI perspective, take a premium to the loose coconut oil. So is that something we'll consider in terms of readjusting or we are not looking at that as a metric.
Pawan Agrawal: Even last year, when the copra prices increased by more than 120%, 130%, we did not take as much price increase. We have taken about 60% price increase. So from a pricing RPI standpoint, we are not significantly off. And as I said, we have taken calls on certain non -price if required and depending on copra trajectory, we might take certain call. But at this point in time, the visibility is that we would want to stay with this.
Saugata Gupta: And just to add, I think the price elasticity model has got challenged in th

e last year because we were ourselves surprised because of the strong brand equity of Parachute that we are able to carry on a flat volume growth in spite of 60 % price increase . So therefore, there could be a case of a recalibration of our pricing model over the next couple of years.
Nihal Mahesh Jham: Understood. The second question was on Plix. If you could just share what was the ballpark EBITDA margin for this year, given you've been alluding to looking at margins and the brand did a breakeven last year.

The second part of the question was that when we bought the brand, the hero product was ACV and Foods was a much larger contributor. And given the trends we see at least in terms of weight loss, what is it that has changed where the focus has now shifted m ore to personal care, where I would believe that this part of the portfolio still has a lot of scalability and should ideally be a much higher contributor to growth? That is the question.

Saugata Gupta: Plix currently should be hitting around mid to high single -digit margin . We hope very soon, it will get into double digits. Yes, we started with ACV. I think what it pivoted towards, and that

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098. CIN: L15140MH1988PLC049208.
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 is a function of Plix stands for plant -based and hair and skin food, and hair and skin food is what we pivoted. If you look at all the Plix play in Personal Care, we believe that the Personal Care had higher profitability. It expanded TAM. The brand could carry itself up. But you will see similarly some of the launches even in the nutraceutical over the next couple of months. I think secondly, what we have focused on Plix is , we have a very strong D2C play. And I think D2C is around what, 45% of the business in Plix. And therefore, we own the consumer. It's a profitable CM2 D2C play. So therefore, it is important that we start cross -selling, upselling as so therefore, it could be an ACV consumer having a hair growth serum. And that's how the Plix has played. So the overall portfolio has pivoted towards that. Having said that, we will see action in the nutraceutical space. In fact, we have just launched an ACV canned drink. It is available, I think, in 1 or 2 quick commerce players, and as you know, globally, there has been a shift from carbonated soft drinks to healthy drinks, especially in developed markets, we have just launched one. So you will see some of the plays in nutraceuticals space also. Now the other thing is this that between Plix and Cosmix, Cosmix will be in the slightly more serious nutraceutical and protein play. So there will be in the vitamin , supplement and nutraceutical play. Plix is a more fun brand. So it's a slightly more fun brand. So therefore, we will then straddle both the things together. But going forward, we believe the center of gravity of Plix will be more towards Personal Care, which is far more profitable in the long term.

Nihal Mahesh Jham: Got that Saugata . Thank you so much. Thank you.

Moderator: Thank you. We will take the next question from the line of Siddhesh Deshmukh from IIFL Capital. Please go ahead.

Percy: This is Percy from IIFL. So my first question is on -- am I audible?

Saugata Gupta: Yes.

Percy: Saugata , my first question is on the construct of the overall hair oil markets between VAHO and coconut. We have seen in the last few quarters, very strong growth in VAHO across all companies, not just Marico. And do you think this has got anything to do with the fact that copra price has -- I mean, the coconut oil price has become very unaffordable. So there is a little bit of market share shift towards VAHO. And going ahead, do you think that market share shift could reverse a little bit where copr a price is coming down and there could be a sort of a little bit of market share move towards copra away from VAHO. These are, of course, not very, very large shifts. But to some extent, can it bring down the VAHO growth? And can it actually accelerate the copra growth and act as a buffer against the general sort of slowdown we see during a deflationary cycle in volumes of copra?

Saugata Gupta: See, as you know that we repivoted our strategy on VAHO. What had happened is that there was a significant focus between the two major players on price points packs , especially in Amla and mustard. And therefore, a lot of spend s went from ATL to BTL. A couple of quarters, we decided that we should as a leader, one of the volume share leader in the category, we must invest behind

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Email: investor@marico.com

 category growth and therefore, in the mid and the Premium segment, which are much more

higher profitability. Consequent to that, if you notice from Q2, our VAHO growth started accelerating. Obviously, the GST reduction has helped because share from some of the smaller players or some unbranded VAHO to branded VAHO, that has helped. I think that is the reason, and we are extremely confident that we will be able to consistently deliver higher growth in VAHO, including double -digit consistent growth.
Percy: Right. So my starting point was that, of course, you have done good actions on VAHO, not denying that, but across the industry, if I look because many players are listed, we are seeing all the players reporting extremely strong growth on VAHO. So it seems to be more of an industry phenomenon in addition to, of course, you doing maybe slightly better than the industry. But overall, VAHO industry, not only in value terms, but even volume terms is growing way above what long -term average would be.
So the question was in that context. Maybe I'll take that further offline. Also, just wanted to understand second question on Plix. It's had a huge ramp -up over the last few years. And I think it must be coming close to touching INR1,000 crore s kind of ARR. So do we see any kind of slowdown just from the point of view of absolute size of the brand? And what kind of growth can we expect in Plix as a brand?
Of course, I'm saying food and personal care put together at the overall brand level. Can it keep growing at a sort of fast clip or at some point of time, there are some barriers that we hit in terms of it needing some new channels of growth in addition to sort of online. What are your thoughts on these?
Saugata Gupta: So without getting into specifics, let me tell you, I think Plix has the added advantage of a far more broader TAM than some of the other brands because they either play in BPC. This is one of the very few unique brands that play across two distinctive categories, which is nutraceuticals as well as nutraceutical wellness and personal care. Coming to, of course, you are right. I mean, as it reaches a certain number and it's INR1,000 crores, you can't be expecting that kind of a growth. But I'll give you the philosophy, broader philosophy of our overall digital play. We are here to build to la st. We are here to create a sustainable, profitable, consistent growth in the business. So for me, any day, I will vote for a 20%, 25% growth with steady increase in profitability over a 60% growth without any increase in profitability. And I think Plix as a brand and Beardo also, we have shown we can do both. So obviously, I think as long as the digital business continues to grow 20%, 25%, 30% and be consistent on the journey to go into the teens profitability, which we have talked about in 2030, we'll be h appy.
Percy: Do we need unlock of new channels for 20

%, 25% growth in the brand?
Saugata Gupta: As I said, we believe in maximizing full potential . Focus is a very important thing. Food is something which we believe has a far better omnichannel potential versus BPC, but we are open to it. I don't think there is any capability or resource constraints to the growth, but we want growth which is mindful as opposed to growth, which is spray and pray.

Regd. Off: 7th Floor, Grande Palladium, 175, CST Road, Kalina, Santa Cruz (East), Mumbai – 400098. CIN: L15140MH1988PLC049208.
Email: investor@marico.com

 Percy: Sure. That's all from my side. Saugata, thanks a lot and all the best.
Moderator: Thank you. We will take the next question from the line of Aditya Soman from CLSA. Please go ahead.
Aditya Soman: Thanks for the opportunity. So two questions. First, on the sort of guidance of INR15,000 crores. Now the growth is obviously lower than what you've delivered. And is this largely a function of so deflation in copra prices? Or is there anything else that again is -- which is why the growth is more conservative than what is delivered out there?
Saugata Gupta: So I think delivering double -digit revenue growth is not conservative in any category and any sector. I don't know where you are coming from in terms of conservatism in this. See, this year, what happened is a significant inflation that was built in. What we have said consistently that we are confident of delivering high single -digit growth in India, kind of a mid -teens constant currency growth in the international business.
And subject to that, that leads to a kind of a growth, which is, again, a double -digit revenue growth overall blended. Obviously, as you know, that we have taken some pricing correction in Parachute in the non price point pack to the extent of 10% that has been incorporated into the revenue expectations.
Aditya Soman: That's very clear. Thanks, I just wanted to check if that Parachute price cut because the guidance was similar even earlier, right? So I mean , I'm assuming that you've already factored in there will be a price cut for Parachute.

Saugata Gupta: Exactly.
Aditya Soman: Fair enough. Thank you.
Moderator: Thank you very much. Ladies and gentlemen, we will take that as a last question for today. I now hand the conference back to the management for closing comments.
Pawan Agrawal: Thank you for listening on to the call. To conclude, we closed FY '26 on a very strong note, achieving multiyear highs on most of the key business parameters in India and International business. These results underscore the strength of our brands, discipli ned execution and strategic diversification and premiumization initiative across geographies and categories. In a volatile environment, we believe that our ability to foresee and manage risk will continue to hold us in good stead.
As some of you rightly mentioned that we are in a unique position in terms of RM cost, which is a great positive for us. In addition to this, positive shift in digital businesses, growth trajectory in premium VAHO, strong momentum in international business gives us confidence on the top line and bottom line guidance that we gave.

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 So we'll remain focused on sustaining the underlying volume growth momentum and improving the earnings growth trajectory meaningfully in FY '27 while continuing to make consistent investments in pursuit of our FY '30 strategic aspirations. That's it from o ur side. If you have any further queries, please feel free to reach out to our IR team, and they'll be happy to address. Thank you, and have a great evening.
Moderator: Thank you members of the management. On behalf of Marico Limited, that concludes this conference. Thank you all for joining with us today, and you may now disconnect your lines.

(This document has been edited to improve readability)